

Mastek (MASTEK)

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Call: Jul 2023

Mastek Limited

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SEC/ 46/2023 -24 July 26, 2023

Listing Department Listing Department

BSE Limited The National Stock Exchange of India Limited

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SCRIP CODE: 523704 SYMBOL: MASTE K

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on July 19, 2023, for the financial performance of the quarter ended June 30, 2023.

With reference to our Letter No. SEC/ 35/2023 -24 dated July 8, 2023, please find enclosed herewith the call Transcript of the Earnings Conference Call held on the financial performance for the quarter ended June 30, 2023, on Wednesday, July 19, 2023.

The Transcript of the conference call can also be accessed from the website of the Company at <https://www.mastek.com/investor-financial-information/>

Request you to take note of the above.

Thanking you,

Yours faithfully,

For Mastek Limited

Dinesh Kalani

Vice President – Group Company Secretary

Encl: A/A

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“Mastek Limited

Q1 FY '24 Earnings Conference Call ”

July 19, 2023

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE
OFFICER– MASTEK LIMITED

MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER –
MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – ERNST & YOUNG LLP

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Moderator: Ladies and gentlemen, good day, and welcome to Mastek Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participants lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you

need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Asha Gupta . Thank you, and over to you, ma'am.

Asha Gupta: Thank you, Neerav. Good day to all of you. Welcome to the Q1 FY '24 Earnings Call of Mastek. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com . To take us through the results today and to answer your questions, we have the top management of Mastek represented by Hiral Chandrana, CEO; and Arun Agarwal , CFO. Hiral will start the call with a business update, followed by Arun providing a financial update for the quarter. Post that, we'll open the floor for Q&A.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risk and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find it on our website.

Having said that, I will now hand over the call to Hiral Chandrana . Over to you, Hiral.

Hiral Chandrana: Thank you, Asha. Good evening, everybody, and welcome to our Q1 results update. I'll start off with giving a brief overview of 4 different areas: our Q1 financials. What we are seeing in the market as a whole, but also with our specific customers. The exciting acquisition that we've just announced today of BizAnalytica and some commentary on Q2 and outlook for the remaining year.

Our Q1 financials came in at 20.2% year-on-year growth from a revenue perspective at constant currency, and we delivered 17.5% operating EBITDA for the quarter. We had variations in different geographies and different parts of our business. But at an overall level, we saw some good uptick in our Middle East business as a result of the last couple of quarters of order book that we had closed and the revenue conversion of that.

Our U.K. business had a lesser number of working days and because of the time and materials work we do out there had an impact in Q1. And we had some good solid deal momentum and order book in our U.S. business, which should reflect in much more robust quarter-on-quarter growth as we look forward into Q2.

As we look at what's happening in the market as a whole, particularly our top customers, are definitely prioritizing cost optimization and looking at different ways to generate efficiencies.

Having said that, the journey that many of them have taken on the cloud migration and cloud modernization is starting to move into a different pivot, where they'd like to monetize the investments that they have made in the platforms, as well as optimize the consumption, whether it is hyperscalers or some of the SaaS platforms.

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We've seen some interesting engagement models in terms of not just cost optimization, but also how do we fund some of the new solution creation and get more ROI for our customers that have already invested in the cloud journey. As we look at our own customer satisfaction survey and results, we have some interesting insights as part of that.

And one of the areas which we were happy to see that customers want to see Mastek playing a much more strategic role in their next few years journey. They also want to see Mastek contribute

in multiple newer areas of customer experience of data modernization , of cloud modernization. So , some good sign where our existing customers want to see more of us. Of course, it's up to us now how we scale up and deliver to that promise.

As we look at what's happening in the Generative AI space, there is clearly a huge uptick just in the last 3 months, since we last spoke, where customers are starting to pilot and have use cases very specific to their industry. Mastek has taken a very practical approach, I would say, where we are focused on few specific areas, where we are contextualizing our capability to what the customer use cases and the industry-specific use cases are.

For example, for retail and consumer industries, we've taken our CXPro Solution and our Netail. AI partnership. For manufacturing discrete industries, we've taken a look at how we can integrate our VolteoEdge investment platform with Warehouse 360 and of course, our key platforms and partnerships, Oracle, Salesforce, Microsoft, AWS are all investing in Generative AI and we are seeing how we can embed that as part of our proposition as well.

As we look at our Q1 customer wins and some of the updates that we've shared already in the earnings deck, there is a variety of diverse experiences that we've had based on wins in Europe, in U.K., in Middle East , and in U.S. while we continue to have some pressure from the NHS account, we've seen some really good wins in the health care sector and in U.S.

For example, Brookdale Living a senior living community, where we won a large transformation program where we're looking at their entire supply chain, their entire patient

experience. There are examples of wins we've had in the manufacturing sector in the non -U.K. Europe geography. We've also seen some marquee programs in the government business of U.K. where we're looking at single sign -on and one log-in ID for their entire identity access and management processes.

So, just a wide variety of wins and go -lives. We had reported 6 months ago, our progress on one of the Blue Cross Blue Shield and I'm happy to share that specific account is on track and trajectory to become a USD 10 million account in the U.S and this will be our second account, where we see that this model of what we are bringing to the Blues can potentially be replicated to other Blue Cross Blue Shield as well. So that's just in a brief in terms of Q1 and market and what we're seeing with customers.

Moving on to BizAnalytica. As we have communicated almost for the last 15 to 18 months. As part of our M&A thesis, and target prospects for M&A. We had prioritized 3 specific areas: customer experience and digital experience, data and the continuum of data with AI , and cloud platforms, which is the hyperscalers.

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As you know, we have acquired MST last year, which aligns to one part of our thesis. The second part of our thesis was in the whole data modernization and data cloud journey. We've been very selective in looking at multiple assets doing our due diligence and super excited and pleased to report that we have officially signed a definitive agreement to acquire BizAnalytica. BizAnalytica was founded a few years back. It's headquartered in Boston area in the U.S. with operations in Chennai and provides a holistic view to the data cloud and modernization journey, where clients are looking at not just moving their data to the cloud, but also setting a strong foundation for how they can generate analytics and now Generative AI use cases. So, the acquisition is very strategic in many ways, because it not just aligns with our strategic priorities and thesis, but also in terms of what customers are asking from us and what the market potential is in this space . We're also happy about the client base and the profile of customers that BizAnalytica has. They have some marquee

enterprise clients in asset and

wealth management , retail, health care and in technology. And we feel that the synergies that we will start with the U.S. geography and then expand to our global market.

Culturally, we feel that there is also high resilience in terms of both companies. BizAnalytica also has a very solution -focused DNA. They have a significant investment in Light beam, which is a marquee IP that really takes a look at data factory and from a managed services perspective, how do we monitor consumption and cloud economics as more and more companies move to the cloud.

So, some exciting areas, which we are hoping to collaborate and work to build on. But in all this is a huge milestone for us. It's an area that we are very excited about in terms of growth prospects. Our mining strategy, which is progressing well in the U.S. and in U.K. and in Middle East will benefit from this capability. Of course, happy to share more during the Q&A and in the coming weeks as we make progress.

The feedback that we received last time from all of you, our investors, our well-wishers , our analysts was to share transparently what was the mix of the business and the size of the business. The last 12 months of BizAnalytica was roughly about USD 16 million. And that's something that we obviously hope to grow significantly higher compared to even the Mastek's growth average.

The last point is about outlook and a little bit commentary about not just Q2, but even looking beyond. We are very happy with the U.S. and Americas order book. There are some deals that took longer to close over the last 3 to 6 months, but we've had a healthy back -to-back order booking and are bullish about how that will translate to revenue. So there's a good uptick that we can expect in terms of revenue growth in the Americas geography.

In the U.K., we have some really large deals that continue to be part of our pipeline.

Unfortunately, we had a couple of losses, where we were number 2 with some very large players. And these are large deals and accounts where customer has given us a seat at the table.

A year back, we may not have even been able to compete. But being number 2 in some of those losses is not fun. So we are taking that up as a challenge, and we feel that there is

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potential to win some of those deals in the current quarter and the next. We've actually just got notified last week about one particular win and hopefully, we can do some more in the U.K.

geography.

Our margins and Arun will talk about financials in more detail. But specifically, we want to focus more on DSO and ensure that we bring a little bit more discipline there. And there are various initiatives on cost optimization as well as margin improvement across the board, where we are taking very specific tracks and approaches so that we can optimize and then fund more strategic areas.

As we look at account mining, and one of those strategic priorities that we had outlined in the last couple of calls, we've taken our top 10 to 15 accounts in each geography and making progress, not just in terms of account plans, but also in terms of how we are approaching senior stakeholders, building relationships, looking at the vendor landscape, looking at partnerships, looking at how we can look at spend areas and offer a much more holistic proposition. But we've also put in some new account managers and client partners in key accounts where we see growth potential.

The Salesforce business and the Oracle business, which contributes a significant part of Mastek revenue has continued potential, and we see that both in terms of accounts or customers moving to the cloud, but also in terms of how they want to monetize, like I mentioned earlier, some of the investments, not just in sales, marketing, customer service, but even in data analytics. Oracle has also branched out in a

couple of new areas. I have spoken in

the past about Oracle Health and their health care investments with Cerner. And we've made progress with the Cerner team and Oracle to look at more holistic propositions in select markets.

So, all in all, we have had a slow start in terms of our organic business and see some good lead indicators, where we feel still optimistic and confident about our prospects, not just in Q2, but for the rest of the year in line with some of the communication that we have done earlier. The pipeline is looking good. Our deal momentum is strong. Some of the recent wins are giving us confidence as we look at not just Q2 but beyond. And again, hugely excited in welcoming the BizAnalytica team to the Mastek family.

So with that, I'll turn it over to Arun.

Arun Agarwal: Thanks, Hiral. A very warm welcome to everyone on the call. Financial details and other documents has been shared ahead of the call, so I'll keep focus on key financial metrics aligned to what Hiral alluded to from the business perspective.

Our operating revenue for the quarter was INR 725 crores. It's 2.3% up quarter -on-quarter in INR terms, reflecting 0.4% in constant currency. Year -on-year growth is 27.2%, reflecting constant currency growth of 20.2% year -on-year. Once you break it up between geography, the growth is led by strong execution in Middle East again, in line with our previous quarter, order booking, as we mentioned, we are seeing good pickup in terms of demand in that particular geography, and the same has been reflected in terms of revenue. U.K. quarter -on-quarter was

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impacted because of lower number of working days. However, the deal momentum, as Hiral mentioned, is quite exciting, and we believe that geography will continue to grow in the coming quarters.

During the quarter, we added 22 clients across verticals and across geographies. Order booking experience was mixed across the geography, while delay and right shifting in decision making continues. However, U.S. and Europe, when we say Europe, non -U.K. Europe has shown positive momentum in order booking. Consequently, our 12 months of order backlog stands at USD 215 million, reflecting an increase of 16.9% year -on-year.

However, a decline of 1.7% quarter -on-quarter in INR terms. Our operating EBITDA for the quarter was at 17.5%, a reduction of 20 bps quarter -on-quarter. The primary reason of 20 bps was because one part of our business, Salesforce, which we acquired last year, the increment has been done effective April as we do the integration, we wanted to ensure the team gets the hike in line with what they were getting earlier. That has impacted margins for the quarter.

However, partially offset by currency and other operating levers as operated during the quarter. Our PAT stood at INR 73.5 crores, up 1.3% quarter -on-quarter. Our cash was INR 220 crores at the end of June this is versus INR 270 crores in March '23. During the quarter, we have paid one installment of loan as it was outstanding as per the payment scheduled. Consequently, our borrowings stood at INR 363 crores as of 30th June 2023.

Headcount was closed at 5,592 at the end of the quarter, reflecting net reduction of 30 headcount. And utilization improved during the quarter by 380 bps including trainees as we are operating and focusing upon better utilizing of resources, to drive the revenue growth and balancing the bench and in project utilization of resources.

We have signed definitive agreement to acquire BizAnalytica, a data cloud and modernization

specialist based out of U.S. And again, as Hiral alluded to, it's in line with our strategy to get into data and cloud space together with the presence in the U.S. geography, and it further helps us to sell lot of integrated offerings both to existing and to the prospective customers. I would like to thank all of you for you

our continued support and trust. Going back to the moderator and open the house for Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: Sir, two questions. One is on the U.S. pickup, order backlog is more or less flattish. I'm assuming this includes U.S. closures that you spoke about. So what kind of growth rate are you looking at in the U.S. region for Q2 or maybe FY '24?

Hiral Chandrana: So Mohit, the Q1 order book in U.S. actually was better than our targets and expectations in terms of ratio of revenue, it was almost 1.5 times the revenue that we have in that geography. And that's giving us confidence that as we execute on those programs and wins, which did take a little bit longer than we expected, but now since we have closed some of those deals in Q1, it will have a direct impact in Q2, Q3 and beyond in terms of revenue conversion.

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So, we obviously had anticipated slightly higher growth in revenue terms in the U.S. But what we are confident is that we'll mostly catch up in Q2 and get back on track in Q3 in terms of our anticipated year-on-year growth rate. So, feeling confident right now based on end of Q4 order book and Q1 order book, that pure organic momentum as well as our integrated business with Salesforce is on the right track. And this, of course, does not include any of the BizAnalytics business and talking about our existing Mastek business.

Mohit Jain: Right. Are we expecting slightly slower U.K. because your total backlog number is still similar? And if U.S. is growing fast, should we expect U.K. to remain slow for some time?

Hiral Chandrana: We will still show growth in U.K. and Europe as we go into not just this quarter, but beyond as well. In terms of quarter-on-quarter and year-on-year, our overall design and model for the year is U.K. and Europe will be slightly slower in percentage terms.

But we're working with some very marquee programs, some new initiatives and areas on digital identity kind of the equivalent of Aadhaar card in India, some large programs in the defense, in the hydrographic space. Looking at new avenues in some of the public sector. So, I think we're still sort of in some very critical programs, but just in percentage terms, comparatively, it will be slightly slower.

Mohit Jain: Right. And last is for Arun sir, what will be the margin impact for FY '24, like we spoke about partly it is done, I assume the increment part is partly done and partly pending. So how should we see it for FY24?

Arun Agarwal: So Mohit, in terms of the operating EBITDA, the increments definitely as we are planning to look into in Q2 for the rest of the organization. How we are seeing there could be immediate impact. Again, there are operating levers, which we are working on back of it to neutralize the impact of increments.

And we believe if any impact happens, that's more transitory in the quarters, where the hike is happening. From Q3, Q4 we will come back to the range where we are operating, which we have already said 17% to 19%, we feel very comfortable about.

Mohit Jain: And this includes acquisition impact as well. You said MST increments are already done, is that correct?

Arun Agarwal: Yes. That's what I said. It is done effective April. So that portion of impact is already in the P&L.

Moderator: Thank you. The next question is from the line of Ravi Menon from Macquarie Group. Please go ahead.

Ravi Menon: Hiral, just a question on the Healthcare and Life Sciences. You were talking about how you won the BCBS contract, and that's been ramping up well. So surprised to see Healthcare and Life Sciences has declined. I think you mentioned that NHS had some challenges. So is it from that? And when would you expect NHS to bottom out?

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Hiral Chandrana: I think, Ravi, I wish I could have said confidently that NHS has bottomed out, but the reality is that we continue to see some uncertainty and challenges out there. We were expecting certain

programs that could potentially ramp up sometime during the fiscal year. The couple of the close deal losses that I mentioned one of them was actually in NHS. But having said that, there are three new wins that we've had in the Healthcare space in Americas. Some of them are just like recent wins. So obviously, it's not reflecting in the revenue, you should start seeing that in Q2 and beyond.

And even in Middle East, we've won a couple of deals in the provider and Health care space. So all in all, that sector is still a bullish sector for us. The only challenge is some of that has been offset by NHS. But I think sometime during the course of the year, we will see a bottom and start picking up even at NHS. What we're doing out there is working with a significant number of Arm's Length Bodies and multiple other divisions and units, including Social Care and ICSSs & CSUs, which are not part of the core NHS, but are still getting significant funding. And the election in U.K., which will come up in the next 12 to 14 months is primarily being fought on Health care and some amount of economy, but all the market intelligence, the customer intelligence we have is that there is still spend out there. And we are sort of making sure that we are still working very closely with some of our supporters and stakeholders so that we can capitalize on the investments we've made in the past and start growing back out there again. But you're right, the NHS is really what has challenged us in terms of Health care, but our Health care momentum in U.S. and Middle East is strong.

Ravi Menon: I was a bit confused by your comment that you have fewer working days in the U.K. I mean I thought that seasonally after a Jan to March quarter with a fewer working days in Feb, this is a seasonally better quarter. So could you just explain that one?

Arun Agarwal: Yes. So typically, this is what happens, since we have U.K. exposure. What is happening, is a lot of T&M engagement, which we have get impacted because of Easter and other holidays, which comes in Q1. So again, it's not global leap holiday pattern is very specific to the U.K. market.

Moderator: Thank you. Next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: So I think we had kind of a flat revenue. So I just wanted to expect what kind of revenue growth do we expect for the full year? And maybe because of our increments. So overall, our margin range will be in 17% to 19%, right? So that were my questions.

Hiral Chandrana: Yes. So Arun, why don't you address the margin, and I'll come back to the revenue.

Arun Agarwal: Yes. To the point, as I mentioned to Mohit in the quarters of increment, we might see some blips, but coming Q3, Q4, we'll come back to 17% to 19% range. And that's the plan for the full year as well.

Hiral Chandrana: And Darshil, I just wanted to address the first question. The revenue growth and both quarter-on-quarter, year-on-year growth that we see from Q2 and for the rest of the year is strong. Like Mastek Limited

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I said, we want to be aiming for industry-leading and bettering that. I know that there is a kind of muted forecast at the industry level. There are companies that have shown de-growth, there are companies that are forecasting lower numbers. But we feel that we are well positioned given some amount of uniqueness and some amount of focused activities in specific markets. As an example, our Financial Services exposure is minimal, as you know. And we believe that while that could benefit in certain different times, but in the current times that limits some

of

the downside, whereas as an example, in Manufacturing, and some of the related industries, we've had some really interesting wins. And these are not just wins, where we are implementing Oracle Cloud or Salesforce Service Cloud, we're talking about strategically working with clients on their supply chain transformation, how they're looking at connected enterprises with IoT and connected devices.

So it's a combination of business process transformation as well as technology-enabled strategic market-driven growth that we're seeing with some of the manufacturing industries. So we are operating in some of these industries like Healthcare in the U.S., Manufacturing, U.K. Public Sector. We've seen a pickup in some non-U.K. Europe deal momentum as well. So we're still optimistic, like I mentioned, in terms of year-on-year growth and quarter-on-quarter growth for Q2 and beyond.

Darshil Jhaveri: Okay. So sir, just if I may, so maybe it's not an exact number, but then we could maybe maintain the growth that we've been doing in the past last couple of years, maybe like not an exact number because this time industry is very volatile, so it's a bit difficult to get the flavor of what it is. So maybe like what we have maintained what you've done in the last 2 years, that could be a benchmark that we have maybe?

Hiral Chandrana: Yes. So Darshil, we shared some of the perspective last time. I mean, while industry might go through some amount of muted view here in the short term, our endeavor and our confidence is

that we will be better than industry growth, and we will beat that by a few percentage points. So that we still maintain, and we still have the deal momentum and customer demand visibility to do that.

Darshil Jhaveri: Okay. That helps me and all the best for the future quarters.

Moderator: Thank you. Next question is from the line of Saurabh Sadhwani from Sahasrar Capital. Please go ahead.

Saurabh Sadhwani: I just wanted some more details on the BizAnalytica acquisition. So some financial details like what is their revenue run rate, annual run rate and what is their margin profile? And what is the consideration that we are paying them? And also about what was the thesis behind acquiring BizAnalytica? Was it for some clients? Was it for a geographical expansion? Or was it for a capability expansion?

Hiral Chandrana: Sure. So Saurabh, there's two -three different questions there. So let me try to break that up. I mean, this is a good opportunity to maybe we welcome BizAnalytica team because our teams have been working with them in the last few months as we were doing due diligence and detailed discussions. In fact, we've started working with our mutual NDAs in one account or Mastek Limited

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actually two accounts. But just a tremendous job done by Arun, who is here with me, CFO. Raman, our Chief Growth Officer, Vimal our Legal, and their entire teams all together to really collaborate with the BizAnalytica team to strategically drive this process. And we are where we are. So that's point number one.

Second point is in terms of thesis, in terms of just the rationale, there are multiple elements. If you look at what's happening in the data cloud space. What happened in the infrastructure space and what happened in the application space in the last 15 -20 years is really what's happening in the data space. And more and more customers in stead of operating in siloed pieces .

If you look 10 -15 years back when analytics became a big theme, one of the challenges customers had is just getting their data into the cloud and data in one place and the quality of data, etc. And so things have evolved, companies like Snowflake, companies like Data bricks and even some of the large platform players like AWS have invested significantly in the data space, because they believe that's a foundational capability that will be

required, not just for

analytics but like I said, to generate more use cases in the GenAI space.

So this acquisition is definitely -- one part of it is definitely about capability. And giving us extremely differentiated assets in not just modernizing the data landscape and estate, but also accelerating the enterprise journey to the cloud of their data assets. But also given the presence that BizAnalytica has in the U.S., in the eastern part of U.S. with some very strategic clients in the Health care sector, in the Asset Management and Wealth Management sector and in some retail accounts. And these are Fortune 1000 in some cases, Fortune 500 and in a couple of cases, Fortune 100 accounts, which we will get additional access to. So it's in line with our enterprise focus, account mining focus, where we take a broader Mastek proposition. So now if you tie everything together, we have a heritage in digital engineering , we have a strong capability in Oracle Cloud at the enterprise level with ERP, HCM supply chain, we now have the CX portion with Salesforce in the customer front office. And now with the data and the elements of integration, there is a whole story that we can stitch together, where we can start competing in a much larger investment areas. So it complements our capabilities. It complements our U.S. focus and geography focus with account mining, and it also sets a strong foundation for us to tap into a very high potential area on AI, automation, analytics in the future.

And I shared, I think earlier that the last 12 months run rate is USD 16 million. So we believe it's accretive to our revenue multiple for Mastek. So in terms of overall valuation we are very pleased , it's an attractive acquisition for us from that perspective as well with strong demand in this space and high potential, when we look at the combined synergies of our business.

Saurabh Sadhwani: Sure. And also, I just wanted to understand about BizAnalytica a little more. So can you give us an example of one of the case studies, one of their projects that they have done. Is it more on the data engineering side? Or is it more into the analytics?

Hiral Chandrana: Yes. So , I would say it's a combination, but the heavier focus is on the data engineering, the data modernization and moving data to the cloud, right . So typically, what customers go

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through is they look at a strategy of how they want to move some of their data across their value chain, multiple business processes, multiple divisions into one centralized – it could be Snowflake or it could be Data bricks and then start looking at how they can leverage that data to automate certain business processes to get more solutions and use cases developed. How they can serve their customers better, meaning our customers' customers better. So the value of driving informed decisions and insights for our enterprise is huge. And in the past, that's always been the endeavor. But now with large data sets and with large language models, the processing speed and time is reduced significantly. So for one of their customers, Optum, which is part of UnitedHealth, they're doing this type of work, where they're using and moving data to the cloud and making sure that they can set up Optum for their modernization journey. But there are other examples in the Retail space, where they're also doing some data science and analytics work for a couple of customers in the Northeast, Wealth Management and Capital Market space. There is some combination of data engineering and data science. So it's a little bit of a mix of the varied elements. And it also depends in some cases, where customers are in the journey and where do we take them from point A to point B. So hopefully, that provides some flavor, Saurabh.

Moderator: Thank you. Next question is from the line of Dipesh Mehta from Emkay Global. Please go

ahead.

Dipesh Mehta: A couple of questions. First of all, I just want to understand margin profile of the acquired entity, if you can give some sense about what is the margin profile? And whether any nonlinearity in that business with revenue still if you see any scope for margin expansion?

Hiral Chandrana: So Arun, why don't you answer the first margin and I can add on the revenue.

Arun Agarwal: So Dipesh, if you see the growth profile they have gone through, they have invested significantly with the size of the organization they are in, which led to them operating at a single digit of operating EBITDA. But as we see them together with Mastek, we see them operating at early teens. How their earnout has been structured is that they make money if they deliver amount of growth, which we have kind of put as their target and they deliver Mastek level profitability. So we have then both the combination on as we combine with Mastek, they start delivering in double digit. And as they progress and grow the business, they start operating at the Mastek level.

Hiral Chandrana: And there's a couple of interesting things about nonlinearity, and I'm glad you brought that up Dipesh. Because nonlinearity has been a theme for us over the last 6 to 9 months. We communicated in the last quarter couple of wins that we had in the Warehouse 360 space, as an example, we have another solution in the Enterprise Workforce Scheduler space. But this is a great example where they have a solution and an IP, particularly in the context of managed services. And this is a slightly different dimension of managed services compared to your typical traditional on-premise managed services. So this is data-specific managed services, which is also monetizing that data. So there is some nonlinearity potentially we see there.

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There is also opportunity for value creation, like Arun mentioned, where expanding the offshore presence, they do have a Chennai operations, but there's more room to move work and to deliver work from offshore as we scale that business. And as we look at the combined business together, we see more opportunities to do joint bids and solutions, not just in data projects, but in managed services as well for our existing accounts. The same applies to selling Mastek services to BizAnalytics accounts as well. So yes, we see multiple avenues for nonlinearity as well as value creation.

Dipesh Mehta: And two more questions. First is about what could be the client concentration in the business of the acquired entity? And second thing is about what would be the amortization charges you expect on Mastek P&L? So what kind of hit you expect because of the transaction?

Hiral Chandrana: So Arun, why don't you take the second one and then I'll do the first.

Arun Agarwal: Yes. So from the amortization perspective, again, this is the acquisition which is done, we have to go through all the valuation, which is, again, done by the registered valuer team and all.

Again, typically, you would have seen any PPA and all it comes to 2% to 3% of the acquisition price. So again, let's perform. We have to go through all this cycle, and we'll be able to give much more detail, once we report September numbers because a lot of T & Cs has to be done, transition has to be closed, then the valuation will happen and we get to know exactly how the valuation will work for their customer relationship, customer contracts and etc. So allow me 90 days to come back with better visibility into that amortization number.

Hiral Chandrana: And Dipesh, just to answer your first point. The client concentration, like I said, it's a company that has a rhythm of much more deeper engagement and account mining compared to just

opening new logos and hunting, right? So that's point number one.
Second point is they have an interesting approach of base ca

mp, where once they land into a particular account, they've had tremendous success in scaling to multiple areas within that account. So the quality of accounts and relationships and the concentration is not a huge number of accounts, but they do have a reasonable spread in terms of Financial Services, Healthcare, Technology and Retail. Those are the four industries primarily with a couple of accounts in each of them, which are very strong and then a decent pipeline of a few more accounts in each of those industries.

They also have some solutions that are built for Asset and Wealth Management and developing another one for the Health care sector as well.

Moderator: Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: So my first question is on the Government business. So we have seen acceleration in terms of the Government spends by the U.K. in the last two quarters, but that is not being reflected in terms of our order book. As you mentioned that we had some losses, is it we have lost some of the contracts? Or is it like our win rate is coming down there? Or we are seeing increased competition in the U.K. government space. So how do you see it? And also if you can comment on the U.K. private business, which is more Financial Services, Retail there in the
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U.K. So after an initial uptick in the last quarter, we are seeing some softness there. So because we have said that we have invested there in that part of the business, what is the update there?

Hiral Chandana: Yes. So a couple of points, right, Amit. One is the U.K. public sector delivered some reasonable growth in the last quarter, which is reflected obviously in our Q4 results, where we had a very handsome growth quarter-on-quarter and year-on-year as well. Like we said earlier, the number of working days in the U.K., which is really specific to the U.K. for this quarter in Q1 did impact revenue.

Having said that, the couple of losses that I was talking about where we were at close second were not in our existing accounts and not in our existing business that we are running. These were in net new opportunities that we were pursuing. And so that's the second part. The third is that, again, if you look at legal immigration, digital identity, police protection, looking at strategic areas of spend, even including down the road on the health side. We believe we're in the right areas. But yes, absolutely, the competition has gotten much more aggressive and this is not necessarily a U.K. public sector specific comment, but there's definitely going to be much more aggressive pricing pressure on some of the deals, particularly the cost optimization type of deals.

And so we've taken some lessons out of this. Our pipeline in that geography is still very strong. So we still feel quite confident. Like I said, reasonable win about an 8 million win in GBP terms last week, which is quite significant in the U.K. public sector. So we think that the pipeline and the deal momentum is there. It's a matter of converting a couple of them and continuing to deliver. Our credibility with clients out there is very strong. And we feel that we can tap into the spend that you're referring to in the coming quarters.

So that's as far as the U.K. public sector. The private sector, we tweaked our approach a little bit in the last one or two quarters. As we were seeing in our own existing accounts, a couple of Financial Services, a couple of Retail accounts. There were new CIOs, there were new relationships that we had to build.

And so we're sort of taking on a more mining approach even in the private sector, so that we can scale some of our existing accounts and take those case studies to open up new logos. We were focused a little bit on the hunting side with mixed results to be frank, but we're getting a

lot more traction and success, just in the last two-three months. I was in U.K. last month, meeting a couple of new CIOs in the private sector, same with the public sector.

And with the trust that they have in us and some of our delivery in some cases, we've been there 8 years, 10 years, 20 years, is strong. So it's up to us now how we leverage as they go through their transformation journey, including cost savings and how to fund transformation. We're up there with them working together. So in the short term, we believe it's a little bit more of a mining story in the U.K. private sector. And then we plan to take that to open up new logos tapping into the Fintech and Financial Services potential that exists in the geography.

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Amit Chandra: Okay. And sir, on the U.S. business, you mentioned that we'll see good growth in the second half. But if you can comment on how has MST been performing as of now because Arun mentioned some of the order wins that we had in the U.S., it was led by MST. And also, if you can quantify what was the impact on margins from the wage hike that we did for MST? And also in terms of Oracle CX business that was under stress. So what is the update on that, is this stress over? Or are we still seeing some drag there?

Hiral Chandrana: Yes. So there's 3 questions on that, Amit. Let me quickly answer the first and the third, and then I'll give to Arun on the second. So Oracle commerce and CX specifically, the third point, we commented on this last couple of quarters as well.

Oracle has deprioritized that space 6-9 months back. And so obviously, we had an impact over the last 9 months because of that, the team has done a fantastic job in neutralizing some of that, moving that business to managed services, looking at Salesforce commerce, looking at Magento, looking at Mac h alliances, headless commerce in different areas.

So we're still in that space, but it is not about Oracle commerce anymore, right, because Oracle themselves are deprioritizing that. But we don't sort of expect any impact because of that anymore, right, because where the implementations are going on that is either done or moved to managed services, and we're not expecting any significant new wins, although we did have one win in the recent times. So it's not like customers have completely shut down, but significantly lowered compared to the past.

As far as the Salesforce and looking at some of the broader business. Actually, if you look at some of our win announcements, the good news is that we have seen order book and growth across all the three different areas; Salesforce, Oracle Cloud and Digital Engineering in the Americas. And so that kind of well-rounded. For example, we replaced one of the top 3 Indian-based SI in one of the West Coast accounts in a very strategic data warehousing in BI deals. And we're running a few workshops out there. As this is a retail customer, which has been an existing customer for ours in the last couple of years, where we see a potential large deal in the making.

The Salesforce business has delivered good order book. They had muted revenue in Q1, but we expect that to pick up in Q2 and have a good full year FY '24. Our Oracle business in Americas had some delays in terms of wins and the project. But macro level discretionary spend and even though there's some slowdown there from a customer perspective, we are still seeing new projects and new implementations, where there's a transformation involved and there's a model, where we're able to save the customer money and the total cost of ownership level and still able to transform their business processes are getting funded.

It's taking longer. But the couple of wins that we had in the Oracle Cloud space, which we've included in the deck have been USD 5 million type of win. So from that perspective, it was a well-rounded

kind of order book quarter. Of course, we have to execute and continue to ramp up and maintain that momentum going forward.

Arun, if you want to take the second one?

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Arun Agarwal: Very quickly, Amit, again, it's a combination, but broadly it was in the range of 0.5%, 0.6% impact to the overall EBITDA of the company.

Moderator: Thank you. Next question is from the line of Hussain from Ambit Asset Management. Please go ahead.

Hussain: So my question is more on the inorganic side, so I wanted to understand what would be our near-term strategy or plan in this area? Because over the last 1 year, we've made two good acquisitions in terms of MST and now BizAnalytics. So would we first focus on consolidating these before venturing into further M&A? And a continuation to that, would you say that we are more or less, we do have the capabilities now to reach the target, which we set for ourselves over for the latter half of the decade. So wanted to get sense on that.

Hiral Chandrana: It's a two-pronged answer, Hussain. There is definitely in line with our thesis in line with our strategic priorities, which then aligns with our M&A thesis, we had talked about CX, we talked about data. And so yes, you're right, those two acquisitions we have made. Our approach has always been sort of USD 10 million to USD 30 million type of companies, right? So we're looking at some very specific segments in the U.S. market. And we don't plan any other near-term acquisitions.

We believe that we have rounded off the capabilities that is required in the immediate future. Having said that, our 3 to 4-year type of model definitely had total of 4 or 5 acquisitions,

which we would continue to pursue over that time frame. We're not going to rush into it. We're going to do our due diligence. And as we see opportunities, and it could go beyond the U.S. , it might be in the U.K. as well. We will make some of the strategic bets. But as it stands right now, we feel comfortable this fiscal year in terms of where we are with the M&A strategy.

Hussain: Got it. And one last question was with regards to our cash position, I think, INR 220 crores and approximately INR 130 crores – INR140 crores will go in this acquisition, so that will leave us on a thin gross cash balance. So how are you looking at that as the year progresses?

Arun Agarwal: So from the cash perspective as being an IT service company, we believe the cash generation quarter -by-quarter is continued to be healthy. The gross cash of INR 220 crores is good sufficient plus, as I mentioned, the cash generation quarter -by-quarter will keep adding on it. We believe it is sufficient to manage the working capital requirement and also to take care of the loan repayment . So we feel quite comfortable with the situation of the cash as we speak.

Moderator: Thank you. Next question is from the line of Ja y Jain from Finnovate Financial Services . Please go ahead.

Jay Jain: So my question is related to the Middle East geography. The Middle East revenue has grown 34% sequentially and 67% year -on-year. So what is the reason for this growth? And what could be the growth t rajectory going forward in this geography?

Hiral Chandrana: So Jay, we made this comment and provide d some guidance last two calls as well. When we had looked at Europe as a market in the first half of FY '23, which is last fiscal year, we saw with the Ukr aine situation and the war, a clear slowdown. And at the same time, because of

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Russia and other aspects, we saw a lot of funding going into both UAE and Middle East as a whole with Riyadh and Saudi.

And we had strategically moved some of our f ocus in inves tment from Europe, I'm talking about the non -U.K. Europe into the Middle East and Australia geography because we were seeing demand in that . So

it was a strategic decision. We realize that there are margin

challenges and tough customer environment, but we were seeing some really good demand.

Now having said that, it is not a geography that we are necessarily banking on in terms of year -on-year growth in terms of volume for the foreseeable 3 – 4 years' timeframe, if you look at the horizon. But we believe th at it provides us a good healthy diversification. And last two quarters, we had actually reduced our number of accounts in the previous two quarters and strategically looked at even account mining even in the Middle East.

So the net -net is that when you look at it full year level, the growth trajectory in the Middle East when I say Middle East, I'm including parts of APAC and Australia as well, which we call the AMEA region. We see that growing at a faster than Mastek average along the lines of kind of U. S. business as a whole for the full year basis.

But it probably will have some blips in terms of quarter -on-quarter because there's a little bit of a unique rhythm out there. And we sort of have anticipated that in terms of balancing that during the variou s quarters in the year. But it's an important and a significant part of our business, and we plan to improve margins in that business so that we can have better quality accounts and growth even in that geography as we look forward.

Moderator: Thank you. Next question is from Sudip Dugar , an individual investor. Please go ahead.

Sudip Dugar : Sir, I have one question regarding the U.S. business. Now with the deals coming on board, and we're seeing revenue coming in the books from the next quarter onwards. So how should we see the margins in the U.S. business?

Arun Agarwal: Yes. So Sudi p, as you said, as the growth comes, the investment, which has gone into the geography, any growth will help us keep improving margin quarter -by-quarter because the scale will g ive us the advantages we are looking for.

Hiral Chandrana: And just maybe to add , the nature of the deals and the nature of the accounts, even in U.S ., we are being a little bit more selective in terms of quality of accounts as well that we had a long tail of accounts even in the U.S. There were accounts with just USD 200K, USD 500K type of revenue with no potential to go beyond USD 1 million.

And where we have projects which are ending, and we don't see those customers as strategic with medium or long -term potential, we're not necessarily dragging or continuing there. We're actually sort of repurposing some of that focus into higher spend areas , larger accounts, larger deals, and our account mining strategy out there has shown good lead indicators in terms of order booking. So that will reflect in our growth out there. But I think as we deliver on a stronger revenue plan, like Arun said, the margins will improve in th e geography as well .

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Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Hiral Chandrana: All right. So the questions and the interaction is always enjoyable and we kind of learn from it as well, the quality of the questions and the insights and some of the discussions are useful to us as well. So I appreciate the trust, the interest and the support for Mastek. We're on a journey where the market is volatile, the times are still uncertain. But like I mentioned, the strategy and the investments that we have made in the last few quarters is in the right direction, and we are very confident that it is paying off in terms of how we want to win in the right spaces, in the right areas with the right quality business.

And while there are some mixed kind of performances based on the geography and based on the quarterly results, as a whole we are very optimistic about the prospects and the customer feedback in terms of where they want us to operate in some very strategic a

reas. So there's an

opportunity for us to scale up, particularly in some of our largest existing accounts.

Having said that, there's definitely a tighter budget cycles that customers are going through, multiple levels of approval. Competition is aggressive, but we have the right team in place. We have the right coverage now compared to what we had about a year or so back. And as we look forward, the completeness of our portfolio, the stronger relationships in the U.K. public sector, the critical programs in the government that we operate in, plus the momentum in both Americas and Middle East is giving us confidence of being able to deliver stronger and industry-leading growth.

So with that, we, again, are super excited about the data cloud space and BizAnalytics as a company and as a combined business now with the Mastek family offers another dimension for potentially growing in areas beyond, where we were present in some cases. As companies look at this 3 to 5 year horizon, of where the spend is going to go, in particularly in the data space, I think the prospects are very encouraging.

So once again, thanks for all the participation and questions. And we appreciate all the trust of all the analysts and investors in Mastek. Thank you.

Moderator: Thank you very much. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines, thank you.

Call: Oct 2023

Mastek Limited

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SEC/88/2023- 24 October 26, 2023

Listing Department

BSE Limited

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Dalal Street, Fort,

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SCRIP CODE: 523704 Listing Department

The National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

SYMBOL: MASTEK

ISIN: INE759A01021

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call for the quarter & six months period ended on September 30, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Letter No. SEC/78/2023- 24 dated October 10, 2023, please find enclosed herewith the Transcript of the earnings conference call on the financial performance for the quarter and six months period ended September on 30, 2023, conducted after the meeting of Board of Directors held on October 19, 2023, for your information and records. The Transcript of the conference call can also be accessed from the website of the Company at

<https://www.mastek.com/investor-financial-information/>

Thanking you,

Yours faithfully,

For Mastek Limited Dinesh Kalani

Vice President – Group Company Secretary

Encl: A/A

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“Mastek Limited

Q2 FY '24 Earnings Conference Call ”

October 19, 2023

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE
OFFICER – MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER –
MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of Mastek Limited. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y Investor Relations. Thank you, and over to you, ma'am.

Asha Gupta: Thank you, Michelle. Good day to all of you. Welcome to the Q2 FY '24 Earnings Call of Mastek. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com. To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Mr. Hiral Chandrana, CEO; and Mr. Arun Agarwal, CFO. Hiral will start the call with a business update, which will be followed by Arun, providing financial update for the quarter. Post that, we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risk and uncertainties are included but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Mr. Hiral Chandrana. Over to you, Hiral.

Hiral Chandrana: Thank you, Asha. Good evening, everybody. Hope everyone is doing well. I will start off with the financials and highlights, talk about some of the business updates, briefly spend a few minutes on our progress in the data cloud business and Generative AI and give some glimpse of how we are seeing the second half of the year.

Our revenue growth was up 13.5% year-on-year. This amounted to about 18.6% in U.S. dollar terms and was greater than 22% in INR terms. 13.5% was year-on-year constant currency. Quarter-on-quarter, revenue growth was 4.4%, again on constant currency. We've transparently provided the acquisition-related revenue, which was from BizAnalytica, that is USD 2.5 million for the quarter. This essentially translates to our U.S. business growing 5% quarter-on-quarter on an organic basis. So that 5% quarter-on-quarter constant currency on an organic basis was without BizAnalytica. We are pleased with this progress as we believe this is a pivot of how our U.S. business will grow going forward.

Our 12-month order backlog has been strong and continues to grow year-on-year, again, roughly about 13.4% year-on-year on a constant currency basis, with much higher numbers in INR and USD terms.

Given the growth and the opportunities that we are seeing ahead, we have completed wage increases and salary increments in the quarter. This did hit our EBITDA margins for the quarter, and we'll talk about that a little bit more and how we are planning to offset that in the coming quarters.

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A little bit about the market and the business. We had some fairly strong recognition from TechMarketView, which is a leading analyst in U.K. tracking the central government, where Mastek was recognized as one of the suppliers on the rise. In fact, we talked about cabinet office having GBP 600 million of technical debt, which signals the resiliency in that sector in terms of legacy modernization and cloud spend that is going to happen in the future. We are well positioned in that sector.

We won a marquee deal, which we briefly touched on, which was in final stages last time we spoke.

That announcement has now been made as of yesterday, where this is essentially a front door for all the government accounts and services, about 300-plus of them, where we've created a One Login program and supporting that for multiple millions of users.

While decision delays still continue in terms of deals, we have seen strong pipeline and growth momentum in terms of our order book. And we are pleased to inform you that our efforts in getting market recognition is paying off. Everest Group, one of the leading analysts in the U.S. recognized Mastek as one of the top five Oracle Cloud Applications provider. This is a marquee milestone for us. The only other four providers, they were Accenture, Deloitte, Cognizant and Infosys, and Mastek was in that top 5, a very critical milestone in many ways for us because this was after scrutiny and various months of diligence by Everest Group of 40-plus system integrators.

We did attend and participate in Oracle CloudWorld and Dreamforce, which were two significant conferences that happened in September. This is helping us generate more mind share with the channel as well as looking at how we can grow those respective businesses.

We had some interesting wins. One of them in Middle East was a healthcare company, a platform company where we are going to implement Oracle Cloud and transform their business decision-making processes and financial planning processes. In one of the large investment firms in the U.S., we're consolidating all their data into the cloud so that they can take more informed decisions for not just their equities but other portfolio assets as well.

We've been talking about account mining as a key strategic focus. That continues to progress. So, one of the healthcare companies, one of the Blue Cross Blue Shields in the U.S, we had

informed last time about the progress that we are making to take that to a USD 10 million -plus account, we are happy to inform that we are likely to end the year for that particular account with USD 15 million run rate for FY '24.

As we look at the customer deal momentum, it's important to make sure that we deliver well. So, there is a significant number of customer go-lives and engagements that we have delivered in the quarter, which continue to help with building credibility in not just our core digital engineering areas but also Oracle Cloud, Salesforce and now with data cloud. BizAnalytica, while it is still early stages two months into the quarter, we have started to see some synergies and joint deals, and pipeline is building up where Mastek and data business of Mastek is going together to multiple accounts in the U.S. and even in the U.K. geography.

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Our operating metrics have improved. Quarter-on-quarter, our utilization has improved we are now at 82.5%. In fact, if we exclude leaves, that number is at 84.1%. Pipeline is still strong, and cash flows have improved. Great job done by the team, all across functions, operating teams as well as our delivery teams to ensure that we continue our operating rhythm going forward. We had informed that in the case of Generative AI, we are taking a three-pronged approach. One is looking at very specific customer use cases across a few different processes and verticals. Second is partnering with our platform partners such as Salesforce, Snowflake, Oracle and Microsoft. And the third is our own internal digitization order to cash as well as various functions in terms of how we develop applications and deliver projects. Across those tracks, we have a go-to-market positioning that we plan to amplify in the coming weeks and quarters as we look at not just creating solutions but also transforming and delivering solutions, which further gets amplified with our data cloud investments as more and more companies move their data to the cloud, which becomes a foundation for setting

some of the

large language models that are required for Generative AI use cases.

Our nonlinear platform efforts are starting to pay off. We informed last quarter that we have won a couple of deals in the Enterprise Workforce Scheduler platform as well as on Warehouse 360. We also got an award recently in U.K. for that platform, the Enterprise Workforce Scheduler platform. It was an innovation award for the thought leadership that we are displaying there.

As we look at the second half of the year, we believe that account mining will continue to be a critical focus area as well as converting some of the deals that we have in the pipeline. Our order book in U.K. geography has been strong, and we believe that some really marquee deals where we are well positioned for the second half of the year in that geography, mainly driven by the central government and public sector business.

Margins is a big focus area. We are running a series of cost optimization initiatives, and Arun will talk about a few of those. At an overall portfolio level, we have started getting much more careful about what business that we are taking, particularly in the Middle East, to make sure that we are taking higher-margin business and larger accounts where we can make a difference. All in all, our U.S. business has demonstrated good organic quarter-on-quarter growth. Our U.K. geography has demonstrated strong order booking. And as we look at our combined value proposition, we're feeling strongly about the portfolio that we now have across the value chain to make a bigger difference, both in terms of mining existing accounts as well as looking at larger deals in the future.

With that, I'll turn it over to Arun, and we'll be happy to answer Q&A later. Thank you.

Arun Agarwal: Thanks, Hiral. Good day, everyone. While the deck has been circulated in advance, I will focus on the key highlights for the quarter.

During the quarter, we completed the acquisition of BizAnalytica as Hiral alluded to, and it was consummated effective August 2023. Revenue for the quarter was INR 766 crores, up 5.6% quarter-on-quarter and 22.4% year-on-year. In constant currency terms, it reflects quarter-on-

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quarter growth of 4.4% and year-on-year growth of 13.5%, respectively. Since we consummated BizAnalytica into our numbers, organic quarter-on-quarter growth reflects 2.7% growth in INR terms.

We added 29 clients during the quarter across our verticals and geographies. Order booking in U.K. has improved significantly, as Hiral mentioned. While delay and right shifting in decision-making continues, we have seen consistent improvement in our order booking, and the same is reflected in our 12-months order backlog, which has grown by 5.6% quarter-on-quarter and

22.3% year -on-year in INR terms.

Our operating EBITDA stood at 16.1%, a reduction of 140 bps quarter -on-quarter. The reason we see a reduction in the current quarter is primarily because we have done the wage hike across the organization effective August this year. So, there is two months of impact, which is approximately 130 to 140 bps in quarter. And also, as we stated earlier, the low -margin profile of BizAnalytica as we consummate them and gradually will improve the margin profile, but in quarter, the 30 to 40 bps dilution, which has happened because of BizAnalytica, which will come into company profile next year, as we highlighted in the last quarter call.

We are consistently working with our operating levers, whether it's grade mix, pyramid. Looking into subcontractors' conversion into employees, our utilization has been consistently improving. We feel confident those operating levers will continue to bring our EBITDA profile back in the coming quarters.

Our PAT stood at INR 65.3 crores versus INR 73.5 crores in last quarter. We have done significant cash collection in the current

quarter. Our DSOs have come down. Consequently, our gross cash stood at INR 312 crores versus INR 220 crores in the previous quarter. During the quarter, we have transferred dividends and repaid one installment of loan as per the repayment schedule, which led to INR 312 crores of gross cash at the end of September.

Our borrowings stood at INR 477 crores as of 30th September. As we mentioned in the last quarter, we have borrowed USD 16.7 million during the quarter for BizAnalytica acquisition, and the balance was paid from internal cash accruals.

Our headcount stood at 5,598 at the end of the quarter, which reflects marginal increase quarter -on-quarter as our utilization is improving out there, but we welcome BizAnalytica colleagues into Mastek family during the quarter, and net increase is marginal, as I mentioned.

Let me thank all of you for your continued trust in Mastek and I'm transferring back to the moderator, and we can take your questions. Thank you.

Moderator: Thank you very much, sir. We'll take the first question from the line of Jayalaxmi Gupta from Anand Rathi Shares and Stock Brokers Limited.

Mohit Jain: This is Mohit. First question was on U.K. So the growth appears to be a little slower. Now order backlog has already improved. So should we expect U.K. momentum to also come back? Or do you think it will be like between U.S. and U.K. depending on which quarter we look at?

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Hiral Chandrana: Yes. So Mohit, it's a good point. We've had the regions fire, but it has been in different quarters.

I think if we have all the regions fire at the same quarter, we'll really have an amazing profile of growth. But having said that, the order booking in U.K. has been strong, like I said. Now as we look at Q3, which is the new current quarter, there is a furlough and December time frame, which does impact seasonally our U.K. business because of the holidays. But as we look into Q4, because of the strong order booking and the deal momentum that we have, we believe that U.K. will continue to grow in Q4 as well.

Mohit Jain: Okay and second, U.S., as you alluded in your opening remarks, now is it on a steady path based on the deals that you have signed? Or do you think it may take a few quarters before you have that confidence on U.S. growth sustainable?

Hiral Chandrana: Yes. So as I mentioned, our confidence in U.S. is getting stronger by the quarter. It has taken us a couple of quarters longer than we originally anticipated and expected. But given the organic growth of 5% quarter -on-quarter that we've delivered, we believe it sets a strong foundation for us. We've crossed USD 100 million run rate as a combined U.S. business for the first time in Mastek after many years.

And so we believe from here on, there should be more positive momentum. We're trying to up our profile in that geography, as you know, to look at larger clients and the larger deals, so that does come with some risks of longer cycles. But having said that, we feel confident that we have a seat in the table for some of these, and we should be seeing continued growth again in the U.S. as well.

Mohit Jain: Right, sir. And one for Arun, sir, like margin, there was a drop. Now U.S. is also picking up. So to that extent, the impression I got was that we will have stayed big on the margin front. So once now that wage hikes are done, how should we look at steady -state margins for Mastek as a whole?

Arun Agarwal: So Mohit, as you rightly pointed out, wage hike is done, again there will be quarter -on-quarter, two months versus three months impact, but we have multiple operating levers which we are working upon, including, as you rightly said, the growth profile of U.S. will further help us in terms of the EBITDA profile. There should be consistent improvement and we should come back to our 17% to 19% range, which we always said we would.

nt to operate within. So we believe that can be done in the coming quarters.

Mohit Jain: Sir, the question was like, will that range change a little bit now that U.S. is doing well or is looking to do well. So, could it be like you will be closer to upper end than say, 17% when we were investing in the U.S. region?

Arun Agarwal: Let us get into 17% to 19% range first, Mohit, and definitely, our endeavor will be to further up it and keep it more closer to 19%. But let us first come back to that range.

Mohit Jain: All the best. Good quarter.

Moderator: We'll take the next question from the line of Ravi Menon from Macquarie.

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Ravi Menon: Congrats on a good quarter. First question is on BizAnalytica. I think if I heard right, you're talking about USD 2.5 million contribution. I thought that looking at the run rate when we acquired it, we were expecting it to be more like USD 1.8 million. So has the acquisition done much better than expected?

Hiral Chandrana: Ravi, thanks for the question. The BizAnalytica business is two months, is what we've counted because we completed the acquisition effective August, and that is the USD 2.5 million that we have recorded. I mean, obviously, it's going to be slightly higher in Q3 given that it will be full three months of revenue. But it is in line with what we had reported because it was in the range of about USD 14 million, USD 15 million annualized number is what our expectation was, Ravi. So at least as far as Q2 is concerned, with the two months, it's in line. We definitely see more potential to grow that business, but it's in line with what we had reported.

Ravi Menon: You've done a couple of acquisitions so far. Everything has been on the services side. Do you think that there are any white spaces in your service portfolio? Or you think you are now comfortable that this is good enough to face the market in the U.S.?

Hiral Chandrana: We definitely have filled out a lot of the gaps like you rightly pointed out, Ravi. The Salesforce business gave us a lot of the customer front office journey with sales, service, marketing cloud. We have a strong Oracle Cloud business with the back office. We need to do more in taking some of our digital engineering capabilities in the U.S. that is still untapped. As Mastek, we do a lot of work in that space in the U.K. and now with the data business. Probably one area which has been part of our overall thesis where we're not completely tapping into is the hyperscaler kind of market with Azure and AWS.

And while we do some work in that space, but it is really not significant enough. But we feel comfortable about the components of our portfolio. If I were to call out one area, that would be it.

Ravi Menon: And the U.S., such strong growth. I mean could you give us a little bit of sense of which verticals are what's been in? Is it still developing, the healthcare, life sciences side?

Hiral Chandrana: Healthcare has definitely picked up, both in terms of pipeline and order book as well as in terms of revenue, I mentioned about one of the Blue Cross Blue Shield accounts that has definitely given us stronger confidence that potentially we have a story that we can take to 10, 15, 20 other Blues. There is still continued spend in the healthcare market in the U.S., we're just scratching the surface. 17.8% to 17.9% of U.S. GDP is impacted with healthcare spend and there are many healthcare providers that are evolving with the consolidation that we see. So healthcare definitely contributed.

There are some interesting deals like we won a reasonable size deal with one of the hospitality companies in the U.S. to look at their customer experience in their airports. So manufacturing/retail are the other two verticals that we're operating.

One area which has not kicked off as much in the U.S. is our state and local government.

We

anticipated that, that would play a key role, so behind there. But going forward, we have gotten into a couple of states where we have a license to sell now. So that could also start growing in

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the coming quarters. But yes, in that order, I would say healthcare and manufacturing have done well.

Moderator: We'll take the next question from the line of NGN Puranik from Enam Holdings.

Ngn Puranik: Hiral, you've made an interesting observation about the technical debt the U.K. cabinet carries, USD 600 million kind of opportunity. How do you analyze the content of this technical debt in terms of various systems and applications sitting there? And are you getting ready with solutioning to seize those opportunities?

Hiral Chandrana: Yes. Puranik, it's an excellent question. In fact, there was a much more detailed report that was

published in this area, where certain departments are actually projecting that they will have two sort of cycles of spend, which is essentially four years plus four years, eight years where they will have to continue to invest to get out of that technical debt, partly because of maybe historically, they have not invested in some of those legacy landscapes.

So the way we're looking at this is in three buckets. One is that many of these departments, and we have now looking at U.K. public sector from a policy lens. There are these departments, but we are also looking at which policies that we can play. So that is one dimension because that gives us some way to narrow down and prioritize where we put our focus on.

The second is the technology and the skills needed. So this is based on the framework that we are participating in. In the last couple of quarters, we announced we got into a couple of new frameworks like the DSP, the digital specialist framework, the data and analytics framework. So that gives us another indication of where the potential spend will happen. These are large frameworks, multibillion frameworks. So there are many other vendors, but we have a seat at the table to get a share out there.

And the third is the cloud journey is still in its infancy in many of these departments. So while they will continue to move their applications and infrastructure and data to the cloud, with some of our partnerships that we have with Salesforce and now Snowflake, there is an opportunity to take a look at that spend as well.

So those would be the three areas that we are looking at. One is at a policy level because there's a lot of legacy and technical debt. It essentially means that's the spend that they need to have to get out of it. Second is some of the frameworks which gives us an idea of the skills. And third is the technology, and the partnership.

Ngn Puranik: And is the standard legacy modernization is large opportunity or customized legacy modernization, which is unique to Mastek is a bigger opportunity?

Hiral Chandrana: I mean I would not say it's unique to Mastek. I mean these are modernization programs.

Ngn Puranik: If you are deep understanding of the government perspective.

Hiral Chandrana: Yes. As you probably know, there are not that many Indian IT services high-rated firms that play a significant role, so Mastek is one of them. And so we do have that advantage of knowing the Mastek Limited

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sector for the last 20-25 years, knowing that the route and the roadmap, these departments have, how they will spend the buying behavior. We also have a lot of security-cleared resources and experience.

So that does put us at an advantage. But the nature of the work is not necessarily unique. We have an upper hand because of our presence out there and because of our expertise that we've had in the last couple of decades.

It's a combination of our engineering, application engineering and development work, which is making

many systems like, for example, in the past, we've done a lot of work in borders, immigration, asylum services. So now there are new programs and new departments, like customs, this One Login program that we won recently, the environment and development.

Ngn Puranik: What you are talking about that deal looks very interesting. And is it very hugely referenceable deal in terms of seeking opportunity elsewhere in other markets? Because that looks interesting deal.

Hiral Chandrana: Yes. So you brought up a good point. That particular deal is definitely something that we can potentially replicate in the playbook to take it to not just other departments in U.K. but even other geographies potentially.

Ngn Puranik: And the technical debt can give you a lot more USD 10 million deals to follow?

Hiral Chandrana: Yes. We definitely are seeing more pipeline, which have larger deals. But at the same time, we are being selective in these where we have a really good shot at competing and winning, because there are multiple deals that will come to the table. We want to make sure that we're leveraging our sweet spot as well as our relationships and picking the policies and the framework where we believe there's a better shot at winning. So we may not go after all those, but yes, some of them will definitely be USD 10 million, USD 20 million-plus deals.

Moderator: We'll take the next question from the line of Darshil from Crown Capital. Please go ahead.

Darshil: I think we've spoken about margins that we feel that it will go back to the trajectory that we had. But where do we see our growth with the new deal wins? And how does the environment look like and can the growth now become in an accelerated manner? Or what are we seeing in terms of environment and growth, maybe not this specific year, but maybe 2025. Any color on that you could give?

Hiral Chandrana: As you know, the broader macro uncertainty continues to persist. There is still a lot of wait and watch that some of our customers are evaluating and scrutinizing. But what we've seen in the last couple of quarters is that they are eventually making decisions. The delays are there, but

they are making decisions.

And so the cycles have definitely turned out to be longer because of the approval process and the scrutiny. I would say that for us and for a company like Mastek, the micros are also much more important. While there are some macro elements that come into play for sure whether it's inflation, interest rates, geopolitical, et cetera. But then as we look at our specialist areas and our

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specific geographies and specific accounts, even in some cases, that's where we are focused on to make sure that we can get more out of account mining. Even in our hunting, new logos are being selective in terms of which logos to go after.

So I would say it's a combination of the macro and micro that we are looking at, and we are cautiously optimistic at this stage because we do have pipeline and demand. But we do appreciate the broader uncertainty that will continue to persist. So we are seeing a reasonably good growth potential in our major markets. It may not be at the same levels as from the past. But I think we've set a good foundation with some of the investments that we've made.

Our new CHRO has just joined us. So our leadership team is complete. We had one other leadership position, which was open, which was the healthcare account in U.K. So we've hired a new leader for that. So we feel the foundation in terms of portfolio, in terms of leadership, and our order book backlog is steady going into the next few quarters.

Darshil : So, sir, I'm sorry, but by reasonably good, could we have a range of growth that could be expected or any broad range could also maybe work like maybe around 15% is a good assumption? Or how would you quantify that? Any range

is fine if you could help us with that.

Hiral Chandrana: Sure. We never provided guidance, but we have guided that we will always aim for a few percentage points better than the industry. Now I realize that the industry has provided much more muted guidance, particularly with the larger players. But with our size of business, we definitely want to aim for double-digits of year-on-year growth. And that's what we would want to continue doing for in the coming quarters.

Darshil : So that's great to hear, sir. And with regards to order book, what would be the average time duration for completing an order?

Hiral Chandrana: That's a tough one. We just opened a new logo in the U.S. It's a USD 7 billion organization. It's not a very big deal, but that, start to finish, order book was in three weeks. There have been instances where we've had a few deals that has taken seven months. So I would say there is a spectrum of anywhere from a month to seven months depending on the complexity of the decision-making and the size of the deal.

So average would be obviously somewhere in the middle, but it really varies from customer to customer, deal to deal. And I think that, that kind of general delay in decisions will persist for the next one or two quarters, at least.

Darshil : Okay. Sir, just last questions, if I may. In terms of the risk, as we are cautiously optimistic, we are maybe at near to start of a good growth journey or how do we see it in terms of any risk that you personally see in terms of environment? And with regards to BizAnalytica, what will be the timeline that you will start directly come to the margin that Mastek makes?

Hiral Chandrana: Arun, why don't you take the second question first on BizAnalytica and then I'll take the first one.

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Arun Agarwal: Sure. Darshil, as our plan is this year, they will come back to a double-digit margin by the end of the year. And next year, they will come closer to the Mastek margin profile. That's the target.

Hiral Chandrana: Yes. And, I guess in terms of just overall risks as it relates to the growth, interestingly the next 12 months in both our major geographies, U.K. as well as U.S. are election years, Darshil, as you know.

And there's always certain nuances as it relates to policies, as it relates to spend, healthcare, economy that comes with these elections. It has no direct impact, in some cases, indirect impact to us because of the slowness and the cautiousness of some industries. So I would say that in the near term, in the next three to four quarters, that would be one kind of thing weighing in our mind.

The second, of course, there's geopolitical elements, as you know, that are continuing to happen at the macro level, but we don't see any major kind of impact because of that because our presence in Europe, which is the non-U.K. Europe, is not that significant. Of course, we have a presence in the Middle East, but we don't see any near-term impact.

And then as an opportunity, which is always a risk, but as an opportunity, customers are continuing to look at cost consolidation as well as now evaluating how Generative AI is going to play a role in their future. So we see that as a potential opportunity for us to look at, maybe even looking at upsetting some of the incumbents, some of the larger incumbents. But that's too early to tell. We are definitely investing in some specific vertical areas. But in general, cost consolidation, some customers are starting their own global capability centers, GCCs, in India. So there is that element of it. But keeping that aside, we feel strong about at least our current view and visibility on both demand and pipeline as it relates to U.S. and U.K., which is where we're focused on.

Moderator: We'll take the next question from the line of Amit Chandra from HDFC Securities.

Amit Chandra: So my first question

is on the healthcare vertical. So obviously, we have seen healthy growth there, which was led by U.S. and also the acquisition impact. But if you can highlight what's happening in the NHS? Is there stability there or some recovery there in the NHS part of the business? And when we can expect acceleration in the NHS?

Hiral Chandrana: Yes. So Amit, the couple of quarters back, I think we had updated that we do see sort of a bottoming out, in that account, and we're being conservative as it relates to growth in NHS for FY '24 because by design, and we sort of got hit by it over the last few quarters.

Having said that, there are two or three deals that we have in the pipeline. Some of the decisions on those deals have actually taken longer to my earlier commentary that, seems to be a general sort of trend in terms of time it's taking for some of these decisions. But we are playing a role still in some of those deals. And these are some newer opportunities as they're looking at their API integration. They're looking at their CRM for the patient portals. So there's some interesting newer areas including secondary care and arm's length bodies, which kind of are downstream elements of NHS.

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So we believe that as we look at FY '25, NHS is still a significant spend area. We have gotten a new leader for that, as I mentioned earlier. And so we don't see any major kind of incremental growth in Q3 or Q4. But we do see some deals and potential order book that might set the stage for a stronger FY '25 on NHS.

Amit Chandra: Okay. And sir, on the overall U.K. government, obviously, it has been an overall driver for growth for us. So how things are shaping up there? Obviously, we have gained some good deals. So are we seeing higher industry or higher than the company level growth in the U.K. government? Or it will be in line to what we have been doing for the company?

And also in the U.S., now we are at USD 100 million kind of run rate and we have shown good organic growth bump up in the quarter. So based on the deals that we have, how sustainable you see this growth to be? And earlier, we had a target of reaching around USD 200 million in the U.S. geography, both organic and inorganic. So how that thing holds up.

Hiral Chandrana: Yes. So Amit, there's two or three questions there. Let me try to kind of break that up. Let's start with the U.K. because it obviously continues to be a strategic part of our business, particularly U.K. public sector, and the secure government services within that, which is a key part of our portfolio.

I mentioned earlier on some of the frameworks and the policies, we are expanding that purview a little bit. We are currently present in borders, immigration, customs, defense, and of course, we're working with the higher education and state and local councils as well.

So as we look at the next two to three years even, we have created a game plan of looking at a few different departments beyond the areas that we are already present in, and running campaigns and some of this has been going on for the last few quarters of how we can look at getting market share or entering into newer programs in those departments. I mentioned Environment, Food & Rural Affairs is one area. We got into the cabinet office with this digital services, One Login program. So these are some examples. There's police protection, which is another area of a policy.

So slowly but surely, we are expanding our purview of how we look at the secure government services. So the short version of that answer is that, yes, we continue to see opportunity in the U.K. secure government services.

As far as U.S. momentum and growth, like I mentioned, we feel strong about the portfolio that we now have. There's still work to do. I mean we're not going to sit on this in terms of the USD 100 million run rate. There is much

more opportunity. We're still a small player in the grand

scheme of things. Healthcare, just as one vertical, is a huge opportunity.

We have interlocked very closely with particularly Oracle and Salesforce in the U.S. as it relates

to healthcare to identify joint go-to-market and opportunity. And we believe that healthcare itself as a single vertical in the U.S. can become USD 100 million vertical, in the next three to four years.

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So as we look at the next two to three years, I think the selective bets that we are making both in U.K. as well as in U.S. Now we do have a reasonable and sizable business in AMEA and Middle East as well. So that will continue to steadily grow as well as very selectively, we will be looking at opportunities in the Europe geography, depending on the countries that we want to play with.

So all in all, the inorganic play that we have made in the last 12 to 14 months will start to pay off in more joint synergy deals, much more account mining. I gave a couple of examples earlier. It is starting to show into greater than one million accounts. You would have noticed that our Fortune 1000 clients have gone up.

The number of clients where we're doing greater than one million run rate has gone up. We will start eventually showing you how much three million, five million, 10 million accounts that we have, and that will start to truly reflect the strength of our account mining. So that's kind of the direction that we're moving in.

Amit Chandra: Okay. And sir, in the U.S. geography, what kind of margins we are targeting, because the margins are suppressed there because of the investments. So with the growth coming back, can we expect it to come to company average? Or what kind of margin profile you're looking at? And also, on the overall margin for the company that we had this quarter, we had impact of wage hike and the integration impact. Apart from that, were there any other one-off costs related to acquisition in the margin impact?

Arun Agarwal: So, in terms of additional impact, yes, there is onetime acquisition cost, which always comes in the quarter of integration. That is included in the current profile of the margin. And in terms of U.S. margin profile, as it starts growing 5% plus kind of quarter-on-quarter and whatever growth we can deliver down the road, the margin will continue to improve.

Our first target is to make it double digit in the geography. And then gradually, as the growth continues, we will aim to bring it closer to the company average. But I think immediate target is how can we bring it to the double digit.

Hiral Chandrana: And Amit, our kind of expectation is that the faster growth given the current size that we are, we're comfortable with 2% to 3% difference maybe, but we want to be closer to company average in steady state in the next two to three quarters. But we will have at least a couple of percentage points delta as far as U.S. margins are concerned. And the same holds good for our Middle East region as well.

Amit Chandra: Okay. So Arun, can you please quantify the additional impact that we had from the acquisition in terms of the cost and also the amortization impact like the incremental?

Arun Agarwal: So roughly and that is there in the disclosures, INR 4 crore is the amount which we have incurred onetime, and it is quantified separately under the exceptional line, which is all one time on these accounting requirements, which you have to follow. So that amount is captured separately, and that will not be there next quarter for sure. So the PAT will not get impacted next quarter for the same item.

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And purchase price and other amortization will continue as has happened this quarter because it's amortized over next couple of years. And then that has been given if all the amortization

on was

not there, which is again no amortization for PPA and unwinding of interest, profitability in terms of PAT would have been much better. But again, those are accounting rules and regulation. So we need to ensure those amortization happens into the P&L.

Moderator: Thank you. We'll take the next question from the line of Jalaj from Svan Investments.

Jalaj: I wanted to understand what is the next payment due for Evosys and what is the timeline for it?

Arun Agarwal: Evosys, last tranche of CCPS buyout will happen between quarter three and quarter four, mostly between December and January. Again, the numbers are getting finalized. All this valuation and things are happening. But give or take, it would be in the range of INR 120 crores to INR 130 crores. Roughly 67% will be paid in cash, and one third will be in form of Mastek stock what we have done similar thing in the last two years as well. That was a part of the agreement. And as I said, that will be done between December and January.

Jalaj: Okay and could you give us a margin walk for the drop in the EBIT margins quarter-on-quarter?

Arun Agarwal: As I mentioned, roughly 130 to 140 bps is the in -quarter impact for wage hike s, and roughly 30 to 40 bps is the impact because of the consummation of BizAnalytica business, which is at the lower margin, offset by a couple of operating levers that we mentioned others that are helping us to compensate partially in the quarter.

Jalaj : Okay and could you talk about attrition because we see that at least from a peer standpoint right now, their attritions have reached to a 14% - 15% level. We still stand at 19% - 20%. So any aspiration there? Or how do we see about it?

Hiral Chandrana: Our overall business mix is heavily weighted towards digital engineering, digital experience, cloud transformation, implementation, complex programs , and projects, and the reason I'm giving that context again is that the skills are definitely much more niche as well as specialized in some cases.

So that is clearly talent that is much more in demand. And that's one of the reasons why we want to make sure we do the right thing for our employees who have contributed to the growth and make sure that they are rewarded. So the salary increments, even though some of our peers might have deferred it, we wanted to make sure that, that salary increment was completed.

Now having said that, we'll continue to see a gradual reduction in attrition. But given the profile of the skills and the areas that we operate in, it's typically going to be a little bit higher in general compared to the market.

Jalaj : And could you talk a little about the subcontract cost because there's no discussion about it in the disclosures as of now, quarterly.

Arun Agarwal: Subcontract or cost, again, we have a combination of our U.K. public sector business where there are certain requirements for operating in public sector onshore, and certain skills are available

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in the subcontractor market. So we have a little bit unique situation than the competition.

However, still subcontractor as a percentage of revenue continues to be on the higher side, and we see as a potential to continuously improve the margin .

So that will continue to be a lever. And as and when we get the opportunity and there is a team which work separately to convert subcontractors to employees, not only with the help of converting them as the same person but also in terms of hiring the other person replacing the talent. So that kind of endeavor continues as our operating levers in general.

Jalaj : Okay. And a quick last one. Could you talk about in the deal wins or the order book, what stands as a proportion from U.S. right now?

Arun Agarwal: We don't give exact breakup, but there is a consistent improvement in the backlog in the U.S., and that is what is reflected into

our revenue growth.

Jalaj : So should I be assuming that it is different from what is the revenue mix as of now? It is more towards U.S. as of now. Should it be a right assumption that way?

Hiral Chandrana: So just maybe overall, our order book is dependent on some large deals and some deals which are closing in any given quarter . So on an average, we look at this in the last two or three quarters because some of this buildup of the last two, three quarters of order book is really what's going to reflect in the revenue growth for the next two, three quarters.

So in that sense, we've had, on an average, steady growth, both in U.K. and in U.S. In any given quarter in this particular quarter that we just completed in Q2, U.K. order book was much better and really gives us confidence. In Q1, we had a much stronger order book in U.S., but it typically kind of balances out when you look at H1 in terms of proportionate to revenue.

Moderator: Ladies and gentlemen, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Hiral Chandrana: Thank you. So just to summarize, we wanted to take this opportunity again to thank all our employees, our Mastekers, our customers as well as our investor shareholders and analysts who have continued to provide guidance and trust in Mastek.

As you can see, we've demonstrated steady and decent revenue growth and strong order book momentum, which gives us confidence going into H2. We have work to do. The environment is still uncertain, like I mentioned, but given the progress that we have made in the last many quarters in setting a strong foundation across service lines, across capabilities, across new solutions combined with our new capabilities through the acquisition gives us a confidence that we have a much better value proposition in mining our existing accounts as well as going after some of the large deals.

The U.K. public sector is resilient for us. The U.S. has turned around, and we see a good pivot going into the next few quarters. And the key will be to execute on some of the operating levers and efficiencies, which we will continue to do so that we get our operating EBITDA and margins at levels which we were at in Q1.

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Having said that, there is a pretty big market opportunity that is evolving in Generative AI. We've continued to invest and refine our strategy. And you will hear in the coming quarters more about it, but we have started winning deals as well as training our people and building very specific capabilities around a few solutions. So we see that as an interesting disruptive area that, combined with our BizAnalytics and data cloud business, gives us a stronger value proposition as customers move from proof-of-concept pilots into much more larger use cases across the enterprise.

Once again, thank you, everyone, for joining the call. Great questions, and thank you for all the support.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Mastek Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2024

Mastek Limited

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SEC/130/2023- 24 January 25, 2024

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call for the quarter and nine- month period ended December 31, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine -month period ended December 31, 2023, conducted after the meeting of Board of Directors held on January 18, 2024, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at

<https://www.mastek.com/investor -financial -information/>

Thanking you,

Yours faithfully,

For Mastek Limited Dinesh Kalani

Vice President – Group Company Secretary

Encl: A/A

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"Mastek Limited

Q3 FY '24 Earnings Conference Call "

January 18, 2024

4:00PM to 5:00PM IST

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE OFFICER – MASTEK LIMITED

MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER – MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

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Moderator : Ladies and gentlemen, good day, and welcome to Mastek Limited Q3 FY '24 Earning Conference Call. As a reminder , all the participant s' lines will be in listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Ms. Asha Gupta from E&Y Investor Relations. Thank you, and over to you.

Asha Gupta: Thank you, Muskan. Good afternoon to all of you. Welcome to the Q3 FY '24 Earnings Call of Mastek Limited. The Results and Presentation have already been mailed to you and you can also view them on the website at www.mastek.com. To take us through the results today and to answer your questions, we have the top Management of Mastek represented by Mr. Hiral Chandrana, CEO and Mr. Arun Agarwal, CFO. Hiral will start the call with the Business Update and which will be followed by Mr. Arun providing the Financial Update for the quarter. As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as a forward-looking statement must be viewed in conjunction with the risk and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Hiral Chandrana. Over to you, Hiral.

Hiral Chandrana: Thank you, Asha. Good evening, everybody and Happy New Year to all of you. I will cover three topics – a financial recap, update on our business strategy and strategic priority and view of as we look forward how we are well positioned to sustain the success ahead.

On the financials, we reported 17.4% year-on-year growth on revenue terms in US dollars and our EBITDA expanded to 17%. Our order book backlog year-on-year grew 21.2%. We are very happy with the deal momentum as well as the orders that have been booked in Q3, and we see continued demand as we look at the future quarters.

Our operating cash flow as well as our business metrics on utilization improved as well as we have declared a dividend of 140%, INR 7 a share. Biz Analytica has been completely integrated now as part of Mastek family and we are very happy with the momentum that we see in the data automation and AI space.

As far as the overall business is concerned, I am going to break it up into a couple of parts and talk about some of the client wins as well: As we have been communicating for the past many quarters, our UK public sector business continues to be very resilient. We are not only working and expanding our footprint in the existing departments where we are very strong, which includes immigration, asylums, biometrics, but also starting to expand into newer areas and

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policies. We announced a large deal win last time at the Cabinet office. Pleased to inform you that that has been delivered in the first milestone and we continue to do more with the Cabinet office. As it relates to other departments in the UK public sector, our team is doing a fantastic job in running very targeted campaigns with new policy areas and frameworks and we feel that in spite of various changes in the UK geography as such, we believe the areas that we are working in will continue to be resilient going forward.

Our US business continues to operate in a steady fashion. A lot of foundational work that has been done in the last few quarters is starting to pay off both in terms of demand as well as in terms of types of deals. We closed a large global deal in a 5

billion manufacturing company. It's

a truly transformational approach to looking at end-to-end processes from order to cash, procure to pay, record to report. And our global teams came together in Europe and UK and in North America to deliver that win. The Home Office where we do some significant work on immigration is starting to look beyond and we are strategically working with many departments to see how we can align to the ministerial priorities of 2024 in creating more efficiencies and reducing their backlog.

We have had some very interesting wins in the Middle East, and this goes beyond Oracle Cloud as well. We are getting opportunities in ServiceNow, in Microsoft. Happy to report that AWS is another growing partnership. We were recognized by AWS as a top three upcoming partner. The TechMarketView, which publishes transparently the progress identified Mastek in UK as 'one of the suppliers on the rise'. And our healthcare momentum in the US continues to be very strong both in terms of pipelines as well as the type of wins. We have won a new logo in a Fortune 500 company. We have also made some progress in some subsectors of financial services and believe that there is more to come there.

As we look at the data automation and AI space, now with the amplified capabilities of BizAnalytica and data cloud data modernization, we are starting to see some very strategic plays in Snowflake, Databricks, but more importantly, looking at the customers' entire data landscape and many of the wins that we have had in the last few months included looking at unifying their data platform and making sure that they are getting ready for the Gen AI and AI use case.

We are also working with many of our top 30 clients in not just identifying some of those AI use cases, but also showing them a roadmap in some cases partnering of how we can deliver that roadmap.

As we look at our utilization and operating levers, Arun will cover in more detail our financials, but we are happy to expand our operating margin and continue to focus on making sure that we

are repurposing so that we can invest in future emerging areas.

Our confidence level in the US and UK in our strategic priority areas, particularly the public sector in the UK, as well as healthcare in US continues to be very strong. We have also gotten Mastek Limited
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much more razor -sharp focus in areas that we do not want to play in. And as a result of that, we have started to exit certain geographies like Malaysia, Singapore, and India business that has resulted in a little bit of attrition spike, but we believe that will stabilize and keep going down in the future quarters.

Let me shift to the market going forward and how we see FY '25. While we don't provide any guidance and financials, we continue to believe that top three priorities in the company, which is our government and secure government business in UK, our healthcare business globally, and the types of wins that we are having in the healthcare business, plus the data and AI space will continue to be the top three areas that we will focus on.

Having said that, we have made a shift in the last 18 months on how we think about account mining, as well as how we look at our strategic clients. And while we have more work to do in that area, we have started to see some excellent progress on pockets of clients, which have moved from USD 1 million to USD 5 million, USD 5 million to USD 10 million. In many cases, we are building a pipeline of more 1 million accounts so that those accounts can become the future USD 5 million, USD 10 million accounts. And many of them are large brand names, in some cases, Fortune 500, Fortune 1000 clients. So, we believe that now with the enhanced portfolio of services, which is Salesforce in our front office, Oracle Cloud in our back office, some of the digital engineering work

that Mastek has always been good at, plus the amplified data capabilities give us a much broader right to win in our chosen markets and verticals.

Having said that, we recognized that there are client decision delays, there are certain macro uncertainties, but our confidence level on the pipeline and our order book backlog is strong. And we believe that the areas that we are focused on in terms of our strategic priorities will continue to grow. There is a shift that is happening in the buying behavior of our clients as well, in terms of value-based delivery, in terms of smaller projects in some cases, very quick wins, much more agile delivery, even in large transformation programs. And we believe that plays to our advantage.

Happy to answer more questions as we get into Q&A. And with that, I will turn it over to Arun.

Arun Agarwal: Thanks, Hiral. A very warm welcome to everyone on the Call. Wishing you a very Happy New Year.

We have circulated the Presentation in advance. So, I will be focusing more on the financial and the operating levers representing our performance for the quarter.

We reported revenue of INR 784 crores for the quarter. It's up 2.4% quarter -on-quarter in INR terms and 19.1% year -on-year. This performance is after taking impact of furloughs, which has happened across the geographies and quite traditional quarterly challenge, which all of us face and the performance is despite that challenge. In constant currency terms, it reflects growth of 2.7% quarter -on-quarter and 13.4% year-on-year. As Hiral mentioned, we have completed

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integration of BizAnalytica during the quarter and this quarter represents the full quarter revenue of BizAnalytica, which was USD 4.3 million. On the organic basis, our quarter -on-quarter growth represents 0.7% in constant currency terms.

We added 27 new customers during the quarter as our hunting engine continues to add and expand the customer base across our US, UK and some of the Middle Eastern market. As Hiral mentioned, it's a consistent order booking, which we are seeing across our geographies, including US, UK and Middle East and our 12 -month order backlog for the quarter stands at USD 248 million, reflecting a growth of 11% quarter -on-quarter and 21% year-on-year.

Our operating EBITDA moved up to 17% during the quarter and improvement of 90 bps quarter -on-quarter. This EBITDA expansion has been led by operating levers improvement, including utilization and other levers, including your grade mix, etc.

I am really glad to inform you that our US profit has moved up significantly, which further supported the overall operating EBITDA at 17% for the quarter. Our utilization has moved to 85.4%, 130 bps improvement quarter -on-quarter. This utilization is excluding leave to represent the actual utilization of the headcount as they join Mastek. Our profit after tax has improved to INR 77.7 crores for the quarter. It is up by 19% for the quarter and 15.8% year-on-year.

Our collection continues to be robust. We are improving our DSO quarter by quarter, reflecting a strong gross cash addition to INR 404 crores for 31st December 2023. Our borrowing stood at

INR 464 crores at the end of December, and we are having debt net of cash at INR 60 crores at the end of 31st December.

Our closing headcount was 5,518 at the end of the quarter, representing net reduction of 80 headcount. As we continue to improve our utilization and as we are adding more and more customers, we will be looking to increase this headcount in the coming quarters.

Let me thank all of you again for your patience and continued trust in Mastek. Going back to the moderator to open the house for Q&A. Thank you, everyone.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ravi Menon from Macquarie.

Ravi Menon: Please go ahead.

Ravi Menon: I was just asking about organic growth in the US. It looks like that is more than 2% quarter-on-quarter. Is that correct?

Hiral Chandrana: Yes. That is absolutely correct.

Ravi Menon: And secondly, it looks like you described the cross-sell and the strong order win this quarter. It looks like there is already a lot of traction building in the US. Could you talk a bit about how many services we are cross-selling on average? Do you have any measure of that across the Mastek Limited

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accounts currently, any examples of BizAnalytica clients where you managed to already cross-sell some of Mastek's services?

Hiral Chandrana: Yes, that's a great question, Ravi. And as I mentioned towards the end, we have been running a disciplined account mining focused initiative for the last 15 to 18 months. While part of it is obviously cross-sell where we measure the service line penetration, we have four kinds of plus one service line and we start looking at even sub-practices within each service line. So, the proactive proposal as well as how we shape some of the conversations, within our top 30 accounts, we have now more than one service line in about 15 to 16 of them. And in some cases we now have three service lines operating in some of the accounts. So, that's one dimension. But then beyond just the service line penetration, we have also revamped some of our account managers and client managers, client partners, also looking at how delivery can contribute to account mining plus getting ready to understand the customer, be more intelligent about the landscape, their spending areas, their new initiatives so that we elevate our position in newer spends and newer strategic areas as well. So, that's for the top 30 accounts we have been very, very rigorous.

Having said that, we are also doing some cross-sell in the next 20 to 25 accounts and as far as BizAnalytica is concerned, it's a little bit early, but we are very happy with the deal momentum even in the data space. We were expecting that the first few quarters would be more focused on the US given that the acquisition is mostly based in the US, but we are seeing really a good demand in UK and many clients outside of US as well. That's been really encouraging because data, having the whole data foundation, the modernization journey of moving it to the cloud is a common topic across all clients. So, yes, encouraged with the cross-sell progress, but there is definitely more to do there.

Ravi Menon: You also spoke about some traction with some Fortune 500 clients now. So, are these new wins over the last 12, 24 months, the new logos that you have managed to add?

Hiral Chandrana: We have been much more careful in terms of the new logos, and you would have seen that trend in the last three quarters, maybe four. It is partly to ensure that we don't get into clients which are USD 500 million or sub-billion, right? We are mostly focused on now clients above USD 1 billion, in many cases USD 2 billion, USD 5 billion, USD 10 billion clients. So, the quality of new logos that we are adding is much richer. Obviously, that means that they have higher budgets. There will be more competition in some cases, but in the areas where we have the right to win, where we have differentiation which we do, we feel that that's the best approach.

Having said that, in the Fortune 500 clients I was talking about which is in the US was a new logo. There are a few other logos where we had entered earlier in the year and now we are expanding them through the earlier point that you made on cross-sell.

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Ravi Menon: One last question on the UK, if I may. Any sign of revival, we saw that you announced a new win there with one of the UK Government Departments. So, any sign of an improvement in spending?

Hiral

Hiral Chandrana: We continue to be bullish on overall UK public sector. Again, I am being very specific here because if you look at the government's spending, roughly it stands at about USD 12 billion and

Central government defense and health makes up almost about 75% or more of that spend. And those are the areas that we are playing in. In fact, we are playing in even local government and education, but the areas that we are focused on is really that Central government and defense. And in there, there are some very significant and longer-term policy decisions that will continue to be part of their national critical infrastructure activities. So, for example, we have not entered some of the new areas in departments like the Department of Justice and Police Protection where we started to gain lot more traction. So, in general, we believe while the cycles are longer, just by the nature of the adjudication process and the time it takes, but in terms of our ability to win in that market given our longevity, our security cleared resources and our differentiation because we have been managing some of these systems for 15, 20 years is very high. So, yes, we continue to like that sector and will grow there.

Moderator: The next question is in the line from Mohit Jain from Anand Rat hi. Please go ahead.

Mohit Jain: Sir, congrats on a good quarter, especially on the margin front. One question is on the Health Segment. Now there is some increase which we have seen in this quarter. So, is it on account of the acquired entity integration and more in the US or should we assume that the issues we face in the UK are now behind and this account has started growing for us? So, that's one and second, now that you have alluded to the fact that government spending is high on the IT side, so what kind of growth rate should we really expect from a Mastek's end point say over medium term?

Hiral Chandrana: Let me first cover the healthcare part. So, see in healthcare, it's one of those verticals where we are present globally. And in fact, Middle East and Australia, where we do business, we have had some healthcare wins there as well. But our biggest focus when it comes to healthcare in terms of just the sheer volume and the size of the opportunity is in the US and that is in the payer and provider space. Very specifically in the payer space, we are going after Blue Cross Blue Shield, and we are going after Regional Health Plans. These are companies anywhere between USD 4 billion to USD 10 billion. In the provider space, which is the hospitals and the senior living facilities, we have some good traction because of our Oracle Cloud and our back-office transformation capability. So, now, as we look at that healthcare space and your specific question, most of the growth that you have seen and that you will see even in the coming quarter is due to the US healthcare and the Middle East and Australia healthcare traction.

On the NHS, which has been a specific account where we have had challenges in the past due to reasons even outside of our control, like I communicated in the last quarter, we now believe it has bottomed out. We have in fact renewed one of our key existing engagements with some

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small uptick in business in there, which gives us confidence in staying stable over the coming quarters and years in that area. And now, we have hired a new healthcare leader in the UK who has just been onboarded two months back. There is an outside agency that we have hired. We are actually getting some really good insights. I wish we had done that earlier, frankly. And now we have a complete plan for NHS revival and growth paths where the team is plotting not just one area, but multiple areas beyond the central agency of NHS. There are secondary cares, there are arm-length bodies. And so, we believe that NHS accounts will grow

in FY '25, but I think I

mentioned this last time, we are cautious on that. So, all around healthcare, we feel really kind of bullish about some of the deal momentum and it will grow globally going forward.

Mohit Jain: And second was on the government segment, like if you exclude this the way we report government and education, what kind of growth rates do you expect there?

Hiral Chandrana: Higher education is an interesting sector. It's not obviously a very large spend area, but it has some interesting dynamics that it is going through, and we have had some wins even in this quarter as well as in the last few quarters. So, Nottingham, University of Durham, so we see some momentum out there, but from a prioritization perspective, the secure government services, which is really the central government and defense spend combined is 70% of UK public sector. And so that's where we want to focus on. So, that particular area, which is a very big part of our business, will continue to grow at a company average going forward. There might be other areas that will grow as well, like education, but that may not necessarily be at the same level.

Mohit Jain: On the margin front, now that we have done 17%, is there a possibility that with US profitability coming back, and I think there is more confidence in US growth, that company level margins can move up more towards 19-20% over medium-term?

Arun Agarwal: Mohit, as we have said in the past as well, our endeavor is to operate between 17-19%. So, that will continue to be our effort and that's the direction.

Mohit Jain: But from your standpoint, specifically coming out of the strong quarter, so there is no headwind, so to say, given that wage hikes are behind, US seems to be turning around.

Hiral Chandrana: I think we had pointed out that last quarter was more of an aberration because of wage hike in a couple of other areas. We believe that the 17%+ and 17% to 19% range, we are making some fundamental changes in operating models and efficiency. So, that is definitely going to help.

And like Arun said, we feel comfortable in that range. Obviously, we want to continue to invest in the right areas for the future, but yes, that 17 % to 19 % band is very, very steady and can be consistent going forward.

Mohit Jain: And third quarter has no one -off in margin , right?

Arun Agarwal: No, it's broadly there.

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Mohit Jain: Because in one of the footnotes you have mentioned like I think margins could have been higher. It's the onetime expenses would not be there.

Arun Agarwal: That's predominantly because the way accounting happens, your PP A amortization , unwinding of interest, all those gets reported as part of your depreciation and the interest cost, right? So, what we have highlighted is this acquisition, because of this acquisition, it's not the business profit, right? This accounting cost comes , and your business profit starts seeing in a different way. So, that's what we tried to highlight.

Mohit Jain: Everything is below EBITDA ?

Arun Agarwal: Yes, it's always below EBITDA.

Hiral Chandrana: And Mohit, the BizAnalytics margin profile, as you know, and might recall, was lower than the overall company. The team has done a really good job in making, not just integrating, but just making them part of the family and it has improved margins, getting very close to the overall company average. So, that has helped as well.

Moderator: The next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi: Sir, in the last 9 months, we grew 44% revenue in US which is very much impressive. Secondly, from UK and Europe, we grew 11% only, and our profit rises 3.55 % only. So, from the above table, we conclude US business is growing while UK and Europe are steady and giving less bottom line downward than US? Is

it true?

Hiral Chandrana: I will start and then request Arun to add. See, our UK business is operating at very strong margins already . We have a very differentiated business, particularly in the public sector as you know, and that margin profile is really been consistent and steady.

Having said that, we are starting to participate in some larger deals in larger transactions. So, we are willing to make the right bets and sometimes that might trigger quarter -on-quarter fluctuation. But broadly, it is still in a very healthy range.

Our US margins historically have been on the lower side because of subscale nature of our business and in some cases, a combination of organic and inorganic companies that have come together. But now, last quarter, we crossed kind of a USD 100 million run rate with a quarterly run rate. And now we have a fairly solid integrated business. We hired a new US leader about 10-11 months back and he is doing a good job in bringing multiple entities together as just kind of one Mastek. So, part of it is just that.

But second is, of course, there is a very rigorous qualification process that I was mentioning earlier. So, in some cases, we are actually getting out of accounts which are low margin and making sure that new business that we win is in quality accounts. And a gain, the team has done

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a good job in really implementing some of the operating levers. So, we feel good about the margin improvements in the US. In fact, even the Middle East has improved a little bit and they will continue to improve going forward.

So, all in all, we want to make sure that all geographies are firing, not just on the top line, but on the bottom line as well. But the US will have a slightly different margin profile , but we are very encouraged by the margin curve this quarter.

Ravi Naredi: Secondly, is our revenue backlog growing , but not our margin? So, what step is in our mind to reach back 15% profit after tax margin?

Arun Agarwal: Ravi , as we mentioned, again, it's a combination of both improving your operating profit, which is reflected through operating EBITDA. So, if you notice, we have reported 17% now. And as we mentioned in the earlier comment that we want to operate between 17 % to 19 %.

Unfortunately, what happens because of whenever you make an acquisition, there are accounting related costs, which come into your P&L like PP A or purchase price intangibles, which get amortized, you start getting unwinding of interest from the earnouts.

So, all those notional costs, which are not business and again, it's accounting, I am not saying cost is not there in the P&L. It is more about your accounting related cost, which optically reduces your PAT percentage. So, when you see 9.9% PAT, that would have been far higher had this accounting was not there , right? So, as we start operating and improving our EBITDA, that will get reflected into our profit after tax as well.

Moderator: The next question is from the line of Amit Chandra from HD FC Securities. Please go ahead.

Amit Chandra: My question is on the strong order book that we have shown, and it has been there for the last two quarters. So, if you can provide more color in terms of what kind of deals we are winning and in terms of mix, whether it is more US heavy or we also seeing good part of UK private in this?

Hiral Chandrana: The order book momentum and the orders that we have closed, like you rightly said, backlog, the 12 -month backlog has consistently grown quarter-on-quarter last couple of quarters is actually across the board. So, that's why I am actually more pleased because it's been consistent, but also across all geographies.

One of the deals which I was mentioning earlier that we have reported even in the investor deck, that particular deal as an example, is a USD 10 million deal for a complete Or

acle Cloud

implementation and a business transformation. It's actually a global account, but to be executed in North America. And the time period for that is 18 months . So, that should give an example of that deal.

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Couple of other deals that we announced are in the range of USD 4 million to USD 6 million and some of those have anywhere between 6 to 12 months in terms of timeframe . The public sector deal that we announced is an expansion of the existing work. So, that's a key differentiation . Because our credible delivery and our client intimacy in some of these areas is very strong. And as more enhancements need to be done, as the landscape of the systems that we have built need to be modernized and in many cases, we are now converting the development work and the build work that we do into managed services. So that is also giving us a more annuity, sticky revenue as well.

So, yes, short answer is across all geographies. But the U.S. order book is definitely now steadily growing quarter -on-quarter with net new logos, as well as net new deals, which are larger in size.

Amit Chandra: And sir, on the UK government , so we know that in this quarter, there was a furlough impact.

So, apart from the furlough impact, are we seeing any issues in terms of addition making or any delays in ramp up? Can we also see extended furloughs in the UK government for the next quarter? And apart from that, how do you see your penetration strategy in terms of penetrating into other departments within the UK government?

Hiral Chandrana: So, Amit, first of all, we don't see any extended furloughs. I know that a couple of other companies have announced some extended furloughs, but we don't see a risk of that. Point number two Q3 is obviously a furlough quarter, but we will grow in the sector that I was referring to, which is a good part of our business in UK, which is the secure government, including central government and defense. That sector will continue to grow in Q4 and beyond in F Y '25. And so that's the first part of the answer.

As far as new departments are concerned, we have a very clear strategy of policy over technology. And when we say that we are aligning to the top policy areas in the UK public sector, the areas that we are present in right now, for example, in immigration, in borders, in biometrics, in asylums are already key policy areas. The new policy areas, the government digital service, the GDS Cabinet office win that we announced last quarter is a new area as an example. Now, within that, we are cross -pollinating because that One Login program, like I mentioned last quarter, it's like your Aadhaar card. It cuts across the entire UK government and all departments like HMRC, Home Office , even NHS use that. So, we are starting to see new areas as a result of that. And there are some common themes that are evolving. One common theme is biometrics because the DNA database that we have built applies to multiple departments.

The second is immigration. Now, immigration is a big problem globally, including Europe and U.S. So, we are looking at that in terms of potential replication. And beyond that, there is a campaign that we are running on new departments. Now, these new departments are also aligned to certain policy areas . For example, there is agriculture, food, rural , environment department,

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called DEFRA. There is a Department of Justice. And within that Department of Justice, there are many sub -departments. There is police protection where we have actually hired civil servants. One of the very encouraging signs that we have here, and that's why we are so passionate about this business is that a lot of our ex-customers are actually willing to join Mastek. In fact, many of the civil servants that have joined have

made a big difference because they come with that

domain knowledge. They have worked in that industry. So, yes, that sector is a massive spend area. And you will continue to see good growth going forward.

Amit Chandra: Final question on the margin. So, obviously, the margin performance has been impressive and it's mostly led by recovery in the U.S. margins. So, how do you see the U.S. margins going ahead from here in terms of, still it's below the company average? So, is it fair to assume that we have reached the optimal level or still there is scope for improvement in the US? And at the overall, is it fair to assume that with the margins in the U.S. recovering, we can be in the higher end of the range that we are targeting?

Hiral Chandrana: There are a few different variables in this question and that's why I will maybe take a minute here because it's an important area. Our U.S. business has definitely branched off now into reasonable size. I mean, it's still small in the grand scheme of things and we believe there is so much more potential even in the verticals and the accounts that we are playing in. But having said that, there is a good threshold of USD 100 million that we have crossed and that's now giving us confidence that, hey, we can aim for the next USD 100 million. So, yes, the simple answer is there is definitely more leverage that we will have, and the margin profile will continue to improve.

But I think it's important to understand that we are going to start competing in larger deals. We will start going after some larger accounts. And even within our own accounts, we believe there is a lot more cross-sell room and upsell room in terms of account mining. And some of that might come at margins which are below in the short term. But as long as we are confident that we can drive operational rigor, efficiencies, automation, and making sure that overall profitability is kept at company level, we will go after some of those large deals.

What we sometimes don't talk about enough is our Middle East business. It actually has great deal momentum and order book. Having said that, the margin profile of that geography is typically low. And there also we see visibility on improving the margins of Middle East. In fact, in the Middle East and AMEA as a whole, we sometimes don't go after certain deals. We could grow much faster in that geography if we wanted to. But we are being very careful. So, yes, the combination of Middle East margin improvement and some continued steadiness in margin improvement of U.S. will bring the overall profile to a fairly, maybe in the midpoint of that range that we are talking about, between 17% to 19%. And then there onwards, we will have to make calculated decisions on which accounts we want to invest in, what newer areas. There is a lot that is happening in generative AI. We have not talked about it as much, but we are seeing some

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amazing examples of use cases in various functional areas from customer service, even industry specific AI. We talked about healthcare as a priority. Even within healthcare, the specific areas within the payer and provider segment, in the clinical documentation areas where we see tremendous opportunity. So, we will have to look at where we want to invest going forward and still maintain our margins in that threshold.

Moderator: Thank you. As there are no questions, I would like to hand over the conference to management for closing comments.

Hiral Chandrana: First of all, thank you for all the questions and support, your trust in Mastek. We appreciate the interaction and hopefully you have got a flavor of where we are focused on, where we are prioritizing. It's been a decent quarter, like I said, happy with the orders that we have booked, the order backlog visibility that we have into the future

demand. And even more encouraged that

this momentum is across all our geographies, specifically the UK public sector, the U.S.

healthcare business and healthcare as a whole globally and data and AI as a key service line and horizontal globally as well.

Having said that, we have some very strong business in our Salesforce capabilities, as well as in our Oracle Cloud capabilities that continue to give us great differentiation from front office to back office. And combining that with our new capabilities with BizAnalytics in the data space is definitely giving us end-to-end differentiation in many of our clients.

Having said that, we feel that there is much more to do. And as an organization, we are moving the needle in the right direction as it relates to account mining, like I mentioned earlier. And even when it comes to larger deals, our average deal sizes have improved, our client intimacy has improved. And so I am fairly pleased with the tremendous job that our teams have done.

I want to obviously thank our customers, our partners, but especially our Mastekers and our teams for their commitment towards the organization and our clients and, of course, all the investors and analysts on the call for your continued support. So, with that, thank you and have a great year.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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SEC/ 17/2024- 25 May 6, 2024

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the
Financial Year ended March 31, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the Financial Year ended March 31, 2024, conducted on April 29, 2024, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at
<https://www.mastek.com/investor-financial-information/>

We regret the delay in submission of the transcript due to unavailability of the concerned people . .

Thanking you,

Yours faithfully,

For Mastek Limited Dinesh Kalani

SVP – Group Company Secretary

Encl: A/A

“Mastek Limited

Q4 FY '24 Earnings Conference Call ”

April 29, 2024

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE OFFICER ,
MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER ,
MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

Mastek Limited

April 29, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Mastek Limited Q4 FY '24 Earnings Conference Call . As a reminder, all participants ' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms . Asha Gupta from E &Y, IR. Thank you and over to you, ma'am.

Asha Gupta: Thank you, Manuja . Good evening to all of you. Welcome to the Q4 & Full Year FY'24 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view them on the website at www.mastek.com .

To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Mr. Hiral Chandana – CEO, Mr. Arun Agarwal – CFO. Hiral will start the call with the business update , which will be followed by Arun , providing the financial update for the quarter and year gone by .

As usual, I would like to remind you that anything that is said on this call, that reflects any outlook for the future , or which can be construed as forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Hiral Chandana . Over to you, Hiral.

Hiral Chandana: Thank you, Asha. Good day and good evening, everyone. Thanks for joining the call. I will start with the summary of Q4 & FY '24 financial performance, give you some flavor of how FY'25 is looking , also, touch on the progress that we are making on our strategic priorities. We will then turn it over to Arun for the details on the financials and then we will open it up for Q&A like Asha said.

So, let's start with Q 4. This is our last quarter for the Fiscal Year :

We closed at USD 93.7 million in revenues. This was a disappointing quarter for us from a revenue perspective as well as below our expectation. We had two or three specific client situations that I will talk about in a minute. Our EBITDA was in the 16% range and that also was below our expectation. We held on to the resources that we believe were needed for future growth and hence we took the hit in Q4, but we will talk about that in a minute.

Our order book backlog was a highlight ; we closed at USD 260 million which is our 12 -month s order book backlog, which we track closely , this is a lead indicator that gives us confidence of Mastek Limited

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going forward and this was a record order book for us in the history of Mastek . The 12 -month order book backlog grew 19% year-on-year.

As far as Q4 is concerned , there were three specific client situations that I want to elaborate on a little bit.

Point #1, there is a Financial Services customer on our data business where we ended up with a delay in execution , and we had revenues from that client in Q3, which is the previous quarter , and we are not able to recognize revenues from that particular client in Q4. We have completed our milestone post that , and we will continue with that client going forward , but we could not recognize that revenue in Q4.

Point # 2, there was a large program in our Healthcare customer. We have talked about this customer in the past. It 's now a USD 14 million account for us in the US. We decided to move this particular program from onsite to offshore. This was the right thing to do in the medium to longer term. It established the platform for managed services as well as stickines

s with the

customer. But unfortunately , it did hit our Q4 revenues.

And Point # 3, which was again in the US unfortunately , was, we had alluded to a consolidation of a particular customer , but we were confident of offsetting that. With another ramp up in our Salesforce client and this particular program we had one in December of 2023 , where our resources were ready and ready to start in January itself. Again, because of a dependency of a previous phase which is beyond our control and the delay of that phase , we were not able to start that program , and that hit our Q4 revenues as well.

So, again , some of the pluses and minuses were offset. We had some good quarter execution by our UK and Middle East business. But these three specific client situations, two of them which we will bounce back and recover in Q1 and beyond is what hit the Q4 revenues for us in the quarter . Having said that , we do have a strong order book backlog like I mentioned and have confidence going into FY'25. Our FY'24 as a whole was still pretty healthy ; we grew 15.8% year-on-year and Arun will give some of the numbers in rupee terms because those numbers are a little bit higher, but I am giving you U.S. dollar term. So, USD 368.4 million is where we ended for the full year FY'24 and that was roughly about 15.8% year -on-year on a dollar basis. Because of the Q4 hit, this was still below our expectation. But , as we look at some of our strategic priorities , we are confident that our growth in Healthcare in the US with strong deal momentum, our continued progress in UK public sector, which we will talk about in a little bit more detail , and some deal momentum that we have continued to see in Middle East and Australia is giving us confidence for Q1 in FY'25.

I would like to talk about two or three customer wins which were milestone wins for Q4. We got selected as a key supplier in the Defense Department in UK. This particular framework, called the Digital and Professional Services framework called DIP is a large USD 1.2 billion framework

where you have multiple lots and multiple suppliers. The total number of lots that we bid for
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were six. We got shortlisted and finally selected for two out of those six slots. In one of the lots, we are a prime supplier which means we directly bid for the different deals that get adjudicated, and in the second lot, we are a subcontractor. The primary lot where we are a direct supplier is in the context of solution architecture, technical assurance. Knowledge management and Data and Innovation. The Lot-2 where we are a subcontractor is in the DevOps and Application Support area. This is important because this is a four-year framework where our addressable market between these two lots is roughly about USD 400 million. Within this, there are five suppliers in Lot-1 and eight suppliers in Lot-2. And we believe that we have an opportunity to win multiple deals and the first of which we have won last quarter. This was again in the architecture as a service area, a critical step for future deals in Lot-1. Over the period of the four years, we expect roughly about USD 50 to 60 million worth of revenue coming from this particular framework.

We had a marquee win in the US Healthcare business. And again, this was a five-year USD 17 million win. So, we are getting a seat at the table at larger deals. So some of this is reflected in our order book backlog, which I mentioned earlier. And clients are trusting us on longer-term offshore development center deal. This was one of the first for this Healthcare client who had never done offshoring in the past.

In Middle East and Australia, we also closed some marquee deals across Financial Services, Banks, Healthcare client. One of which we announced publicly which was a cement company which is going through a complete front office to back-office transformation. We

have been

working with this customer for a few months in the areas of the back office. And this particular deal was in the lead to the cash cycle where we have built integrated applications connecting their web and mobile to their back office. With IoT and industry 2.0 initiatives that they've been on, on the supply chain side. We also leveraged our Volteo Edge investment for this deal and established a complete connected enterprise solution story with this customer. Apart from this, there were many wins in the US, in the UK, in Europe and in Middle East, Australia. Like I mentioned, our order books and deal momentum continue to be strong. I want to repeat we are disappointed with the Q4 revenue result, and we will bounce back in Q1.

I want to give a quick flavor on the four key priorities that we have been talking about. I mentioned about the public sector in UK. Beyond the deal that I talked about on the Defense Department, we continue to make good progress across borders and trade, across the immigration initiatives that UK government is driving. There are new initiatives around Police Protection and Department of Justice where we are running campaigns. And we believe that our presence in the UK with security cleared resources and incumbency of having designed, built and maintained some of the critical national infrastructure systems positions us strongly going forward.

Our order book in the US in Q4 and for the whole year was again at a record level. While we are disappointed with the Q4 revenue, the momentum on the deal continues to be strong, and our
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focus on Healthcare, particularly with payers and providers and within payers and providers within the Blue Cross Blue Shield, the Regional Health Plan, the senior living facilities with in the providers and the mid-size hospitals, which are our sweet spot is really paying off. That combined with our capabilities in Salesforce and Oracle Cloud and our industry-specific solutions is helping us differentiate with the customers.

Beyond the UK public sector and Healthcare in the US and Healthcare globally, frankly, where we are seeing really good momentum from a demand and order book perspective, we have data and AI which continues to be a key priority. We will talk about that in a minute when we talk about FY'25. But here again most customers as part of their future AI investments are revamping their data foundation, which really means they have to create a unified data platform, move data to the cloud as needed and modernize their data landscape so they can run some of these large language model and use cases in AI. And that positions us well with our enhanced capabilities in snowflake data bricks and AWS cloud.

We also have been running a key priority on account mining. We have talked about that in the past. It has gone slower than what we expected. Having said that, the identified top 30 accounts globally in Mastek now contribute roughly about 57% of our overall revenue. This is a significant movement. We have made sure that the client partners, the delivery teams, the prioritization on service line alignment and capability focus on these top 30 accounts is unmatched. We were pleased to see much better customer satisfaction inputs and results in the recent CSAT survey that we conducted. And we believe that these 30 accounts will continue to

grow where we have more USD 5 million , more USD 10 million , more, USD 3 million accounts in the past. With the continued focus on these four priorities, which is again public sector in the UK, Healthcare globally , data and AI, as well as account mining , we believe our execution needs to be stronger in Q1 and beyond , and we have taken a few steps in action so that we don 't get into the situation we got in Q4.

With that said, looking forward in FY'25, customer buying behavior and market demand is st

ill

going to be cautiously optimistic where customers are not necessarily stopping their AI or digital initiatives , but they 're working on optimizing their base, repurposing some of the savings to newer prog rams. With that, there is a landscape where most platform companies are embedding AI into their solution. And with that, what you 'll see is that there is a need to orchestrate and integrate many of these solutions, which is a combination of cloud investmen ts, data investments, Edge investments and now AI investment s.

Our positioning as a differentiated business outcomes provides is critical here because customers are looking to break down many of the larger deals into more mid -size, manageable chunks.

They 're also expecting more for not just cost and productivity, which is a given, but also in terms of quality of resources and talent. And we believe our combination of industry expertise, our solution -focus plus the technology and functional depth positions a s well.

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At an overall financial level, while Ar un will cover more details , we are happy with the progress on utilization, which reached again an all -time high beyond 80% during training. We also have improved our cash position in Q4 . We declared a dividend of INR 12 per share. We also continue to focus on operating efficiently so that we could reinvest in our capabilities and in our AI initiatives.

With that said. I will turn it over to Arun and we will be happy to take questions after that. Over to you, Arun.

Arun Agarwal : Thanks , Hiral. Welcome , everyone on the call.

As Hiral has shared quite detailed perspective on the business, the detailed presentation is already shared and circulated with all of you , I will focus upon critical financial matrices representing quarter and the full year and also which will give you certain idea and the lead indicators for FY '25 how we are shaping up the performance for next year.

For this Q4 , we have reported revenue of INR 779.7 crores, which is up 9.9% year -on-year in INR terms . Full year revenue was INR 3,055 crores , up by 19.2% year -on-year in INR terms, but including BizAnalytica acquisition which was consolidated for part of the year. As Hiral alluded to , we had three negative impacts during the quarter, including the Healthcare customer which we moved offshore and the other one. Hence , our quarter -on-quarter revenue was below expectation as it de -grew by 0.6% quarter -on-quarter in INR terms and 1.4% in con stant currency.

On the order book side, we have seen a consistent upward trajectory in the last three quarters and Q4 has been really phenomenal. We have secured the highest ever order book during the quarter both in the US and for the group , leading to st rong order backlog of USD 260 million which is up by 5% quarter -on-quarter and 21% year -on-year in INR terms. We have added 22 customers during the quarter . Our customer acquisition engine continues to be effective across verticals and across geographies . Our operating EBITDA for the quarter was at 16%. It declined 100 b ps quarter -on-quarter. As we mentioned about three impact s in revenue , one of them had cost included , there the delivery challenges have been now completely taken out and the customer is onboarded. We expect the revenue to continue to come in the coming quarters, but the cost was there in the last quarter. So, that revenue decline has slowed down to the margin , impacting our operating EBIT DA. On a full-year basis, our EBITDA growth was 11.6% year -on-year.

Utilization without taking impact of LEAP was 86.5%, which has improved 110 bps quarter -on-quarter. Our profit after tax for the quarter was at INR 94.4 crore s, up 21% quarter -on-quarte r, 30% year -on-year on a quarter basis. During the quarter, we had one -time tax credit in our overseas geography, which led to lower tax costs and also supported profit

after tax for the

quarter. Our collection has been very strong in the last three quarters. Our DSOs are consistently coming down . Quite detailed focus happening across geographies. Consequently, our gross cash

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has increased to INR 473 crores as we closed March '24 versus INR 404 crores which was reported in December 20 23.

Our borrowings now stood at INR 487 crores as of 31st March 2024 and we have a detailed

installment plan agreed with banks as part of loan borrowing and we are meeting all our installments commitment as we have said and will continue to discharge this borrowing in next two to three years as planned .

Our closing headcount was 5,539 at the end of March . Marginal increase by 21 resources versus December quarter . And we continue to onboard both trainees and also lateral hires as we want to deliver growth for the company as a whole. The Company has recommended a dividend of INR 12 which is subject to shareholders approval and post approval it will be distributed to the shareholders.

That was the key highlight. We will take more questions, very specific to ask here. Going back to the moderator to open the house for Q&A.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Mohit Jain from Anand Rath. Please go ahead.

Mohit Jain: Sir, if you could help us understand on that US part ? And second is a follow up like by when do you think we can recover back to our original revenue levels or slightly higher than what we did in the past few quarters ?

Hiral Chandrana: So, Mohit, I think your first question was a little bit more color on the US . Can you just clarify ?

Mohit Jain: Right.

Hiral Chandrana: So, the three specific client situations that I mentioned, one Financial Services customer on our data business, the offshore movement of a Healthcare client and the third customer , all three unfortunately, were in the US . Two out of those three are transitory. So, we expect that to come back in a positive way in Q1 and beyond. One of the clients where we decided to move was the right decision even in retrospect because Healthcare as some of you might have heard, particularly the health plans have been hit by lower reimbursement from the government and many of them are looking at cost savings which was a good calculated move which impacted us in Q4. Having said that , from a US overall perspective , we have four specific broader level strategies that we have talked about in the past, right. One is within US, we have 20 accounts which we have shortlisted. At a global level we have 30 accounts, but within US we have 20 specific accounts. Healthcare which is powered by Oracle Cloud and Salesforce in the front office , that play continues to be very strong. While we don 't report TCV order book , just to give you some flavor, while on a small base , the Healthcare order book in US grew 250% in FY'24. So, it was a marquee year for us , transformational in some sense in terms of our payer and provider focus, which we have been talking about in the last few quarters. In addition to the USD Mastek Limited
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17 million deal that I mentioned, which was a longer -term five -year contract, we also closed a few deals below USD 10 million, one of which was an USD 8 million deal. Again , these are longer -term deals , four-to-five-year deals which we have not seen in the past in the US market , and that's giving us confidence in the long -term trust from our customers. So, large deals , account mining , Healthcare focus, which includes Oracle in the back office and Salesforce in the front office. And last but not least, in our data and digital engineering services , we are starting to see some good momentum of cross -sell. While it is connected with the account mining point , we believe that more can be done here, particularly with our global

capabilities of AWS, our

global capabilities of Microsoft as well as some of the data investments that you know. So, combined together, we believe the US will bounce back in Q1. And from there on, we have fairly ambitious plans for FY'25 and beyond. The team is geared up to deliver . Definitely , a disappointment in Q4 , but as we look forward, our UK engine has fired well, our Middle East and APAC continues to improve margins while driving growth and we believe that US will fire in Q1 in FY'25 in a very strong way. So, we are optimistic , Mohit, on FY'25 as a whole.

Mohit Jain: So, in 1Q we should build in that recovery back with some loss because one client as you mentioned you have cancelled, so we will not be back to that level, but little lower than where we were in Q3 ?

Hiral Chandrana: Yes, I think that 's a fair statement. We will significantly lower what we saw and we should be crossing that in early part of Q2 from a specific US perspective .

Mohit Jain: On UK, it looks like order book is growing very fast and we have also been able to execute well from a quarterly standpoint. So , what is your outlook from a UK growth standpoint for next year, essentially FY'25 given where our order book is?

Hiral Chandrana: Our order book actually like I mentioned was overall record levels. We crossed a milestone quarter for US order book. Our UK order book as a whole was definitely better in FY '24 compared to FY '23. There are few specific frameworks and campaigns that we have been running . Some of these take much longer. I mentioned the Department of Justice, some of the drivers, vehicle agency and police protection frameworks, these are longer -term campaigns which we believe will crack in later part of this year, if not in Q2 and Q3. Having said that, the election year does put some slowdown in terms of decision -making . We were expecting a couple of deals to be adjudicated on the data side in our revenue and customs department . That basically

went on hold and did not get awarded to anybody . So, that's just giving you an example of some of the safer decisions that the government is making . We continue to make good progress in the Cabinet Office. If you remember, this was a deal that we had closed a few months back , managed services engagement and now we are actually the chosen partner for ServiceNow implementation, and AWS work in that same client where they 're doing development and enhancement work. So, this is a good progress for us in the cabinet office. And our private sector business, which is a small base, but we are happy to see some really good progress. We won two new frameworks in the Financial Services side. This is leveraging some of our presence in the Mastek Limited
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government work, but Bank of England was a key framework, and we won our first deal within , it's a small deal, but we won our first deal within the Bank of England with USD 2 - 2.5 million deal that we won and we believe that 's setting us up well for Financial Services focus in the UK . And Europe , lastly, while again the focus has been mostly in the Oracle Cloud side and manufacturing clients, we have got some really good global clients out there which are shaping well and compared to FY'23, FY'24 from a pipeline and deal momentum perspective definitely picked up in second half. So, while we are not hugely focused on Europe because they 're very specific in terms of which country, we do expect continued deal activity in certain countries. So, all in all, our UK and Europe will definitely deliver double -digit, in FY'25.

Mohit Jain: When you say signed orders like orders on hold, they 're not signed orders, right, they are put on hold when or during the award process itself ?

Hiral Chandrana: So, the data orders that I mentioned in the Revenue and Customs Department, those never got adjudicated and the orders itself were put on hold

, they did not get decided to any supplier .

Mohit Jain: Order backlog that you report is only on signed orders ?

Hiral Chandrana: Order backlog is only on signed SOW and even there we take the specific signed SOW s which are a full year value that we are confident of. So , if there is a call -off value which is a large four year or a five-year deal, it does not get reflected in the 12 -month s order book backlog. So, that is visibility of only one year. So, that's a fairly credible 12 -month s order book backlog as an indicator.

Mohit Jain: And two for Arun , sir. First, in terms of margins , like we had this earlier guidance of 17 % to 19% and now we had some one -off in the fourth quarter , so should we take your guidance number similar to what we had last quarter or is there an update ? And last is what should be the tax rate that we should take for FY'25?

Arun Agarwal: So, in terms of margin, yes, 16% is a blip to us . Our endeavor is to go back to 17% as we reported in Q3. But at the same time, the focus is more on growth . So, I will keep that range at 17 % for now. And in terms of tax rate , on a normalized basis, 27% is a good reference. There can be plus and minus depending upon the multiple country at which we operate , but I think 27% could be a good judge .

Moderator: The next question is from the line of Hussain Kagzi from Ambit Asset Management. Please go ahead.

Hussain Kagzi : So, the first part was that you mentioned that the share of top -30 which is your focused client was 57%. So, can you give some more color how this number has trended over the last few years and what would be the growth in this cohort?

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Hiral Chandrana: We initiated our focus on account mining in FY '23, a little bit 30-second context , as a company organization , we believe we have way too many clients and much more than we actually need and many of our projects and implementation in the past used to essentially kind of conclude and then we moved on to the next client . So, while we were opening new customers and smaller deals, there was a lot of churn in our existing client. So , we started this initiative on account mining, which again is more standard stuff in the IT services industry. But from a Mastek perspective, we outlined these top -30 accounts and just like anything else, every year we evaluate this , but during the year we want to stay consistent on these accounts. So , in the past that number used to be more in the 50% range. Now , just keep in mind that a couple of clients come in, a couple of clients go out , but give or take that has progressed a little bit slower than what we anticipated, but definitely progressed in the right direction. The number I gave you is the current number of FY'24, which is 57% of our overall business. These are some marquee clients . We have very global names out here and then some of them we have shared in the past and is on our website . We continue to focus on opening new clients, but those are much more qualified and much larger enterprise customers where we can grow downstream . So, our goal is to make sure that at a net -net level, we don 't need to necessarily add too many clients. The clients that we will add is going to be much more qualified , larger deals, larger customers and we want to continue to cross -sell and mine our existing accounts. So, that number of 57% is expected to

continue to grow up. But then at the same time, we have our next 20 clients. Each region has identified additional clients which we believe can grow to USD 3, USD 5 million in the future, and so those could become part of our future account mining strategy as well as at a global level. So, hopefully that provides some flavor.

Hussain Kagzi: Say, before our strategy started from around 50% it has now come to around 57%, right?

Hiral Chandrana: That's right.

Hussain Kagzi: And secondly, extending

going on to the margin question from the earlier participant. So, if I see, I mean we did start FY'24 with much of the headwinds of FY '23 behind us, but we had the new BizAnalytica acquisition which was lower than our margin profile and of course the Q4 part. So, excluding those, what would you allude the margin weakness to #1? And could you also quantify the impact that BizAnalytica had on margins for this financial year, just some ballpark number I think for our understanding?

Arun Agarwal: I am taking it very quickly, Hussain. In terms of the levers which has impacted the margin as broad profile, the talent cost because 90% plus of our business is cloud and digital. While there is an attrition which is coming down for the industry, but the kind of talent we operate with, very less legacy business, the talent is always at the high demand. So, your talent cost keeps going up and you need to pay well to get the right talent onboarded to your company and to deliver to the customers. So, that's one of the areas. The second area is, we are also investing significantly for growth. Our expectation is not to operate just in line with industry, we want to perform better than the industry. So, there are the investments which has been gone into particular regions and

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particular verticals so that we can ride that momentum. So, those are the two important areas of investment which has gone as a company. BizAnalytica impact would be broadly in the range of 30 to 40 bps for a full year basis. That's what we indicated at the time of acquisition max 50 basis is what we were anticipating. I think it's broadly 30 to 40 bps which has impacted us for the year.

Hussain Kagzi: What would be our organic growth for this financial year?

Arun Agarwal: Maybe again, I don't have specific now, but 3% you can assume broadly high level. We can do specifics and come back, but broadly 3% you can assume would be dilution because of the inorganic play.

Moderator: The next question is from the line of Ravi Menon from Marquarie Group. Please go ahead.

Ravi Menon: Just wanted to clarify on this ministry of defense deal. They were a customer of yours already from what I understand. So, this is all net new or is there any part of it that we should think of as finishing one set of work packages and then awarding and accept?

Hiral Chandrana: So, Ravi, it's a good question. We have been working with the Defense Department as you pointed out over the last few years. We continue to do that work. It's a decent size account for us right now. It's within that top 30 and one of the fastest growing accounts. That work continues in terms of some of the data warehousing, identity and access management work that we do. This is a new framework. It's a new set of initiatives from the customer. And this will be incremental in like I said, different areas in different lots, the lots that are relevant to us I mentioned earlier and the work that we are currently doing will continue and as we get more win as part of this framework that will continue to add and grow the account.

Ravi Menon: Salesforce as a company has not been really reporting very strong growth. So, how are you seeing this sign for you? Is there still an opportunity to grow maybe even faster than their license growth or how should we think about that?

Hiral Chandrana: Yes, that's a really good point because Salesforce used to grow at 23%, 25% year-on-year range at one point a couple of years back. Their latest guidance for this year at a company level is I think 8% to 9% year-on-year growth. So, they've definitely slowed down and we are seeing in certain pockets where organizations might choose the Service Now or some other alternative platform. Having said that, Salesforce is a very large ecosystem and there is significant incumbency in terms of the customer 360 degree

platform. So, this is I am talking about sales cloud, service cloud, marketing cloud, integration cloud. These are the ones that we are focused on. And we believe it's still a good mining opportunity because we have some really good capabilities particularly in Healthcare and the area which has gone slow for us is the state and local government where Salesforce has also been slow to win and that has impacted us. But at an overall level we are taking the Salesforce capabilities global. So, we expect to penetrate that in the UK and beyond. And we still feel it's a growing ecosystem, although at a much slower

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rate. The one other point which applies a little bit more broadly, but since you asked about the

Salesforce in particular is that our capabilities are also functional -oriented , right , in many cases. So, in some places where we saw like for example , if you remember we had a hit a little over a year back on Oracle Cloud Commerce and we were able to retrain and reorient them into newer Commerce tools or newer Adobe tools or even Salesforce in those cases. So , we will always continue to keep a watch out there because the fungibility of our skills can always be cross-trained and that 's something that we have done in a couple of cases in the hyperscaler area and the front offi ce area as well. But ye s, I mean in general, the Salesforce is still a positive story for us going forward. We did see a slowdown in Q4 that impacted us, but otherwise as a whole, it will continue to grow in FY'25 and beyond .

Moderator: The next question is from the line of Naveen Baid from Nuva ma Asset Management. Please go ahead.

Naveen Baid : Can you give some guidance on the organic growth expected for FY'25?

Hiral Chandrana: So, again , we don 't give guidance as a company as you know, but like Arun allude d to, right , in dollar terms again just like -for-like FY'24 over F Y'23 full year basis we were 15.8% on a U.S. dollar terms . If you roughly remove the BizAnalytics 3% or so , that still is at 12 .5% to 13% year-on-year growth, right, that is for FY'24.

Naveen Baid: Do we expect a similar number for FY '25?

Hiral Chandrana: I am coming to that. So, I just wanted to make sure that our baseline would be the organic view, right . So, for F Y'25, we believe that our aspirations of co urse to do better than that and we think that we can exceed that number in FY '25 in terms of full year numbers . There is always a potential to see a little bit quarter -on-quarter differences between the quarters. We do have some seasonality on certain quarters, but in general for a full year FY'25 level, we expect to beat that FY'24 full year number.

Naveen Baid: So, what caused this sharp drop in tax expense this quarter?

Arun Agarwal: Naveen, this time we had certain overseas geographies w here w e got the tax credit and that was one-time relating to earlier year which was accounted for in the quarte r, led to overall reduction in the ETR for the quarter and for the year.

Moderator: The next question is from the line of Nilesh Jethani from BOI Mutual Fund. Please go ahead.

Nilesh Jethani: My question was on the margin profile. Just wanted to understand historically we had guided that post US ramping up sharply coming to a good growth rate and BizAnalytics reac hing about double -digit margin profile by end of FY '24, what is still not allowing us to guide on improved margins going forward?

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Arun Agarwal: Again, there are multiple factors , Nilesh, which we ha d to keep operating , one is the balance between growth and the margin, right. So , our process is definitely we want EPS to continue to grow and to make it as a combination we want growth to be much faster and definitely quality of earning has to be healthy . So, our outlook at this point of time is to operate clos er to 17% and 17%-plus in the m

edium -term. And as the expansion of revenue comes across geography , US in particular as you rightly said, because lot of investment has gone in there , with certain size and scale, we will start leveraging our SG&A investme nt and then we can see upward improvement in the EBITDA margin profile as well .

Nilesh Jethani: What could be the levers for driving apart from US?

Arun Agarwal: There are multiple like our AMEA margin as well , Middle East margin is much lower than the company average . As we are coming out of the smaller accounts focusing upon account mining and just picking up the customers who can become the customer for life as it 's been very, very selective , so the focus is how can we improve margin out there. There are lot of operating levers , how do you manage your grade mix, more trainees inclusion into it, your subcontractor reduction, your offshore onshore mix. A ll these combinations are part of our operating levers on top of SG&A leverage will help us drive this improvement.

Hiral Chandrana: I just wan t to add th at is our utilization that I referred to earlier is definitely on a n improving trajectory. In fact , we believe it 's at a peak level right now in terms of some of the operating impr ovements that we have m ade. We had a program last year in FY '24, which we will continue in the form of project LEAP which is focused on continued improvement in operating leve rs with the intent of repurposing that into GenAI and newer area investments. So, that balance of repurposing will continue, but the blip we saw in Q4 obviously will recover in Q1.

Moderator: The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: My question is on the impact that we had in the US geography. So , you mentioned that there were some client -specific issues. So, if you can quantify the exact amount that was the impact in this quarter ? And also the issue started at the start of the quarter or it was like phenomenon that you saw at the middle of the quarter ? And these clients that are facing the issues , are these clients the acquired from the recent acquisitions? And also, if you can give are these in the top five and top ten in the US?

Hiral Chandrana: So, Amit, the re are multiple questions . Let me try to break it up into two or three parts. All are

good valid points. Two clients out of the three are part of the acquired clients . I am starting with the last question . One of them the client that we talked about which we moved business from onsite to offshore for a particular program , actually that is in the top client . And that 's the very reason why we made that move because it did establish strong continuity and in fact post that we are continuing to see good opportunities in that Healthcare client in newer areas right as they're looking at cost savings and few other transformational initiatives as well. So, that's the second part . And then other question was on the quantum . And while we cannot share the exact

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specifics, but just ballpark , each of these three very specific situations that I talked about , right, give or take each of them created a little over a million each of impact and so you can kind of do the rough math there , I mean , total, of course is higher because each of these three particular customers had an impact of more than USD 1 million each for the Q4 timeframe. Like I said, two of them, we should be able to recover in Q1 , one of them which is the offshore movement , we continue to grow that client. So, hopefully that addresses all your points .

Amit Chandra: The second question is on the margin. So, earlier we were in the band of 17 % to 19 % , but now we are sticking towards the lower end. So, is it because of these client movements though something that has changed very like recently or is it more structurally we are seeing like pressure

in terms of the margin that is coming through and from here on is it the new range in terms of the margins?

Arun Agarwal: Very quickly, Amit and I think I gave the same reflection to previous question. So, since we are operating at 16 % now, our endeavor is to first reach 17%, which we are very confident about , we will reach to that number , as I said , because revenue loss has reflected into the margin profile because cost was incurred , so we should be able to come back to 17% very quickly. In the short -term, we want to operate closer to 17 %-17% plus . Medium -to-long term as we start delivering with a scale in the US market, our Middle East market start improving the margin , will come back to our trajectory of 17 % to 19 % , but for short -to-medium term, you should take more 17 % to 18 % for now.

Hiral Chandrana: On Amit 's question , again, it 's a valid question . Arun covered it as well, but we do see the data and AI, particularly with some of the initiatives . While it has become a lot more realistic now in terms of use cases , customers are talking about where is it working, how do we make it work for us, but the investments and solutions , investments in industry -specific use cases is critical. So, some of the operating level improvements, we do plan to repurpose for differentiated GenAI and AI solutions. I think that will be critical for us in FY '25 to not just ensure market share of that, but also a differentiated position. So, hopefully , Amit , that covers that part as well.

Moderator: The next question is from the line of Krupa Desai from Electrum Capital. Please go ahead.

Krupa Desai : Sir, my question was , why are our fixed price contracts going down? Usually , it used to be around the 50% level and now it is around 30% level.

Arun Agarwal : The kind of business we are in , most of the work in the digital and cloud are outcome -oriented. The contracting is sometimes at the preference of the customer where they want to do T &M rather than fixed bid engagements, but only the billing type which they choose . Most of the work which we do is outcome -oriented . We decide what kind of staffing we want to do, what kind of rate which we want to do. There could be certain requirements on the customer side as well. Obviously, we have to work together to ensure the outcome is delivered. So , I will not be too much worried between fixed bid and T &M ratio at this point of time. But yes, as an approach , we want a more fixed bid so that you are able to drive much better control over the execution

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rather than discussion with the client. But broadly it 's more the contract methodology rather than the work which we do.

Moderator: The next question is from the line of Jalaj from Swan Investment . Please go ahead.

Jalaj : This is for Arun. First question, could you give me the margin walkthrough , what explains the dip?

Arun Agarwal: So, as I mentioned in my opening commentary, and as Hiral mentioned, we had three challenges in the US market with three customers . While all three have some degree of influence , but one of them where we have done the work in this quarter, but there was delivery challenge, which has been completely resolved now as we speak. But we couldn 't recognize any revenue last quarter because the customer was not ready to agree to the change request. But we wanted the customer to be happy because that 's a long -term relationship. There is millions of dollars of opportunity lined with that customer. So , we had to take the cost hit in our P&L in Q4 for which there is no revenue which has impacted our margin primarily . There are plus and minus reasons, but predominately that 's the reason which has impacted EBITDA profile .

Jalaj: So, we can expect the revenue to come next quarter. Is it so?

Arun Agarwal: So, that customer will become B AU next quarter . Out of three,

two will reverse, one will reverse

immediately in the current quarter, one will reverse over the period because what we have done in offshoring, it will come back, but will come back gradually as different pipelines are building up, so in a different transit, it will come back . But the one which impacted our margin will come back in Q1.

Hiral Chandrana: And maybe just one more point to add, Arun . I also alluded to one Salesforce program where we were dependent on the previous phase to complete . That particular program was ready to start or we were ready to start in January. Now , we again make the call to hold on to those resources. Unfortunately, the previous phase got delayed from another provider. Now , we are starting that program this quarter, but it did create a delay. So, we were able to offset some of these things. We are starting to see some larger deal activity in the UK as well where the pricing will be competitive and like Arun mentioned talent costs definitely will have a bearing to it . But most of those we have been able to offset through some of the operating lever improvements that you see in some of the metrics . So, this particular blip that you saw in Q4 with the US client , that will come back in Q1.

Jalaj: And this is with regards to not guidance, but directionally for FY '25 and beyond, so for the growth perspective, what gives us confidence or how do you see it across geos, maybe if you could give us some flavor on that side , that would be very helpful ?

Arun Agarwal: Yes, you're referring to revenue growth, right?

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Jalaj: Hiral mentioned that we are looking to do better growth in FY '25 than this. So, maybe a little bit on the geo wise and maybe also you could talk about the large deals ?

Hiral Chandrana: If you look at the three geographies, let me start with the Middle East and APAC. Kudos to the team there, really solid in quarter execution and overall momentum that geography has now . It does come with certain margin challenges, but our revenue growth has been very solid . We are taking a much more qualified approach in the Middle East because we want to go after very specific larger clients and deals which are more medium -to-long-term sustainable . But geography will continue to grow double -digits . UK and Europe as a whole which as you know, UK continues to be our biggest geography in public sector within that business , we are seeing again decent deal momentum . Our private sector actually is looking up here in the last two or three months, we see some really good lead indicators of the deal momentum in our private sector . We think that there is going to be some slowdown in decision -making because of the election year in UK particularly, but the pipeline continues to be rock solid and again UK is also projected to be at least double -digit in terms of year -on-year growth . US which we had a challenge in Q4 , like we said will bounce back in Q1 , and will grow much faster compared to the entire company and we see some of these accounts that we have been talking about starting to become larger accounts , I mentioned about the USD 14 million account, there is a few more accounts that will become USD 5 million , eventually USD 10 million and so that account mining focus and Healthcare focus in the US will drive much faster growth, right. So, that's how we would break down , calculated double -digit growth in Middle East and APAC , at least double digit in UK and Europe and then of course much faster industry -leading when it comes to US.

Moderator: The next question is from the line of Sudeep Duggar from Finacle Venture . Please go ahead.

Sudeep Duggar : My question is specifically with regards to the earn outs that we pay out . How does it affect the P&L and the balance sheet if you could explain ?

Arun Agarwal: So you are talking about BizAnalytics if I am not wrong. And

how does it work is all the earnouts

are provisioned at the time of acquisition, it lies in liability , and as you make the payment, it goes from the liability . If any payment goes beyond those liability, then it goes through the P &L and same about if it is lower than what has been accrued. So, what I can answer , it is provided for in the book with the right approximation with the help of valuers how the accounting happens . So, we don't see significant ups and downs coming into the P&L .

Sudeep Duggar: So, the earnouts suppose in the components of the ESOP , so it hit the employee expense and in case of cash payouts , it hits employee expense and other expense ?

Arun Agarwal: No. So, what happens in the case of ESOP , it goes to P&L. In the case of earnout , it is nothing, but the acquisition cost for which liability is created as of the date of acquisition and all the payment happens through that liability which you create on day one. So, it doesn't go through the P &L. If your estimation on day one is not correct then fluctuation in that estimation goes through P&L .

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Sudeep Duggar: And it's amortized as intangibles?

Arun Agarwal : Those are amortization, and your fair valuation of contingent consideration goes through P&L, which is an IND AS requirement. So, there is an interest line, there is the depreciation which gets impacted.

Moderator: The next question is from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil : Firstly, can I know what the revenue of BizAnalytics was this quarter? I believe it was USD 4.3 million last quarter.

Arun Agarwal: Our expectation was that the quarter in which we make the acquisition we will report it. Q2, we reported because it was mid of the quarter and Q3 also we reported because it was full of the quarter. Now, the business is completely integrated. It is as much as integrated because data and requirements from every customer you go to. So, for example, we have got a new deal with our existing client in the US. It's more than a one and a half million dollar data deal. It becomes difficult to classify whether it's BizAnalytics acquisition related deal or it's related to Mastek, right. And hence as we have integrated it completely, we have stopped giving that information separately because it will not be a true reflection on the numbers because it's one united business now.

Sarang Sanil: On your initial comments pertaining to the margin, you had mildly touched upon the case of US where you had to move from onsite to offshore for a particular client. What was the impact from that and would you want to quantify any other impact that we had this quarter?

Arun Agarwal: As we mentioned, there are three impacts of onshore to offshore, one in sourcing client id, because of the acquisition done by their end, third was this delivery challenge which has been resolved now, and the fourth which Hiral said because there was one deal which was awarded to us and we believe that will offset, and the phase-I was delayed by the previous vendor and then we couldn't start the work. All four put together has some of the impact into the margin because we had the resources already lined up. As we get into Q1, the two will reverse as Hiral said and one is permanent. So, obviously we will take the resources out as those will not be required for that client, but we will use them in some other program because these are similar work talent which we need for any other program we operate in for.

Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments.

Hiral Chandrana: So, first of all, thanks for the engagement and the questions. Hopefully, we were able to cover good ground on some of the specific reasons for the Q4 revenue drop and disappointing

performance in Q4. Having said that, our lead indicators of order book backlog, our demand and deal momentum continues to be strong. All three geographies have some really positive progress
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that we have made in our key strategic priorities, and we believe continued rigor and execution on them will be important in FY '25. We are positioned really well when it comes to our top client, but also our next 20 clients that I was mentioning earlier. So, the whole account mining focus is starting to pay off for us in terms of stickiness, but at a more broad industry level, our key positioning in terms of Oracle Cloud, in terms of Salesforce, in terms of data and AI, and our entire digital engineering as well as experience capabilities will help us position strongly as the demand continues to improve. As you can see from our backlog the year-on-year growth and the quarter-on-quarter growth of our order book momentum gives us confidence in our FY '25 outlook and the investments that we have already made in the last year and a half, two years in not just acquisition, but also in terms of organic capabilities and our accounts as well as our ability to win large deals and larger clients is starting to reflect in again growth in specific areas that we want to focus on. So, again, while we saw results which were below our expectations in Q4, we are confident about bouncing back in Q1 and having a solid FY'25. Thank you again for the trust and the commitment towards Mastek and joining the call.

Moderator: On behalf of Mastek Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2024

Mastek Limited

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SEC/ 44/2024- 25 July 24, 2024

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BSE Limited

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SCRIP CODE: 523704 Listing Department

The National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

SYMBOL: MASTEK

ISIN: INE759A01021

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the Quarter ended June 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the quarter ended June 30, 2024, conducted on July 18, 2024, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at <https://www.mastek.com/investor-financial-information/>

Thanking you,

Yours faithfully,

For Mastek Limited Dinesh Kalani

SVP – Group Company Secretary

Encl: A/A

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"Mastek Limited

Q1 FY'25 Earnings Conference Call "

July 18, 2024

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE
OFFICE R, MASTEK LIMITED

MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER ,
MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

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Moderator: Ladies and gentlemen good day and welcome to the Mastek Limited Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand over the call to Ms. Asha Gupta. Thank you and over to you, Ms. Asha Gupta.

Asha Gupta : Good evening to all of you. Welcome to the Q1 FY '25 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you and you can also view them on the website at www.mastek.com.

To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Mr. Hiral Chandrana - Global CEO, and Mr. Arun Agarwal - Global CFO. Hiral will start the call with a business update, which will be then followed by Arun providing the financial update for the quarter.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Hiral Chandrana. Over to you, Hiral.

Hiral Chandrana : Thank you Asha. Good evening, everybody. Hope everyone is doing well. I will cover the highlights of the quarter, followed by an update on key strategic priorities and then also give some commentary on the outlook where we see the industry and market going forward. As we've reported our results, our revenue quarter-on-quarter increased by 4.3% on INR terms. Year-on-year is 12.1% on an INR basis. We are pleased with the revenue uptick and the momentum on the top line. Our 12 months order book backlog, while it was flat quarter-on-quarter, increased 23% year-on-year. Q1 is typically a slower start to the order book, but we see some really good deal momentum in pipeline building and confident about the deals in the future quarters.

Our operating EBITDA was a disappointment. We had some onetime hits which we'll talk about in the subsequent discussion. But there were a couple of provisions that we had to make, and it was at 15.2%. We had some fairly unique and differentiated wins across multiple geographies and multiple offerings. I'll just mention a few of them. One particular U.K. department, which handles immigration and law enforcement, we've been working with them on our digital operational dashboards and asylum and refugee management through the case working platform that we have built, and we continue to enhance that and modernize those platforms as more and more volume flows through those case management systems.

For a U.S. Health care client, we are modernizing their claims management platform powered by Salesforce, where this particular regional health plan is looking at how to optimize and automate Mastek Limited

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some of their claims processing. For a USD 7 billion retail recreational vehicle manufacturing and distributor company in U.S., we've taken over 2 digital engineering pods and won a customer loyalty program, which is an account we opened 6 months back and is showing some amazing traction. For one of the central banks in U.K., we have won data and analytics platform deal, a great example of synergy from our BizAnalytics acquisition where our teams work together to win that against some stiff competition. We're just scratching the surface there

and we see great potential in building on this initial pilot going forward.

These are some of the examples, but what I'm really excited here is, as we look at our top strategic priorities, which we have continued to reinforce last few quarters, our Health care business continues to grow, particularly in U.S. Our secure government services business, which is our central government business in U.K., continues to have good pipeline. Elections were moved ahead, as you know, in the U.K., so some of the uncertainty around the , the election period is now behind us and so we see a lot more clarity on the new Labour Party executing on their manifesto, particularly on the NHS and health programs, the defence programs, some of which we are focused on.

Account mining has been a key focus for us. We've communicated in the past to our investors and analyst community about our top 30 accounts, which roughly forms about 57% of our revenue and we continue to see growing momentum on cross-selling service lines across those accounts. And as you'll notice and as we have communicated, we want to continue to grow top line, not necessarily by growing number of accounts. In fact, by conscious design, we've continued to reduce the number of accounts, particularly in our AMEA geography from 250 accounts to 175 accounts over the last 2 quarters while of course, growing top line. So, this is an example where you'll see deeper account mining, which is leading to deeper relationships as well as more USD 1 million, more USD 3 million, more USD 5 million accounts.

In the data and AI space, which is our fourth key priority, we continue to see some great examples of wins, but we are particularly excited about some marquee partnerships with NVIDIA, with Microsoft, with AWS that we've announced over the last few quarters. The recent one with NVIDIA is a very differentiated partnership where we are leveraging the NVIDIA inference and interface micro services API to channel into multiple large language models where we have built our experience, insights and correlation engine so that we can drive industry-specific use cases. Some of the industries that we are focused on include sub-verticals in manufacturing, fraud analytics within the financial services and also benefit verification use cases in the Health care sector. We believe that this is truly differentiated. It's initial stages, as we expand on this momentum, we will see a lot more larger deals in the coming quarters through this partnership.

As we look ahead, there are continued macroeconomic uncertainties and deal delays, which we see in the market. So customers are still cautious when it comes to cost preservation as well as high scrutiny on some of the deals and the approvals. However, we are engaged in some fairly marquee programs, which are very strategic in nature. The kinds of conversations that we're having with cloud implementations, with some of the new digital engineering programs as well

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as in data engineering and data modernization programs are very differentiated. U.S., in particular, the Health care momentum powered by Oracle Cloud, has really kicked into high gear and we see continued momentum there with providers, with senior living facilities as well as with regional health plan. We also have kicked off an internal transformation, which we're calling Project Nucleus. And this is looking at the entire order-to-cash life cycle, some of which we had been doing some groundwork, but this is important to further streamline processes, automate certain inefficiencies and then hopefully, we can generate enough savings to repurpose in future investment areas, but also help with improved productivity and efficiencies internally. Coupled with our Gen AI internal AI Amigo platform, which we are driving to automate multiple functional areas, including finance, marketing,

HR as well. As we look at AI and Gen AI in an overall sense, we're starting to see some interesting pilots and proof of concepts moving into slightly larger programs, but we believe it will still take a couple of quarters for customers to truly see some of those ROIs coming from the investments that we have made. We are looking at this very strategically in multiple pillars. There's AI that is getting infused in our key platforms like Oracle, like Salesforce, like Microsoft, AWS and Snowflake. There is a nonlinear set of initiatives that we have embarked on about 18 months back, which is starting to come together for example, in the connected enterprise areas. And then there are some of these newer partnerships like NVIDIA that I talked about. So it's coming together well in a nice way for us where a lot of the data engineering and data foundation will be built on as customers look at much more ROI from the AI investment.

I had given 3 specific areas in our last quarter's commentary around our U.S. geography. So I want to address that, again, very transparently. There was one particular customer where we had a challenge when it comes to delivery. We have now recovered through that program. We made the right investments in people and are out of the woods out there and engaged in now some new discussions with that program. It was a financial services customer in the East Coast. There was a second program that we had talked about where a large engagement had moved from on-site to offshore. So that obviously is getting executed. There's no change in that. And there was a third area where there were three deals, in particular, two that we talked about, but three deals, which had been delayed in terms of closures. So, I want to report that two out of those three deals have closed, although it did take us longer than anticipated. This was in a particular pocket within some of our Salesforce business in the US And because those deals got delayed, we continue to keep those resources and we made a tough call to handle and keep those resources, rightly so because now we've been able to deploy them and actually ramp them up in the projects that are now commenced, but it did impact our EBITDA for Q1. Arun will talk about some of the aged receivables in Middle East, which we had an impact also because of the holiday period in Middle East, but we are confident of recovering from that and coming back to our original margin levels in the coming quarters.

So with that, I think overall business momentum continues to be strong. While I said there will continue to be some level of caution, there's more optimism compared to 3-4 quarters back, particularly as it looks to the second half of the year. And we are confident that we'll continue the growth momentum on the top line while coming back on the EBITDA front.

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With that, I'll pass it over to Arun, and I look forward to answering questions after that.

Arun Agarwal : Thanks, Hiral. A very warm welcome to everyone on the call. I hope all of you have seen the detailed presentation, which was shared. Hence, I will focus more on the financial metrics. We reported revenue of INR 813 crores for the quarter, which is up 12.1% year -on-year and 4.3% quarter -on-quarter in the INR terms. This reflects into constant currency growth of 4.1% quarter -on-quarter. While macro challenges and delay in decision -making continues, as Hiral alluded to, however, we are witnessing good deal momentum in line with our strategic investment and the same is reflected in our order backlog, which has improved 23% year -on-year in INR terms. We added 13 new customers during the quarter and increased Fortune 1000 customer base from 34 to 36 in the current quarter. So we're continuously seeing the uptick in the average revenue per customer and also the quality of customers, which we are onboarding.

Operat

ing EBITDA for the quarter was at 15.2%, a decline of 80 bps quarter -on-quarter. This has been led because of two critical reasons which has happened in the quarter. One is cost of ramp associated with delayed project commencement, specifically in the Salesforce business, which Hiral alluded to, but we are really confident that the growth is coming back, and we are seeing these resources getting deployed, which will reflect in our margin profile in the coming quarters. And also, we had onetime impact, including PDD in our Middle East region. Because of holidays, there were delays in collection and because of the aging, you have to provide for it. We don't see any risk into those collections; however, from a timing perspective, those provisions were required to be made as per accounting rules.

Profit after tax for the quarter was at INR 17.5 crores revenue, 8.8% of revenue; however, our profit for tax quarter-on-quarter has gone down. If you recollect, I had mentioned in the last quarter, we had onetime tax credit associated with deferred tax and which led to increase in our PAT due to reduction of tax expense. This quarter, the tax is on a normalized basis, in line with what we anticipate to incur on an ongoing basis.

Our gross cash as of June end was INR 383 crores. It is reduced from INR 473 crores in the March. I would like to highlight that in the current quarter, we have paid annual bonuses and variable payout to all the employees across Mastek, which led to a reduction in operating cash for the quarter. And our DSOs, as I mentioned, for the PDD reason, has gone to 92 days versus 89 days. As I mentioned, we believe this is more timing gap and things will improve as we move to the coming quarters.

Our overall borrowings stood at INR 455 crores. It has reduced quarter -on-quarter as we have paid one more installment as it was due during the quarter. Our closing headcount has increased to 5,546 headcount, a marginal increase quarter -on-quarter. Utilization is flat at 86.5% without considering the lease impact. So broadly, we feel good momentum is building up. Our revenue continues to grow. Order book further gives us confidence. And margin, we are focusing to improve and bring it back to the levels we were operating at.

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With this, thanks to everyone for continued trust in Mastek. Going back to the moderator and opening the house for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session.

Debashish : Congrats on a good set of numbers as far as the top line is concerned and order book is concerned. My question is more linked to the one-off cost that you have mentioned. If you just can elaborate what is the exact number of the provision that you have taken for the quarter, and how much is linked to US ramp -up delay and how much is linked to the Middle East market?

Arun Agarwal : So Debashish, on a high level, roughly 120 bps is the impact . Again, it's a combination of both US and AMEA . Predominantly, AMEA is related to your DSO and PDD increase, and the balance is because of the resources, which we had used for the ramp -up, delayed project commencements out there. You can assume 50 -50, but broadly in the similar range.

Debashish: Okay. Understood. And the second question is linked to the US market because if we see over the last 2 to 3 quarters, especially, if the growth is coming, margin is not coming; if the margin is coming, growth is not coming. It seems that US market is not getting stabilized for us. So if you can give us some amount of direction that by what time you are expecting US market to stabilize and how much this is linked to the macro uncertainty and how much this is linked to our client -related issues?

Hiral Chandrana : So Debashish, this is Hiral. Thanks for that question. You're right with respect to some of the unevenness, lack of consist

ency, like you rightly pointed out. However, if you take a step back, I just feel it's important to appreciate that 3 years back, we were a very, small business in the US, particularly with almost kind of a declining Oracle Cloud Commerce ATG business, which essentially no longer exists for us. So it's almost sort of starting from scratch in the region. With the right investments organically and inorganically, we're now at a little over 100 million type of annual run rate business, which has come together fairly well in a kind of a profile of customers and clients, 35 -plus Fortune 1000 clients, some marquee brands, in some cases, Fortune 500 as well as the types of conversations and the accounts and the deals that we're having is at a very different level. So that journey definitely has taken much longer.

Having said that, now we have critical mass, and we have the right teams in place. We have also some of the visibility and ability to balance off, in case something doesn't happen in any particular quarter. Now there will be some level of uncertainty, I think, as clients continue to be very cautious on spend. But the differentiated areas that we are focused on, which is, again, going back to healthcare in U.S., both on payers and providers, are focused on Oracle Cloud and data and AI and Salesforce as well as, as we start winning digital engineering projects, we've just won another deal, which happened actually in Q2, in early July, so we did not announce that in the Q1 results, but it is a capital market customer in the East Coast, which was one of the clients from the BizAnalytics acquisition where we've now closed an AWS digital engineering deal.

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So, these are some of the examples of deals that we are winning. I guess, the net-net answer to your question, though, is that we feel that there is a certain critical mass in that geography, which we did not have in the previous 4 to 5 quarters. And from here on, we'll have a lot more leverage when it comes to even improving our EBIT and operating margin. And generally, I would say bullish kind of view of US, particularly as we look forward, although we need to demonstrate that in 2 or 3 quarters of consistent results and that's when we will feel a little bit better.

Debashish : Sir, just a follow-up on the US market again. It seems that we are mainly targeting project-related businesses in US, which is kind of giving us quarter-on-quarter uncertainties. And obviously, it is getting difficult to put a number on how our growth and margin trajectory would be. Is it fair to assume that this project-related business focus is kindly impacting us? And going forward when macro economy will turn back, we'll be able to get a better growth and better margin?

Hiral Chandrana : So it's a good point, Debashish. Our business mix was heavily project related. If you rewind back 18 months in terms of commerce projects or cloud and Oracle Cloud projects, the Salesforce projects or even some of the other implementations that we have done, so what you're saying is partially right. However, the mix has changed quite significantly in the last 1.5 years. And wherever we are doing projects and implementations, we're following that up very quickly with managed services engagement. The stickiness of our clients has improved to the point where we are being more qualified in the new clients that we are onboarding particularly in US and in Middle East because we want to make sure that the new clients that we are acquiring are also longer-term clients. There used to be a phenomena 2 years back in the US where we used to have 10, 20 clients we opened and then three quarters later that client is done because the project is done. That's no longer the case. So that stickiness has definitely improved. We want higher balance of managed services and that's definitely an area which the

team is focused on,

but it's a little bit of a gradual journey there. I would say in the next one or two quarters we'll reach by the end of this fiscal year a good mix a comfortable mix.

Hopefully by then some of the discretionary spend will also be a little bit at a different level which will position us very differently because some of the sweet spots that we have even in the current uncertain environment we've been able to win cloud and digital deals. So hopefully that answers your question.

Debashish: Sure. One last question if I may. In this quarter, we have seen that UK private has started growing for us after a very long time. Is it like we're getting some traction there or is it like a one-off we should not draw a conclusion out of it?

Hiral Chandrana : Yes, so it is an area which we had seen historical flatness and even decline in the previous years. The team has done a good job in focusing on some very specific sub-vertical, particularly sub-verticals within financial services. We also are getting some good traction in our existing clients. We announced a win in a Central Bank which is a very key win in UK which also sets the stage for us to grow in that particular account going forward.

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So, there's some definite green shoots out there in the U K private sector, there's some positive signs. We do need to open some new marquee logos out there that can help us scale because we're still a small business out there, relatively speaking. Our public sector and central government business is much more mature. Our private sector business in U K is still in the growth phase. But definitely we are seeing some good signs in terms of both customer interactions as well as pipeline and order book.

Debashish: Sure. From the order book it seems that this year our growth number will be in the high mid-teens. Is my calculation correct? And if you can also give some indication that what would be the stabilized margin for us for FY '25?

Hiral Chandrana : Yes, Debashish as you know we don't provide guidance on specific numbers, but the top line momentum that we have in Q1 we feel that that's a healthy momentum that we should be able to continue in the remaining quarters. Margin anyways Arun also mentioned about the onetime hit in Middle East as well as the project ramp-up and the resources that we had to hold on to, but we definitely want to operate closer to that 16.5%, 17% type of margin in the second half of the year.

Debashish : Sure. Thank you so much for answering my question.

Moderator: Thank you. Next question is from the line of Mr. Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain : So, first is on U.K. Government, should we expect some acceleration ahead now that some of the uncertainty is behind in terms of contract awards that is one. And second was cost related. We also saw this reduction in D&A during the quarter. Is it onetime or this is a new rate for depreciation -amortization going forward?

Hiral Chandrana : Okay. Arun why don't you take the second and I'll cover the first.

Arun Agarwal : So Mohit as I mentioned last time as well, we had onetime useful life alignment for the intangibles which you acquire during which basically comes at the time of acquisition of entities. So which was done as onetime. So what you see in depreciation is more the regular one and you will see the incremental increase as and when we make the capex, but broadly what you see in the current quarter is the range you should look for.

Mohit Jain : And your tax rate should go towards 26%, is that correct?

Arun Agarwal : Yes, it's broadly in the range of 26% to 27%. It keeps moving in that range because depending upon which geography is making more profit sometimes there's a blend with change, but I think 26%-27% is a good range for us.

Mohit Jain : Got it sir. Sir on UK government acceleration

on effect if we should expect that?

Hiral Chandrana : Mohit your specific question was on U K government ?

Mohit Jain : Correct.

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Hiral Chandrana : Yes. We have some very critical programs and policies that we are involved in and as you know it is a strategic part of our business from biometrics to immigration to some of the law enforcement as well as the work that we do for asylum and refugee management and there's always some pros and cons on the election timing. For us, it has worked in a positive way because some of the deals and some of the programs that we were going after both in our existing accounts as well as in our new departments that we were targeting like justice and drivers vehicle agency etc are now a lot more clearer in terms of potential timing and spend areas. But the cycles of the central government are longer as you know. And so some level of uncertainty will exist in the whole adjudication process, but we continue to feel strong about the growth potential in the assets and the differentiation that we have in the UK government. The manifesto of the Labour Party which includes clarity on immigration as well as health sector should hopefully benefit in the coming days and weeks, in fact after this I'm headed to UK and spending some time next week out there to engage with some customers and analysts and partners.

But we do see that in a few weeks after the holiday period that typically ends in August, things should start opening up. We are already seeing some deals which again we cannot announce it right now because it was in Q2 and there's a quiet period, but there are some movements that have happened already after the elections.

I think while some of the ministers are taking charge and some of the charters are being announced, there's also some increased action that we see in the defense sector which is another focus. If you remember in the last quarter, we talked about the overall defense sector and our bets on that from a medium to longer term. So we're starting to see things pick up in there as well. So yes, overall we continue to see momentum, but the nature of that business will have long cycles and so I think we should be just kind of prepared for that.

Mohit Jain: All the best sir. Thank you.

Hiral Chandrana : Thanks Mohit.

Moderator: The next question is from the line of Farid Kazani , Individual Investor. Please go-ahead sir.

Farid Kazani: Good afternoon, Hiral and Arun. I have two questions. From numbers I observe that the profitability has significantly reduced from the US, and we look at EBIT from the 9% in the last quarter it's down to 3% and even last year it was much higher. While I know Arun did allude to some impact of that 1.2%, but what is causing this reduction and is there something else either as a pricing impact or is there some element that is causing the drop in the profitability significantly in the U.S.? That's my first question.

The second question is with regards to the order backlog that has remained flat as compared to the last quarter. Can you give a little more color on it in terms of what's the breakup of this USD 260 million between the geographies?

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Hiral Chandrana: So, Arun why don't you take the US margin question and I'll address the order backlog.

Arun Agarwal : And Farid right observation because that's what is I mentioned as well as you rightly highlighted because we were holding the resources some of the projects we were anticipating to start much earlier and there was delay from the client side and some of the start delay out there which led to holding the resources and what is reflecting into the margin profile. However, as we see the growth is coming back into the US geography, we believe we'll come back to a double-digit margin profile in the current year.

That's the plan as we speak.

Farid Kazani : So Arun the gap is significantly higher from what you gave in terms of reason and the quantification of that the gap seems to be much higher. Is it again with related to the mix of business or is it related to some pricing issues which is what is the probable cause?

Arun Agarwal: No, it's predominantly one-time as I mentioned. There's no pricing issues as such. We continue to get good rates. Obviously, the kind of business, different service clients will have different margin profile and different rate profiles, but we are not seeing any margin pressure. It continues to be healthy, and we are not bidding for deals which are more of where you lose the pricing. We are bidding for the deals which are high-quality digital and cloud deals, and we are getting right price and right margin in those areas.

Hiral Chandrana : And Farid, your question on order book backlog. While it is flat like you rightly pointed out quarter-on-quarter, we typically have an operating plan from Q1, Q2, Q3, Q4, where our Q1 order book starts typically a little bit slower in the terms of percentage terms. Although we did have a healthy order book in Q1, we're able to left shift some of the deals. So that's basically reflecting in terms of orders closed and the revenue that you saw, which is USD 97.3 million. So we do believe that the order book momentum both in terms of total order book as well as how it will reflect in the 12-month order book backlog, which we track very closely as you know will continue to increase. It has been increasing, I think last 8-9 quarters just broadly speaking. So that trajectory at an overall level will continue to increase. And then of course, we want to sustain the revenue momentum in terms of converting those orders into revenues.

Farid Kazani : Okay. And the split between geographies? And how much of this USD 260 million, which is 12 months, how much is the first 9 months, which will get accounted in this year?

Hiral Chandrana : Arun, do you have that handy? Or we may not have that handy, I think.

Arun Agarwal : We don't have this handy but if required, we can discuss offline, yes.

Hiral Chandrana : The question is about 9 months.

Arun Agarwal : Yes.

Hiral Chandrana : I mean, there's typically a pattern where we track ACV of that, Farid but I don't think we have that split of what will be in the first 9 months, but we can get back on that separately.

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Farid Kazani : Okay. Any update on fund raise that you guys would be looking at? And if there is, what's the kind of status on that?

Arun Agarwal : No, we have stated I think there were some rumours as well going on in the market. I think we replied to the exchange, Farid. There's no development as such. But if anything comes, we will be proactive and be coming and informing to the investors.

Farid Kazani : Thank you very much.

Moderator: Thank you. The next question is from Nilesh Jethani , BOI Mutual Funds. Please go ahead.

Nilesh Jethani : My first question was on the margin profile. So we had guided for 17%-odd margins level in FY'25 because we wanted to do some investments and focus on growth. So I wanted to understand with the margins what we have reported in Q1, how confident are you to achieve these margins on a full year basis or 17% was the exit guidance?

Arun Agarwal : That's a good question, Nilesh. Obviously, we have said our endeavor has to be operate in the range of 17% in short term. And gradually, we'll see in the medium term how can we grow it but that was our stated objective. At the moment because of this onetime impact in Q1 our objective is to bring it back closer to 16.5% to 17%. That's the objective for H2 and that's where we'll exit, and we'll build on it for next year.

Nilesh Jethani : Got it. So when I look at Mastek from a sustainable basis if give or take the annual revenue run

rate what we are today at around USD 400 million just wanted to understand at what rate whether it is U.S. business scaling up from here or the existing core business growing at a much higher pace core as in the U.K. -Europe business growing at a higher pace. At what levels of revenue one can expect that 17% to 19%, which was the aspiration which we had, so that towards 19% kind of a number at what revenue run rate whether it is from a U.S. perspective or from the company's perspective, you can help me understand that?

Hiral Chandrana : So Nilesh, this is Hiral. Let me take that. Arun, feel free to add. The way we look at the 3 geographies there is significant untapped potential in the U.S. market, which we believe in the right areas of health care Oracle and Salesforce as well as in the account mining focused bets that we have. Like I mentioned, it's taken a little bit longer to get to this point, but we have good critical mass right now. From here on, we believe that the margins in the U.S. will continue to improve over Q2 and the following quarters. And the year-on-year growth as well as quarter-on-quarter growth in that geography will be faster than the overall company growth.

In AMEA, which is our Middle East and APAC business, we have seen good growth. However, I do want to point out that we have been taking some very conscious call on exiting certain tail accounts, which again has been a by design strategy for us. We will continue that to make sure that the quality of the business that we have out there. There used to be a point where we used to open 30-40 accounts and then 15 accounts will be closed in the following quarters, and we don't want to be in that business. So the qualification of our accounts and new logos are very strong now. And we believe these are good medium longer-term accounts where we see

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downstream business and our ability to take the entire Mastek suite of service lines and offerings to them. So even in our Middle East and AMEA business the margin profiles will go up. There will be some of these collection issues, which we've had in the past, which we're taking steps on. So that's as far as the AMEA business is concerned.

On the U.K. public sector and U.K. business overall does operate at a very healthy margin. We're looking at the geography for closing some larger deals in the coming quarters. There is a couple of competitors very large MNC competitors who are not doing so well in that geography. So we have a good medium to longer-term opportunity to target market share grab. So I think the combination of these 3 kind of strategies in the various regions will evolve over the next few quarters where our margin profile should get more healthy. The leverage should be much better as well as we are running this program like I said, where we continue to find innovative ways to delay our organization, create some more efficiencies internally not just in the delivery of software development life cycle. But even in our processes so that we can continue to reinvest and repurpose into AI, into account mining, into large deals. So that's how we sort of are looking at this journey, Nilesh.

Nilesh Jethani : Okay. Because question actually was, say at USD 100 million U.S. run rate today, we expect say, give and take it grow at the company level or slightly higher in U.S. in this year and we would be able to reach at least double-digit margins in U.S. So going ahead, say from FY '26, FY'27 perspective if you continue to grow at, say 10%, 15%, 20% in U.S., so the incremental flow-through of those incremental revenue will fall into EBIT or will continue to deploy that? So are we looking at U.S. margins in isolation and want to drive that maybe towards the company level from 10%-odd aspiration by the year-end is that the thought process? Because U.S. is a big

picture for us. As far as Mastek is concerned driving higher growth in U.S. will drive operating leverage, et cetera but also need to understand whether that will help us to drive margins for the company level itself?

Hiral Chandrana : So, we definitely want to get the U.S. margins closer to the company level. Like you rightly said we should be able to get into double digits in this coming quarter and in the H2 time frame. But in FY '26 and beyond; we'll always prioritize growth in the U.S. market because I think the opportunity untapped is still pretty high. But our margin profile needs to be a lot more closer to the company level. It might be a couple of percentage points lower, let's say in the 15% of the range. But we'll get to a much stronger business mix as well as profile in FY '26.

Nilesh Jethani : Got it. And one last question from my side. In Q4, we got selected as a key supplier for U.K. defense department. The deal value was 1.2 billion GBP for that department itself. If the

opportunity. Just wanted to understand what could be opportunity for Mastek A; and has the ramp-up begin? And what to expect from FY '25 or '26 perspective the numbers into top line from this deal itself?

Hiral Chandrana : We have actually communicated this in a couple of other forums where the different lots that were awarded and the 2 specific lots where Mastek in one case is a prime, in one case is a sub.

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The total opportunity size for Mastek, of course we still have to go through the process and go through the win or adjudication process and have those in. But the total opportunity over the next 4 years is in the range of about 50 million from that particular win. Like I said, there's always pros and cons of the elections being happening earlier. There were some good advantages.

But one of the things that happened is that the ramp-up on that was definitely paused in the last 2 months. And now we are seeing that is starting to open up. So we see the defense and the ramp-up from the wins that we had there, starting in August ramp-up, the actual impact in FY '25 is not going to be that significant, but there will definitely be some incremental impact in H2 in terms of revenue and it will start to pick up even more in the next 2 years.

Nilesh Jethani : Thank you so much, for answering all the question.

Moderator: The next question is from Saket Souradh, from individual investor. Please go ahead.

Saket Souradh : So yes, based on the Q4 conference call, so we had outlined 2 things. One, the margin part, which I think now we have scaled it down, right, from 17% to be maybe more around 16.5%, that too in H2. But as far as revenue aspiration is concerned, we had stated that the growth for FY '25 would be higher than what we achieved in, last financial year, which was, I think, 16% -17% kind of a range.

So based on the order deferment and all those things that we have just outlined, so how confident are we of, say, doing better on top line growth perspective? Do you have any adjustment on that front as well?

Arun Agarwal : As we mentioned, that there were one-timers, so as a pattern, we still hold our statement. We want to be operating closer to 17%, as I mentioned. So there was an impact in Q1. As you will see continuous improvement in quarter 2, we'll be improving further the margin profile. And in H2, we'll come back to 17% kind of the range is what we are looking for. And thereafter, that is what will get reflected into the margin profile of the company as we enter FY '26.

Hiral Chandrana : And Saket, on the top line and revenue, I already mentioned, we're pleased with the quarter-on-quarter Q1 growth. We feel that the healthy kind of top line revenue momentum will continue.

We have some good growth in the pipeline that has happened in the last few quarters, and we believe that, conversion to order book and then, of course,

conversion to revenue. While there is going to be continued delays in decisions, but we feel that the top line momentum of what we delivered in Q1 can be sustained in the following projects.

Saket Souradh : Now coming to the recent change in the U.K. government. I know you alluded to that in the earlier queries. But do you expect any further delay in decision-making and especially on the NHS front, I think, which used to be our bread and butter, but has seen some bit of softness for the last, say, 12 months to 18 months. So any color on these 2 aspects. Overall decision-making from the government aspect and do you see NHS coming back to the growth?

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Hiral Chandrana : So firstly, I think next few weeks, particularly August tends to be a little bit of a holiday period. But as the new government is taking charge and settling down, we feel there'll be a lot more clarity on decisions on budgets. We're seeing early signs already on, for example, in the revenue and customs department, there were a couple of deals that were paused 6 months back. We were hopeful 6 months back on some of the deals that got paused as a result of election period, and now they are coming back up, in terms of the process. So we're already seeing some early signs in those decisions and clarity of the process of some of those opportunities.

As far as NHS is concerned, like you rightly mentioned, we had an impact in the last 2 years as a result of NHS, but we also communicated in the last quarter that it has bottomed out for us. And now with the U.K. elections already behind us, we see some really good green shoots there. There are two specific deals that if some of you might recall that we actually had won last year, but we could not ramp-up because those programs were put on pause. One was in collection, second was in pathways and both those have gotten rejuvenated, although it's in a slightly different size and scale, but we're back up there having conversations of how we re-engage in

those.

So NHS, we've also sort of raised our profile with multiple stakeholders across different departments. Our dependency was very high in the past with NHS digital after the reorganization happened last year and the consolidation under NHS, England. We now have 8 to 10 different stakeholders, new stakeholders that our team has done a fantastic job in building relationships over the last 6 months. Plus, we're also looking at sort of the arm's length bodies and the integrated care units, which include many of the NHS trusts where the spend happens. So to us, that's a gradual but evolving positive story, where I think NHS will be on a growth path going forward.

Saket Souradh : Thanks, for the replies and best of luck for the upcoming quarters.

Hiral Chandrana : Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Hiral Chandrana : So once again, thanks for the engaging questions, your trust in Mastek . Hopefully, our response has provided more clarity on not just the current state and quarter, but also some of the initiatives and priorities that we are focused on and outlook for the future. I want to maybe close with 2 or 3 comments.

One is, we're very excited about our umbrella brand called iConniX, which is what we launched and announced a few weeks back. iConniX is our GenAI portfolio of offerings. While we've talked about only a few solutions around NVIDIA, around some of the Health care and retail use cases, but we're also working on some horizontal platforms. For example, our partnership with Microsoft in this solution called InfoGENius as well as our partnership with Oracle in our solution for HCM called TalentGenius. So, these are examples of conversational interfaces as well as GenAI solutions that we are building on the leading

platforms. So overall, the industry

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is starting to kind of get a grip around how this entire ROI will evolve around GenAI. And over the next few years, this is a USD 200 billion industry. We feel very excited that our positioning and differentiated approach which is lot more around platform thinking and industry -specific use cases is going to change not just our business mix, but also in terms of how we elevate our profile with customers.

The second is, the 4 strategic priorities that we've communicated, we'll continue to stay focused on that. Our public sector central government business in U.K. our Health care business in U.S. powered by Oracle Cloud and Salesforce, our data and AI business globally and our overall top 30 accounts. While we talk about our top 30 accounts, there are 20 additional accounts where we're starting to see some good traction. So overall, account mining story and cross -selling and much more deliberate profile of customers that we pick in terms of new logos as well.

And lastly, I understand with the Q1 numbers, there is a drop in operating EBITDA, but we feel this onetime impact plus some of the resources that we had held on will be positive for us from a revenue perspective going forward. And with the momentum that we have across all 3 geographies, including AMEA, U.K. Europe as well as U.S. our growth momentum can be sustained in the coming quarters. So with that, thank you, everyone, for your participation and look forward to future interactions. Thank you.

Moderator: On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2024

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the Quarter ended June 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the quarter ended June 30, 2024, conducted on July 18, 2024, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at [https://www.mastek.com/investor -financial -information/](https://www.mastek.com/investor-financial-information/)

Thanking you,
Yours faithfully,
For Mastek Limited Dinesh Kalani
SVP – Group Company Secretary
Encl: A/A

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"Mastek Limited

Q1 FY'25 Earnings Conference Call "
July 18, 2024

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE
OFFICE R, MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER ,
MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

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Moderator: Ladies and gentlemen good day and welcome to the Mastek Limited Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand over the call to Ms. Asha Gupta. Thank you and over to you, Ms. Asha Gupta.

Asha Gupta : Good evening to all of you. Welcome to the Q1 FY '25 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you and you can also view them on the website at www.mastek.com.

To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Mr. Hiral Chandrana - Global CEO, and Mr. Arun Agarwal - Global CFO. Hiral will start the call with a business update, which will be then followed by Arun providing the financial update for the quarter.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Hiral Chandrana. Over to you, Hiral.

Hiral Chandrana : Thank you Asha. Good evening, everybody. Hope everyone is doing well. I will cover the highlights of the quarter, followed by an update on key strategic priorities and then also give some commentary on the outlook where we see the industry and market going forward. As we've reported our results, our revenue quarter-on-quarter increased by 4.3% on INR terms. Year-on-year is 12.1% on an INR basis. We are pleased with the revenue uptick and the momentum on the top line. Our 12 months order book backlog, while it was flat quarter-on-quarter, increased 23% year-on-year. Q1 is typically a slower start to the order book, but we see some really good deal momentum in pipeline building and confident about the deals in the future quarters.

Our operating EBITDA was a disappointment. We had some onetime hits which we'll talk about in the subsequent discussion. But there were a couple of provisions that we had to make, and it was at 15.2%. We had some fairly unique and differentiated wins across multiple geographies and multiple offerings. I'll just mention a few of them. One particular U.K. department, which handles immigration and law enforcement, we've been working with them on our digital operational dashboards and asylum and refugee management through the case working platform that we have built, and we continue to enhance that and modernize those platforms as more and more volume flows through those case management systems.

For a U.S. Health care client, we are modernizing their claims management platform powered by Salesforce, where this particular regional health plan is looking at how to optimize and automate Mastek Limited

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some of their claims processing. For a USD 7 billion retail recreational vehicle manufacturing and distributor company in U.S., we've taken over 2 digital engineering pods and won a customer loyalty program, which is an account we opened 6 months back and is showing some amazing traction. For one of the central banks in U.K., we have won data and analytics platform deal, a great example of synergy from our BizAnalytics acquisition where our teams work together to win that against some stiff competition. We're just scratching the surface there

and we see great potential in building on this initial pilot going forward.

These are some of the examples, but what I'm really excited here is, as we look at our top strategic priorities, which we have continued to reinforce last few quarters, our Health care business continues to grow, particularly in U.S. Our secure government services business, which is our central government business in U.K., continues to have good pipeline. Elections were moved ahead, as you know, in the U.K., so some of the uncertainty around the , the election period is now behind us and so we see a lot more clarity on the new Labour Party executing on their manifesto, particularly on the NHS and health programs, the defence programs, some of which we are focused on.

Account mining has been a key focus for us. We've communicated in the past to our investors and analyst community about our top 30 accounts, which roughly forms about 57% of our revenue and we continue to see growing momentum on cross-selling service lines across those accounts. And as you'll notice and as we have communicated, we want to continue to grow top line, not necessarily by growing number of accounts. In fact, by conscious design, we've continued to reduce the number of accounts, particularly in our AMEA geography from 250 accounts to 175 accounts over the last 2 quarters while of course, growing top line. So, this is an example where you'll see deeper account mining, which is leading to deeper relationships as well as more USD 1 million, more USD 3 million, more USD 5 million accounts.

In the data and AI space, which is our fourth key priority, we continue to see some great examples of wins, but we are particularly excited about some marquee partnerships with NVIDIA, with Microsoft, with AWS that we've announced over the last few quarters. The recent one with NVIDIA is a very differentiated partnership where we are leveraging the NVIDIA inference and interface micro services API to channel into multiple large language models where we have built our experience, insights and correlation engine so that we can drive industry-specific use cases. Some of the industries that we are focused on include sub-verticals in manufacturing, fraud analytics within the financial services and also benefit verification use cases in the Health care sector. We believe that this is truly differentiated. It's initial stages, as we expand on this momentum, we will see a lot more larger deals in the coming quarters through this partnership.

As we look ahead, there are continued macroeconomic uncertainties and deal delays, which we see in the market. So customers are still cautious when it comes to cost preservation as well as high scrutiny on some of the deals and the approvals. However, we are engaged in some fairly marquee programs, which are very strategic in nature. The kinds of conversations that we're having with cloud implementations, with some of the new digital engineering programs as well

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as in data engineering and data modernization programs are very differentiated. U.S., in particular, the Health care momentum powered by Oracle Cloud, has really kicked into high gear and we see continued momentum there with providers, with senior living facilities as well as with regional health plan. We also have kicked off an internal transformation, which we're calling Project Nucleus. And this is looking at the entire order-to-cash life cycle, some of which we had been doing some groundwork, but this is important to further streamline processes, automate certain inefficiencies and then hopefully, we can generate enough savings to repurpose in future investment areas, but also help with improved productivity and efficiencies internally. Coupled with our Gen AI internal AI Amigo platform, which we are driving to automate multiple functional areas, including finance, marketing,

HR as well. As we look at AI and Gen AI in an overall sense, we're starting to see some interesting pilots and proof of concepts moving into slightly larger programs, but we believe it will still take a couple of quarters for customers to truly see some of those ROIs coming from the investments that we have made. We are looking at this very strategically in multiple pillars. There's AI that is getting infused in our key platforms like Oracle, like Salesforce, like Microsoft, AWS and Snowflake. There is a nonlinear set of initiatives that we have embarked on about 18 months back, which is starting to come together for example, in the connected enterprise areas. And then there are some of these newer partnerships like NVIDIA that I talked about. So it's coming together well in a nice way for us where a lot of the data engineering and data foundation will be built on as customers look at much more ROI from the AI investment.

I had given 3 specific areas in our last quarter's commentary around our U.S. geography. So I want to address that, again, very transparently. There was one particular customer where we had a challenge when it comes to delivery. We have now recovered through that program. We made the right investments in people and are out of the woods out there and engaged in now some new discussions with that program. It was a financial services customer in the East Coast. There was a second program that we had talked about where a large engagement had moved from on-site to offshore. So that obviously is getting executed. There's no change in that. And there was a third area where there were three deals, in particular, two that we talked about, but three deals, which had been delayed in terms of closures. So, I want to report that two out of those three deals have closed, although it did take us longer than anticipated. This was in a particular pocket within some of our Salesforce business in the US And because those deals got delayed, we continue to keep those resources and we made a tough call to handle and keep those resources, rightly so because now we've been able to deploy them and actually ramp them up in the projects that are now commenced, but it did impact our EBITDA for Q1. Arun will talk about some of the aged receivables in Middle East, which we had an impact also because of the holiday period in Middle East, but we are confident of recovering from that and coming back to our original margin levels in the coming quarters.

So with that, I think overall business momentum continues to be strong. While I said there will continue to be some level of caution, there's more optimism compared to 3-4 quarters back, particularly as it looks to the second half of the year. And we are confident that we'll continue the growth momentum on the top line while coming back on the EBITDA front.

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With that, I'll pass it over to Arun, and I look forward to answering questions after that.

Arun Agarwal : Thanks, Hiral. A very warm welcome to everyone on the call. I hope all of you have seen the detailed presentation, which was shared. Hence, I will focus more on the financial metrics. We reported revenue of INR 813 crores for the quarter, which is up 12.1% year -on-year and 4.3% quarter -on-quarter in the INR terms. This reflects into constant currency growth of 4.1% quarter -on-quarter. While macro challenges and delay in decision -making continues, as Hiral alluded to, however, we are witnessing good deal momentum in line with our strategic investment and the same is reflected in our order backlog, which has improved 23% year -on-year in INR terms. We added 13 new customers during the quarter and increased Fortune 1000 customer base from 34 to 36 in the current quarter. So we're continuously seeing the uptick in the average revenue per customer and also the quality of customers, which we are on boarding.

Operat

ing EBITDA for the quarter was at 15.2%, a decline of 80 bps quarter -on-quarter. This has been led because of two critical reasons which has happened in the quarter. One is cost of ramp associated with delayed project commencement, specifically in the Salesforce business, which Hiral alluded to, but we are really confident that the growth is coming back, and we are seeing these resources getting deployed, which will reflect in our margin profile in the coming quarters. And also, we had onetime impact, including PDD in our Middle East region. Because of holidays, there were delays in collection and because of the aging, you have to provide for it. We don't see any risk into those collections; however, from a timing perspective, those provisions were required to be made as per accounting rules.

Profit after tax for the quarter was at INR 17.5 crores revenue, 8.8% of revenue; however, our profit for tax quarter-on-quarter has gone down. If you recollect, I had mentioned in the last quarter, we had onetime tax credit associated with deferred tax and which led to increase in our PAT due to reduction of tax expense. This quarter, the tax is on a normalized basis, in line with what we anticipate to incur on an ongoing basis.

Our gross cash as of June end was INR 383 crores. It is reduced from INR 473 crores in the March. I would like to highlight that in the current quarter, we have paid annual bonuses and variable payout to all the employees across Mastek, which led to a reduction in operating cash for the quarter. And our DSOs, as I mentioned, for the PDD reason, has gone to 92 days versus 89 days. As I mentioned, we believe this is more timing gap and things will improve as we move to the coming quarters.

Our overall borrowings stood at INR 455 crores. It has reduced quarter -on-quarter as we have paid one more installment as it was due during the quarter. Our closing headcount has increased to 5,546 headcount, a marginal increase quarter -on-quarter. Utilization is flat at 86.5% without considering the lease impact. So broadly, we feel good momentum is building up. Our revenue continues to grow. Order book further gives us confidence. And margin, we are focusing to improve and bring it back to the levels we were operating at.

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With this, thanks to everyone for continued trust in Mastek. Going back to the moderator and opening the house for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session.

Debashish : Congrats on a good set of numbers as far as the top line is concerned and order book is concerned. My question is more linked to the one-off cost that you have mentioned. If you just can elaborate what is the exact number of the provision that you have taken for the quarter, and how much is linked to US ramp -up delay and how much is linked to the Middle East market?

Arun Agarwal : So Debashish, on a high level, roughly 120 bps is the impact . Again, it's a combination of both US and AMEA . Predominantly, AMEA is related to your DSO and PDD increase, and the balance is because of the resources, which we had used for the ramp -up, delayed project commencements out there. You can assume 50 -50, but broadly in the similar range.

Debashish: Okay. Understood. And the second question is linked to the US market because if we see over the last 2 to 3 quarters, especially, if the growth is coming, margin is not coming; if the margin is coming, growth is not coming. It seems that US market is not getting stabilized for us. So if you can give us some amount of direction that by what time you are expecting US market to stabilize and how much this is linked to the macro uncertainty and how much this is linked to our client -related issues?

Hiral Chandrana : So Debashish, this is Hiral. Thanks for that question. You're right with respect to some of the unevenness, lack of consist

ency, like you rightly pointed out. However, if you take a step back, I just feel it's important to appreciate that 3 years back, we were a very, small business in the US, particularly with almost kind of a declining Oracle Cloud Commerce ATG business, which essentially no longer exists for us. So it's almost sort of starting from scratch in the region. With the right investments organically and inorganically, we're now at a little over 100 million type of annual run rate business, which has come together fairly well in a kind of a profile of customers and clients, 35 -plus Fortune 1000 clients, some marquee brands, in some cases, Fortune 500 as well as the types of conversations and the accounts and the deals that we're having is at a very different level. So that journey definitely has taken much longer.

Having said that, now we have critical mass, and we have the right teams in place. We have also some of the visibility and ability to balance off, in case something doesn't happen in any particular quarter. Now there will be some level of uncertainty, I think, as clients continue to be very cautious on spend. But the differentiated areas that we are focused on, which is, again, going back to healthcare in U.S., both on payers and providers, are focused on Oracle Cloud and data and AI and Salesforce as well as, as we start winning digital engineering projects, we've just won another deal, which happened actually in Q2, in early July, so we did not announce that in the Q1 results, but it is a capital market customer in the East Coast, which was one of the clients from the BizAnalytics acquisition where we've now closed an AWS digital engineering deal.

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So, these are some of the examples of deals that we are winning. I guess, the net-net answer to your question, though, is that we feel that there is a certain critical mass in that geography, which we did not have in the previous 4 to 5 quarters. And from here on, we'll have a lot more leverage when it comes to even improving our EBIT and operating margin. And generally, I would say bullish kind of view of US, particularly as we look forward, although we need to demonstrate that in 2 or 3 quarters of consistent results and that's when we will feel a little bit better.

Debashish : Sir, just a follow-up on the US market again. It seems that we are mainly targeting project-related businesses in US, which is kind of giving us quarter-on-quarter uncertainties. And obviously, it is getting difficult to put a number on how our growth and margin trajectory would be. Is it fair to assume that this project-related business focus is kindly impacting us? And going forward when macro economy will turn back, we'll be able to get a better growth and better margin?

Hiral Chandrana : So it's a good point, Debashish. Our business mix was heavily project related. If you rewind back 18 months in terms of commerce projects or cloud and Oracle Cloud projects, the Salesforce projects or even some of the other implementations that we have done, so what you're saying is partially right. However, the mix has changed quite significantly in the last 1.5 years. And wherever we are doing projects and implementations, we're following that up very quickly with managed services engagement. The stickiness of our clients has improved to the point where we are being more qualified in the new clients that we are onboarding particularly in US and in Middle East because we want to make sure that the new clients that we are acquiring are also longer-term clients. There used to be a phenomena 2 years back in the US where we used to have 10, 20 clients we opened and then three quarters later that client is done because the project is done. That's no longer the case. So that stickiness has definitely improved. We want higher balance of managed services and that's definitely an area which the

team is focused on,

but it's a little bit of a gradual journey there. I would say in the next one or two quarters we'll reach by the end of this fiscal year a good mix a comfortable mix.

Hopefully by then some of the discretionary spend will also be a little bit at a different level which will position us very differently because some of the sweet spots that we have even in the current uncertain environment we've been able to win cloud and digital deals. So hopefully that answers your question.

Debashish: Sure. One last question if I may. In this quarter, we have seen that UK private has started growing for us after a very long time. Is it like we're getting some traction there or is it like a one-off we should not draw a conclusion out of it?

Hiral Chandrana : Yes, so it is an area which we had seen historical flatness and even decline in the previous years. The team has done a good job in focusing on some very specific sub-vertical, particularly sub-verticals within financial services. We also are getting some good traction in our existing clients. We announced a win in a Central Bank which is a very key win in UK which also sets the stage for us to grow in that particular account going forward.

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So, there's some definite green shoots out there in the U K private sector, there's some positive signs. We do need to open some new marquee logos out there that can help us scale because we're still a small business out there, relatively speaking. Our public sector and central government business is much more mature. Our private sector business in U K is still in the growth phase. But definitely we are seeing some good signs in terms of both customer interactions as well as pipeline and order book.

Debashish: Sure. From the order book it seems that this year our growth number will be in the high mid - teens. Is my calculation correct? And if you can also give some indication that what would be the stabilized margin for us for FY '25?

Hiral Chandrana : Yes, Debashish as you know we don't provide guidance on specific numbers, but the top line momentum that we have in Q1 we feel that that's a healthy momentum that we should be able to continue in the remaining quarters. Margin anyways Arun also mentioned about the onetime hit in Middle East as well as the project ramp -up and the resources that we had to hold on to, but we definitely want to operate closer to that 16.5%, 17% type of margin in the second half of the year.

Debashish : Sure. Thank you so much for answering my question.

Moderator: Thank you. Next question is from the line of Mr. Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain : So, first is on U.K. Government, should we expect some acceleration ahead now that some of the uncertainty is behind in terms of contract awards that is one. And second was cost related. We also saw this reduction in D&A during the quarter. Is it onetime or this is a new rate for depreciation -amortization going forward?

Hiral Chandrana : Okay. Arun why don't you take the second and I'll cover the first.

Arun Agarwal : So Mohit as I mentioned last time as well, we had onetime useful life alignment for the intangibles which you acquire during which basically comes at the time of acquisition of entities. So which was done as onetime. So what you see in depreciation is more the regular one and you will see the incremental increase as and when we make the capex, but broadly what you see in the current quarter is the range you should look for.

Mohit Jain : And your tax rate should go towards 26%, is that correct?

Arun Agarwal : Yes, it's broadly in the range of 26% to 27%. It keeps moving in that range because depending upon which geography is making more profit sometimes there's a blend with change, but I think 26%-27% is a good range for us.

Mohit Jain : Got it sir. Sir on UK government acceleration

on effect if we should expect that?

Hiral Chandrana : Mohit your specific question was on U K government ?

Mohit Jain : Correct.

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Hiral Chandrana : Yes. We have some very critical programs and policies that we are involved in and as you know it is a strategic part of our business from biometrics to immigration to some of the law enforcement as well as the work that we do for asylum and refugee management and there's always some pros and cons on the election timing. For us, it has worked in a positive way because some of the deals and some of the programs that we were going after both in our existing accounts as well as in our new departments that we were targeting like justice and drivers vehicle agency etc are now a lot more clearer in terms of potential timing and spend areas. But the cycles of the central government are longer as you know. And so some level of uncertainty will exist in the whole adjudication process, but we continue to feel strong about the growth potential in the assets and the differentiation that we have in the UK government. The manifesto of the Labour Party which includes clarity on immigration as well as health sector should hopefully benefit in the coming days and weeks, in fact after this I'm headed to UK and spending some time next week out there to engage with some customers and analysts and partners.

But we do see that in a few weeks after the holiday period that typically ends in August, things should start opening up. We are already seeing some deals which again we cannot announce it right now because it was in Q2 and there's a quiet period, but there are some movements that have happened already after the elections.

I think while some of the ministers are taking charge and some of the charters are being announced, there's also some increased action that we see in the defense sector which is another focus. If you remember in the last quarter, we talked about the overall defense sector and our bets on that from a medium to longer term. So we're starting to see things pick up in there as well. So yes, overall we continue to see momentum, but the nature of that business will have long cycles and so I think we should be just kind of prepared for that.

Mohit Jain: All the best sir. Thank you.

Hiral Chandrana : Thanks Mohit.

Moderator: The next question is from the line of Farid Kazani , Individual Investor. Please go-ahead sir.

Farid Kazani: Good afternoon, Hiral and Arun. I have two questions. From numbers I observe that the profitability has significantly reduced from the US, and we look at EBIT from the 9% in the last quarter it's down to 3% and even last year it was much higher. While I know Arun did allude to some impact of that 1.2%, but what is causing this reduction and is there something else either as a pricing impact or is there some element that is causing the drop in the profitability significantly in the U.S.? That's my first question.

The second question is with regards to the order backlog that has remained flat as compared to the last quarter. Can you give a little more color on it in terms of what's the breakup of this USD 260 million between the geographies?

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Hiral Chandrana: So, Arun why don't you take the US margin question and I'll address the order backlog.

Arun Agarwal : And Farid right observation because that's what is I mentioned as well as you rightly highlighted because we were holding the resources some of the projects we were anticipating to start much earlier and there was delay from the client side and some of the start delay out there which led to holding the resources and what is reflecting into the margin profile. However, as we see the growth is coming back into the US geography, we believe we'll come back to a double-digit margin profile in the current year.

That's the plan as we speak.

Farid Kazani : So Arun the gap is significantly higher from what you gave in terms of reason and the quantification of that the gap seems to be much higher. Is it again with related to the mix of business or is it related to some pricing issues which is what is the probable cause?

Arun Agarwal: No, it's predominantly one-time as I mentioned. There's no pricing issues as such. We continue to get good rates. Obviously, the kind of business, different service clients will have different margin profile and different rate profiles, but we are not seeing any margin pressure. It continues to be healthy, and we are not bidding for deals which are more of where you lose the pricing. We are bidding for the deals which are high-quality digital and cloud deals, and we are getting right price and right margin in those areas.

Hiral Chandrana : And Farid, your question on order book backlog. While it is flat like you rightly pointed out quarter-on-quarter, we typically have an operating plan from Q1, Q2, Q3, Q4, where our Q1 order book starts typically a little bit slower in the terms of percentage terms. Although we did have a healthy order book in Q1, we're able to left shift some of the deals. So that's basically reflecting in terms of orders closed and the revenue that you saw, which is USD 97.3 million. So we do believe that the order book momentum both in terms of total order book as well as how it will reflect in the 12-month order book backlog, which we track very closely as you know will continue to increase. It has been increasing, I think last 8-9 quarters just broadly speaking. So that trajectory at an overall level will continue to increase. And then of course, we want to sustain the revenue momentum in terms of converting those orders into revenues.

Farid Kazani : Okay. And the split between geographies? And how much of this USD 260 million, which is 12 months, how much is the first 9 months, which will get accounted in this year?

Hiral Chandrana : Arun, do you have that handy? Or we may not have that handy, I think.

Arun Agarwal : We don't have this handy but if required, we can discuss offline, yes.

Hiral Chandrana : The question is about 9 months.

Arun Agarwal : Yes.

Hiral Chandrana : I mean, there's typically a pattern where we track ACV of that, Farid but I don't think we have that split of what will be in the first 9 months, but we can get back on that separately.

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Farid Kazani : Okay. Any update on fund raise that you guys would be looking at? And if there is, what's the kind of status on that?

Arun Agarwal : No, we have stated I think there were some rumours as well going on in the market. I think we replied to the exchange, Farid. There's no development as such. But if anything comes, we will be proactive and be coming and informing to the investors.

Farid Kazani : Thank you very much.

Moderator: Thank you. The next question is from Nilesh Jethani , BOI Mutual Funds. Please go ahead.

Nilesh Jethani : My first question was on the margin profile. So we had guided for 17%-odd margins level in FY'25 because we wanted to do some investments and focus on growth. So I wanted to understand with the margins what we have reported in Q1, how confident are you to achieve these margins on a full year basis or 17% was the exit guidance?

Arun Agarwal : That's a good question, Nilesh. Obviously, we have said our endeavor has to be operate in the range of 17% in short term. And gradually, we'll see in the medium term how can we grow it but that was our stated objective. At the moment because of this onetime impact in Q1 our objective is to bring it back closer to 16.5% to 17%. That's the objective for H2 and that's where we'll exit, and we'll build on it for next year.

Nilesh Jethani : Got it. So when I look at Mastek from a sustainable basis if give or take the annual revenue run

rate what we are today at around USD 400 million just wanted to understand at what rate whether it is U.S. business scaling up from here or the existing core business growing at a much higher pace core as in the U.K. -Europe business growing at a higher pace. At what levels of revenue one can expect that 17% to 19%, which was the aspiration which we had, so that towards 19% kind of a number at what revenue run rate whether it is from a U.S. perspective or from the company's perspective, you can help me understand that?

Hiral Chandrana : So Nilesh, this is Hiral. Let me take that. Arun, feel free to add. The way we look at the 3 geographies there is significant untapped potential in the U.S. market, which we believe in the right areas of health care Oracle and Salesforce as well as in the account mining focused bets that we have. Like I mentioned, it's taken a little bit longer to get to this point, but we have good critical mass right now. From here on, we believe that the margins in the U.S. will continue to improve over Q2 and the following quarters. And the year-on-year growth as well as quarter-on-quarter growth in that geography will be faster than the overall company growth.

In AMEA, which is our Middle East and APAC business, we have seen good growth. However, I do want to point out that we have been taking some very conscious call on exiting certain tail accounts, which again has been a by design strategy for us. We will continue that to make sure that the quality of the business that we have out there. There used to be a point where we used to open 30-40 accounts and then 15 accounts will be closed in the following quarters, and we don't want to be in that business. So the qualification of our accounts and new logos are very strong now. And we believe these are good medium longer-term accounts where we see

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downstream business and our ability to take the entire Mastek suite of service lines and offerings to them. So even in our Middle East and AMEA business the margin profiles will go up. There will be some of these collection issues, which we've had in the past, which we're taking steps on. So that's as far as the AMEA business is concerned.

On the U.K. public sector and U.K. business overall does operate at a very healthy margin. We're looking at the geography for closing some larger deals in the coming quarters. There is a couple of competitors very large MNC competitors who are not doing so well in that geography. So we have a good medium to longer-term opportunity to target market share grab. So I think the combination of these 3 kind of strategies in the various regions will evolve over the next few quarters where our margin profile should get more healthy. The leverage should be much better as well as we are running this program like I said, where we continue to find innovative ways to delay our organization, create some more efficiencies internally not just in the delivery of software development life cycle. But even in our processes so that we can continue to reinvest and repurpose into AI, into account mining, into large deals. So that's how we sort of are looking at this journey, Nilesh.

Nilesh Jethani : Okay. Because question actually was, say at USD 100 million U.S. run rate today, we expect say, give and take it grow at the company level or slightly higher in U.S. in this year and we would be able to reach at least double-digit margins in U.S. So going ahead, say from FY '26, FY'27 perspective if you continue to grow at, say 10%, 15%, 20% in U.S., so the incremental flow-through of those incremental revenue will fall into EBIT or will continue to deploy that? So are we looking at U.S. margins in isolation and want to drive that maybe towards the company level from 10%-odd aspiration by the year-end is that the thought process? Because U.S. is a big

picture for us. As far as Mastek is concerned driving higher growth in U.S. will drive operating leverage, et cetera but also need to understand whether that will help us to drive margins for the company level itself?

Hiral Chandrana : So, we definitely want to get the U.S. margins closer to the company level. Like you rightly said we should be able to get into double digits in this coming quarter and in the H2 time frame. But in FY '26 and beyond; we'll always prioritize growth in the U.S. market because I think the opportunity untapped is still pretty high. But our margin profile needs to be a lot more closer to the company level. It might be a couple of percentage points lower, let's say in the 15% of the range. But we'll get to a much stronger business mix as well as profile in FY '26.

Nilesh Jethani : Got it. And one last question from my side. In Q4, we got selected as a key supplier for U.K. defense department. The deal value was 1.2 billion GBP for that department itself. If the

opportunity. Just wanted to understand what could be opportunity for Mastek A; and has the ramp-up begin? And what to expect from FY '25 or '26 perspective the numbers into top line from this deal itself?

Hiral Chandrana : We have actually communicated this in a couple of other forums where the different lots that were awarded and the 2 specific lots where Mastek in one case is a prime, in one case is a sub.

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The total opportunity size for Mastek, of course we still have to go through the process and go through the win or adjudication process and have those in. But the total opportunity over the next 4 years is in the range of about 50 million from that particular win. Like I said, there's always pros and cons of the elections being happening earlier. There were some good advantages.

But one of the things that happened is that the ramp-up on that was definitely paused in the last 2 months. And now we are seeing that is starting to open up. So we see the defense and the ramp-up from the wins that we had there, starting in August ramp-up, the actual impact in FY '25 is not going to be that significant, but there will definitely be some incremental impact in H2 in terms of revenue and it will start to pick up even more in the next 2 years.

Nilesh Jethani : Thank you so much, for answering all the question.

Moderator: The next question is from Saket Souradh , from individual investor. Please go ahead.

Saket Souradh : So yes, based on the Q4 conference call, so we had outlined 2 things. One, the margin part, which I think now we have scaled it down, right, from 17% to be maybe more around 16.5%, that too in H2. But as far as revenue aspiration is concerned, we had stated that the growth for FY '25 would be higher than what we achieved in, last financial year, which was, I think, 16% -17% kind of a range.

So based on the order deferment and all those things that we have just outlined, so how confident are we of, say, doing better on top line growth perspective? Do you have any adjustment on that front as well?

Arun Agarwal : As we mentioned, that there were one-timers, so as a pattern, we still hold our statement. We want to be operating closer to 17%, as I mentioned. So there was an impact in Q1. As you will see continuous improvement in quarter 2, we'll be improving further the margin profile. And in H2, we'll come back to 17% kind of the range is what we are looking for. And thereafter, that is what will get reflected into the margin profile of the company as we enter FY '26.

Hiral Chandrana : And Saket, on the top line and revenue, I already mentioned, we're pleased with the quarter-on-quarter Q1 growth. We feel that the healthy kind of top line revenue momentum will continue.

We have some good growth in the pipeline that has happened in the last few quarters, and we believe that, conversion to order book and then, of course,

conversion to revenue. While there is going to be continued delays in decisions, but we feel that the top line momentum of what we delivered in Q1 can be sustained in the following projects.

Saket Souradh : Now coming to the recent change in the U.K. government. I know you alluded to that in the earlier queries. But do you expect any further delay in decision-making and especially on the NHS front, I think, which used to be our bread and butter, but has seen some bit of softness for the last, say, 12 months to 18 months. So any color on these 2 aspects. Overall decision-making from the government aspect and do you see NHS coming back to the growth?

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Hiral Chandrana : So firstly, I think next few weeks, particularly August tends to be a little bit of a holiday period. But as the new government is taking charge and settling down, we feel there'll be a lot more clarity on decisions on budgets. We're seeing early signs already on, for example, in the revenue and customs department, there were a couple of deals that were paused 6 months back. We were hopeful 6 months back on some of the deals that got paused as a result of election period, and now they are coming back up, in terms of the process. So we're already seeing some early signs in those decisions and clarity of the process of some of those opportunities.

As far as NHS is concerned, like you rightly mentioned, we had an impact in the last 2 years as a result of NHS, but we also communicated in the last quarter that it has bottomed out for us. And now with the U.K. elections already behind us, we see some really good green shoots there. There are two specific deals that if some of you might recall that we actually had won last year, but we could not ramp-up because those programs were put on pause. One was in collection, second was in pathways and both those have gotten rejuvenated, although it's in a slightly different size and scale, but we're back up there having conversations of how we re-engage in

those.

So NHS, we've also sort of raised our profile with multiple stakeholders across different departments. Our dependency was very high in the past with NHS digital after the reorganization happened last year and the consolidation under NHS, England. We now have 8 to 10 different stakeholders, new stakeholders that our team has done a fantastic job in building relationships over the last 6 months. Plus, we're also looking at sort of the arm's length bodies and the integrated care units, which include many of the NHS trusts where the spend happens. So to us, that's a gradual but evolving positive story, where I think NHS will be on a growth path going forward.

Saket Souradh : Thanks, for the replies and best of luck for the upcoming quarters.

Hiral Chandrana : Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Hiral Chandrana : So once again, thanks for the engaging questions, your trust in Mastek . Hopefully, our response has provided more clarity on not just the current state and quarter, but also some of the initiatives and priorities that we are focused on and outlook for the future. I want to maybe close with 2 or 3 comments.

One is, we're very excited about our umbrella brand called iConniX, which is what we launched and announced a few weeks back. iConniX is our GenAI portfolio of offerings. While we've talked about only a few solutions around NVIDIA, around some of the Health care and retail use cases, but we're also working on some horizontal platforms. For example, our partnership with Microsoft in this solution called InfoGENius as well as our partnership with Oracle in our solution for HCM called TalentGenius. So, these are examples of conversational interfaces as well as GenAI solutions that we are building on the leading

platforms. So overall, the industry

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is starting to kind of get a grip around how this entire ROI will evolve around GenAI. And over the next few years, this is a USD 200 billion industry. We feel very excited that our positioning and differentiated approach which is lot more around platform thinking and industry -specific use cases is going to change not just our business mix, but also in terms of how we elevate our profile with customers.

The second is, the 4 strategic priorities that we've communicated, we'll continue to stay focused on that. Our public sector central government business in U.K. our Health care business in U.S. powered by Oracle Cloud and Salesforce, our data and AI business globally and our overall top 30 accounts. While we talk about our top 30 accounts, there are 20 additional accounts where we're starting to see some good traction. So overall, account mining story and cross -selling and much more deliberate profile of customers that we pick in terms of new logos as well.

And lastly, I understand with the Q1 numbers, there is a drop in operating EBITDA, but we feel this onetime impact plus some of the resources that we had held on will be positive for us from a revenue perspective going forward. And with the momentum that we have across all 3 geographies, including AMEA, U.K. Europe as well as U.S. our growth momentum can be sustained in the coming quarters. So with that, thank you, everyone, for your participation and look forward to future interactions. Thank you.

Moderator: On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2024

Mastek Limited

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SEC/ 087/2024- 25 October 25 , 2024

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BSE Limited

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Mumbai -400 001

SCRIP CODE: 523704 Listing Department

The National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

SYMBOL: MASTEK

ISIN: INE759A01021

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the Quarter ended September 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the quarter ended September 30, 2024, conducted on October 18, 2024, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at

<https://www.mastek.com/investor-financial-information/>

Thanking you,

Yours faithfully,

For Mastek Limited Dinesh Kalani

SVP – Group Company Secretary

Encl: A/A

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“Mastek Limited

Q2 FY'25 Earnings Conference Call ”

October 18, 2024

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER ,
MASTEK LIMITED

MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER ,
MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Asha Gupta from E&Y. Thank you, and over to you, ma'am.

Asha Gupta: Thank you, Ms. Sejal. Good day to all of you. Welcome to the Q2 FY'25 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com.

To take us through the results today and to answer your questions, we have the top management of Mastek represented by Umang Nahata, CEO, and Arun Agarwal, CFO. Umang will start the call with a business update, which will be followed by Arun, providing the financial update for the quarter. Post that, we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent Annual Report that you can find on our website.

Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.

Umang Nahata: Thank you, Asha. Good afternoon and good evening to everyone. Welcome to the quarterly results call for Mastek Limited for the Q2 performance. I'll cover a few broad topics today. I'll take you through the overall performance of Mastek for this quarter. We'll then also talk about how we are faring on some of our key strategic priorities and then would give some directional input on where we see the market trending and moving forward. After that, Arun will take you

through more details of our financial performance. And then, of course, we'll go through a Q&A round of answering your questions as far as possible.

On an overall basis, I think this was a very good quarter for us. We've had 6.7% quarter-on-quarter growth and also a healthy improvement in our EBITDA performance compared to the previous quarter. We continue to be cautiously optimistic as we step into the rest of the year and step into H2. Taking that down into some of our strategic markets on how the performance has

been, I'll start with U.K. and Europe, which is our most important and largest market. U.K. continues to be resilient and growing for us in this quarter. As the new labour government starts taking hold of the business and making some more clarity in terms of their direction and execution, we're starting to see some important flow down to our business. For example, the health care investment of the government, which is now much more stronger and directional is very positively impacting our business. We are helping the government on a few very important deals that we saw in this quarter, both in terms of helping them with prevention of health care as Mastek Limited

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well as helping in collection of data and analysing that for providing better health care solutions. Our secured government services business continues to be stable and resilient, and we see steady growth in that portion of the business too. We are cautiously optimistic about the market as the government enters into this next phase of planning and budgeting and we feel confident that it should be a cautiously positive market going forward.

Talking about North America. We are

really delighted with the performance in North America.

We saw 18% quarter-over-quarter growth in North America. This has been backed by healthy performance across all our sectors and which is Oracle, Salesforce, Data and including health care and all the other commercial verticals that we focus on. We continue to see good traction in health care in North America. Again, in this quarter, we added a few new really important logos. We added another significant not-for-profit health care provider, which is known as one of the most innovative health care providers in the region, and we are doing a turnkey program for them. Our account mining strategy in North America continues to be a key focus for us, and we're seeing good cross service line growth in a few of our accounts wherein we are moving swim lanes from one service line to the other, and our capability expansion that we have been doing over the last year and half is now starting to really help with the account mining business that we had in North America.

As far as our APAC and Middle East business is concerned, as suggested earlier, we are really shaping up our focus and priority. Australia continues to be one of our key big bets in that market, and we are seeing good traction there. Again, we saw some really important new logos closed in this quarter, especially around local government and health care and the ports business in Australia. In the long run, we think, and we look forward to Australia to grow and become a significant portion of our business.

On an overall basis, all service lines continue to deliver and starting to execute well. Gen AI is a very important part of our strategy as we had been explaining earlier. We're currently looking at our AI strategy in three broad buckets. The first bucket is around delivering efficiencies and quality improvement on all the services that we offer, which is starting from Digital to Oracle to

Salesforce and Data. We are making some serious investments in terms of resources and capabilities to really upgrade our skills there, including training and tooling and partnerships, and we really would love to take that kind of efficiency back to our market very soon.

The second pillar is around development of Gen AI -led applications on our icxPro platform, it continues to evolve, and we have new cases, we have use cases that we have updated on that platform. We are running quite a few POCs with our customers, and we hope as we get into the next two quarters, we'll start seeing some revenue flow from these new applications or use cases that we are doing. The third important pillar that we have now started, and we are really excited about it is based or backed on the NVIDIA partnership that we had announced last quarter. We're now working on developing an enterprise AI solution, which will create a platform AI which is specific to clients and could be used for developing multiple use cases and applications, which will allow them to automate their business. Again, it is in the development stage. Currently,

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we're working closely with our innovation team as well as working closely with NVIDIA to put that solution together.

We have had initial discussions with some customers, and we are hoping to take it to market by Q4. So, AI continues to be front and focus of all of our next-generation developments and we will look at making significant investments and directionally shifting our business to AI-led solutioning and AI-led delivery.

On an overall basis, the market continues to be cautiously optimistic. We have some important global events happening, the elections in North America, the U.K. going through their strategic directions and priority finalization. And of course, there is some unrest in the Middle East market. So, we are very closely monitoring and observing the geopolitical changes. We currently do

not see any direct impact to our business in any of these geographies. However, like I said, we are cautiously optimistic and very closely observing the developments that are happening in various parts of the world.

With that, I would like to hand over the call to Arun to share more details on the financial performance of the company.

Arun Agarwal: Thanks, Umang. Wishing you all a very good day. Good morning, good afternoon, good evening, depending upon which part of the geography you are in. While detailed presentation has been already shared, I will cover key financial highlights for the quarter. We reported revenue of INR 867 crores for the quarter, which is up by 6.7% quarter-on-quarter, and 13.3% year-on-year. This reflects into quarter-on-quarter constant currency growth of 4.7%.

As Umang mentioned, we are delighted with our performance across Americas, U.K., and European market as they continue to be not only resilient, but they're also driving the growth, whether you look into from quarter-on-quarter or from a year-on-year perspective. We continue to win and onboard new customers, again, across the geography. During the quarter, we have onboarded 14 new customers, and consequently, our 12-month order backlog grew by 17.9% year-on-year. On a quarter-on-quarter terms, it's a marginal increase of 1.2% in INR terms, broadly flat when you see on a constant currency basis.

Our operating EBITDA for the quarter was at 16.5%, showing an improvement of 125 bps quarter-on-quarter. Kindly note this is after taking the partial impact of wage hike, which we have done for certain grades in the mid of this quarter. The full-scale wage hike as we said earlier, will be done effective Q3, but there was an impact which has been absorbed into the reported numbers. Obviously, there is some support, which we have got from the currency as the GBP was stronger versus dollar in the current quarter.

Our profit after tax for the quarter was at INR 128.7 crores versus INR 71.5 crores in the previous quarter. There are two reasons why the PAT has gone up. One, obviously, the operating EBITDA expansion has been reflected into our profitability. However, at the same time, we have certain exceptional gains in the current quarter which is partially offset by the old goodwill impairment,

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which has happened. But both put together still giving some additional income in the current quarter, both getting reflected into a profit after tax of INR 128.7 crores.

Our gross cash for the quarter was at INR 390.5 crores. Kindly note during the quarter, we have distributed dividend for last financial year to all our shareholders. And also, we have discharged all the loan instalments as they were due during the quarter. During the quarter, our DSO got expanded to 95 days versus 92 days. This was predominantly due to certain expected collections getting right shifted. We don't see any challenge. And in Q3 to Q4, we'll be able to further

improve the DSO profile of the company.

Borrowing as of 30th September stood at INR 643.6 crores. There is an increase of approximate USD 24mn to USD 25mn during the quarter as we had to borrow money for the payout of earnouts relating to MST acquisition. It was the only one amount which has been discharged. And now Mastek owns the Salesforce MST business completely and there is no further payout, which is expected in the future quarters.

Our closing headcount was 5,505. There is a marginal decline from 5,546 in the previous quarter. Our utilization was at 85.6% adjusted for leave which is marginal decline of 90 bps quarter -on-quarter. Our focus continues to be driving growth, and that is of paramount importance. U.S. recovery has been taken very positively, and we believe we'll continue to build on it. U.K. and Europe, as Umang mentioned, continue to be steady and driving the consistent

growth both

quarter -on-quarter and year-on-year. Keeping all profile of the company together and focusing upon the strategy execution, we are very, very positive as we grow in the coming quarters and the coming years to build on top of it.

Thanks for your time and support and your continued trust in Mastek. Going back to the moderator and opening the house for Q&A.

Moderator: The first question is from the line of Jalaj from Svan Investments.

Jalaj: Congrats on a very good set of numbers. The first question is relating to the U.S. market and we can definitely see some recovery there, 18% sequential growth. But if I see Y -o-Y growth, it is still at 11%. So just wanted to get some sense that the growth that we are seeing in the U.S. market, how much of that number is sustainable? How much of that is coming from macro tailwind? How much of it is because of the efforts that we have taken for last several quarters? So just wanted to get some sense there.

Umang Nahata: Jalaj, this is Umang here. Thank you for your compliments. So the U.S. growth, like you rightly said, we've had a good Q -o-Q growth and at a Y -o-Y level, we're still at a steady level from where we are. The key indicators for the growth, I would say, is largely based on the hard work that we have put in over the last 6 to 8 quarters. Like we had mentioned in our previous calls that we had some right shifting of a few deals and a few deals had got delayed in terms of start, as we got that into action on all of those transactions as well as there is new momentum that we see in the market.

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So, both of those have helped us come back with a healthy growth. This was a growth rate that we generally expected for the U.S. to grow. The macro is a positive sign. We haven't seen any direct impact of the Fed rate cuts on our business yet. But in general, the sentiment in the market looks to be positive as compared to where it was earlier.

Jalaj: Okay. So, basically why I was asking this macro -related question is our dependence on Oracle or Salesforce kind of business where the public related business or the discretionary dependence is very, very high. So obviously, we'll be getting the early mover advantage there when macro business comes in. So, do you see that happening? Or it is basically more to do with the efforts that we have put in on the top of the macro tailwind that we see?

Umang Nahata: While Oracle and Salesforce continue to be our important service lines for our North America business, our business is actually a lot dependent on our large installed base also. So account mining is a key part of our strategy, trying to upsell and grow into the accounts that you already have, and we have a really good set of accounts, we are a very fractional portion of their spending budget. So, our focus is on growing the accounts from that particular portion.

Having said that, we are continuously focused on generating net new business working with Oracle and with Salesforce. And I mean, we are optimistic that as the market improves, we'll start seeing more positive deal flow from Oracle and from Salesforce.

Jalaj: The second question is related to UK business. I divide U.K. in two parts. Obviously, our bread -and-butter government business there, which we have seen some kind of slowdown in this quarter. So first question related to that, whether it is more seasonal in nature and we are expecting recovery going forward? And second question is U.K. private market, if you see that for last 6 -7 quarters, that's a market which was kind of struggling for us. But last quarter also, we have seen the initial signs of recovery. This quarter, it was a blockbuster quarter seems to be U.K. private market or Europe private market. So, if you can give us some direction on both U.K. Government and Europe private market, what is happening on the U.K. side?

Umang Nahata: Sure, Jalaj. So, I think your observations are right. Our U.K. secured government services business continues to be steady and resilient. We saw a decent 5% quarter -over -quarter growth in that particular sector. Having said that, like I said earlier, we have a steady base business, but we're also trying to closely

monitor the government initiatives and what kind of directional flow will it have. And we are cautiously optimistic that it will drive more in our UK secured government businesses as the policies take more firm shape and the government spend directions become more clear.

As far as the private sector is concerned, again, your observations are very right. It's a sector that we have been putting in a lot of efforts over the last few years. And as you see, these efforts are now starting to materialize. As we expand our capabilities from digital to Oracle, Salesforce Data, we're seeing much more pickup across service lines. We've got new businesses in our Data capabilities, and we continue to see good momentum in Oracle and other capabilities that we

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have. So, the accounts that we had and the new accounts that we've added, as we offer them more broader services is really helping generate better traction within the private sector.

Jalaj: One last question, if I may have. If I see our number of clients and new client additions. Although it's part of our strategy, there is a significant reduction quarter-after-quarter we have seen. So last year same time, we had around 440 clients which have come down around 380 today. Do you think that it has kind of settled at the current level, we are happy with the number of clients that we have today or we see further kind of reduction there?

Umang Nahata: Again, good observation, Jalaj. Like I've been mentioning earlier, it has been a part of our strategy to start reducing the number of accounts, the tail accounts especially, and really focusing on the accounts that we have that we really want to go deep and expand our portfolio in. And as we grew our capabilities, we really wanted to go deep in some of the top accounts. And so, account mining has been a key part of our strategy. So, the reduction in the number of new client additions as well as the overall accounts that we service is a very thoughtful and strategic move that we have made.

We still see some more reduction in accounts, especially in the AMEA region, where we continue to have still a pretty long tail. So we would be making some more reductions in the AMEA region in terms of the number of small accounts or non-priority accounts that we have.

Our broad intention and direction is to have a healthy set of accounts and deliver phenomenal end-to-end services to them, and we continue to move in that direction.

Jalaj: From your comments, it seems to be that you are pretty comfortable from the growth level from the developed markets and you don't need to get back into the Middle East market where our debtor days get stretched because of new businesses there. So, is my understanding correct that U.S. and U.K. market growth would be sufficient enough for us that our debtor days and unbilled revenue will remain under control for next 2-3 quarters at least?

Umang Nahata: Jalaj, I think the way we are looking at this is Middle East and APAC is an important market.

We have a strong dominant position. However, the kind of business that we do in the market is where we are really trying to zero-down on. We definitely want to bring down our DSOs and improve our cash flow and collection in the market so which is where we are looking at the right set of customers and the right set of verticals. So there is going to be further focus in terms of the kind of business that we want to do. Having said that, we continue to want to grow in Middle East and APAC, but our growth has to be more system

atic and in structured verticals and accounts that we want to do. So it's going to be more targeted growth that we are going to look at rather than just by adding more customers that we used to do long back.

Moderator: The next question is from the line of Hasmukh from Tata Mutual Fund.

Hasmukh: Congratulations on a great set of numbers. So, I have a few questions. Firstly on order backlog.

So, if you could elaborate on the order backlog in terms of tenure of these deals or what are the

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areas where we have won major deals? And with the UK reviving, do you think 11% CC sort of growth can move to mid- to high teens?

Arun Agarwal: Thanks for the question. The order backlog report is 12 months order backlog. All of these are going to be executed in the next 12 months. So that is what the number is reported. Obviously, our total order backlog is much larger than the numbers which you see as a reported one. So, whilst the U.K. growth is considered, as Umang mentioned previously as well, that's very steady market for us. We are seeing the traction, we believe we'll continue to grow. It's about the new government settling down, then the new projects will start coming in, which we are waiting for, while we have seen NHS traction already building up.

So, a lot of good deal momentum we have seen already coming up in the health because that was one of the stated agenda of the government, and that's what is happening. So we are just

waiting for the policy finalization, their budget releases, and we are confident that more and more deals will be there for us to grab.

Hasmukh: Secondly, on the employee count, despite strong growth or strong order book with utilization nearly at 85 %-86%, why the employee count declined? And if you could give some sense around how the employee addition or strategy around that would be in the near future for you?

Arun Agarwal: So employee count is very, very important for us. Still, if you notice, we are having 84%-85% kind of a utilization and we have maxed out. That's what we have stated in the past. Considering we are also focusing upon the quality of earnings. So there is a balance, which has been managed internally very effectively in terms of the growth and also, in terms of the headcount, which you have to keep in advance in terms of your bench.

So, I think it's much more actively managed bench as we speak. Obviously, there will be more headcount addition as we go down the quarters as the growth is getting reflected, and we will not have sufficient bench to fulfil them. But currently, we don't see any risk to our revenue realization because depending upon service line, depending upon geographies, we are keeping the right bench as may be required.

Hasmukh: So, in that sense, what are the other levers in terms of margin for you considering higher utilization, et cetera, which can help you to, get back to EBITDA margins of 17%-18% ?

Arun Agarwal: As we have stated earlier, in past as well, our margin expansion utilization was a lever which was utilized already, but there are a lot of subcontractor mix change. The other operating levers like Onshore/Offshore. As you are moving into more commercial section, as our U.S. growth comes and margin expansion will happen because a lot of investment has already gone into SG&A and driving the growth out there, so when you grow, you will not make same

proportionate investments. You would have seen U.S. margin already improving quarter -on-quarter, and our stated objective has been to improve margin further there. There are multiple combination, obviously grade mix, using more freshers versus how this combination stays, Umang spoke about the AI. How can we drive more delivery led improvement based on the AI

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and hence, you can pass on something to customers, something

will help you to further improve the margins.

So, there are multiple levers which we are working on. And we feel comfortable where we are in the coming journey that we will maintain the margin profile.

Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Any new Managing Director is likely to join the company?

Umang Nahata: Ravi, are you talking about the new CEO or the new Managing Director?

Ravi Naredi: New CEO.

Umang Nahata: So yes, like we had mentioned earlier, our search for a new CEO is on, and we are following the process. It's currently ongoing as we speak.

Ravi Naredi: Okay. And sir, what are the main reasons for rise in net profit, almost 600 basis points? And is it sustainable for next two quarters?

Arun Agarwal: So, there are two things, Ravi. One thing is the expansion of operating EBITDA, which is sustainable, rather, we expect it to further improve as we get into Q4 and onwards. But there is one exceptional item, which is also there in the reported numbers. And this is a separate line which we have given so that it can be identified separately. That is not repeatable. That is one time. And that happens from whenever you make earnout and other payments, if your liability accrual was much more than what actually payout has happened and the differential actually gets into the P&L, right? So those are definitely not repeatable. But you will see consistency as our endeavour is to consistently deliver both top-line and bottom-line growth. So, we expect it to be moving into that direction.

Moderator: The next question is from the line of Yash from Stallion Asset.

Yash: I just want to know if you have got any guidance in your constant currency revenue growth for this year.

Umang Nahata: Hi Yash. As you know, we don't provide any guidance. Like I mentioned earlier, we see the market as cautiously optimistic. While also the next quarter is the quarter of furlough, so we are continuously working towards delivering consistent growth. But having said that, there are the furlough quarter as well as some caution from broad macro parameters that we are cautious of.

Moderator: The next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Sir, you mentioned about the recovery in the NHS program, the healthcare program in the U.K. geography. If you can elaborate more on that, so what's happening? Are we at a start of the recovery or still the recovery has been there in this quarter? And also in the order book, is there

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a component of the deal from the NHS and also in terms of the integration that was happening in the various department of NHS and obviously, the new government focus has been on enhancing the healthcare there in the U.K. So how do we see it, whether it is revival of the deals that we have won earlier or is it a total new deal that is being awarded specific to NHS?

Umang Nahata: Yes. Great set of questions. So, the current NHS business that you're seeing, some of them is from the revival of the old contract that we had, so new SOWs signed in the contracts that we had signed earlier. Having said that, the broad direction of the government of improving health care via preventions, improving healthcare by using digital ways and means for better scheduling of patients improving just the digital health care initiatives overall is very, very pertinent.

And we see that direction of travel to continue. Like I said, it's just the start of the journey. We are definitely very keen and optimistic about the health care vertical in general and especially the U.K. health care as the initiatives start taking shape. Like I mentioned, we've already got some of these old long-standing contracts now fructifying and we see a healthy pipeline of new business that we look forward to execute in the coming quarter

S.

Amit Chandra: On the recent deal win that we had on the defence side wherein the expectations was that it will add around USD 30mn to USD 40mn over a period of 3 years. So, are we already building in that in terms of run rate in this quarter and also in terms of order book, is it there in the order book in the 12-month executed order book that we have?

Umang Nahata: The output of these orders that we have won definitely is reflecting in the 12-month backlog that we are showcasing to you right now. Most of the health care orders that we have received are annualized orders for now. So, these are trying to close out the old contracts that were already open. The renewals as well as net new contracts are things that we are looking forward in the coming two quarters. But currently, this is more close out of what was already opened and like I said, is reflected in our 12-month backlog.

Amit Chandra: Okay. And also the strong recovery that we had in the U.S. geography, what gives us the confidence that we will continue in terms of the growth journey there? Was the growth that we had in this quarter a result of net new deals ramping up? Or it was more of the revival of the older deals, which were into stagnation and some of the deals with issues with some clients also reviving. So how you want to dissect the U.S. growth, which gives us the confidence that the growth will continue. It's not like volatile as it used to be in the past?

Umang Nahata: North America business that we see is a combination of all the three that you mentioned. There definitely was execution on some of the deals that we had won but were delayed in terms of start. So, a portion of that comes back from there. There also continues to be net new wins, which had quick ramp-ups, and that also helped delivering growth in this quarter, and we continue to see those ramp-ups help in the coming quarters.

But the broad theme is we are seeing the capabilities that we have across Oracle, Data, Salesforce and Digital. The North America business is starting to shape well in terms of the overall

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capabilities that we have and the clients start recognizing us across capabilities. And that is the primary theme of growth that we are looking forward to, which is what we have been building over the years. And now we are seeing that kind of direction of travel in North America. But for this particular quarter, it was all the two and we are, like I said, cautiously optimistic of continuing to grow over the several quarters.

Moderator: The next question is from the line of Dipesh from Emkay Global.

Dipesh: Two questions. First about the North America growth trajectory. It seems North America has a peculiar seasonality in Q2, where Q2 is very strong. Can you help us understand what led to this kind of peculiar seasonality in Q2 in North America for us? Second question is about the cash flow generation. Cash flow generation is fairly weak this first half. So, if you can help us understand what led to weakened cash conversion in H1.

Umang Nahata: Sure, Dipesh. I'll take the first question, and then Arun will help you on the second part of the answer. As far as the North America business is concerned, we don't see this as any kind of seasonality impact to our business. It is like I had mentioned earlier, we had deals and there were some right-shifting of deals which we had won or which we were likely to win, but couldn't start in time. So many of those blips that we had earlier have now come back to strengthen in the execution mode on those transactions, as well as the net new customers that we look forward to continue to win and fire across service lines. I think it's a much more balanced portfolio across service lines that is allowing us to shape in these quarters. So, I don't see any seasonality pattern

in our North America's performance for this quarter.

Arun Agarwal: On the cash flow part, your observation is right, Dipesh. H1 operating cash flow generation is lower than our expectation. And there's a seasonality as well to that because most of your annual payouts get paid out in Q1, like our variable pay, we do pay out in the month of May. So those are significant payouts happening at the company level, which definitely impact the overall operating cash flow.

But as you move into Q2, Q3 and Q4, you start improving those percentage income closer to the company average. So, we are very confident you will see consistent improvement in Q3 and Q4 and the full year basis, this will be brought in line with the expectation.

Moderator: The next question is from the line of Ravi Menon from Macquarie.

Ravi Menon: Congrats on a really good quarter. I wanted to understand here on the things like not too much of change in our costs at all. It just seems to be driven by operating leverage. So, the margin, can we continue to improve those towards 17%? Do you have some sort of time frame in mind about that? And what sort of impact are you expecting from the wage hikes next quarter?

Arun Agarwal: So Ravi, as we have stated, we want to operate closer to 17%, 17% plus, and that has been our endeavour. 16.5% is the reflection in that particular direction. Wage hike, as you rightly said, we have done partially this quarter and the full quarter impact will be in Q3, which will take the full quarter impact. So, we believe quarter-on-quarter 120 to 130 bps impact will come. But

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there are multiple levers on which we are working upon. And we believe we'll be able to absorb a significant portion of that and continue to reflect good margin profile in Q3 and Q4.

Ravi Menon: And the attrition at 20%, it's materially higher compared to our peer group and do you have any goal of bringing this down? Or are you comfortable with this and this is the sort of attrition that we've had historically as a firm, and we think we can manage with where we are utilizing this currently?

Umang Nahata: Yes. Ravi, this is Umang here. I think attrition is a concern for us. It is definitely much higher than what we would really like it to be. We've gone through some deep dive into some root cause understandings. We've also looked at some corrections in terms of our process, in terms of the wage hike that have recently gone out and the other balancing factors that we could put into play. Our target and ambition is to be industry-leading as far as our attrition and ESAT scores are also concerned. However, this will take us a few more quarters before we really drive the full impact of change that we want to make. And currently, there are a few pointed areas that need more attention and we are carefully looking at it and making decisions as we go along.

Ravi Menon: Just a suggestion that how you guys report the financials, it would be great if you could show the breakup between direct costs and SG&A because that will allow us to clearly see the gross margin versus where we have operating leverage as we scale up our account mining.

Arun Agarwal: That's a fair feedback, Ravi. Allow us some time, we will definitely reflect upon it and we'll start publishing at the right time. But that's a fair observation.

Moderator: The next question is from the line of Aayush Rastogi from B&K Securities.

Aayush Rastogi: So a couple of questions. First is for Umang. Definitely, if we see your commentary that you are a bit of the cautiously optimistic about growth in the next half, which is 2H. But if we see the order backlog, pipeline that we have, it currently stands at all-time high. So, are we like hinting that there would be a lot more furloughs than the last year? Or is it like are we seeing any kind of delays in the ramp-ups or some sign of slippages in the same?

Umang Nahata: We don't

necessarily see any abnormality in the furloughs that we're going to have this year. It's going to be the usual furlough that we have every year. So, furlough, I don't think is any concern to us. As far as being cautiously optimistic is concerned is looking at a variety of macro as well as internal factors. Like I said, we are still going through the UK government finalizing their budgets and their plans. So that's an important indicator and observation for us. The U.S. is going to go through elections in this quarter. So that's another important macro factor that we are wanting to look at and observe. So, it's more macro-driven caution that we currently see in our business. And sometimes, these macro can push out deal signings as well as start of the programs. We've seen that in the past. So that's the reason for being cautious here. But in general, like I said, we feel optimistic but with a degree of macro caution.

Aayush Rastogi: My next question is for Arun. If you can just walk us through how puts and takes for the margin expansion that we have shown in this quarter. And also, if you can guide us like how are we

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eyeing for the trajectory for the going forward, because if you see the ask rate becomes high for that 4Q to reach almost the midpoint of the guidance that we have. So what are the puts and takes for this?

Arun Agarwal: As we had mentioned, I think we are moving in the right direction. In the last call as well, we have mentioned that Q2 will bounce back because there were certain one-timers which hit us. That's one. And second, obviously, operating leverages we are looking into the business profile and bringing them up as and when it becomes possible.

So, I think that's continuously going to be executed. And you will see the consistent margin expansion from here. Obviously, Q4 is something which is very critical because Q3 will have some impact of furlough, the wage hike, the full quarter impact, which we are going to do. But there are a lot of operating levers we are working upon, and we feel very confident that we will maintain to improve from here. And that's the endeavour we are working with internally.

Aayush Rastogi: If you can just walk me through what has led to the margin expansion in terms of quantification like because currency has been a very big beneficiary for us. So how much of the benefit has come and led to the margin expansion? And what was the margin impact from the wage hike that they had provided in this one?

Arun Agarwal: At a broad level, roughly 50 bps is an impact of the wage hike in the current quarter, and currency would have given the similar range, 50 to 60 bps because we have significant onshore as well and the kind of business model, the company model, which we have set up is we don't sign deals from India, most of the companies which we have in the geographies are the prime face and hence, we run a little differently. So the currency benefit is broadly in the similar range. So what you see is reflected into the numbers are the operating levers, which finally played out and helped us deliver the numbers for the quarter.

Aayush Rastogi: And just a last question again on margins. So definitely, it has been a very good quarter in terms of expansion of North America margins. So how do we see the sustainability of this margin going forward? Like what is the trajectory are we eyeing for, coupled with if you can just guide us what will be the margin levels and the headwinds that we are expecting it from expansion of the North American region margins specifically?

Arun Agarwal: That's on a very good observation, Aayush. We have said historically as well, as North America is coming back to the growth, the kind of investments we have made into the geography will help us to get into expansion of margin profile in the geography. And the same is the reflection, as the

growth is coming you can see there's an expansion which is happening. Our endeavour is to get into double digit in the coming quarters. By the time we end this year, we want to be in mid-teens at least. That's the target we are running with. There could be some plus and minus, but that's the direction of travel you will witness as we perform Q3 and Q4.

Moderator: The next follow-up question is from the line of Jalaj from Svan Investments.

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Jalaj: I wanted to dig a little deeper into the margins again. So, you see there has been a majority shift has been in the margin that comes from the lower other expenses. So could you help us understand if these numbers as a percentage of revenue, should we understand that these are going to stay stable at these levels either as a percentage of revenue or as other expenses in absolute terms? Could you please guide us about it?

Arun Agarwal: That's again, good observation, Jalaj. The other expenses has one component, which is subcontractors, which is, again, depending upon whether you're hiring employee or you're hiring subcontractor, they may swing sometimes. So the exact percentage of revenue may not work. But broadly, yes, you can see there are a lot of other semi-variable expenses are also part of it, which is your facility and other costs, which gets into doesn't increase proportionately. There are both combinations. There can be swing on both sides. But broadly, as you can assume, there are no significant one-timers, which are included into it. So, it gives a good representation of cost as a percentage to revenue.

Jalaj: And secondly, on the margin guidance, maybe I'll combine two questions. With guidance of 17% to 18% EBITDA margin, when do we believe or let's assume it is an aspiration also what timeline are we thinking in terms of let's say we achieve it, what will be the assumption which would be required for it to achieve it earlier, if you would say?

Arun Agarwal: So again, as we said, that we endeavour 17% to 18%. And you can see the direction, we have already delivered 16.5%. And as I mentioned in my previous comments, you will see consistent improvement. Obviously Q3, we need to watch for considering the wage hike and furlough. But as you get into Q4 you will see the direction is coming in the line of sight.

Jalaj: As you mentioned that there would be an impact of almost 130 bps due to the complete wage

hike which would be taken in next quarter. So what are your expectations and what is possibility would we be able to negate the impact from this headwind which we would have from 130 bps on the wage hikes ?

Arun Agarwal: Our endeavour is we want to maintain the margin profile, Jalaj. Obviously, we are looking into lot of operating levers to offset the impact of it. We don't want to reduce our EBITDA profile, but we have to watch for. Lot of work has to happen between now and December, including the revenue profiling which we are working upon. But our endeavour is not to reduce the operating EBITDA profile, but rather maintain to improve it.

Jalaj: And then where are we on our terms of the large deals foray which has been the agenda for quite a longer period of time. Where are we on it right now? And what sort of pipeline or traction are we seeing there?

Umang Nahata: Yes. Jalaj, I think the large deal continues to be a key part of our initiatives. As we speak we are still building up our AI proposition or efficiency- driven AI proposition is adding to the services that we already have. We have a few very active discussions, but it will be hard to comment on timelines today. Like I said, the focus is there. The all capabilities being AI -enhanced gives us

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much better leverage on securing larger deals. We have a few in discussion, but nothing immediate in the line of sight that

we could comment on.

Moderator: The next follow -up question is from the line of Ravi Menon from Macquarie.

Ravi Menon: If you could talk a little bit about your icxPro AI platform and the use cases that you have in manufacturing where it's already been demonstrated. And there's also preference about you're seeing tremendous potential for it in BFSI and Healthcare. So if you could talk a bit about the use cases that you have in mind, that would be great.

Umang Nahata: Yes, sure. So our AI positioning, like we had mentioned, Ravi, has two different views. One is a use case-driven approach where icxPro, we have already built some use cases there. And then there is the concept of building an enterprise AI kind of platform. So on the first one, which is where we're building use cases, we've had some use case development for parts automation, which is very applicable to most manufacturing firms, in terms of whenever they have to go through a replacement of parts or finding the right parts as they've gone through their years of archival data, it helps. And it is already seen improving the process from weeks to a few hours. So that's the kind of improvement we've been able to demonstrate to our clients already. Similar kind of other initiatives on use cases. We are running on two important use cases, which is around recruitment and talent management. Again, very phenomenal AI assisted use case that allows significant process drop as process time improvement as well as quality of hiring going up. Again, we're discussing this with a lot of existing strategic customers who are pretty excited about the idea as we take them forward.

There are various other use cases in the financial s area, in the supply chain space, in the CX space that we have initiated and delivered from supply chain, demand optimization, demand forecasting, supply chain optimization to, like I said, financial forecasting and quite a few.

So, the use case driven model is quite active. Like I had mentioned earlier, our enterprise AI is the other area that we think will become even more strategic as we go forward. It's been worked in close collaborations with NVIDIA, and that will allow customer s to develop far many more use cases on a custom basis as they really move towards their AI journey.

Ravi Menon: Thank you Umang for a comprehensive answer. And are you using some of those internally to transform your own process as well?

Umang Nahata: 100%. Mastek internal is our first significant large customer. So, we are trying the Enterprise AI on Mastek internal. And we believe, like Arun did mention this to change our business, internal business significantly, right, from the execution that we do on services and development and implementation to all of our su rround processes like HR, Finance, Operations, all of it. So yes, we are developing the enterprise AI on top of Mastek data, that's where our POC is currently running.

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Ravi Menon: One last question, if I may. I know that you guys have historically had no SAP, just focus on Oracle approach. But in the context of the demand for SAP/HANA, are you seeing any change to that mindset? Or are you seeing any kind of higher incentives among customers to do an Oracle upgrade instead of replace SAP?

Umang Nahata: We are seeing both kinds of businesses, our focus on Oracle continues to be high and our commitment to that Oracle business continues to be high. And within the Oracle space, we are

seeing people upgrading from their Oracle on-premise to Oracle Cloud. In fact, we also see people shifting platforms, so shifting from SAP, ECC to Oracle Cloud or shifting from JD Edwards or some of the other Tier 2 ERPs to Oracle Cloud. So we see both kinds of scenarios. However, on a broad basis, we still see Oracle is the right partner for us. Our level of relationship and the traction in business that we have

is very healthy. And in the near term, we continue to focus only on Oracle as far as the ERP business is concerned.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Umang Nahata: Thank you, everyone, for all the questions that you have and the good feedback that you all provided. We continue to be pretty excited about the performance that we have had this quarter, especially our growth in North America as well as our continued growth that we saw in U.K. and the momentum that we see, especially in health care and other verticals globally. Like I have said earlier, there's still a lot of room in terms of our operating levers to bounce back to the kind of operating margin expectations that we have as we get into Q3 and Q4.

In general, like I said, the internal scenario in terms of our business, our backlog, our capability seems pretty positive and optimistic, while we are cautious about the macro environment and we're taking a close view of how events will turn out. And hopefully, we'll continue to deliver healthy top-line and bottom-line growth over the fiscal and in the long run.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2025

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SYMBOL: MASTEK

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the Quarter ended December 31 , 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the quarter ended December 31, 2024, conducted on January 16, 2025, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at

[https://www.mastek.com/investor -financial -information/](https://www.mastek.com/investor-financial-information/)

Thanking you,

Yours faithfully,

For Mastek Limited Dinesh Kalani

Company Secretary & Compliance Officer

Encl: A/A

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"Mastek Limited

Q3 FY'25 Earnings Conference Call "

January 16, 202 5

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER –
MASTEK LIMITED

MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER –
MASTEK LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q3 FY '25 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator , by pressing star and then zero

on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y Investor Relations. Please go ahead, sir.
Pratik Jagtap : Thank you, Ryan. Good day to all of you. Welcome to Q3 FY '25 earnings call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com

To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Umang Nahata, CEO; and Arun Agarwal, CFO. Umang will start the call with a business update, which will be followed by Arun providing the financial update for the quarter. Post that, we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future, or which can be construed as forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.

Umang Nahata: Thank you, Pratik . Welcome, everyone, to the quarter 3 results of Mastek Limited. Good afternoon. For this quarter, we delivered a revenue performance of \$103 million, which reports a 9.4% year -over -year growth in US dollar terms. As you know, this Q3 is a furlough quarter. Given our nature of business, furlough is a pretty strong impacting area for us. And in spite of more than expected furlough, we've been able to hold our revenue at a steady rate.

On the order book front, we had a very healthy quarter, and our order book or our 12-month order backlog now stands at \$250 million. I'm also very glad to report to all of you that we very recently, this week itself, won another very large deal in one of our secured government services. It's a \$40 million -plus deal that actually moves our 12-month backlog or grows it by another 8% or 9% as we move forward.

Continuing with our UK business, our UK business overall is really firing all cylinders and all guns. Our secured government services, as I mentioned earlier, continues to do well. We not only are securing renewals of a big block of the business that we continue to hold, but also continue to win new departments and new programs. So, we won another significant new work with another significant new department earlier this quarter, which should expand our overall footprint with the secured government services.

Our healthcare business in UK, as we had mentioned in the last quarter, is seeing a strong revival and continues to have strong tailwinds and is really going very well. The new government

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continues to invest in healthcare, and we are seeing a lot of direct investment driven towards us, and that continues to drive strong momentum in this quarter, and we have a positive outlook going forward also.

Our private sector business in UK and Europe, which has been an area that we have been trying to really build and grow over the last few quarters, is now really turning a corner. We've had good growth in our private sector business in this quarter. We actually won two of our largest deals in private sector in this quarter, one in UK, one in Europe and on

e across Oracle and the

other across digital services. So, the private sector business, which is the third leg of our UK business, is now really starting to build up, and we actually are looking forward to a positive outlook going forward, too. Overall, our outlook for our UK business continues to be very positive, and we are looking forward to a really strong business going forward as we move into Q4 and the next year.

On North America, we had a steady quarter. As you would all remember, we had an extremely high growth quarter in Q2, around 18% plus growth quarter. And now we are backing that up with a steady growth quarter in this year, which is around 1.5% growth. So , the overall growth story continues to be steady as we expect it to be, and we are really trying to put it up, consolidate it well as we build it together.

While the healthcare business in North America continues to do really well , we had another steady growth quarter, both in terms of new customer acquisitions as well as expansion in our existing customer businesses that we have in healthcare in North America. Our overall outlook for North America as we consolidate the capabilities we have acquired over the last few quarters and really build our synergies together as we will have steady growth in North America for the coming few quarters . And we really will start realizing our expected full potential growth starting H1 of next year.

As far as our focus and priority of business is concerned, Mastek is taking a full steering control on its AI priorities, and we are really driving an AI -first approach in the organization across all

of our businesses and services. As I mentioned earlier, we're taking a 3-pillar approach to our AI strategy. The first pillar really driving innovation and automation internal to Mastek across all of our service lines. The second pillar is creating an AI engineering practice, which we'll be launching in January. And the third pillar is launching a small language development or SLM practice, which we'll also be launching in January.

The AI developments are also supporting all of our existing capabilities phenomenally. So, in December, we launched ADOPT .AI, which is one of the most advanced Oracle Cloud implementation methodology, which will help our customers across all phases of the implementations from testing to development to configuration and documentation. And we really hope to expand our market with in the Oracle implementation services using ADOPT .AI. On the Salesforce front, we are now a qualified Agentforce partner. It's a product that Salesforce launched earlier in the year. And we are one of their early Agentforce partners that we have been qualified as. And not only have we become a qualified partner, we are also running Agentforce Mastek Limited

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use cases with quite a few of our existing customers. And we are really looking forward to delivering those and then using those reference cases as built up for growing our Salesforce and Agentforce business as we go forward.

We also saw good development of AI in our data business. We recently launched our AI-led data modernization tool called Lightbeam, and I'm very happy to share that we won our first deal on Lightbeam in this quarter. And Lightbeam continues to spearhead our AI growth, not just in North America but taking it globally from providing services and solutions.

All in all, I think we are definitely continuing to focus on the priority area that we had, which is across Oracle, digital Salesforce and data. All of our businesses are taking AI-first turn, and we are looking at AI sharpening our edge across all of our practices. And our vertical focus on healthcare as well as SGS continues to be a priority from a vertical standpoint. With that, I'll hand over the call to Arun who will share more details around our financial performance. Arun, over to you.

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run Agarwal : Thank you, Umang. Good day to everyone on the call. I will cover a few financial highlights for the quarter, and thereafter we can take your questions very specific to the quarter performance and more you want to understand about the Mastek performance going forward.

We reported revenue of INR 870 crores for the quarter. It's up 10.9% year-on-year in INR terms.

On a quarter-on-quarter basis, it reflects 0.2% growth, again in INR terms, while it is broadly flat in constant currency. This is after taking impact of furlough, which was more pronounced than what we initially envisaged at the beginning of the quarter. We are pleased with our performance across region. As Umang mentioned upon, we are continuously focusing upon our strategic priorities. The healthcare performance continues to be much healthier. It has grown 19% quarter-on-quarter and 30% year-on-year.

As we have been focusing upon quality of our clients across the regions, very specifically in the AMEA, we have been able to reduce consistently our tail accounts. And as we stand in current

quarter, our client count has come down to 351 versus 436 a year ago. This is helping us to increase our revenue per customer and focus upon the quality which we can deliver on a sustainable basis to our clients. We added 10 new logos during the quarter. So again, focusing upon the kind of clients which we are onboarding who we can grow to a much larger size and scale as we take them into digital transformation journey.

Our 12-month order backlog stood at \$250 million, broadly flat quarter-on-quarter in constant currency. As Umang mentioned, we have just received another deal of \$40 million in UK SGS. It's a renewal with 20% to 25% net new included into it. We'll deliver it over the period of 2 years. It helps expanding our backlog 12 months by 8% to 9%.

Our operating EBITDA for the quarter was at 16.2%. It reflects a reduction of 30 bps quarter-on-quarter. This is after absorbing the salary hike, which we gave to certain part of our employees in August last quarter and to the balance organization effective October, which has Mastek Limited

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led to impact in EBITDA of approximate 160 bps. And also, we have seen some currency headwinds during the quarter, with GBP depreciating versus dollar.

We are pleased that our US business has delivered double-digit margin, which we have been talking consistently, and that was one of our endeavours. We believe we are moving in the right direction. You would have seen UK margin has seen some reduction, which is more reflection

of our cost of ramp, furlough and also some partial currency headwinds.

Our profit after tax for the quarter was at INR 94.7 crores, which is up 21.8% year -on-year.

Since there were exceptional income, both in quarter 3 and quarter 2, if we remove it and normalize our performance, our profit after tax for the quarter would stand at INR 88.4 crores versus INR 85.6 crores in quarter 2, again seeing a consistent growth on a quarter -on-quarter basis.

Our gross cash was INR 497 crores. We had a really good quarter in terms of collection, and we have been able to bring our DSO down from 96 days to 89 days, and the same is getting reflected in the free cash which we have generated. And this INR 497 crores cash is after one loan prepayment we have done, which is approximately INR 45 crores. So , cash addition in the quarter was actually much larger. Consequently, our borrowing stood at INR 602 crores as of 31st December versus INR 641 crores in September.

Our closing headcount was 5,260 versus 5,505 in September '24. This is after a consistent focus on improving productivity and driving better outcome for our customers at the same time. Our

utilization dropped to 74.4%, including trainees versus 78.4% in the previous quarter. Again, this is the reflection of the higher leaves, which is both

led by festivals, holidays and also client

furloughs during the quarter. Thank you, everyone. Looking forward to your continued trust and support in Mastek. Going back to the moderator to open the house for Q&A.

Moderator: Ladies and gentlemen, we will now begin the question-and -answer session. The first question comes from the line of Karan from Monarch AIF.

Karan : Sir, as we go into FY '26, if you can just throw some light on how the demand environment currently looks like from the UK? Have the digital programs from the Home Office, NHS started to see some accelerated spending? And what would be our ideal growth rate going forward in each of our geographies? That's my first question, sir.

Umang Nahata: Karan, thanks for your question. So, as I mentioned, we will definitely be entering UK in FY '26 with a very healthy backlog. And therefore, our expectations for growth will be quite high in UK. Having said that, from an overall macro point of view, NHS definitely, or healthcare continues to be a key spend area for UK government. There's a lot of revival in spend there, especially around prevention as well as data-driven decision-making.

And we are seeing good participation in both of those lines of services or solutions that we're offering to the UK healthcare government. As far as the secured government services and private sector is concerned, there also, the government is now taking good control. They've gone through

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renewals of a lot of existing work that we have. And as we renew most of our existing book of business, our aim and endeavour would be to now go after newer departments and expand our business beyond the current books that we have, which would have already secured by the end of the year. So , in general, UK will continue with a healthy growth rate.

As far as US is concerned, again, the parts of the business is, there's a positive outlook. People will believe that the economy is taking a positive turn. At least, the outlook for the economy is positive, although a little unpredictable as we all see it. But we believe the economy will take a positive outlook and support the overall economic growth. From a Mastek standpoint, like I mentioned earlier, we are consolidating all the capabilities that we have had in our US business.

As we consolidate, our growth rates will fluctuate a little high and low over the next 2-3 quarters. And our vision is by the time we get into H2 of next year is where we will start really delivering a steady and full potential growth that we hope in the US .

Karan : Just on the AMEA part , we see that this quarter, our margin declined quite a lot. So , if you can just throw some light on why did this exactly happen? And sir, on the US bit, how do we see margins inching up from here on ? We see that 13% EBIT margins. Do we see there is some more room for improvement? And if yes, what would be the key drivers for that?

Arun Agarwal: Karan, thanks for the question. In the AMEA, as I mentioned, we are consistently focusing upon taking the tail accounts of it. Obviously, that's a process in which, we have to ensure some margin , we have to sacrifice that sometimes to make those projects go live much sooner than it was expected. And also comes at a cost , certain times because you can't discuss change request because we just want to finish it off and move into the larger clients.

Keeping those focus on, there are certain costs, which we had to take into the P&L. Now also, there is some PDT profile in the geography because while the collection is good, but there are certain clients where there's a delay. And as per the accounting norms, we have to take certain provisions in the book. So, all put together, our focus in the geography is to focus on the account mining , focus on the right client base . And, thereafter, improve the quality and the margin from those ac

counts. So, you will see consistent basis, there's a margin improvement which will happen out there.

On the US side, again, we are really pleased with double-digit margin profile here. Is there scope? Yes, answer there is definitely scope of 100 bps to 200 bps improvement further from here. But at the same time, we are focusing upon growth. US is one of our growth levers. And we really want to ensure the growth is achieved without too much focusing upon improving the margins from here. So, I'll be happy from the margin profile perspective. But given the balance, we'll prefer more growth than looking for more margin expansion from here.

Karan : And if I can just squeeze in one more. How do you see the spend happening across people -- or enterprises adopting Oracle, Salesforce, both on the cloud front as well as shifting away from on-premise? Because I understand that would have a major impact for us as implementors. So, if you can throw some light on how the spending has improved on the enterprise level in both geographies, sir ?

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Umang Nahata: So, Karan, spend on Oracle, Salesforce, data and digital modernization continues to be high. Especially the packaged applications, Oracle, Salesforce continue to do really well in terms of spend. Our net new customer acquisition in Oracle continues to be healthy especially in US as a geography, and Europe also. So, we continue to see good demand for net new consumption there.

Our Salesforce business is currently relying more on growing the business within our existing accounts. Our net new engine is something that we're working on to develop the net new customer engine in Salesforce, but our Salesforce business is largely focused on growing our business within the current customers that we have.

Having said that, with the change and the turn that AI is taking on both of these applications and the customer expectations as well as the potential business outcomes really changing, I strongly believe that the demand for Oracle, Salesforce as well as data applications will go up phenomenally in the coming quarters.

Moderator: The next question comes from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Umang, you mentioned about the improving dynamics in the UK geography and also in the UK government and UK private. So, if you can comment upon how the spend pattern has changed maybe in the last 6 months in terms of deal sizes, in terms of decision-making? And also, we had plans to enter into newer departments. So, which are the new departments that we are targeting within the UK government?

And in continuation to the UK government, we're also seeing NHS recovering. We have the deal on the defence side. So, if you can elaborate on the specifics of what's going to drive the growth, maybe for the next year from the UK government. And then you also mentioned that we have won the second largest deal in the UK private sector. So some more clarity or some more colour on that? What was that related to? And how the pipeline is looking there?

Umang Nahata: Sure, Amit. So, as I said, our outlook in UK is definitely very positive. And on the secured government side, from a spend point of view, the government is clearly looking at driving budget efficiencies as well as trying to choose their partners who could deliver long-term success for them. There's also a clear mandate of driving or enhanced drive of digital as well as AI transformation in government and health.

Applying this to our business, for us, we have been able to secure a large portion of our current book of business, and we continue to really look forward to secure all of it by the end of this fiscal. That's what we had really aimed for. And then we are really looking to go after securing new departments. We've secured one pretty decent sized new department in this quarter, a \$10 million-plus deal.

I in this quarter in a new department, opening up one new account. And we will continue to focus on opening more doors and more accounts, which could be both new departments as well as new programs in the existing departments that we work for.

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The healthcare business, like I mentioned earlier, is largely focused on driving efficiencies in the UK healthcare, which is with more prevention as well as driving more data-driven decision-making. And we are seeing a lot of data business coming our way, which is primarily in the healthcare sector but also in the financial services sector, with Bank of England and a few other customers really continuing to do quite well. So that's the scene on healthcare.

On the private sector side, we won two good new deals. One of them is the renewal of our business for the next 2 years with an upside to it. And the second is a larger phase 2 global rollout followed by the phase 1 work that we had done for our customers. Both these deals in their

respective areas are amongst the largest deals that we have won in private sector.

We continue to see a very healthy momentum, so our pipeline in all the three sectors also looks very healthy. And we're looking forward to a positive order book in Q4 and going forward.

Amit Chandra: On the UK side, do we have any scope in terms of margin expansion, maybe some offshoring that we can do in terms of the UK government contracts for which we have been working the last many years? And also, how do you see the sub-contracting panning out? So, is there a possibility of margin expansion in the UK government? Then we'll move to US after this.

Umang Nahata: So as far as the margin expansion in UK is concerned, so there are two parts to the story. First of all, like I said, some of these extremely large deals are coming at a cost of margin, especially as the government renews larger contracts. So, for example, the recent contract that I mentioned that we won a couple of days back, it's a 20% expansion in our current book of business.

However, there has been pressure in terms of doing it more efficiently. As an organization, we are looking at various means of maintaining our margin profile, which has various initiatives, right, from, like you said, offshoring, relooking at our resource pyramid, moving from sub-contracting to employees and things like that.

So, our endeavor is to really hold our UK margin. It's a very healthy margin business. And our endeavor is to bring ourselves back and hold to that margin levels at which we are. I don't think there's a large possibility of expanding margin from there onwards. We will not be doing justice to our customers if we start charging more than what we are doing in UK.

Amit Chandra: Okay. And on the US geography, obviously, we are seeing things improving. But last time you mentioned about that we are trying to get more managed services deals there, which will improve the visibility in terms of the growth and obviously now stable margins. So, any progress on that? And also, now we have expanded the margins in the US geography.

So, do we require more investments there or the investments are largely through or we can see the growth coming and the margins also at least be in the mid-teens range for the US geography?

Umang Nahata: So, Amit, you are very right, our focus in the US is to really take our business to steady repeatable business, which is going to be coming through managed services and T&M business. And as I mentioned earlier, we are integrating all of our capabilities across Oracle, Data, Digital and Mastek Limited

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Salesforce. So, we have a full bouquet of services that we can take to our existing customers and start winning more steady long-term T&M and managed services kinds of business with them. Having said that, really building managed service

or T&M businesses, which are decent size and magnitude in terms of book will take us some time. And like I said earlier, we are expecting that as we get into closer to H1, next year is when we would have made some significant change in terms of our profile of business from projects to more tending towards managed services or T&M kind of businesses.

On the margin front in US, I think most of these savings were very much available, and they have been made without any impact to growth or any of our growth investments. We are at a healthy rate of S&M investment in US, and we think our S&M investments is good enough to really drive the kind of growth and vision that we expect in the US.

So, I expect our US margins to stay in the mid-teens, and it gives us enough cushion to really drive the growth that we need.

Moderator: The next question comes from the line of Soumitra Chatterjee from Avendus Spark Institutional Equities.

Soumitra Chatterjee: Just two questions. This \$40 million deal is not included in the \$250 million order book and will be included from fourth quarter onwards? Is that a right interpretation?

Umang Nahata: That is correct, Soumitra.

Soumitra Chatterjee: Okay. And this \$40 million is completely the expanded part of this 20 to 25%, which is the net new or this includes the renewal as well?

Umang Nahata: It includes renewal and with the 20% expansion. So, \$40 million has 80% renewal and 20% expansion.

Soumitra Chatterjee: Okay. And from an incremental point of view of US, are you also seeing a shortened deal cycle that some of the larger peers are seeing wherein probably your order book starts converting at a faster rate?

Umang Nahata: I don't know. We haven't seen anything specific like that, that the deal cycles have shortened.

Again, the kind of deals and kind of deal cycles that we are experiencing are different from what the larger players experience. Our deals are still more in the midsize, more project-based deals right now.

And therefore, we haven't seen any change in deal cycle for us in the US right now. But with initiatives around AI, initiatives around AI-led efficiency and growth, the amount of activity and discussions that we're having have definitely gone up with our customers.

Soumitra Chatterjee: Okay. And just one last question on the sequential decline in the headcount, I think Arun said, it is about increasing productivity. From an annual perspective, if you are requiring lesser
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number of people to drive revenue growth, generally, does it translate into a pricing pressure typically from clients 6-9 months down the line?

Because you are not adding employees, but the revenue you are estimating to grow by a particular number. So, the productivity gains, will it be retained by the vendor or it will be passed on?

Umang Nahata: Soumitra, there are two aspects to the revenue decline. One, definitely, there were businesses that we had where we had the revenue per resource was very low, especially in our AMEA kind of business. And those are businesses that we are walking away from now. We believe our potential of executing higher revenue per resource very much exists. And we have to look at the right orders and right kind of businesses there.

That's one reason for which it's a systematic and intentional reduction of headcount without impacting revenue because we are looking at businesses that could deliver a higher revenue per resource. The other thing that you would see coming in the future is as we really sharpen our internal AI execution, which is starting from Q4 and onwards in terms of some of the tangible assets that we have developed.

We definitely feel the ability for the organization to do more with lesser headcount is growing with every passing day and every passing week. So, we haven't really transformed those into tangible numbers yet

But, from the outlook that we see, we think there's going to be a pretty decent change in terms of our ability to do more with less headcount. I think that's what our customers are also expecting us to do.

Moderator: The next question comes from the line of Nikhil from Kizuna Wealth.

Nikhil: Sir, my first question is on like, we have the ample headcount that is reducing like year-on-year and quarter-on-quarter. And last quarter, we said that we are looking for additions in the -- headcount addition is anticipated. So, are we going to add to headcount in H1 of FY '26? So that is my first question, sir.

Umang Nahata: Sorry, Nikhil, we lost the last part of your question. Can you repeat the second half of your question, please?

Nikhil: Sir, so as our headcount is reducing, and we are anticipating a huge growth, and in the US, we are anticipating growth from H1. So, are we anticipating headcount growth in H1 of FY '26?

Umang Nahata: So, like I said, Nikhil, there will be definitely growth in headcount in selected areas where we have planned to grow. So, our current reduction in headcount was more from businesses, which had lower revenue per resource, which is largely in our AME A kind of businesses. So, that we are rebalancing.

And we will see a headcount growth in the right area. So, our US services, our UK businesses will see growth in headcount to deliver those. Having said that, the rate of headcount growth

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versus the rate of revenue growth, proportions will change as we start applying more and more AI to our internal execution.

Nikhil: Okay. So, we can expect like exponential growth in revenue with comparison to headcount. So that's great to hear, sir. Secondly, as we are going for increasing the wallet share from our top 30 clients. And we are reducing our long tail in the AMEA region. So how much reduction in active clients can we expect?

Arun Agarwal: Again, it's a consistent effort. As we have mentioned, if you recollect, we used to be 400-plus accounts. And what we have said that to double the revenue from here or maybe 2.5x of revenue from where we are at this point of time, which can be done with the similar client base. 300 to 350 is a good client base. So again, that's a process which will continue.

We'll keep gaining new accounts, which are much more scalable from the revenue perspective, and we'll keep on removing the tail accounts. So that's a continuous process, which will happen in the process. And you will see that revenue per person is growing, as it has been happening in the last 2-3 quarters.

Moderator: The next question comes from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Just few questions. So one is on your other expenses, we have seen a lot of hike, and your employee headcount is decreasing, but still your employee cost is sort of trending in the same line as revenue. So, how do you see these costs because the costs have actually grown quite

handsomely in the last 9 months?

Arun Agarwal: Again, two points. One is when you are seeing other cost increasing quarter -on-quarter specifically, it is also the function because a lot of growth that we are seeing, we are seeing in health and also in SGS in UK. There a lot of work is happening t hrough security cleared resources and by nature, they work in the contractual models.

So rather than increasing the employee cost, that change is reflected into the cost of subcontractor, which is reported under other expenses. So that's the main reason you are seeing the increase, which is happening into the other cost. And you would have noticed quarter -on-quarter, there is a decrease in the employee cost at the same time.

And your observation is right, that's the combination. But on a consistent basis, you will see the employment cost is increasing because, one, based on increment which has happe

ned, right? So,

if you compare versus 9 months and 6 months, you will see there's increase in the employment costs. But the quarter is more the reflection of increase in subcontractors and not the employee headcount at the same time.

Sarvesh Gupta: AMEA margins are very low at 1% this quarter. So, are they expected to revert to the normal range going forward at 10% to 11%?

Umang Nahata: Yes, Sarvesh, that's our full intent. And we are looking at taking A MEA to a double -digit margin performance. But it will take a couple of quarters before which we get there.

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Sarvesh Gupta: Okay. And similarly, on the UK, EU business, you said that we are expecting to hold on to the margins that we are having. Now these margins have come down. So , is this 20% -21% a new normal going forward? Or you are expecting to go back to at least 24% odd which we had last year?

Arun Agarwal: So again, two things will happen, Sarvesh, there. In the short term, more 20%- 21% kind of a margin profile, obviously, there will be some plus and minus quarters depending upon when you are doing the ramp, right? So , the kind of deal wins we are seeing in the public sector and the health in the UK, that leads to a lot of onshore hiring.

Obviously, in the quarter in which those hirings are happening, the margin profile will be subdued. And the quarter in which you fully ramp up will have a better margin profile. So, you will see kind of mix happening, but 20% to 22% is a good range, I would say, at this point of time.

And also, be mindful, the GBP to INR and GBP to USD has been depreciating significantly, which has not been factored yet. So , depending upon how the currency headwind flows, there could be certain plus and minus out there as well. So that's something which is not in control, but we have to keep watching how they impact our numbers as such.

Moderator: The next question comes from the line of Hasmukh from Tata Mutual Fund.

Hasmukh: I have three questions. Firstly, on the order backlog. So, if I look at your previous 4 -5 quarters, your order backlog was growing healthily at 15% to 20% on Y -o-Y basis. But this time around, it has dipped to almost flattish, though you called out \$40 million deal win . But including that as well, the growth may be at 8% to 9%.

So just wanted to get a sense how confident are you to get back to the 15%-20% Y -o-Y growth in order book backlog going forward?

Umang Nahata: Yes, Hasmukh, I think the Y -o-Y growth was mostly impacted by our last quarter's performance. Last quarter, we had a slower than expected order book growth. This quarter has been decent.

And we are very confident, by the time we close FY 24, we'll be back to the same growth levels.

Hasmukh: Secondly, if I look at your client numbers, on a gross basis, it seems that almost 40 clients you have reduced on a quarterly basis. If you could call out any impact because of this from numbers perspective on your revenue?

Umang Nahata: So Hasmukh, like we said, the client reduction that we have is very, very planned and purposefully executed. These are especially our Oracle business had a lot of tail customers where we were doing very small tail businesses for them. W e have very purposefully reduced those tail customers.

And we've taken a shift to focus on mid and mid-to -large customers. And that's the reason you see a reduction in the number of clients. It is no reflection of reduction in the value of business.

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In fact, our average deal size continues to go up, especially in the Oracle services where it was pretty low earlier.

And that has allowed us to focus better on our customers, focus better on large deals and continue to deliver better in terms of client delivery as well as focus on growth.

Hasmukh: And lastly, on currency movement perspective, as we have called

out, this quarter because of a wide movement in the currencies, how it impacted your margins in basis points, if you could highlight that?

Arun Agarwal: In the current quarter, again, the way everyone reported, and we report as well it's a quarterly average from the P&L perspective. So, there is a partial impact which has happened in the current quarter. Again, we have to be watchful because at the fag end of the quarter end, you would have seen GBP and USD depreciating, much more in a wider way.

But again, USD/ INR and GBP/ INR is improving at the same time, so there is a balance which is happening. So, I'll be watchful for Q4 to see where significant impact happens or not. In the current quarter, it would be in the range of 20 bps to 30 bps impact at the high level, which would have happened into the EBITDA profile.

Moderator: The next question comes from the line of Rucheeta from iWealth Management.

Rucheeta: My question was on the service line. So, what I see is that your Data Automation & AI, it has been flattish or has degrown. Similar with your Digital Commerce and Experience business, not been growing. So, what has been the reason for the same?

Umang Nahata: So Rucheeta, as far as the Data business is concerned, again, we had a couple of customers with whom we had some projects business, which as the project business closed, we saw a dip in that kind of volume there. Although our endeavour spend, on the data continues to be high.

And we look forward to a higher growth globally in Data as we move forward into the next quarter, especially the work that we are doing with the financial services and healthcare in UK, a lot of that is data and AI-driven around Data Bricks. We're also seeing good traction in AMEA around our Data business.

And North America continues to be steady, and it's an area of focus. So, data, while it has had current blip in terms of our numbers, but the numbers are so small that even a million dollar change can change the percentage sizably. As far as the Commerce business is concerned, that is a very fair observation.

It's been on a slow or, steady decline for some time over the last 4 to 6 quarters. That's because the commerce business was largely based on Oracle Commerce and Oracle ATG. Both the products have seen defocus from the principal and therefore, even our focus on our Commerce business has been more around staying steady.

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And then gradually trying to divert our commerce business to more Digital Engineering or Salesforce commerce kind of business, which is much slower as compared to the business that we had earlier. So, Commerce, while it is there in focus, but it is not a very high-focus service line for us.

Arun Agarwal: Just to complement, overall service line, you will keep seeing improvement because that's the overall CX portfolio. And we are also combining multiple other capabilities in addition to

Salesforce and others. So, while that growth is muted because, as Umang mentioned, there is a decline in Commerce part, while Salesforce continues to be healthy.

So, it's a balance which is happening as we keep growing other portfolio within that particular service line, that will be reflected in the numbers as well.

Rucheeta: Understood. And sir, we've been talking about that going ahead, our headcount would be lower basically because of AI and all of that. So, would that mean that it would lead to operating leverage for us? Or will we pass it on to our customers to get more wallet share from them?

Umang Nahata: It's going to be actually a bit of both. There is going to be a portion of the efficiencies that we find will be passed on to our customers, especially in the initial phase as we really want to build the market. But there is going to be certain areas of headcount, which will drive efficiencies and margin improvement for us also.

So, it's going to be a bit of both. What is going to be the share, we are yet to see as we really start executing the benefits. We'll see how much can we retain for ourselves and how much do we have to pass on to our customers.

Rucheeta: And sir, just one question. On the AI service line, how big do we see this segment to be, let's say, in the next 2-3 years?

Umang Nahata: Rucheeta, if you ask me, indeed, first of all, it's changing so fast, so it's very hard for anybody to predict. Two years is a long time in the AI world. But, my feel, we will see a complete 180-degree shift in the way we do businesses in two years. Digital engineering will become more AI engineering. Packaged App development will become more packaged AI use case deployments.

Foundation Data Models that we build for data modernization will become Small Language Development for AI enablement and things like that. So , all the businesses that is prominent business today from Digital to Packaged Apps to data will all see significant impact of AI in them in the coming years.

Moderator: The next question comes from the line of Varun Kulkarni from InCred Asset Management.

Varun Kulkarni : Just one small question. I believe Arun sir has resigned from the company. A re we in the process of finding a new CFO? I mean, where are we on that particular front?

Umang Nahata: Yes. The CFO search is very actively on. And we have already shortlisted a few candidates going through our motions. But having said that, all senior positions have a notice period that

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has to happen. So, we might see an interim couple of months where we will run with our current team that is under Arun.

We have appointed an adviser who would help us during that period. But our search and shortlisting of the candidate is very active. And hopefully, we would have finalized the candidate before the end of this month.

Varun Kulkarni : Okay. And one last question, sir, if I may. What is the growth rate that we're anticipating in the UK and US region for, say, FY '26 at least for the top line?

Umang Nahata: We're looking for a healthy growth rate. As you know, Varun, we don't share any forward-looking growth markers, but it's a healthy growth rate that we're looking at, healthier than what we have had in the previous quarters or years.

Moderator: The next question comes from the line of Harsh Chaurasia from Vallum Capital.

Harsh Chaurasia : I have two questions. I think in your opening statement, you mentioned like your private healthcare licenses business, it is very strong in North America, where you are finding new opportunities. When I just compare it with the larger peers, the commentary on the healthcare vertical , they have mentioned there is kind of weakness mainly because of the policy uncertainty. So, I am not able to understand why there is a divergence between these two? So, if you can help me understand this ?

Umang Nahata: Harsh, that's a very, very sharp questioning. So , what's happening is there are different parts of the healthcare market, as you know, right? It's the payer , provider and life sciences. A large portion of our healthcare portfolio right now comes from the provider space. The provider space is where I think the business is still doing well.

And especially what services we offer is back office, which is driving efficiencies in their business. So , any solutions that drive efficiencies is welcome in the back office space, in the provider segment. As far as the payer segment is concerned, it's where even we are facing some challenges with a few of our customers.

That's a segment which is going through certain challenges and budget cuts, especially discretionary spend is being put to challenge in the payer space. So, depending upon how you look at your overall healthcare portfolio, you would see a positive or negative or neutral impact. But ye

s, in the payer segment, there's a bit of challenge in the payers. But luckily in the providers, we are on the providing solutions and offerings that drive efficiencies which is what they're looking forward to right now.

Harsh Chaurasia : Understood. And second question, sir, basically I wanted to know the nature of the business of your customers in the manufacturing vertical, are we focused on energy and utilities, or more on industrials ? Like where are we majorly focused?

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Umang Nahata: It's largely industrial manufacturing. Having said that, we actually also have some utility customers, but those are more like ports and things like those or water supply, those kinds of customers also. But in the manufacturing, it is largely industrial manufacturing.

Harsh Chaurasia : So, when we see the manufacturing vertical, what are the pockets of spending which you are getting, like new opportunities that are coming in this manufacturing vertical?

Umang Nahata: So currently, the manufacturing vertical is largely led by our Oracle services, that's the spearhead. So , most of our relationships start with opening the account using Oracle services, where we would offer them migration to cloud and from there. But once we've opened a customer using Oracle, then we're seeing actually potential across CX and across Data and across Digital, all the three areas.

And now as we move forward, a lot of healthy discussions are also happening around AI and especially in this space of hardware, software, integrated AI is where we are also seeing. So , our

Nvidia partnership is now starting to play in the manufacturing space as we do hardware - integrated AI POCs for them.

Moderator: As there are no further questions, I now hand the conference over to the management for their closing comments.

Umang Nahata: Thank you, everyone, for all your very insightful questions. And again, like I said, we had a quarter where we've really continued to deliver steady performance, and we look forward to a healthy backlog improvement as well as continue to work on growing our top line and margin performance over the coming quarters. So, thank you once again to all the analysts for their insightful questions and guidance. Thank you.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Apr 2025

Mastek Limited

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SEC/ 12/202 5-26 April 25, 2025

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BSE Limited

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SCRIP CODE: 523704 Listing Department

The National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

SYMBOL: MASTEK

ISIN: INE759A01021

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the

Quarter and year ended March 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial performance for the quarter and year ended March 31, 2025, conducted on April 21, 2025, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at

<https://www.mastek.com/investor-financial-information/>

Thanking you,

Yours faithfully,

For Mastek Limited Dinesh Kalani

Company Secretary & Compliance Officer

Encl: A/A

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"Mastek Limited

Q4 FY'25 Earnings Conference Call "

April 21, 2025

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER –
MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participants' line will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Asha Gupta from EY. Thank you, and over to you, ma'am.

Asha Gupta: Thank you, Se jal. Good day to all of you. Welcome to Q4 FY '25 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com.

To take us through the results today and to answer your questions, we have the top management of Mastek represented by Umang Nahata, the CEO of the company. Umang will start the call with a business update for the quarter. Post that, we'll open the floor for Q&A session.

As usual, I would like to remind you that anything mentioned on this call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.

Umang Nahata: Thank you, Asha. Good morning, everyone. Thanks for joining the call. Warm welcome to the call, which is for the results of Q4 and also the year -end of FY '25 for Mastek Limited. I'll start by giving a quick headline on how do we see the overall macro since this is the call, which represents the end of the year and fresh new year beginning.

So overall, it's been a very eventful year, a lot of important changes that you've seen; two government changes in U.K. and U.S., which are the most important business geographies for us. There's also a lot of change in policy and geopolitical affairs that we are seeing in our markets. This has also been a year which has led to significant changes in technology, especially AI and AI-related technology changes, which I'm sure is going to impact especially the IT services as well as all the industries very significantly as we go forward.

In spite of these eventful year all around us, I'm very happy to report that our overall revenue from operations for the year FY'25 has grown by 13.1%. Our net profit for the year has grown by 20.9% as compared to FY '24. The total cash and cash equivalent that we had in the company has now grown to INR 622 crores as compared to INR 473 crores that we had at the end of last year. From a business standpoint, our order backlog, our 12-month order backlog that we report has grown 1.7% for the year, which is lower and I'll explain that later in the call. For this year, we have also declared a final dividend of INR 16, which makes up a cumulative dividend of 460% for the year.

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Going forward, I would explain the performance of the quarter and then some of the impact that is happening within the various sectors of our business. As far as Q4 is concerned, our core business that is the U.K. and Europe business had a phenomenal quarter. And our revenue for U.K. on a year -on-year basis grew more than 17.2%, which is an outstanding performance from a U.K. standpoint. In fact, the numbers also grew by 9.4% quarter -on-quarter. The U.K. performance, as we all know, U.K. has been a strong digital services business for us. But the important change that we are seeing now is not only U.K. continuing to be a strong digital services capabili

ty business, but we're also seeing strong and healthy momentum in our Data & AI business in U.K. as well.

Going across sectors, health care continues to be the most high-growth sector for us in the U.K. The overall health care business, especially the business with NHS continues to grow phenomenally. In fact, we had more than 100% growth year -over -year in the last fiscal in our health care business. The demand for the health care business is again very systematically driven by more preventions and collections. Both of these are a lot more Data & AI-driven programs and therefore, has also helped with our Data & AI business to grow. These are systematic policy - driven programs and will continue to do well in spite of the organization and structural change that the U.K. health care is currently executing, which is trying to integrate all health care under the Department of Health.

Similarly, the private sector business in U.K. also continues to see a very strong positive momentum. As I mentioned earlier, I believe our private sector business in U.K. has now turned a corner and we are starting to see some really good deals and healthy momentum going forward. Again, interestingly, the business here is not just in the Digital services and Oracle, but we are also seeing a lot of Data & AI-led businesses happening in the private sector. And we continue to see very strong positive momentum as we go forward into the next year.

Our secured government services, which is the core and the backbone of Mastek's business in the U.K. continues to do really well. This year, as planned, we have almost renewed all the large backlog of business that we had to renew, which gives us a very strong healthy runway for the next 2 years and also gives us the momentum to aggressively go out and hunt for much more net new growth business in the coming year. All in all, very positive strong direction on our U.K. and Europe business as we look forward entering into the new fiscal.

As far as our North America business is concerned, again, our business for the quarter, while it had a year -on-year growth of around 16%, our Q -o-Q numbers have dropped by 8%. Oracle continues to be a really strong driver for our North America business. Our Oracle business, in fact, grew more than 50% in this year as compared to the previous year and we continue to see a very strong momentum in the Oracle business.

We are also working very closely with our 120- plus active customers in North America and are seeing and working with them in terms of developing their Data, AI and Digital road map as we move forward.

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The macro changes in the U.S., as we all know, is showing some impact or some near -term impact in our business as it is . I'm assuming as it's showing to all of us. And some of our customers are more directly impacted because of these policies, which has led to in -sourcing of some businesses by them or in- sourcing of some work as well as a right shift in the deal momentum that we were working with. We're very hopeful that these are near -term and short - term changes. And hopefully, the macro will stabilize and therefore, allow us to bounce back.

As far as A MEA , which is APAC and Middle East is concerned, our focus continues to be to drive profitable growth for our business. Healthcare continues to be the top focused vertical in the geography. Our EBITDA numbers for the geography have improved significantly quarter - over-quarter and we continue to focus on driving healthy profitable growth in the region. I'm also very happy to share that our healthcare business, which was largely Oracle-driven earlier in the geography, has now expanded to other service lines and we're seeing traction across all capabilities, Salesforce, Data, AI and Oracle within the health care space.

On the overall profitability numbers for the quarter, our

EBITDA performance for this quarter

de-grew by 1.4% and our net profit de-grew by 14.4%. The de -growth in EBITDA in spite of the positive momentum and growth in revenue is largely attributable to 3 or 4 important reasons.

The growth that we are seeing in our U.K. business, as I mentioned earlier, is in more newer skills , is more in Data & AI capabilities and in more front -ending capabilities. Some of these capabilities, we are also building as we deliver. And therefore, the margins in these businesses are lower as compared to our traditional margins that we used to enjoy. And we are actively working on strengthening these capabilities. And over the mid - to long term, I'm sure these will again deliver us healthy margins as we go forward.

There's also a reset in terms of people changes that we are executing, quite a few across the organization. And that reset has also led to some one -time costs that have come in this quarter and we might see some more as we look forward into Q1.

The third important change has been the lower revenue growth in U.S., which has also flown down to our bottom line and hence, impacted our bottom -line performance for this quarter.

The PAT performance or the net profit performance, which has gone down significantly is largely led by a one -time prior period cost adjustment, which was only a one -time event. It has been executed already. And if you look at PAT, outside of this exceptional event, it was pretty steady.

Going forward and looking at our business for FY '26 and the outlook for FY '26 and how do we see the business there. Our current view is our growth in our core business and core markets, which is our U.K. and Europe geographies will continue to be extremely healthy. As I mentioned earlier, we are almost firing all cylinders in our U.K. market.

Our secured government services business, we have a very healthy overall total backlog in that business. And we are now really aiming for growing business in terms of acquiring new projects

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as well as new departments in the SGS sector. We're already in play in various bids, which would get announced over the course of the next year. And I'm pretty hopeful that, that will change the growth trajectory of our U.K. secured government services business.

Similarly, health care continues to be a strong momentum in the U.K. We also feel that the more than 100% growth that we have had in healthcare in U.K. last year will continue to offer a significantly high growth even in the coming fiscal year, which is FY '26. Data & AI will continue to be the focus for us in terms of our technology services and we are looking forward to have Data & AI-related growth across sectors and across geographies in the coming year.

As far as the U.S. is concerned, we are currently going through a reset in terms of our focus, in terms of our leadership team and structure as well as our go -to-market design for North America.

We're also trying to make sure that we navigate the current macro uncertainty as well. We are building very close ties and relationships with our customers and creating various innovation-led programs with them that will allow long-term sustainability as well as long-term value and return for our customers in the U.S. These changes will change the overall dynamics of North America business for Mastek. However, it will take its course of time as we deliver and navigate through these changes in North America.

On APAC and Middle East, as far as APAC and Middle East is concerned, driving profitable growth, especially in healthcare is going to be our key focus. We are looking at not just currently executing Oracle, as I said, but taking the health care business to all of our service lines, especially Salesforce and Data & AI.

Operational efficiency is going to be one of the key mantras as we go forward into FY '26. We have already

made various fundamental and structural changes in our business and we continue to make many more changes in the organization that will drive robust and profitable growth in the overall organization as we land into FY '26.

These changes will start showing impact as we move forward. However, they might have some short-term pain as we make and execute those well-directed and planned changes that we are executing. It's important as we go forward that we stay close to our customers and build innovation, especially around AI & Data, working closely with our customers. We started seeing the fruit of the AI development that we had done or executed in the past 6 months and these have started showing some initial results already and we're hoping to see many more changes as we go forward.

We've already seen customers where we are seeing more than 30% efficiency benefits as we are executing, especially the fixed bid projects that we execute across Oracle, Digital and Salesforce using AI and AI-enabled technologies.

The ADOPT.AI platform that we had launched earlier in Q3 for Oracle services has now been extended to all the other service lines, including Salesforce and Digital. So we now have an AI-led sales force implementation as well as an AI-led legacy modernization platform that allows us to offer anywhere between 30% to 50% efficiency to our customers to execute much faster

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and better. We've also developed more than 100 AI-led use cases, which we are offering to our clients, many of them developed in close conjunction and in discussion with our clients. These are going through initial POCs with our customers. And I'm very optimistic that as we execute some of these use cases for our clients, it will drive significant value for them as well as significant value and uptake for our business.

The near-term uncertainties in the market continue as we look at and get into the next year from an overall sentiment point of view. We are driving with a lot of positivity as well as caution to make sure that we understand the changes well and we navigate the business well. However, the overall health of business continues to be extremely positive.

With that, I would hand over back to Asha for taking over the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Jalaj from Svan Investments. Please go ahead.

Jalaj: I had a few questions for the management. Could you deep dive a little more into what exactly is happening in the margins? Specifically in U.K. geography because on a segment level, the drop in margin is very significant, so just wanted to understand that. And how should I see it going forward? Would it be reset for a few quarters, a 2 quarters or 3? When should we go back to our original segmental margins of 22%-23% sort of? So that was the first question.

Umang Nahata: Jalaj, thank you for the question. As far as our U.K. business is concerned, like I said, we see a very strong growth momentum across all the 3 sectors that we operate in. However, the kind of business that we are seeing, the kind of work that we are currently getting is in newer areas of data, especially Data and AI kind of work that is now coming up. These will have an initial impact. So, the fulfilment for many of these positions as a lot of them is on-site work and also we're working with partners to execute these kinds of businesses.

As we build capabilities, as we also expand into more offshoring into these lines of businesses, I think the margins will come back to the healthy rate that we had earlier. In the short term, we might see some impact to margin. So the way I look at it is the profitability overall will grow whereas the rate of profit, which is the rate of EBITDA percentage might come down, but the overall EBITDA should continue to grow

in a healthy direction.

Jalaj: Got it. Just one more point or trying to delve a little bit deeper on to it. So could you give a little breakdown of some attribution analysis of what led to the fall exactly? Because I see the headcount has reduced, still the people cost has increased and other expenses are also picking up. So could you give us

some allocation sort of ?

Umang Nahata: So, you're right, the headcount has reduced and that's a constant measure to drive more revenue per headcount. However, like I said earlier, a lot of the increase in headcount that has happened in this quarter, is largely on -site resources. And these are pretty high cost on onshore or on-site resources that we have hired. And that has led to this increase in cost despite of overall reduction in headcount. So bulk of the headcount that has increased are increased in on-site headcount

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resources. Also, the other costs that you're seeing are largely subcontractor costs. So, we classify them as subcontractor costs. And as I mentioned earlier, a large portion of these revenue also came by subcontractor costs. So we might have added another 70-80 new subcontractors in this quarter, which we will balance over the coming 2-3 quarters as we go forward and expand our internal capabilities on these areas.

Jalaj: Understood. And specifically, when you talked about your order backlog being filled or U.K. being having good traction, but the overall order backlog, if I were to check 12 months order backlog, year-on-year remains flattish on a constant currency basis. So where am I missing the disconnect between the outlook-wise and what is showing up in the order backlog?

Umang Nahata: That's also a great question. So while the overall backlog has definitely increased phenomenally, like I said, a lot of these contracts, we're trying to secure them for long term and make sure that we get a steady long-term runway in our business. The 12-month backlog for year-on-year is 1.7%. Having said that, there's almost a \$15 million worth of contract, which based on our cycle has closed in the first week of April, which we haven't counted there –which is \$15 million ACV. So, if I add that \$15 million, then the 12-month backlog also moves more close to 7% to 8% on an annual basis as well as approximately around 12% on a quarter-on-quarter basis.

So I would say, there is some timing mismatch in terms of the deal closing that we were looking forward to. But yes, it's not a 1.7%, it's around 7% to 8% for all practical purposes that we are looking at from a year-on-year basis.

Jalaj: Understood. And Umang, I wanted to understand how things are shaping up in the U.S. geography. So we have been trying to put up feet there. Now this macroeconomic uncertainty has come in. So how do you see going forward both in terms of resetting, as you said, and then

the growth demand there going forward because it would make a life a little difficult in terms of if it is there's not enough demand to get both margins in place and the business otherwise. So could you –tell us along with some time line as and how you're seeing things there?

Umang Nahata: Yes. So as I mentioned earlier, we're looking at all of our U.S. focus and strategy. As I mentioned in my previous calls also, our current U.S. business is literally made up of the 3 or 4 acquisitions that we have done. So our first and foremost change is trying to simplify the org structure and make the organization one single consolidated North America business, which is what we've been trying to execute in Phase 1. So that's the structural change that we're trying to make.

The second part is to really focus on capabilities that are growing and that continue to see a lot of demand and growth, which is largely around Data & AI. So we're really beefing up our data and AI capabilities in the geography. As I mentioned earlier,

we're also working very closely

with our customers and developing a lot of these capabilities very closely in correlation to their demand that we see. So it's very tightly pegged to what we are seeing with our existing set of customers that we are working with. Our investments in Data & AI will continue to be disproportionate to some of the other capability areas as we really go forward into the next year.

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On the Oracle and Salesforce side, I think we continue to see healthy growth in both service lines. On our Salesforce business especially, we had seen a little bit of dip, especially because of the public sector nature of business, which got impacted in the last quarter and as the macroeconomics played out. We are working closely with our customers to look at their next year's budget and how do we align well in terms of building our capabilities as well as our offerings to help them also navigate through this cost reduction expectations that the government has from them. So that's the area that we really want to navigate carefully. But other than that, as far as Oracle, Data, AI and digital is concerned, the momentum is steady and we are building up in the right direction to pick up a long-term growth in that geography.

Jalaj: Got it. And one last question on the margins. So until very recently or last 2 calls, we had initial discussion about the EBITDA margins that we were trying to stay in the range of 17% to

19%. Is that a guiding principle even going forward or that changes a little ?

Umang Nahata: No, that doesn't change at all. Our ambition and drive is to drive to 17% to 19%. Like I said,

there are some fundamental correction that we have made now. A lot of it is a cost of reset also. Some of it is also driving business in the right capability areas in U.K. as well as in U.S. So these will need so me fundamental time to correct. But I'm sure before we end the next year, we will be in that range of 17% to 19%. So operational efficiency is key and driving business with the right fundamental corrections is required to reach to that level.

Jalaj: We are hopeful that FY '26, we should get into that range. Would that be a fine assumption?

Umang Nahata: Yes, that's a good assumption.

Moderator: The next question is from the line of S. Na yak from Anand Rathi Wealth Limited.

S. Nayak: Just one thing. You mentioned about the Oracle business growing 50% year -on-year in the U.S.

What's basically driving that? And is the Stargate JV where Oracle is a part of, is that benefiting you in any way? That was the first question. I have another que stion.

Umang Nahata: Sorry, can you repeat I got first part of the question, but I didn't get the second part of the question. Can you repeat that?

S. Nayak: The other part was basically, I think Oracle is now a part of the Stargate JV in the U.S., right, with SoftBank and OpenAI. Is that something that you are seeing some green shoots of positive demand coming from there? Is that one of the things? And the sec ond is what exactly is the Data and the AI business? If you could just give a slightly more detailed nuance on that, that will just be helpful. Those are the questions from my side.

Umang Nahata: Sure. So as far as the Oracle business is concerned, I think we're seeing healthy continued demand in the sectors that are strong for us. So, health care continues to be an important sector and we're seeing good healthy demand there.

Manufacturing and utilities are the other sectors that are really coming up well and we are seeing good healthy demand in terms of manufacturing and utility businesses in Oracle. And we're also

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trying to expand this to higher education as the third sector, taking that globally. So these are sectors that are currently doing well. We've also been able to develop a very

healthy relationship

with Oracle and Oracle Consulting. In fact, we've also recently onboarded a new Board member who has come from Oracle and she was earlier the Head of Oracle Consulting working at Oracle. So we're in general, seeing good demand and momentum in that business.

As far as the Stargate and the OpenAI alliance is concerned, there's no direct or immediate visibility in terms of impact that we see in this quarter. In the long run, the Oracle OCI, which is where the investment is, which will also cover the Oracle AI si de of the business, is where we see phenomenal growth and we are working closely with Oracle to really drive more AI adoption within the Oracle install base that we have. And we've already seen a lot of initial programs where we've turned on some degree o f AI work for them. And looking forward, we see much more adoption in the install base where AI for business will be adopted in a much higher degree. There was a second part of the question the data-related work that we are currently getting in the U.K., it is more around currently data design and setting a framework kind of work.

Going forward, it should mostly result into either Databricks or Snowflake kind of data activities as we look at there. The data work that we are seeing in the U.S. is a lot more around Snowflake and Oracle right now. But we are also trying to consolidate these 3 and build a much stronger capability around Snowflake, Databricks and Oracle as we go forward.

Moderator: The next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: My first question is, obviously, we are seeing very strong growth in the NHS segment. But as you mentioned earlier that the NHS England merger can have some near -term impact in terms of decision making. So are we seeing any impact of that on the order book that we have mentioned? Or else any impact from the ongoing macroeconomic uncertainty on the order book that you are seeing any deals that are in the pipeline, which are getting delayed? Or we will continue to see the strong growth in the healthcare and the NHS segment? So that is the first question.

Second one is in the U.K. margins, it has dipped in this quarter. So do you see th is like one -time event or it's a kind of a reset because the margins that you have reported in the U.K. is a 5 -year low and earlier, we used to operate plus 20%. And you said that deals that are coming in that are actually at low margin, so we can hit 18%, 19%, but we are way below that. So what changed in terms of your assumptions or the new deals which are coming are at a very low margin?

Umang Nahata: Yes, Amit, thanks for those questions, very insightful questions. So as far as the NHS growth is concerned, the merger of NHS England into Department of Health that got announced earlier in the quarter, currently, this process is going to be a steady long-term process. It will take at least 2 years for the government to really integrate and put the 2 departments together. The other part is a lot of the efficiencies that the government spoke about as a part of this merger is largely on the oper ational side, which is between their teams of quality, their procurement, their operations,

et cetera. A lot of the cost savings that the government is envisaging and rightly so is more on the operations side of the NHS.

As far as the technology investment is concerned, in the same breadth that we heard the government that they will continue, if not increase their investments in technology and look forward to making NHS much more efficient, driven by preventions as well as driven by data - driven decision-making, which is the collections program that you would see. So currently, the business that we're getting are really within these 2 important programs, which is the NHS preventions program and the NHS collections program. These are

the 2 most flagship and policy-

driven programs for the government. And the whole mandate of driving efficiency or recovery in the NHS is driven by the technology adoption in these 2 areas.

On the near-term basis, as the government executes these merger and changes and while there are certain uncertainties around it, there may be some changes, but we haven't seen anything that would suggest here and now in any of our current deals. So the timelines on any of our current deals hasn't changed. Nor has there been any change in the demand for new deals that we are seeing impacted so far. Having said that, we are closely observing and monitoring the changes that happen within the government, talking to the right people in the government also to make sure that if there's any change, then we are able to navigate it well. But having said that, there's nothing that we have heard so far, which would make us think in any view that we derail from where our current path was as far as NHS is concerned. So we are optimistic for a significant growth even in the next year.

On the margins side, this quarter has been, I would say, a little abnormal in terms of decline of the U.K. margins. Like I said, the business that we are gaining a lot of the NHS business as well as some of the business that we are now delivering in secured government services have been secured at a lower gross margin as compared to the gross margins that Mastek traditionally has been used to. There are two main reasons to it and 2 different areas and reasons. As far as the NHS business is concerned, these are in newer areas of data, data-related solutions and services and would eventually result into Data and AI-related businesses as we go forward. These are newer capabilities for Mastek, especially as it comes to delivering them on-site in a secure government or a security cleared resource framework that the government is currently asking for. And hence, has led to immediate dip in gross margin percentages for these transactions. We are working closely with the client. In fact, they also have pressure to improve the margins for these contracts. And therefore, I think in the midterm, will lead to more balanced on-site offshoring as well as more balanced resourcing for us to improve margins in these programs.

On the secured government services side, the large contracts that we have renewed now, which gave us a more healthy 2-year runway for these businesses have been renewed at a lower gross margin rate. However, we've been able to avoid any commercial competition there and been able to secure a direct renewal of these large contracts.

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We are now working on internal efficiency drives to make sure that we are able to deliver these margins with the same healthy gross margin rates that we had earlier. Some of these will take a few months or quarters to get us into that rhythm of executing these new businesses, which are

at a lower margin, but we are already on it. And therefore, I feel confident that in the midterm, which is in the next year, we should be able to come back to the healthy margin rates that we have been executing like we said.

Amit Chandra: Okay. And one last question. Where are we in terms of the restructuring that we had in the AMEA geography? Are we done with it or still some part of it is remaining?

Umang Nahata: Yes. So we've executed the restructuring with AMEA. If you look at this quarter's performance, our EBITDA performance has significantly improved from where it was in the last quarter. And we will continue to see the AMEA profitability growth move northwards as we execute.

Like I said, our very clear and sharp focus is to deliver profitable growth in AMEA and health care as a key focus vertical for driving that kind of growth. So we've executed most of the restructuring for AMEA. And in fact, it has already started showing

positive results as far as profitability for AMEA is concerned.

Moderator: The next question is from the line of Ravi Menon from Macquarie.

Ravi Menon: Good performance in Europe, but U.S. has actually seen a decline. I'm not sure if you answered

that already. In fact, I missed the first 10, 15 minutes of the call. If could talk a bit about that, what sort of demand are you seeing?

Umang Nahata: Sorry, Ravi, the audio is not coming out very clear. Can you repeat that?

Ravi Menon: The U.S. has seen a decline quarter -on-quarter, although Europe has done pretty well. So could you talk a bit about how you're seeing demand in the U.S.? Secondly, top 5 clients, we've seen almost all the revenue addition this quarter come from there. And beyond the top 10, there is a bit of weakness. So is it just normally project spending or is there a broader set of -- is it just from the macro? Are people cancelling projects or putting them on hold?

Umang Nahata: Yes. Thanks, Ravi. Thanks for that question. As far as the U.S. is concerned, there is definitely a degree of uncertainty that we are all observing and even our clients are feeling the same. So there are 2 kinds of clients that we are currently seeing uncertainties with.

One are more public sector or government -funded kind of clients and they are seeing their budgets being significantly cut and a lot of tightness in terms of execution expected from those customers, which is leading for them to relook at their discretionary spend as well as expanding their in-sourcing kind of activities. So that's been one reason, 2 of our clients have seen or started looking at in -sourcing their businesses, especially in some of their core areas, which has led to a degree of slowness with those customers in the U.S. So that's one area.

The second part of the uncertainty is where the other larger spectrum , if you go wider into commercial sector and every other sector that we are currently dealing with. The uncertainty is

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causing customers to right shift their the orders that they would want to place or even the orders that they have placed, they are asking us to go slow in terms of execution or the spend against those MSAs.

So yes, I would say that degree of uncertainty in the U.S. is causing some degree of slowness from both these factors, cost cut as well as people holding back their discretionary spend or right shifting their orders that they wanted to put out. That's also one of the reasons our overall backlog has seen a little bit of a dip in this quarter.

On the top 10 clients, you are right, you pointed out very rightly. March is when a lot of customers go live with their projects and programs. So it's mostly about customers going live and we're now discussing next phase of work as well as expanded managed services in these customers. So it's more to do with that. But we don't see any other pattern beyond the top 10 clients in terms of any change in demand or anything like that from them. So it's not any specific top 10 or beyond kind of pattern. But yes, there have been quite a few programs that have gone live in end of March. And therefore, we are currently in the phase of building up for the next set of programs with them.

Ravi Menon: As a follow- up, in North America, are you seeing continued success with the Blue Cross Blue Shield sort of customers? I recall that we had been hoping to replicate the setup that we've won with one of them.

Umang Nahata: Yes. So BCBS and the likes, which is the strategy on Blues that we had built last year. So BCBS continues to be a strong customer for us and we are seeing decent momentum, although the amount of business expectation that we had from them has definitely reduced. So that's one of the customers who's doing a little more in-sourcing of their business. Having said that, the Blue s strategy, which we had set ourselves up

for last year, while we didn't see any significant new Blue addition that we got in the last year, as we speak, we are actually negotiating MSAs with a few Blues. So hopefully, in the next 1 or 2 quarters, we would have added a few more MSAs beyond BCBS in the Blues. But last year, we couldn't execute on the Blue strategy as much as we were hoping for.

Ravi Menon: And could you talk a bit about the other verticals that you are hopeful about in the U.S.? And what are you trying to at least put business development efforts?

Umang Nahata: Sure. So , beyond healthcare payers, health care provider continues to be an important vertical for us and we continue to see good demand in the healthcare provider vertical space, especially led by our Oracle business, but now we are expanding that across service lines that is growing into Salesforce and Data consistently. So that continues to be a really important vertical for us.

Manufacturing and utilities is the other vertical that is seeing good uptake and demand for us and we continue to do really well. Again, a lot of innovation is being developed as we speak forward. So many of our manufacturing customers who usually start with Oracle or Salesforce as their first program with us, we're now able to offer them data and IoT and digital solutions in

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their second wave of automation and efficiency drive that we're offering. So manufacturing and utilities is the second important vertical.

The third is financial services. Financial services is largely driven by our AI acquisition that we have made. So we continue to see good traction in the FS, largely led by our data propositions that we acquired from BizAnalytica. So those are the top 3 vertical focuses that we have in North America.

Retail is also an important segment for us, but it's not growing phenomenally. So while we have a healthy mix of retail customers, we're not seeing any significant growth with them yet.

Ravi Menon: One last question, if I may, on the AI side, there is an opportunity on business use cases. But are you seeing at least your major customers ask you for significant productivity benefits and commit to that in new deals or even existing book of business?

Umang Nahata: So currently, as we speak, AI on technology is a really important wave here and now. So we are actively discussing with a lot of our customers for use of AI for us to execute the new projects with them. While this might have some initial efficiencies that we will have to share with our clients. But I think in the long run, it will drive a lot of healthy demand. We're already working with net new customers who are now bringing up legacy modernization initiatives or digitization initiatives that they were not looking at earlier because of the technical complexity or the costs

involved. But with AI, the ability to execute the modernization of those really old systems that they had in an efficient manner is becoming a reality. And we are working closely with all of our existing install base customers to see how we can help them use AI to drive a far more degree of modernization. That's around just using AI for better technology adoption of their business.

And this is where, yes, we are working with them to pass around 30% efficiency back to them also. But I think we will still be profitable in spite of passing the 30% efficiency back to them.

On the AI for business, I think it's early days. We're starting to see use case discussions. There are some POCs going on in a variety of customers. As we move forward, more and more of these

POCs will become turn into programs and projects is where we see the line of travel.

Ravi Menon: And the NHS or the U.K. government, too, are you seeing these sort of programs?

Umang Nahata: In the government, it's still early stage discussion, both with NHS and the government. These are currently more data-drive

n programs there. But we are working closely with the government.

We are discussing some proof of concepts in terms of AI adoption for their business right now, but I would still say very early stage.

Moderator: Thank you. The next question is from the line of NGN Puranik from ENAM Holdings.

Ngn Puranik: Congratulations on a couple of deal wins you have made in the last couple of quarters. Can you just give a background of the recent deal won because it looks pretty interesting because most deal wins are over a period of 5 years, but you have won a 2 -year deal and there is volume and visibility certainty in this kind of deals ?

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So I would like to understand more about this. And what's your process to get into the margin curve, both in terms of the productivity and solution building capabilities that you have been talking about ?

Umang Nahata: The most important deals that we have won in the last quarter have been two really large deals with our existing customers. These have allowed us to significantly cover the current book of business that we have with Home Office. And these deals have been closely worked with them

and therefore, single -sourced renewed with us giving us a runway for the next 2 years.

The government clearly is renegotiating prices and is looking at cost efficiencies from all vendors, which I think our ability since we closed most of our open book of business today gives us the license to go out and compete against the book of businesses that other competitors have, especially the larger players in the market. And we are now actively building ourselves up based on the backup of these deals that we have already won to go out and compete for the share of business that our competition has, especially in SGS as a sector, in the secure government services sector.

As far as the operational efficiency drive is concerned, it's a very pointed 4 -5-step program. The first step was around driving internal efficiency overhead cost management kind of exercise, which we are executing as we speak. The second is simplification of the organization. So , we

have simplified our organization structure. This has led to some reset in terms of people, leadership structure, which has initially brought in some one -time costs as we executed those changes, but over the quarters will drive efficiency and take business forward. Third is adoption

of AI in all of our internal delivery programs, especially the ones which are fixed bid delivery programs. And we are looking forward to anywhere between a 15% to 20% efficiency drive just

because of AI adoption in our business. And last and not the least is reorganizing our business

to deliver the kind of growth that we have set in U.K. So reorganizing, relooking at our resourcing our pyramids, our on- site offshore mix between our resources to make sure that the cost efficiency demand that we have for our customers, we are organizing our internal org

structure to align to those kinds of demand or efficiency demand for our customers. And able to deliver them without impacting or without significantly impacting our bottom line. So those are some 4 or 5 important areas that we have looked at. And we believe all of these will offer sizable value in terms of bottom line performance and that's an important goal for us in FY'26.

Ngn Puranik: And what's the potential opportunity in this, both in terms of maintenance and new deals that can follow?

Umang Nahata: Mostly, these will continue to have maintenance and new projects. These are long-term customers for us. So they will continue to offer both maintenance as well as new projects that will happen with them.

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Ngn Puranik: And you have been doing a lot of data, technology, AI. What is your total force in terms of data capability, analytics capability and with that domain,

with health care domain and public services

domain and the potential referenceability of this in other markets like U.S. public services?

Umang Nahata: So our current Data AI team, is around 200, 250-plus people, but it is growing as we speak, growing quarter-on-quarter. So we're adding another 50-100 people. So it's reskilling as well as new addition that is constantly happening with our team. So it's an area of business that we think will grow the fastest in the coming year. So that's where we are with Data AI. As far as adoption of these capabilities and skills across verticals in U.S., so we are working and trying to develop and deliver these solutions globally in U.S., U.K. as well as in A MEA. So Data AI will be a key focus across all the 3 geographies.

Ngn Puranik: And the templates and reusable components are significant?

Umang Nahata: Yes, yes. So a lot of asset accelerators are being built, a lot of investment in working with start-ups and acquiring platforms that they have developed, which we can use in our business is also a key part. So working closely in terms of assetization, working closely with start-ups to learn and acquire from them are important part of executing this business.

Ngn Puranik: Interesting. Can you give some sense of your U.S. market, how U.S. is doing in terms of both domain technology and the potential, how will you take the learnings from here to those markets?

Umang Nahata: So U.S. overall, like I mentioned earlier, our focus is across all the four capabilities; Oracle, Salesforce, Data and Digital. Most of the businesses are across all the four. Having said that, we are in a reset in terms of our structure and GTM for our U.S. business is concerned. These are more disorganized into 4 individual businesses, we're now trying to organize them carefully and correctly, especially in terms of our capability overlap from one to the other. So that's an important part as far as our U.S. focus is concerned. From a vertical standpoint, healthcare, manufacturing and financial services continue to be important verticals. We also have a decent public sector and higher-ed presence.

Ngn Puranik: And Oracle Commerce is still significant?

Umang Nahata: Oracle Commerce is there. The Oracle Commerce business is not growing, but Oracle overall is growing.

Ngn Puranik: And what do you think about Cerner Corporation and NetSuite? Is there any potential in this enterprise?

Umang Nahata: So we are not investing in NetSuite. NetSuite is more for the SMB market. Cerner, we are evaluating closely whether we want to invest in Cerner or not. But it's a degree that we are working closely with Oracle. As soon as they open up Cerner for partners, we would want to invest.

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Ngn Puranik: I'm only asking NetSuite from the Oracle migration that you are doing, the small deals you are doing.

Umang Nahata: Yes. We are not working on that.

Ngn Puranik: It doesn't make any sense. They are too small.

Umang Nahata: Too small.

Ngn Puranik: Very nice to see your U.K. business doing so well.

Moderator: The last question is from the line of Varun Kulkarni from InCred AMC.

Varun Kulkarni: One question on the working capital. Basically, I understand that we have a heavy exposure to the U.K. government. But there was a considerable increase in the trade receivable for this fiscal year. So I would just appreciate your comment on that, like why was that the case this year?

Umang Nahata: So Varun, I think the trade receivable is generally in line with the revenue growth. So we haven't

seen any significant change or exposure. Is there anything specific that you observed, which we haven't?

Varun Kulkarni: So there was a reduction in the operating cash flow. That is why this question because the working cap, the debtor days have also increased. If I see last year, the debtor days stood at 67

and as of this fiscal, it's at 81. So just wanted to understand that.

Umang Nahata: Yes. Varun, I think our DSOs have improved. In fact, it has come down to 83 days in this quarter, which has been our target that we have set ourselves up for the fiscal. So overall, we see a healthy working capital balance and we feel quite comfortable with the cash generation that we have.

And if you look at this year also, we've generated more than 30% growth in cash year-on-year.

So we feel comfortable with the working capital situation that we have and our DSOs are also consistently improving.

Varun Kulkarni: Sure. And one more question was that pardon me if I already missed this. What would be the percentage of the net new deals? And how do we anticipate that going forward for this fiscal?

Umang Nahata: So we've added 11 new customers in this quarter. And so the net new is defined in 2 parts, right?

Net new is net new customers. So we've added 11 new customers this quarter. And we continue to see that as a healthy rate of adding like 40 -50 customers, while we're also trying to reduce the tail customers that we have. So we're trying to balance the number of customers that we want to service. There's also good potential of net new business in the existing customers, especially around Data & AI that I mentioned earlier. So we're seeing new programs in the existing customers also continue to ramp up and grow.

Varun Kulkarni: And in absolute dollar terms, would you be able to ascribe a value ?

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Umang Nahata: I don't have that top of my head, but maybe we'll work with the finance and see if there's a side-line answering that for you, but I don't remember the net new number right now.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Umang Nahata for closing comments.

Umang Nahata: Thank you, everyone. Thank you for asking the right questions and thank you for patiently listening to us. As I've said, as we go into FY'26, it's an important year. We've had some important analysis for the year going past and continuing to focus on our core business, which is our U.K. & Europe business and our Oracle business as our key levers for growth, resetting our business in U.S. to make sure that it gets more aligned to Data & AI and has a more integrated Mastek view is the other important part that we are looking forward to. Driving operational efficiency is going to be a really important factor as we take forward the next year.

And last and definitely not the least, is continuously evolving our technology and capability outlook, especially around Data & AI is going to be an important pitch going forward. And I'm sure those are the factors that will drive and continue to drive Mastek in the right direction as we move forward in the next year. Having said that, there is a lot of near-term uncertainty that we're all going through in the macro. So we're trying well to navigate those near-term uncertainties also.

Thank you, everyone. Thanks for joining the call.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Jul 2025

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the Quarter ended June 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial performance for the quarter ended June 30, 2025, conducted on July 21, 2025, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at <https://www.mastek.com/investor-financial-information/>

Thanking you,

Yours faithfully,

For Mastek Limited

Dinesh Kalani

Company Secretary & Compliance Officer

Encl: A/A

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“Mastek Limited

Q1 FY'26 Earnings Conference Call ”

July 21, 2025

MANAGEMENT : MR. ASHANK DESAI – PRINCIPAL FOUNDER AND
CHAIRMAN – MASTEK LIMITED
MR. ABHISHEK SINGH – PRESIDENT OF UKI &
EUROPE – MASTEK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Ms. Asha Gupta from E&Y LLP, Investor Relations. Thank you, and over to you, ma'am .

Asha Gupta: Thank you, Zico. Good day to all of you. Welcome to Q1 FY'26 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you and you can also view it on our website www.mastek.com

. Before we begin, please note that Mr. Umang Nahata, the CEO of the company is unable to join today's call due to a personal bereavement.

To take us through the results today and to answer your questions, we have the top management of Mastek represented by Mr. Ashank Desai, Principal Founder and Chairman and Mr. Abhishek Singh, President of UKI and Europe. Mr. Ashank will start the proceedings, and Mr. Abhishek will then provide a brief update on the business performance and financials for the quarter gone by. And post that, we'll open the floor for Q&A session.

As usual, I would like to remind you that anything mentioned on this call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and the subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Mr. Ashank Desai. Over to you, sir.

Ashank Desai: Thanks, Asha. Good afternoon to all my dear investor friends and analyst friends. Good day for people outside India. As Asha said, we have an apology due to absence of Umang Nahata, our CEO because of a very close bereavement, unfortunately, over the weekend. However, we have two of us here who will deeply involve in any case as will answer questions and address you.

So, if I look back this quarter, I would say it is a strong beginning for FY'26 with a lot of expectations, a lot of green shoots and a lot of initiatives which are defined into results at revenue level and profitability level. As you know, we have delivered almost 13.2 % year-on-year growth

on income, total income in rupee terms and net profit, of course, grew 28.7% in rupee terms. Our operating EBITDA grew 10.8%. These are year -on-year growth, which certainly makes us

feel satisfied in terms of our performance. The strong points of the performance, of course, has UK, which has always been doing quite well over the last many quarters, as you know, for Mastek. We have grown 26.5% year -on-year there again in rupee terms in UK. Certainly, we had big outcome, which is beyond our existing sectors in government, NHS. We were very successful in opening a large account in BFSI. And that's kind of really going to create certain goodwill and certain name reference for us, which we have talked about. And that is going to be a new inflection point in our growth in UK.

US, of course, we would have liked to do better certainly, but there have been headwinds in some of our accounts and some of that did impact. However, when I look at our pipeline and the Mastek Limited

backlog, I feel happy that we have achieved good order booking this quarter and pipeline looks quite healthy for future growth.

AMEA, of course, has been showing lesser growth because certainly, we are now focusing on profitable growth rather than just growth. And Umang is certainly working quite hard in that area, given his earlier exp

erience too in that geography. And that would certainly reflect this in some of our numbers in A MEA at a profitability level. But the real good another thing which has happened is, really speaking, AI. We are really feeling very satisfied and very energetic about what's happening in AI, particularly in US We have more than 10 accounts where we are presently working on various proofs of concepts, various areas of AI, Gen AI, Agentic AI. US , as you always know has been ahead of others in terms of technologies and our customers in all these areas do give us a great satisfaction. And with this more than 10 customers, in fact, driving that wave into AI market. We do feel that we have a great future ahead in AI both, as I said, productivity improvement and possibly new applications.

In terms of EBITDA, of course, our journey continues. We, of course, had issues in terms of headwinds in US and that did impact EBITDA. And we also are investing, which we are not

reducing our investment in tomorrow's technologies, as I talked. Both of these impacted EBITDA.

Last point I will quickly talk is about team selection. Umang and his team and Board together are very much involved in team of two senior people for us. One is our President for US and second is CFO at the corporate level. We are quite near to the things. We have been shortlisting, we have been interviewing. I hope to see results very soon on that aspect.

With that, I'll hand over to Abhishek, our President for UK & Europe and all of you know in his earlier avatar as CFO. Abhishek, please take over from me.

Abhishek Singh: Thank you, Ashank. Good day, folks and warm welcome to everyone on our Q1 FY'26 earnings call. As Ashank touched upon a few of the financial parameters as well as the operational update, I'll be elaborating it over the next 25 to 30 minutes. I'm happy to take your questions right after that. So, I'll start with the financial performance and weave in the business updates along with that.

I would start with reiterating the comment Ashank made, which was about it is another steady quarter of robust financial performance despite all the headwinds and macro situations that we have been experiencing in the major geographies that we operate in. All of you know the tariff - related situation, which impacts retailers in the US market, the impact of war and uncertainty in the European market and as a result of it, our clients are also impacted.

But having said that, despite all those factors, our revenue grew very well at 12.5% year -on-year to nearly INR 915 crores, which represents a sequential growth of 1% and a constant currency decline of 1.1%. If we dive further into the revenue performance, the growth was predominantly driven by our UK & Europe business, which registered a 27% year -on-year growth in the reported currency and 8% quarter -on-quarter growth. This was I would call it as a 360- degree growth, coming from all the major sectors that we operate in. Health was obviously the leader, Mastek Limited

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having grown by 25% to 26% quarter -on-quarter and it more than quadrupled year -on-year. The growth was also driven by a significant one from our enterprise business, as a lot of you tracking Mastek would know that it was not a major focus for us. But over the last few years, we have put in a lot of energy and that is starting to show green shoots, especially in the BFSI and data-led growth. The growth also came from our secure government space where one of the large logos that we landed in December last year, January this year ramped pretty nicely. And our Oracle business across UK & Europe has registered a few good wins, which gives us confidence of growth in the second half of the year.

The revenues across our US market registered some headwinds on account of muted spend from our major clients that resulted in a flat year -on-year number

and a 8.5% Q -o-Q decline in dollar

terms. However, there is a green shoot there because the order books grew pretty well, 25% quarter-on-quarter as well as year -on-year, and the pipeline continues to be fairly robust and strong, giving us confidence.

Revenue in the A MEA market declined due to project closures. As stated by Umang and in our prior conversations, we have been pretty clear that we want to pursue profitable growth in the geography. And as a result, some of the deals right shifting as much as projects coming to a closure, there was a decline in the revenues for the geography.

If I shift the needle towards the profitability indicators, our operating EBITDA margins stood at 15% for the quarter. It declined 31 bps quarter -on-quarter. However, the most important point to note is that one of our largest clients, not just in the UK market, but the largest engagement pan-Mastek, we secured a 2 -year extension -cum -renewal of that client, and there was a major discount that we had to offer them. That discount kicked in and impacted for the whole quarter. And despite that, we were able to nearly have a flat operating EBITDA performance. So, it just reflects our ability to absorb that discount, continue to make the investments in the talent and capabilities to grow the business forward. We reported INR 92.1 crores in net profit for the quarter, which has grown by 28.7% year -on-year and 13.5% quarter -on-quarter.

If I look at some of the other financial parameters, the cash and cash equivalents stood at INR 549 crores versus last quarter of INR 622 crores. It decreased on account of the variable payout, which was nearly INR 100 crores plus within the quarter, as much as INR 50 crores plus of debt repayment.

DSOs continue to be steady at 82 days versus 83 days last quarter and 92 days last year this quarter. 1 2-month order backlog stood at 274 million, which is 3.5% quarter -on-quarter growth and 5.5% year -on-year growth. So that's the sum and substance of our financial performance.

As I shift towards the business performance, I'll start with the geography that I lead and represent at the Mastek level.

UKI and Europe business continues to deliver a very strong performance, both in terms of top line as well as in terms of order booking and the pipeline build that we are witnessing. The growth that I mentioned is coming from all the sectors, secure government, health care and

private sector. And our Oracle business is definitely seeing recovery led by Europe and UK in that order.

The momentum is also coming from the data-led deals and some of the legacy transformation where AI is playing a very pivotal role. In this quarter gone by, we secured a large deal, nearly \$15 million plus of TCV, which was an intersection of a large financial services regulatory organization here in the UK and it was driven by the data and the transformation of their data landscape. It also saw some renewals and extensions of the major engagement, both in secure government services space, in the NHS space, as well as in the enterprise space. These are all long tenured engagements where client continues to report significant faith in Mastek and continues to extend its work with Mastek.

If I look at the business from a directional point of view, I would like to spend a few minutes and give you the highlights of the spending review. As you're aware that last year, we had a new government led by Labor Party. They had tremendous mandate from the citizens here. And we went through our spending review, the highlights of which got published a couple of weeks back. Some of the highlights which are relevant for Mastek and its business here in the geography are, there is a reiterated commitment on increased spend in digital and tech across the departments. The government has committed to a £ 3.25 billion transformation fund, which will

I be focused on public services, digital transformation and AI -led initiatives.

However, there is also a strong mandate of 15% reduction in admin cost through automation and technology over the next 5 years. Now it is important to note that these cuts or these reductions would be achieved by higher digital spend or higher spend towards digitalizing the landscape

that's already there and that's where Mastek is very well placed and positioned to make use of that and help the departments achieve that.

The second highlight is the focus on NHS transformation as most of you have observed that our growth in the geography, both in this quarter as well as over the last 5 quarters, have been driven by the growth in our healthcare business, and that continues to be the major focus of the government. NHS has received £10 billion over the next 5 years, explicitly aimed at digital, technology and infrastructure improvement, aimed at reducing the wait time and improving operational efficiency for the patients. The key areas of spend would be electronic health record, integrated care systems and patient portals that allows for doctors and patients to engage with each other seamlessly as well as for the capacity to be available across the health systems or across the regions within the NHS.

The third highlight would be the commitment towards the cloud and efficiency push, government -wide mandate to deliver £ 14 billion in savings through digital and AI by '28 and '29, as I said in the first point. This further reiterates the fact that suppliers like Mastek strategic partners like Mastek will be engaged very closely with the department in shaping up those spend to achieve the savings and efficiencies. Then there is a transition outcome -based digital funding model being established to unlock better value for money and more responsive delivery.

There is a new procurement policy that has also been launched that essentially wants the suppliers to outline the KPIs delivered, the outcomes achieved. This puts Mastek and suppliers

like Mastek in good place because our programs are delivering the value and there are palpable acknowledgment of the government departments as well as from the higher ups at the Crown Commercial Services.

These things, when published, allows for other buyers to see who are credible suppliers and possibly consider their offerings. So this also augurs well for us. Last but definitely not the least is the continued commitment of the government in terms of removing the technical debt and strengthening its position in the cybersecurity space.

I'm happy to confirm that Q1 order booking also represented Mastek's first commercially completed bid on the cybersecurity and services framework in one of the large public sector departments. Sum and substance being that the beneficiary of the spend review are Health and Ministry of Defense. Both places Mastek is very well entrenched. And then there are clear mandates on efficiency and adoption of AI, including other automation tools where, again, Mastek is in the pole position to secure the benefits out of it.

Moving forward to the US geography. I would say that while the headwinds in two of our major sectors, retail and health, resulted in the quarter -on-quarter revenue decline and the year -on-year flat revenue performance. However, there are some green shoots and interesting developments that are worth noting here. Some of the major deals or the key deals within the quarter that we

won were mostly led by our AI capability. The AI-led testing automation capability strongly resonated with our Oracle clientele and we won four or five new deals just on AI-led testing. These are small POCs at this point of time, sub \$0.5 million to \$1 million kind of engagement, which can be delivered over the next few quarters. But the key point is that the clients are willing to test

the technology, willing to take the advantage of that technology and use Mastek as their sounding board to test it and further adopt it.

The second part is the renewed commitment towards building the sales team led by the geography head. As Ashank alluded, we are in advanced stages of onboarding my peer in the US geography. And the focus of Umang himself, he spent over last 6 weeks in the geography, meeting the clients, restructuring the team, re-orientating the team for where the growth opportunities are. And one of the key themes that continue to be apart from the AI-led opportunities is the account mining and broadening our services in the accounts that we have. As most of you know that we have made acquisitions in the Salesforce capability, the data capability. These accounts have historically experienced only one service line-led engagement. And as we are moving towards their business problems, business challenges, we are understanding the fact that we can bring in other capabilities as well. Data clients are looking for CX modernization as well. CX clients are looking for data solutions and how do they monetize their data and basically impact the client outcomes. So, this is the comingling that he has been driving, and we are seeing a robust pipeline as much as some of the conversions as well.

AMEA market will continue the focus on profitable growth, and this will be driven by our foray into healthcare space, as most of you know that healthcare has been our strong point. But the foray would be towards what I call as the electronic health record or the acquisition of Cerner by Oracle, where Oracle is calling it as a health care GBU, and we have on-boarded a very

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seasoned Cerner professional who has an insight on combining our traditional Oracle capability with healthcare and Cerner capabilities to lead that growth. And this capability, ladies and gentlemen, would be relevant for all the geographies that we operate in as much for UK, Europe, as much for the US market.

Overall, I would conclude the narrative with the reaffirmation that we are not only restructuring ourselves in the US market as much as finding the avenues to drive the growth. We are executing strongly in our UK & European market, following the policy, following the trail where the investments from the government is being directed towards, both in health and in the larger public sector. Expanding our enterprise business space with the successes in the BFS space that we talked about. Horizontally, looking at AppDev and Data continues to be the strong pillar for us in the geography and AMEA market for the strategic capability that it helps us build as much as profitable growth.

With that, I will offer it back to the operator to take the questions, if any. Thank you, folks.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Jalaj from Svan Investments. Please go ahead.

Jalaj: My first question was around the UK geography. It's heartening to see both growth and margins coming together this time. I just wanted to understand that on a segmental level, we are sitting almost at 19% level margins. When should we understand that it goes back to 23%? Is that happening near term? Or how long would it take to go back there?

Abhishek Singh: Jalaj, thank you for your question. And I want to reassure you that we in the geography as much as aspire for going back to the same levels of margin. However, it will be a slow build given the twin facts of the growth that we have experienced over the last five quarters, they come with very differentiated capability ask, which was not our traditional strength. These capabilities require us to have program managers, product managers, enterprise architects, chief architects, which are essentially being sourced from the market

right now as a lateral hire. And these

capabilities take a longer duration to build. What we are focused upon right now is having the graduates and apprentices program here in the geography to generate a pool of security cleared resources who will contribute to the margin improvement. So right now, it's a subscale investment of 25 or less FTEs who are getting trained.

The second one is that the quarter also experienced a massive discount impact of the largest client engagement that we had. And despite that, we were able to improve the margins. So absorbing the impact of the discount and investing in the future workforce via the graduate and apprentices program, this will take us a few quarters before you start to see the benefit of those.

Jalaj: Okay, understood. So sort of a temporary push in discounts. And just on the discounts part, is it a broad-based thing which is happening around, or it's very client-specific or account-specific we've had?

Abhishek Singh: This was an account -specific one, Jalaj. But the fact that it was one of our largest clients, yes, so the impact was a little bit more.

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Jalaj: Got it. And sir, specifically on the US , I just wanted to understand that either there is growth or there is margin, both are not coming together, and it's very volatile, if I were to just compare it to a UK geography. So partially your headwind in the US economy explains it. But otherwise, are we set as an internal engine for the growth? Whenever it comes, are we there, or i t is going to take longer?

Abhishek Singh: Thank you, Jalaj. I guess this might be the question of many other participants on the call. L et me try to answer it in a comprehensive fashion.

You're right that it's either growth or margin. But having said that, US in the context of Mastek still continues to be a nascent geography. The phenomenon that impacted us the most was the muted spend by a couple of our largest clients, if you look at it, one of our largest engagements in health care space, payer space. They ramped down significantly given the cost pressures that they were experiencing, especially in the payer segment. And the retail, as all of you know, is reeling under the impact of tariffs. So they are cutting their discretionary spend. Both these accounts had an impact on our top line. Now you would imagine that some of the cost or the structural cost of operating the US geography is nearly fixed. The efficiencies or the costs that we had to drive has been done, and this is what I call as the skeletal spend on which the US geography will be built up.

So the next \$1 million or \$ 2 million or \$ 5 million or \$ 10 million, if you look at it quarterly or annually, the revenue that comes in will contribute disproportionately to the bottom line. And from where we stand, Jalaj, I would say that we see that we have bottomed out for sure. So as the revenue grows over the second half of the year, it will get back to its operating EBITDA levels, which is the near double -digit to the low -double digit that we have experienced.

So that's the way I would explain it that there are green shoots given the pipeline, there are green shoots given the AI -led deals that we have concluded this quarter, and the confidence that we have given that clients are interested in having these conver sations. Also the fact that time spent by Umang for restructuring it has ensured that the team is talking pan-Mastek capabilities in each account and not just a particular service line or a particular capability. Which ensures that you are mining your clients and making it what we call a customer for life. So yes, there are some immediate pain points as you saw in the quarter's performance, but we see it a lot more robust from the current vantage point, Jalaj.

Moderator: Thank you. O ur next question comes from the line of Ravi Menon from Macquarie. Please go

ahead.

Ravi Menon: I just wanted to understand the segmental margins. That shows that UK & Europe profitability has improved significantly quarter -on-quarter. And I think this is despite the productivity benefit that you said, the discount that you've given. So, I wanted to understand what helped this improvement.

And similarly, the AMEA segment profits are down nearly 48% year -on-year, while the revenue is down only 16%. North America, I think you did explain that there was a lot of fixed cost and now the segment margin is 2.9% versus last quarter's 12%. It's a big swing in profitability, but

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you're saying, that could bounce back. So, just I would appreciate your thoughts on all these three segmental margins ?

Abhishek Singh: Thank you for your questions. Some of the UK profitability or the UKI & Europe profitability is a function of the maturity of the geography. We have a very clear line of sight of the programs that are ramping up. And in that phase of ramp -up, it may be dilutive and when does it come back .

Q4, if you recollect, had also a pretty stellar revenue performance sequentially over Q3. The ramp -up costs had come in, and there were a lot of one -timers that actually came in, in one go. Some of those benefits we have experienced as it ebbed in Q1. When we ramp up the security cleared environment, you have a holding cost of folks because they go through the security clearance, security clearance is for each department or each engagement.

So some of those things, I would say, naturally tapered out in this quarter, and it helped us recover. Also the fact that we had given this discount, conceptually, it was agreed with the client way back in November, December of last year. So we had good so lid 3 to 4 months to prepare ahead of time to see what we could do with the pyramid, what we could do with the grade mix and stuff to help offset some of these impacts coming our way.

So, the best way I would explain it is the relative maturity of the various geographies and our ability to plan ahead of time and execute, which we are now taking it across the geographies under Umang's leadership. That's what helped us recover in the UK & Europe segmental profitability. However, we are continuing to invest in the graduate programs, so that we have the workforce for future as the business growth becomes more and more visible.

If I look at the US market, what I said in the last query is what I will repeat here that the revenue reduction had a disproportionate impact on the bottom line, or practically all of that fell through the bottom line. So, as we grow back and some of it is visible to us in the second half of the year, we will see the margins climbing back.

Middle East is a function of just timing, I would call it, as, as per our policies, we had to make provisions of bad debt and the payment is impacted by the client cyclicalities and client situations. So as it recovers, I think next quarters would have a better margin performance. Having said that, we are absolutely committed to doing profitable business in the geography as far as Middle East is concerned.

Ravi Menon: Thanks for the explanation, Abhishek. Appreciate that. Just wanted to check about the number of clients with annual billing more than \$1 million. That's come off slightly quarter -on-quarter, but your \$3 million plus, I think that's actually gone up. So is it just some of the ramp downs in the US that's caused this decline in the \$1 million plus deal?

Abhishek Singh: That's right. It also is a result of some of the programs and projects rather coming to the natural conclusion, especially in the Oracle landscape when we execute on ERP or HCM implementation or large implementations. As it goes live, obviously, the revenue tapers off. So, it's a natural phenomenon and you've observed it appropriately.

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Ravi Menon: Thanks so much, sir. Best of luck.

Moderator: Thank you. The next question comes from the line of Sushovan from Anand Rathi. Please go ahead.

Sushovan: I just wanted to understand on the headcount bit. We have seen almost a 13% reduction year -on-year in the headcount and almost 5% quarter -on-quarter. Just wanted to understand what's the rationale for that? Is it better productivity or are you seeing higher subcontracting? If you could just throw some light on that, that would be helpful?

Abhishek Singh: Thank you for your question. So, it's a combination of both. The first and foremost is that productivity continues to be one of the major levers of margin stability as well as margin improvement. So yes, we are very, very focused on that one. And the second one is the nature of the engagement gives us very clear idea of where the workforce is required.

The growth in the UK, Europe market, as you see, is coming from security cleared landscape. Even in the BFS space, we are dealing with a lot of large regulators who have security cleared environment. So, you have to orientate your workforce towards the demands that are coming in. Your observations are appropriate that, yes, it's a combination of both. Having said that, we are looking at where the requirements are. And if we need to hire within the geography to train the workforce for the current and future requirements, we are doing that as well.

Sushovan: If I construe that correctly, is it primarily in UK, or are you seeing this headcount reduction in the US geography as well?

Abhishek Singh: The reduction is predominantly driven by our offshore population that we had. Some programs that ramped down had a reduction, the trainee workforce that went into production. There was a natural attrition as well. Some of our high skills are experiencing attrition as well. So yes, it's a combination of all. But in the UK geography, we have had net headcount increase.

Sushovan: Thank you.

Moderator: Thank you. Our next question comes from the line of Hasmukh from Tata Mutual Funds. Please go ahead.

Hasmukh: Just one additional question on the deal win front or the 12-month order book front. Here, definitely from last couple of quarters, there is slight improvement. But how to think about this?

So, a few quarters back, we were doing 15% to 20% sort of year -on-year growth here, right?

Now with the nature of deals which you are calling out that they may come at, let's say, lower ACV, higher TCV sort of a number. In that context, how to see this number going forward?

Abhishek Singh: Thank you, Hasmukh. I would like to qualify that we are not seeing a lower ACV and a higher TCV deal. The businesses that are coming in are reasonably well spread out in terms of ACV to TCV ratio. One of the reasons why our 12 -month order backlog is not growing as robustly is some of the large chunky engagements that we have in our public sector estate here in the UK is going through its extension or renewal. So, it will experience or it's getting a shorter renewal

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given that the spend review and the budget approvals from the government had not gone to the departments. So, the departments were just giving you a 3-month or a next 6 weeks kind of extension. Now I would expect that some of these things should come in, especially with two of our major engagements in health and in secure government space. But I don't see any major cause of concern here, though the numbers are not translating.

Hasmukh: Got it. Thanks.

Moderator: Thank you. Our next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: My first question is on the margin expansion that we have seen in the UK geography. What part of the margin expansion there has been attributed to currency, if you can quantify that? Plus

overall, where we are in terms of our journey to achieve the 17% to 19% margin. Obviously, we know that we have seen the pressure in margin in the US geography and in the Middle East geography. But overall, where are we in that journey?

Abhishek Singh: Amit, thank you for your question. First and foremost, the major expansion in margin that we experienced in the UK, it's worth noting that most of the businesses we deliver in the geography, there is no margin expansion at least for the onshore portion. Only the offshore portion would have the benefit of it.

So I would say that it wouldn't be more than 25 to 30 bps overall here as far as the UK business is concerned. You asked something on the US, and I missed catching that one. What was your question?

Amit Chandra: Just trying to understand where we are in terms of the margin journey that we earlier alluded to, 17% to 19% at the company level EBITDA margin?

Abhishek Singh: Okay. Thank you, Amit. So I would say that as far as this financial year is concerned, we are pretty committed to having a stable margin performance and pull all the levers that helps us maintain that stability as well as create the positive bias. As you can see with the UK business, and I outlined that we are further investing in the workforce that will meet the demands of the future.

And those workforce will come at a better margin because these are the graduates that you are training from within as against hiring laterally. So all these initiatives that are going in parallel also consume your margins as much as giving you the margin improvements. So I would commit on behalf of all of us that we are more towards stable to upward bias for this financial year.

Amit Chandra: Okay. And in the US geography, are we seeing some higher attrition there, mostly at the top management level in the US?

Abhishek Singh: Not really. The attrition that happened, Amit, all happened either in the early part of Q1 or late part of Q4. And since then, we are now in the net hiring mode, both the hiring of – on boarding of US geography head as well as a couple of account managers, increasing the sales coverage.

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So I would say that as far as the leadership role is concerned, we are in the net hiring mode in the US geography.

Amit Chandra: Okay. And the last question is on the Middle East geography. Do you have any plans to exit that geography?

Abhishek Singh: No, Amit. There are no such plans. As a matter of fact, what we are trying to do is to use that geography for really strategic purposes. The first and foremost point is how do we keep that geography profitable, which means even if you have to reduce the engagements, but have profitable engagements only, that's the focus.

The second one is what I touched upon in the early part of conversation is that Oracle has converted health into GBU unit, global business unit, after the acquisition of Cerner and integrating it with the Fusion capabilities. So that geography forms the incubation of Mastek's Cerner Healthcare and Fusion capability intersection. We have a very senior ex-Cerner professional and CIO of multiple health organizations join Mastek early part of Q1. He's driving that strategic initiative where his test cases will be in the Middle Eastern market, and then it will expand beyond in the APAC as much as Europe, UK and the US markets. So Middle East provides us with some strategic value.

Ashank Desai: I will add, Abhishek, saying that, as you rightly mentioned, that is the way it has been contributing. And this is not only last quarter or last year, but last few years, that certainly there has been large talent development and POCs etc., which have benefited the other sectors.

Amit Chandra: Okay. And lastly, on the CFO hiring, when will we have a stable CFO?

Abhishek Singh: I'll take that on behalf of Ashank and Umang. But first and foremost

is that the process is really active. As you would guess, we had the shortlist from the earlier round as much, and then a few

others that Umang is looking at. And again, the idea is to be within the statutory time lines that are there. As you know, without a CFO for 90 days, we tend to be in the penal zone with the company law. So we want to do it

at the earliest . That's the best I can share with you.

Amit Chandra: Okay. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Naveen Baid with Nuvama Asset Management. Please go ahead.

Naveen Baid: Just wanted to know what was the subcontracting cost for this quarter?

Abhishek Singh: Subcontracting cost for the quarter. I don't have that number top of my head. We can have it to you via Asha. I don't have the exact quantum. I'm looking at the segmental, but I don't have the exact quantum.

Naveen Baid: Okay. No worries. I will take it offline.

Moderator: Thank you. Our next question comes from the line of Sankaranarayanan S with iThought PMS.

Please go ahead.

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Sankaranarayanan S: Sir, my question is regarding the revenue by contract in terms of Time & Material . There's a slight increase in the time and material contract. Now I could understand it's partly due to the nature of the business. But in these uncertain times, don't you think that we should be more focused on Fixed Price contracts, so that would help the margins. I just want your thoughts ?

Abhishek Singh: Thank you, Sankar, for your question. I would like to tell you, I'm smiling at this one because of the two reasons. Engagements with clients on T&M or Fixed Bid , neither of them give you more assurance than the other model. It's essentially about what is ailing the client and what is it that you are trying to solve. You can solve it as effectively in the T&M engagement versus Fixed Bid or Outcome-based engagements. Traditionally, yes, as an industry, we have made more money on Fixed Bid because of the rotation, the grade mix and what not. Having said that, in the Mastek context, the kind of work that we do, the high-end transformation programs that we do, these things are relatively immaterial.

It's about the skills and the capability that you bring in and the differentiated price that you can get for that. So I don't see this as a cause of concern. However, I acknowledge your question that higher fixed bid means better margins, but it also means significant risk coming your way. If you don't manage the scope, there can be scope creep, there could be change management that needs to be delivered effectively for you to protect your margin.

So both types of businesses come with their own risk. At this point of time, I would say that we have a healthy balance. And last but definitely not the least is all the government engagements essentially happens in the T&M fashion. It has a fixed price, but it gets done in the T&M fashion.

So we call it as deemed T&M or deemed Fixed Bid , because that's the fixed price and you have to do it in a T&M fashion. We feel reasonably comfortable with the mix that we have.

Sankaranarayanan S: Sir, what kind of revenue target do you set yourself for the next 3 to 5 years? Because during April 2022, you had set \$ 1 billion revenue by 2026 or early 2027. I could acknowledge a lot of uncertainties happened from that period on. So from here on, what revenue target do you fix for the next 3 to 5 years?

Abhishek Singh: I would say that I wouldn't delve into those aspects, Sankar. Our focus as a management team supporting the Chief Executive and reporting to the Board is profitable growth with consistent northward trajectory. If you look at our own journey across different regions, you will find that we have had years of less than 10% growth. And here, we are talking about 8% to 10% quarter - on-quarter growth as

much.

So the key focus for the management team is about the northward journey, and the continuous calibrated effort gives you predictability of your growth and gives you higher confidence of growth, helps you navigate the uncertainties that comes your way. The numbers are the result of that calibration. The realities of our business are very different in different geographies.

So right now, our commitment is maintaining an upward trajectory, both in terms of top line as well as bottom line. Ashank, I will welcome your ambition and your vision here as a supplement to what I outlined.

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Ashank Desai: No, you have answered it well. Obviously, we would like to have faster than industry growth. Over the last 4 -5 years, we have done that through organic and inorganic together. And that pace, we would like to continue in terms of growth. And that's where our ambitions were expressed in that particular time, and we continue to move towards that.

But we are seeing that it is about aspiration as much as the vision rather than just setting a target.

This is what we aspire. We aspire for faster than industry growth. We aspire for a much larger share of markets. And now with AI and other things, we really see green shoots all over.

Sankaranarayanan S: Got it, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Ravi Naredi with Naredi Investments. Please go ahead.

Ravi Naredi: Sir, I can ask this question to Ashank sir also. Mar '22, our net profit is INR 333 crores, then INR 310 crores, then INR 311 crores, then INR 376 crores. So in last 4 years, we barely grew. Can you tell more on commentary for next 4 years? And when our higher staff will join? This is my main question for you.

Ashank Desai: Your observation is correct about the profitability. And certainly, large part obviously comes from the cost increases that have happened and in terms of investment that we have made. Both of these have generated into this kind of situation in spite of our best effort to go back to higher EBITDA.

So, I think I would not like to announce any targets for next 4 years, etc. As I said, we have been calibrating ourselves against the industry, particularly companies of our size, plus and minus. And we feel that we will be well within the overall industry numbers and like to do better, as I

said. So, I would not like to put some 3 or 4 year target. Abhishek, you can add.

Abhishek Singh: Thank you, Ashank. Ravi, you touched upon a very important aspect here in terms of profitability or the bottom line growth essentially, which is what gives the confidence. This is very generational question that I would like to answer from my take.

Four years back, when you referred to it, the kind of profitability we experienced was driven by twin phenomena, which were both because of the COVID. The first and foremost was that the SaaS platform adoption had gone through the roof. As a result, our Oracle service line business at that point of time, only 1 year into the acquisition, had grown phenomenally well. And as the last gentleman asked that question on Fixed Bid, the predominant engagement was Fixed Bid.

And something that really helped us was the fact that there was no expenditure whatsoever, whether it is your office expenses, travel, hospitality, meals, entertainment, client engagement. There was an obvious cost saving that the organization experienced. As a result, there was a disproportionate profitability, both in absolute as well as in percentage terms. And that was the juncture when Mastek looked at its profitability and it had to make 1 of the 2 choices. Do you continue to enjoy this profitability, albeit for a short time or do you invest in the organization to make it a robust organization for future?

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Some of the things that Ashank touched upon

is what we have done over the last 3 to 4 years,

things like service line capability, things like your marketing coverage, the various forums in which Mastek participated to demonstrate its capabilities. As a result, clients and prospective clients had the confidence to engage with Mastek.

The deal that we did with one of the large regulators here in the UK in the BFS space this quarter in Q1 was a testament of their ability to understand and appreciate what Mastek has been doing in the UK for the last three decades. But we were an insular organization, not engaging with the market, not doing enough on the marketing side, not spending in the technologies that were emerging.

All of these things required, Ravi, to make an investment, and that has made your organization more robust, made your organization more resilient, but it has come at the cost of margins. And as some of our geographies mature and reflect the maturity journey of UK & Europe, you will see some of those things coming back, whether it was Amit's question of when do you get to 17% to 19%, or some of the other investors asking the same question.

My take on it is that we have made the investments. We have right sized ourselves. There is an ownership of turning around the US geography. There is continued execution on the growth opportunities here in the UK. We are using the A MEA market for incubation of new technologies. And as we come in more synchronized under the current leadership, you will see the benefits of it coming in.

Ashank Desai: Well said. I will only add to say that please remember that the revenue multiples that we had over the same 5 years in terms of X number of times our revenue didn't happen unless we invested, as Abhishek said, in marketing certainly and technologies and service lines.

One example of marketing is the kind of ratings that we are presently getting. As you know, we were top five player in Oracle Cloud implementation globally according to Everest, top five globally. And that is the kind of ratings we were never having any time earlier. There have been similar reports on various agencies in ISG, Gartner, etc. So some of this effort has been towards revenue growth and that requires some investment.

Ravi Naredi: Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Harsh Chaurasia with Vallum Capital. Please go ahead.

Harsh Chaurasia: Sir, I had one question. If I see the growth of Mastek from incremental revenue, absolute number, the majority of the growth has been polarized towards the top 5 clients. But if I see 6 to 10 and even the non-top 10 clients, the growth has been very muted. I wanted to understand at the same time, like when we see the \$1 million client addition is going up significantly, how are we going

to do the account mining? And what are the investments on the sales side and even on the capability side we are doing, because now we have created a very good base of clients, which can be scaled up further in next 3 to 4 years. I wanted to get an idea on that .

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Ashank Desai: Abhishek, I will answer that question. If you look at our top 5 clients and top 10 clients in terms of ratios, from Q1'24 to Q1'26, yes, there has been increase in a few percentage points for top 5 clients. However, top 10 clients also have grown up. So I agree that we are constantly working today on expanding the deal sizes in Oracle, in Salesforce and other areas. And some of that is reflected in some of our top 15 -20 customers moving up in terms of revenue per year. So idea is that we would rather have smaller number of customers than what we even have in terms of revenue and increase the revenue per customer. That has been the strategy, because as we start with Oracle and Salesforce, particularly clients, the revenue per customer is quite low. But now we are doing managed services. We are off

ering other services in those clients. All of that, what we call as account mining, is resulting into that movement towards a larger revenue per client. So I think it is a positive direction in which we are moving.

Harsh Chaurasia: Got it. And just 1 more question, sir, if possible, if you can give us this number – Mastek wallet share in the top 6 to 10 clients bucket as well as the non-top 10 clients, just a broad approximate number for Mastek wallet share?

Abhishek Singh: I think there is tremendous headroom for growth would be an understatement in each of those top 10 engagements. Because if you look at it, some of the engagements would definitely be with the central government departments. They are spending £ 300 million to £ 400 million annually in the addressable technology space where our revenue share would be less than 50 or 30 in certain cases.

So, I would say there is an x -factor of growth opportunity in those spaces. And that's what we are enhancing our capabilities to kind of secure.

Harsh Chaurasia : Got it. Thank you very much.

Moderator: Thank you. Our next question comes from the line of Jayshree Bajaj with Trinetra Asset Managers. Please go ahead.

Jayshree Bajaj: My question is, as you have mentioned that you are still planning on increasing the headcount and many more investments. So what kind of capex figure can I expect for FY '26?

Abhishek Singh: Capex would not be anything out of the ordinary. In our business, we are usually asset -light, if you look at it. It still pretty much is a hybrid working model. It's work from home, work from office a few days a week. So the physical capacity doesn't need any expansion at this point of time.

Every headcount increase comes with the standard of the laptops or desktops and stuff, which is nothing major. It's in the ordinary course of business. So sum and substance would be, I wouldn't say that there is capital spend other than replacement capital spend or refresh, capex refresh. We don't see anything out of the ordinary.

Moderator: Thank you. Our next question comes from the line of Varun Gandhi from Fident Asset Management. Please go ahead.

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Varun Gandhi: My question to the management would be, I see that you're developing capabilities within AI, fine-tuning LLMs and doing customer specific tailorizations. However, this part of developing models, etc. would be commoditized, I see, somewhere in the low -tech AI segment. What does the management have in view or how does it think about this market evolving? Because I believe this is the fastest -growing segment also within your revenue?

Ashank Desai: See, you must look at it as a growth vector for the whole industry . Yes, but for companies like Mastek, it has some special significance. For example, there has been large legacy code which is lying all around in the world. And some of the great experience we had with one of our customers in UK, which Abhishek can, of course, talk more about, is one of such examples where we have opened up markets which were not available earlier.

So commoditization is not something that does not happen in any technology. It does happen. However, the opening of doors that are happening, opening of new areas of work that are happening, opening of new applications that we are doing due to AI. Like in healthcare, we are doing something which kind of would not have done without AI.

So some of that is totally new. It is not just new technology added doing faster, better, but it is something much more than that. To Mastek, particularly, as I said, it is opening up some market segments which were not available. So we are much more enthusiastic and we are putting, of course, time, effort, money into it. Abhishek, maybe you can add.

Abhishek Singh: Thank you, Ashank. I think, Varun, you've touched upon a very important question here and something that, in our finan

cial conversation, we didn't touch upon as much in these chats. So you are right that LLM is a commodity. Productivity is a given. Deployment will be the differentiator, Varun. Who deploys it best to deliver the outcomes that the clients require. This wave is about human and machine teaming. AI on its own is not going to deliver it. It still needs the human touch, human interface to deliver better outcomes. It is basically a better tool with competent people, with right leadership and right attitude to deliver the outcomes. What Ashank touched upon is a successful legacy transformation use case that we have delivered as we speak that gives us the confidence to now approach those organizations whose applications are legacy and dated. And they run significant risk if they were to not modernize, because, A – it's not scaling, but B – It is also an operational risk for them. Languages like Pascal or Delphi, I mean these are written 30s and 40s of years back. They are still operating, but businesses have significant risk of how do you touch them. We have demonstrated it now and now approaching our clients to say, how do you want to go about it? Here is the playbook. Here is what you do, here is how you derisk it.

So as Ashank touched upon, this is a major opportunity for us here in the UK as much as the successes that we have experienced in the US market with AI -led testing. That's giving clients the confidence that they can explore more with people or partners who are not bringing it as a proof of concept, but who have been there, done that and delivered the outcomes. So we are approaching this with a very high degree of confidence, having secured the deals and delivered the outcome at a very large scale for an existing client.

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Varun Gandhi: Understood. So as far as I see, it's a growth opportunity, revenue growth opportunity as well as your differentiation here is that you've already demonstrated product efficacy. Am I understanding it right? That is how you're differentiating things?

Abhishek Singh: Yes, you summed it very well. And it also will be your margin improvement levers for future.

Varun Gandhi: All right. Thank you, Abhishek.

Moderator: Thank you. Our next question is a follow -up from Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi: Thank you very much for a follow -up question. Sir, from which geography we expect better growth in next few years like A MEA, UK and US And why not we appoint separate President for each region, so company can grow in a better way?

Ashank Desai: Thanks, Ravi. We indeed have a separate President for each of these, as you know. We have President for Americas. We have Abhishek here, who is President for Europe and UK, and we have a person heading our AMEA market. So I didn't quite get the question. We are focused along those lines. But Abhishek, you can add.

Abhishek Singh: Thank you, Ashank. Ravi, to the two parts to your question, yes, we have got heads for each of the geographies who are responsible for the P&L outcomes of the geography that includes order booking, revenue and profitability as much as the tech direction, working with our central colleagues. So yes, we are very well situated structurally.

And to the other question of yours, where would the growth come from – I think each geography is in a different trajectory of its maturity and growth. While US is looking at Mastek being a champion challenger to disrupt the established incumbents who have got large wallet share with large enterprises with its AI -led capabilities and ability to do the legacy transformation. So it will experience a different growth trajectory compared to UK & Europe, which has got an established and a large base and is right now firing on three of its four cylinders of public sector, enterprise business and healthcare, and looking to grow its Or

acle business as much.

Middle East will continue to grow responsibly using the geography to incubate new capabilities as much as having profitable growth. It is also looking to grow in the Australia and New Zealand market, which behaves like matured Western markets, which has the same billing rate and offers same degree of profitability compared to the Middle Eastern market. So strategically, Ravi, we are very clear and executing on it. But thank you for bringing that focus.

Ravi Naredi: Thank you.

Moderator: Thank you. Our next question is a follow -up from Jalaj from Svan Investments. Please go ahead.

Jalaj: I had two questions. First is around order book. I've seen that the order book after a long time has passed the \$260 million quarterly run rate . First of all, what sort of visibility or clarity can we expect ? Or are you seeing that F Y '26 should be better than F Y '25? That's first question , directionally, I'm not aware of absolute numbers. And secondly, I see that the headcount is

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reducing over the last four quarters, but people cost is increasing. So how should I get a sense around it?

Abhishek Singh: Thank you, Jalaj. So, order booking confidence, yes, directionally, we endeavor to deliver a higher order booking, which is what will pave way for FY '27 and FY '28 growth. It's the biggest lead indicator that all of you and for us in the business, we look at, and that's what we are endeavoring towards.

The second one that you asked about was the net headcount is reducing yet the manpower cost is going up. You're right because it is also about the mix changing. A lot of the new programs have ramped up in onshore geographies where the cost per FTE is significantly higher compared to the offshore. So that's what is driving the dichotomy that you're observing.

Jalaj: Understood. So the sort of order book we are right now sitting in, are we very comfortable? Because I'm just trying to understand specifically from a US geography. UK is running on full throttle engine. US, do you feel the GTM is in place? Still there is a lot to be done there? Or how are we going around it? Because US and UK, I guess, are very different in the terms of the end client we are serving and therefore, the GTM what we have to approach it.

Abhishek Singh: True. US, no, we are not satisfied with the order booking that we have secured, though it is still a 25% growth from the last quarter, but it's a small base. So I would agree with you even before you ask me that percentages really don't matter. Yes, we are looking for a higher order booking quarter -on-quarter rhythm from the geography. And as we get the geo head, I think that will follow its cadence.

Couple of other key roles have been on-boarded and we feel that it's getting into the rhythm. The UK will continue to pursue the midsize as much as large deals in addition to its operating rhythm right now.

Jalaj: Got it. Looking forward to see the growth coming to US geography also. And best of luck.

Moderator: Thank you. Our next question comes from the line of Sameer Dosani with ICICI Prudential AMC. Please go ahead.

Sameer Dosani: Just to clarify, US has bottomed out, but when should we think about the growth? Is it like H2 you mentioned in some other comments? And also in UK geography, I think there is 9% quarter -on-quarter USD growth, but I'm sure there is a lot of cross currency tailwind. So, what is the constant currency growth here in UK, if you can just clarify for me? And when should we think about growth in UK geography from here?

Abhishek Singh: You can shave off 100 bps possibly from the currency point of view. But the key point here, Sameer, is that it's a fairly robust engagement here in the geography in the UK, whether it is health or defense or central government departments or our pursuit in the BFSI space, the deep account mining or hel

ping the clients go on the modernization journey.

The clients who have been with us for a couple of decades now in continuity, and we are helping them modernize. There are different flavors that gives us different degree of confidence. One of

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the investors did ask a question on the Fixed Bid versus T&M. One of the biggest transformations that we have done using AI has been in the Outcome-based fixed price, which gives us the confidence that you can take this to the market and secure the client on their cost, on their time and get them the outcome.

So long and short of it is that we would like to maintain this trajectory and secure a healthy growth to ensure that pan-Mastek, we are delivering a double-digit growth.

Sameer Dosani: Okay. So, this year also double-digit growth is possible you think?

Abhishek Singh: Headwinds, Q1 we started a little soft as far as other 2 geographies are concerned, but who's to say. There is still a solid 8 months ahead of us. We can execute on that. That's the ambition.

That's the endeavor. And just 1 or 2 deals can allow us. Still, we are a relatively smaller base.

So one or two deals executed well within the year can get us the momentum to get back to the double digit. But yes, there is a headwind. You rightly observed it, but we remain committed to get to that point.

Sameer Dosani: And US, should we grow from here, like Q2 onwards, will we be able to show growth in US geography?

Abhishek Singh: So there is a positive bias from where we stand here. There is a positive bias and there is a relative confidence for H2 to demonstrate growth.

Sameer Dosani: Okay. Got it. Thanks very much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comments.

Abhishek Singh: Thank you. I'd like to thank everyone for their interest and very rounded questions. Yes, we've started the year well as far as bottom line is concerned, as far as growth in the major geography is concerned. The job is very well cut out for our US business that will be led by AI, that will be

led by the new leader, that will be very well supported by all of us across the geographies, be it Middle East or be it UK. We will all bring our capabilities and capacities to align well with delivering that growth. And the sum and substance of this quarter and our directional journey for the year and times to come is to maintain a positive bias, maintain an upward trajectory and deliver a predictable and consistent financial performance for all of us. Thank y ou.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Oct 2025

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SEC/ 083/2025- 26 October 24, 2025

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The National Stock Exchange of India Limited

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Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

SYMBOL: MASTEK

ISIN: INE759A01021

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the Quarter and Half -year ended September 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial

performance for the quarter and half -year ended September 30, 2025, conducted on October 17, 2025, for

your information and records. The Transcript of the conference call can also be accessed from the website of the Company at

<https://www.mastek.com/investor -financial -information/>

Thanking you,

Yours faithfully,

For Mastek Limited Reena Raje

Company Secretary & Compliance Officer

Membership No.: A21440 Encl: A/A

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“Mastek Limited

Q2 FY'26 Earnings Conference Call ”

October 17 , 202 5

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ANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER –
MASTEK LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good morning, and welcome to the Mastek Limited Q2 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Pratik Jagtap from E &Y Investor Relations. Thank you, and over to you, Pratik.

Pratik Jagtap: Thank you, Ryan. Good morning to all of you, and welcome to Q2 FY'26 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you and you can also view it on our website, www.mastek.com. To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Umang Nahata, the CEO of the company. Umang will start the call with business update for the quarter. Post that, we will open the floor for Q&A session.

As usual, I would like to remind you that anything mentioned in this call that reflects any outlook for the future, or which can be construed as forward-looking statements, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are

included but not limited to what we have mentioned in the prospectus filed with SEBI and the subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.

Umang Nahata: Thank you, Pratik. Thank you, Ryan. Very good morning, everyone. Welcome to the Q2 FY'26 earnings call for Mastek Limited. I'll start the call by wishing an early Diwali festive greetings to all of you as we get into the week of Diwali next week.

Moving on to the performance of the company for the quarter. I'm very pleased to share that we continue to see a consistent performance with our business with a stable result for this quarter

despite the continued geopolitical and macro uncertainties. As far as our operating revenue is concerned, the operating revenue for the quarter landed at INR 940 crores, which was up 8.4% year-on-year and 2.8% sequential, representing a constant currency growth of 0.2%.

Our operational excellence and discipline on cost control continued to help deliver stable profitability for this quarter. Our operational EBITDA landed at INR 145.5 crores, 6% quarter -

on-quarter improvement and 1.7% year -on-year growth, translating to an operating EBITDA of 15.5%, which is up 50 basis points from the last quarter. The net profit for the year stood at INR 97.4 crores, up 6% quarter -on-quarter. While it has declined 24% year -on-year due to an exceptional gain of INR 44 crores in the base quarter. So, on a normalized basis, if we take out the exceptional item, the profit grew 14% year -on-year. Net profit margin stood at around 10.2% as compared to the 9.9% in quarter 1. Our 12-month order backlog stood at around \$280 million, representing a 2.2% sequential growth and a 6.8% year -on-year growth, supported by healthy deal conversions and renewals across all geographies, especially U.K.

We continue to maintain a very strong and healthy balance sheet. Our cash position, which is cash and cash equivalents currently stand at INR 656 crores as compared to the INR 549 crores

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in Q1. DSO improvements continue to be a key area of focus and we have now brought down the DSO to 80 days versus the 82 days in quarter 1 and versus the 95 days in quarter 2 last year, reflecting a strong cadence on working capital discipline.

Moving forward, as far as our business is concerned, we continue to focus on the same strategy that we have. The rea

I focus is on execution of the business. The top 3 strategy items for us that

we look at, one is continued focus on geo diversity. We operate in 3 geos, and we are focusing on growing the business across all 3 geos rather than 1 or 2. AI continues to be a key driver.

Leading all of our business with AI is the second most important factor for our long-term strategy and growth. And third, our vision and focus is to become a partner or leader as far as delivering growth in the mid-market segment is concerned. So continued focus on mid-market and creating

a demonstrable leadership position in that segment as our third key strategic view. So continued focus on all the 3 strategic items, and I'll elaborate more on all of them as we go forward.

As far as our geographical diversity is concerned, U.K. continues to be our strongest geography and the largest geography for our business. Our U.K. business continues to be very strong across all the 3 quadrants that it has, which is around healthcare. U.K. healthcare continues to see very

strong demand. We see that the government is executing on its policy and investment decisions, which is leading to a strong view of the demand as we go forward as well as strong spending.

Our secured government services sector continues to see a very strong trust and long-term connect with our clients, leading to a lot of long-term contracts and renewals in the business. This quarter marked a GBP 50 million -plus deal, which is an AI -led engineering services deal to deliver modernization as well as efficiency for the secured government services sector and we will continue to see such larger deals and renewals as we go forward.

The private sector, which is the third important sector, and which has had a lot of focus over the last few quarters to really bring it to forward. I am very pleased to report that the private sector continues to also see good demand. And again, many new logos adding to that sector. This quarter also marked a new \$ 15 million -plus AI -led modernization, transformation deal with one of the large financial services customers in the vertical.

Overall, we continue to see a very healthy AI -led demand across all sectors. A lot of this demand is for AI for technology, which is basically demanding efficiency, modernization and faster execution for IT technology services. We are very much taking a front -foot approach in terms

of delivering a tangible ROI to our customers and demonstrating tangible benefits to them, while focusing on delivering steady and improved bottom line for the geography and for the company. As far as North America is concerned, we now have a new leader who has joined North America, Sourabh Mukherjee. Sourabh has joined us from 1 of the top 4 IT services companies, very hands-on healthcare-focused leader, and we are very pleased and excited to see the turnaround and growth of North America under his leadership. Along with Sourabh, we've also made some important changes in our capability leadership in the geography. So we now have a new leader, heading our Salesforce business. And that largely marks the turnaround or the overall of the North America leadership that we were trying to do over the last 1.5 quarters, which gives us

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now the full energy and backing to focus on execution and start delivering the growth ambition of the geography.

Our strategy and focus on North America continues to be on health care and life sciences as a key vertical, and we continue to enjoy strong client relationship as well as partner relationships with Oracle, Salesforce and the Data service lines. The overall North America market still has a lot of macro uncertainties, which is leading to right shift in demand. But we are preparing ourselves for a lot of AI-led demonstratable growth in the geography, which will deliver significant uphaul as we move forward.

As far

as the APAC and Middle East business is concerned, the APAC and Middle East business, we continue to focus on healthcare as a key vertical. Our strategy in that business is to consolidate and really zero down our focus on a few key segmented areas while delivering profitable growth. This quarter again marked a significant growth in our healthcare business, with \$7 million-plus deal on healthcare, which is one of our larger deals in this segment in the geography, as well as continued focus on DSO as well as profitability improvement in the geography. Across all 3 sectors, like I said, the focus on the key verticals continues to be the same, and we are seeing good remarkable larger deals as well as a lot of AI-led demand to deliver technology efficiencies to our client and modernization.

Coming to the AI side of our strategy and equation. The AI wave is very much set on and is now, in fact, starting to generate more and more demand. Like I had mentioned in a few of our previous calls, we see the AI wave in two parts. The first part of the wave, which is AI for tech, which is delivering efficiency, speed and better quality on the technology delivery that we have across engineering, testing, managed services, implementations, et cetera. A lot of very active discussions across all of our customer base, across all geographies on the AI for tech. Our approach to AI for tech is to take a very positive and firm ROI-based approach to our clients and delivering not just an ROI on Excel sheets, but delivering a tangible ROI to them, which would mean some real business benefits as well as efficiency gains to our client. And while we do that, we are also actively working at making sure that we are preserving our bottom line, in fact, improving it as we go forward which is demonstratable by our improvement in terms of revenue per resource that we've been continuously demonstrating over the last few quarters.

The AI for tech wave is now starting to lead into the AI for business wave, which is where customers are now very actively starting to ask for how could we help use AI as a technology to deliver business transformation. This, I believe, is going to be the biggest wave for the IT

services industry over the last few decades and is going to significantly transform our industry.

We are seeing some very strong initial trends there and working with almost a dozen of our customers in terms of building their AI for business transformation road map. As we deliver this

road map, we look forward to getting into execution in some part of early FY '27. And that kind of change or demonstratable change there will really mark a significant shift in the AI adoption across our customers. While we deliver all of these changes, it is also a continuous focus on our internal efficiency gains and making sure that we are delivering more and more efficient services, both across our delivery as well as over G&A management. Our focus on operational efficiency has now started to reflect on our bottom line. And while we continue to deliver AI -

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led efficiency to our clients, our profitability will remain steady and continue to grow northwards as we move forward quarter-on-quarter.

Another last update as far as the Chief Financial Officer, who should have been my partner in crime on this call. We have a candidate who we are expecting to join early next month, and I'm pretty confident to have a partner with me on this call starting next quarter.

With that, I would like to hand it over back to you for Q&A and discussions from there. Thank you.

Moderator : We take the first question from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Sir, my first question is on the U.K. geography. Obviously, it remains as a key growth driver. But within the U.K., we have seen some softness coming in. If you can break down in terms of what's

happening in SGS, NHS and the U.K. private. Obviously, you have given a color. But in terms of the SGS growth rate, obviously, we have a deal there. So what kind of uptick we can see from that deal? Also in terms of the renewal pipeline that is up there in some of the larger accounts that we have in SGS that we expect to come in the coming quarters? And on the NHS side, obviously, we have seen one large deal being awarded to one of the large IT majors. So how to read that? And whether we are seeing some risk of vendor consolidation there within NHS. And like your views on that.

So is it impacting some of our spends that were planned by NHS? In terms of what part of the portfolio is getting tracked in the U.K.? So I see some softness in the Oracle part within the U.K. and the EU region. So is it over or we can see some more drag there?

Umang Nahata: Thank you for your questions , Amit. So as far as U.K. is concerned, like I said, we generally feel very positive and upbeat across all the sectors that we have. But you're right, as you look at the current performance for the quarter, it's been slower than some of our previous quarters in terms of growth. But let me explain it sector by sector. Like SGS, which is the secured government services, which is our biggest sector, continues to see a strong momentum. As I mentioned earlier, we're not only signing sizable renewals but we're also signing these renewals with a lot of headroom expansion from where they were in the previous versions and avatars . These renewals continue to give us from a 3 -year to a 5 -year long -term visibility of steady business and growth in these sectors. While we continue to sign these renewals, the sector also and this is not just for secured government is across the board, is looking at more and more AI -led efficiency asks, and we are taking a very robust and assertive approach working with our clients in support of the long-term commitment that they are showing to us to deliver some of these short -term savings needs that they have. And demonstrating the potential and capability that Mastek has on its AI for technology to deliver them some tangible savings in the short term as we work with them to gear for much larger long -term business growth within those verticals. As far as NHS is concerned, the NHS deal that got announced by one of our larger competitors, Mastek was not participating in that deal. It's a deal which was not a deal in our direct focus. And it does not impact any of our other businesses that we have with NHS across the various departments within the NHS that we work for. This deal is more around the workforce systems Mastek Limited
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modernization. Currently, we are not participating in that area with NHS. So this particular deal , while it's a large deal, but does not have any impact or we do not see any consolidation or any of those kinds of risks within our NHS and healthcare segment in U.K.

As far as our on the private sector business is concerned, we continue to see healthy momentum. This is where the same AI -led efficiencies allowing us to go after net new customers and win work share from our competition. An example of that was the \$15 million-plus deal that we have bagged this quarter in another large financial services client, where we are going to demonstrate AI-led modernization and efficiency to the account over 3 years.

As far as our Oracle business is concerned, it is a little project-driven business, and therefore sometimes has a quarter -on-quarter up or down. But we feel comfortable with the pipeline that we're seeing. In fact, we are seeing demand, and we've also closed some good orders in our traditional areas of strength, which is around the local government, and we see strong healthy demand in the local government and higher education sector again. And our relationship with Oracle continues to be strong. In fact

, we were awarded one of the prestigious AI for supply chain partners in the AI world at Oracle that is going on as we speak. Our Oracle Europe business has also seen a new leader now come in. The leader is ex -Oracle and has really picked up the Europe business well. And I'm confident that we will continue to see and deliver the kind of vision that we have for our Europe business under his leadership.

Amit Chandra: Okay. Secondly, on the margin side, obviously, the U.K. margins, we have seen it has more or less stabilized. But the margins in the U.S. and the Middle East is still lower than what we expect it to be. So any additional color in terms of how you see the margin trajectory going on from here on?

Umang Nahata: Thanks for asking that question, Amit. As far as our margins position is concerned, as we continue to focus on AI for tech, it has dual impact. While we are driving efficiency and productivity improvement for our customers, it is also driving a lot of internal operational efficiency on our own business, which is a steady trajectory. But I'm sure as we continue to focus there, it will start drawing continuous improvement in our bottom line performance from here

on.

As far as North America specific margins are concerned, like we have been mentioning earlier, there is clearly a heightened S&M spend as compared to our current business, which is in anticipation of the growth that we look at. As the business comes closer to its optimal number, which will be \$3 million to \$4 million growth from where we are today, you will start seeing the EBITDA numbers move significantly up. But having said that, like I said, operational efficiency is on. We have made good investments, and we continue to hold our investments. We definitely are optimistic about the growth there, but some of the geographical EBIT numbers will start showing better color as the growth starts to develop.

As far as our AMEA business is concerned, again, we are continuing to drive a lot of operational efficiencies. We have brought down our DSOs significantly, as I mentioned earlier in the call.

And we are also looking at only profitable growth in the geography. There was a one-off WAR

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revenue, which led to a onetime dip in the trajectory, but you will continue to see it back on its trajectory from the coming quarters.

Moderator: The next question comes from the line of Mahak from Mark Seven Investment

Mahak: I wanted to ask about the new deals in Asia, Middle East and Africa region.

Umang Nahata: So Mahak, the new deal that we have secured in the APAC and Middle East geography is in the healthcare segment. It's an AI-led transformation for one of the largest healthcare provider organizations in the geography. It's a multiyear deal to deliver AI-led business transformation for the account. It's a \$5 million -plus already. And not only are we executing this deal, but we also continue to see good healthy momentum as far as our healthcare vertical is concerned across AMEA. We have a very strong pipeline to execute in the H2. And we strongly believe that healthcare will lead to a significant transformation to our AMEA business.

The AMEA business also continues to be a strong bedrock for a lot of new AI-led initiatives as well as development of our Oracle Health Services portfolio, and we are starting to see demand beyond Oracle ERP into Oracle Health as well as Salesforce and some of the other service lines that we have.

Mahak: Okay. Another thing that with more and more AI and ML, will we see a drop in employee count and employee cost?

Umang Nahata: So as far as the employee head count is concerned, our strategy is, we are not necessarily going and reducing any head count, but we are also using attrition to our advantage and not backfilling with the exact same numbers, which is leading to constant efficiency and growth. I believe

in

the long run, we will see the revenue per resource go up consistently. Overall head count will depend upon the size of growth, but general revenue per resource will keep moving northwards as we go forward.

Mahak: Okay. And another thing that using AI, what reduction we can see in the operating costs in the future?

Umang Nahata: So as far as our operating costs are concerned, our current and immediate focus from an internal standpoint was on our delivery, which is the biggest portion of our cost as well as business. So we were hyper-focused on our technical execution across engineering and Oracle and Salesforce and all of our capability lines, which is continuously being demonstrated in the head count reduction as well as delivering growth with the reduced head count that we have had.

As we go forward, we'll now focus and take the AI-led efficiency to our G&A side of the business also. We believe it will drive some efficiencies there in the G&A, but we haven't quantified that, but it will directionally improve as we go forward.

Mahak: I just want to tell you that the numbers are really promising and all the best for your future.

Moderator: The next question comes from the line of Pulkit Chawla from B&K Securities.

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Pulkit Chawla: Umang, if I look at your 12-month order book for the last few quarters, the overall growth rate seems to be down quite substantially. I mean this quarter, again, we are looking at close to 7% Y-o-Y growth. Is there some delay in the decision-making that's sort of leading to some sort of muted growth this year? And second, you alluded to, I think, some one-offs in AMEA. If you could help us quantify what was the impact on that because of that?

Umang Nahata: Thank you for that question, Pulkit. As far as the general macro uncertainty is concerned, they continue to play a role in the minds of our clients as they look at decision-making. These are currently 2 or 3 important factors. One, the decision-making, especially with our U.S. customers is shifting right, and we've been seeing that as a phenomena at least for the last 2-3 quarters. Having said that, it's not that the deals are going away, it's just that the decisions are slower as

compared to where they were. Two, what is also happening is whenever they had a long-term decision to make, they're making more short-term decisions.

So for example, instead of a 3-year, 5-year deal, they're signing up for a 1 year or 6 months or 1 quarter deal, which is reflecting in our order book and our backlog not moving strongly as compared to our expectations in the geography. So this general macro uncertainty is definitely playing a part in terms of the decision-making mindset of our clients.

The other important aspect, Pulkit, is the clients are also actually currently and consistently evaluating the impact that AI will have on their IT road map and budgets. And more or less dipping their toes in and trying smaller projects to deliver efficiency gains, and we'll use that to then sign much more larger strategic deals, especially with the mid-market customers where our focus is.

So we believe we are getting some right indicators in terms of signing a lot of good, strong initial deals with them, which could be backed by much longer, larger deals as we go forward. While I've said, spoken about U.S., some of the phenomena also applies to our U.K., especially the U.K. private sector customers.

As far as the one-off in AMEA is concerned, yes, there was a particular contract, which we have already delivered a sizable portion of it, but we couldn't get the formal paperwork in, and therefore, there was some WAR revenue that we couldn't recognize in the quarter, which will improve the profitability of the region as we go forward into the following quarters.

Moderator: The next question comes from the line of Pratham

Kankariya from Quantum AMC Private Limited.

Pratham Kankariya: Okay. So first of all, my question on AMEA region has been answered. Another one is recent on Oracle, they have announced some very mind-boggling projections on the cloud deployment sales. So if you can just help me understand if there will be any positive impact of this on Mastek?

Umang Nahata: Yes, Pratham. Thank you for your question. I think Oracle's business, generally the Oracle Cloud Infrastructure and Oracle Technology business is seeing some phenomenal changes in their business and approach. A lot of this, as all of you must have read, is driven by their capital and AI-led investments supporting some of the larger AI and technology companies in the U.S. So Mastek Limited

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that's boosting a significant growth for them. Generally, overall speaking, it feels like Oracle, clearly, as far as the infrastructure race is concerned, has a very strong hold on the supply chain of being able to deliver the GPU faster, and which is clearly adding to its advantage.

We believe from a Mastek standpoint, Oracle is our strongest partnership and relationship. The other thing that Oracle is also doing is reorganizing its healthcare business, especially the Cerner acquisition and trying to move a lot of their Cerner, which is now called as Oracle Health to cloud and cloud infrastructure, especially. And that's one area that we have a very strong presence in. We are one of the very few partners globally who do that kind of work for Oracle. And that's an area of business which we see as a really good chance to improve our healthcare business beyond back office to more Oracle Health and especially cloud and managed services within the Oracle Health segment. So that's one area.

Two, in general, as clients look at their AI spend, they look at partners who have the ability to deliver the infrastructure for demonstrating those AI solutions, and that's where our relationship with Oracle should allow us some long-term benefit. However, on the later half, we don't see anything immediate here and now, but we are quite optimistic that as we get into the AI for business, our partnership with Oracle will play a strong positive for us.

Pratham Kankariya: Okay. So just one thing to be clear. So we are majorly into Oracle's healthcare part of the business. Is that right?

Umang Nahata: We are into Oracle Cloud and within that, we are also very focused on the Oracle Health.

Moderator: The next question comes from the line of Sushovon Nayak from Anand Rathi.

Sushovon Nayak: Quickly just on the Data & AI horizontal, generally, this has been showing almost 25% to 30% quarter-on-quarter growth. Any particular reason why that has slowed down? That was one. And I had another question, which was basically on the margins. How much of the margin improvement has actually come on account of currency and how much would be on account of operational improvements? If that could be quantified, that would be helpful.

Umang Nahata: Sure. As far as the Data & AI business is concerned, Sushovon, I think it's a business that has tremendous attention and focus for us. We are seeing continued demand not just from the North America side of the business where we had acquired the asset, but really our ability to deliver it globally across all of our customers globally. We have seen some significant intake earlier in the previous quarter, both with NHS as well as with some of our large financial services engagement that we are executing. So the demand in that segment and our ability to demonstrate capability and growth is definitely helping us shape the outputs well.

Having said that, our growth of our Data service lines within North America specifically is still slower to where we expect it to be. As we speak with a new leader and team in place, we are now driving much more targeted campaigns around

Data, especially Data and Data

modernization-led areas. And we are confident that this is one area that will continue to grow the fastest as we move forward. As far as the bottom line performance is concerned, around 10 basis points was the impact of FX and the rest of it is operational efficiency.

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Sushovon Nayak: Okay. And just one last bit, Umang, is that if you look at whatever is happening in the U.K. with the fiscal situation there, so do you envisage that potentially there may be a reduction of spend and possibly that right shifting that you are mentioning may also translate in U.K.? Is that something that you envisage as a possibility?

Umang Nahata: So Sushovon, as far as our U.K. business is concerned, our foundational strength of our U.K. business is the long-term trusted relationship that we enjoy with the government, including, as you might have seen recently, Ashank had met the Prime Minister. We have committed to creating newer jobs, spending in the geography. So our foundation is the long-term relationship with the customer? You are right to ask that there is a fiscal pressure and therefore, there is continued ask for more and more efficiency from strategic partners, which we believe is an opportunity for us to demonstrate our AI for tech capabilities. We are very actively and aggressively demonstrating them in our current estate and using that to create the right capability expectations of asking for much bigger, much larger businesses from that same estate on the back of the trust and the quality of the work that we have done.

So while we have the quality and trust on our side, we are currently using the efficiency asks to demonstrate how AI can deliver that kind of efficiency in our own estate first. That's the ask for most of our customers, demonstrate it in your own estate before you ask for larger businesses.

We have the eye of where the larger business are going to come from, but we will have to demonstrate some efficiencies in our own estate first. And this is not just for U.K. SGS, this is true for every mid - and large customer that we have.

Sushovon Nayak: So Umang, in the last con call, what we got to understand was the type of work that we are doing for Bank of England. Now that is basically shown in the government services? Or is it in the BFSI bit? And what exactly would be the work?

The reason I'm asking this question again is because what I also understand from Accenture's con call is that they are also doing a lot of legacy modernization work specifically with the Bank of England. Is that anything very similar that you are doing? If you could possibly just give us some flavor on that, that would be great.

Umang Nahata: Sushovon, so the work that you're doing with Bank of England is first, we are classifying it under the BFS vertical in our segmentation. Two, the work that we are doing for Bank of England is something that we're extremely proud of. It is very much core to the business. So what we're doing is we are helping them modernize their data, which is on a Databricks platform. And that data modernization platform that we are delivering to them will become the heart of all fiscal decisions that the Bank of England is going to make over the coming years.

So this is a system where we are consolidating data from lots of banking as well as external and internal centers. It's extremely high volume with near to zero kind of error rate precision data strategy and data execution that we are doing now. So, in the first part, we did strategy. Now we are doing the next 3 years of execution work for them. So, it's a business that will impact the U.K.'s economic policy decisions as we go forward. The work that some of our peers are doing are more around application modernization. This is more around data and data modernization to help them with their fiscal decision-making.

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Moderator: The next question comes from the line of Dipesh Kumar Mehta from Emkay Global.

Dipesh Mehta: A couple of questions. You indicated about some kind of delay in decision-making and client preferring to sign shorter-term contracts. Do you expect that will lead to better conversion from order book to revenue? In the past, your order book to revenue multiple if I look was roughly around 1.6. If you want to do next 4 quarters kind of calculation, do you expect it to improve? Second thing is, if I look at your Q-o-Q order book growth, do you think revenue conversion will be faster than that, considering short tenure deals signed in that order backlog? So that is question one.

Second question is about Americas segment margin. If I look at it, we have seen some double

digits, last year in H2. How one should look segment margin of America? We are in the investment phase. But do you think now we reach to a point where you see that investment will start fructifying into result? Last question is about A MEA. You indicated some kind of one -off where revenue recognition not happened which impacted margin. But we might have followed matching principle, right? If that matching principal followed, then I am not clear why the impact was there. If you can clarify.

Umang Nahata: So Dipesh, thanks for all your questions. As far as our the OB to revenue ratios or some of the shorter duration contracts, that's largely a phenomenon with our North America business today. And there, we are confident despite of lower order book in this quarter, we should be able to stay consistent with our revenue performance. Like I said, earlier, we believe that the North America business will have some challenges in the short term, but will continue to deliver stronger performance as we go forward. But some of the OB to revenue ratios in North America would be better than where they were because for a lot of these contracts ACVs are much higher as compared to where they were earlier. As far as our U.K. Europe business is concerned, those are still a lot of long -term 3 -year, 5 -year deals. And that's the nature of work that we do with secured government or with some of the other verticals that I spoke to you about. So there, the ratios will not change so much, at least not in the immediate vicinity that we have.

On the segmented profitability of North America is concerned, like I mentioned in one of the previous questions, as we move forward and as we grow from here, come closer to like a \$28 mn - \$30mn run rate in North America, that's when it will start going up to double digit or mid - double -digit kind of EBIT numbers. So, we have invested for that kind of range today. We have to still get there. And we really want to continue to hold the investments. We think it's a very healthy investment, which will deliver disproportionate results as we go forward.

On the one -off in AMEA is concerned, we take the conservative approach as far as rev rec is concerned. So unless we have all documentation is in place while we might have delivered the work, we did not recognize the revenue based on the general conservativeness that we should use in our accounting approach as we deliver our financial numbers.

Dipesh Mehta: Just to clarify, you recognized cost, you have not recognized revenue?

Umang Nahata: That is correct.

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Dipesh Mehta: Okay. And a follow -up question on the OB to revenue. What portion of our revenue or order book would be from U.S., whether it reflects the revenue mix or it is different?

Umang Nahata: I think the order book mix, at least for this quarter is disproportionately high from our U.K. Europe business. Our U.K. Europe business, it's a significant higher percentage of our order booking for this quarter.

Moderator: The next question comes from the

line of Varun Gandhi from Fident Asset Management.

Varun Gandhi: Umang, I wanted to a question related to AI and type of contracts. So currently, we're reporting around 40% fixed price contracts and 60% of our contracts is time and material. The new narrative is and since the larger peers have called out that the new trend is that contracts are moving more towards your outcome -based pricing, so fixed pricing. Are you seeing that? And if yes, do you see your tilt contract mix going towards fixed? And if so, how would you see the impact on margins?

Umang Nahata: So Varun, that's a great question from an overall trend of the industry is concerned. AI as far as AI for technology is concerned, which is the AI that is impacting the productivity and efficiency of technology services, it is definitely delivering more and more efficiency every day than what we had seen in our previous months or quarters. And that efficiency is what is leading to customers as well as partners trying to move towards a fixed price or an outcome -based contract so that the gains could be shared. The commercial model, I still think are fluid and everybody is trying out various commercial models in the geography.

So I'll not comment whether it will move one way or the other, right now. What is definite is that there will be more efficiency and productivity gains that will happen. What's going to be the right commercial model, whether it is fixed price or outcome-based or whether a T&M with efficiency share or something else will continue. That's a little early to comment on. We are discussing a variety of models with our customers as we speak. While they still start with T&M especially in the engineering services start with T&M as a base, but a T&M with an outcome-focused contracting is the direction of travel that it is taking. So I don't have a definite view of how fast this trend change will , but efficiency ask and a commercial model to demonstrate that efficiency ask is clearly a direction of travel that we're seeing.

Varun Gandhi: Second was, what is the impact of this shift on margins?

Umang Nahata: So as far as margins are concerned, clearly, we are also seeing a lot of efficiency on our side. Some of those efficiencies are flowing down to our bottom line. Like I said, our revenue per resource clearly will be moving north as we go forward. Having said that, some of this is also has to be replowed in the business because the bigger wave that we are all now building up for is AI for business, which is where we could deliver Agentics or other AI -led business

transformation solutions for our clients. And that requires us to demonstrate and build a lot of solutions, assets, proof of concepts, working closely with our customers. We are seeing, for example, a dozen such engagements where we are demonstrating or building AI for business road map for some of our important mid-market customers, that clearly will pave Mastek Limited
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the path forward for a much more significant overall services growth in the industry. So a lot of the savings are being plowed back into AI for business kind of investments today.

Varun Gandhi: I see. But do you think a lot of these efficiency gains would also be passed on to the consumer, I mean, the customer in this case?

Umang Nahata: Hundred percent, so if you have to do business right, you will have to pass on some of the savings back to the customers. At least our vision is making some tangible growth for us on our size of business to demonstrate and get a seat on the table for larger transformations. We will have to demonstrate not just lip service, but some real tangible benefit to our customers. And therefore, passing on a portion of our efficiencies back to them openly and transparently is going to be very important.

Moderator: We take the next question from the line of Mahak from Mark Seven Investment.

Mahak: Sir, can you quantify that one-off revenue that we have already delivered, and it is to be recognized in the future quarter?

Umang Nahata: We don't have an exact number with me, Mahak, but closer to the tune of like \$0.5 million.

Mahak: Okay. \$0.5 million. And another thing that can we have the order book bifurcation region wise next quarter onwards?

Umang Nahata: Mahak, we usually do not disclose order book. That's not how we are working at. But we continue to disclose and share our regional performance as well as our anticipation for the region, but we don't disclose order book by region.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Umang Nahata for his closing comments.

Umang Nahata: Thank you, Ryan. Thanks for helping us organize the call. Thank you, everyone, for your participation and your active and very engaging questions. We continue to see very strong optimism in terms of the macro, especially the AI-led technology disruption that we are going through.

I think as a company and as a business, disruption situation like this is the best opportunity that we could have had or asked for to create a disproportionate kind of vision and growth for companies like us. We continue to focus on that as an area of investment and deliver the true potential of Mastek.

As far as our short-term business is concerned, the market still has a lot of macro and global uncertainties, which is leading to some deferment of decision making. However, we continue to navigate those uncertainties with a strong and robust bottom line performance and looking forward to a good positive H2 as we move forward. Thank you for the call. And once again, Happy Diwali to everyone who's joined the call. Thank you.

Moderator: Thank you, sir. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2026

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SEC/ 118/2025-26 January 28, 202 6

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Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: MASTEK
ISIN: INE759A01021

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the Quarter and Nine months period ended December 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial performance for the quarter and nine months period ended December 31, 202 5, conducted on January 21, 202 6, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at [https://www.mastek.com/investor -financial -information/](https://www.mastek.com/investor-financial-information/)

Thanking you,

Yours faithfully,
For Mastek Limited

Reena Raje
Company Secretary & Compliance Officer
Membership No.: A21440

Encl: A/A

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"Mastek Limited

Q3 FY '26 Earnings Conference Call "
January 21, 202 6

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER –
MASTEK LIMITED
MR. DEEPAK KEDIA – CHIEF FINANCIAL OFFICER –
MASTEK LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y LLP, INVESTOR

RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y LLP, Investor Relations. Thank you, and over to you, sir.

Pratik Jagtap: Thank you, Darwin. Good evening to all of you, and welcome to Q3 FY '26 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com.

To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Umang Nahata, the CEO of the company; and Deepak Kedia, Chief Financial Officer. Umang will start the call with business update for the quarter, which will be then followed by Deepak, who will take us through the financials. And post that, we will open the floor for Q&A session.

As usual, I would like to remind you that anything mentioned in this call that reflects any outlook for the future, or which can be construed as a forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and the subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.

Umang Nahata: Thank you, Pratik. Good evening, everyone. Welcome to the Q3 earnings call for Mastek Limited. In our call today, I will share some of the developments that have happened in this quarter and the momentum and outlook that we look forward to.

Q3 continued to be a quarter of strengthening some of our core fundamentals, especially around our capability stack, our domain expertise as well as our leadership teams. It has also been a quarter where we had to navigate the headwinds of a seasonally weak quarter, while continued focus on operational efficiency and AI -led productivity gains, ensure that we delivered a robust bottom -line performance.

Talking about capability growth. Digital engineering is the fundamental capability of Mastek. It has been a core of our sustained growth and delivery. With AI, our digital engineering capability has now seen a revised energy and expansion.

In this quarter, we've been recognized by some of the leading analyst firms as one of the leading performers as far as mid -market digital engineering is concerned. A lot of this has been backed by the sustained quality and productivity improvement that we have been able to offer to our clients, ranging from between 15% to 80% improvements in terms of the AI -led engineering capability.

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Our continued investment in the AI capability has now eliminated the gap as far as technology differentiator that we had between us and some of the other larger players in the market, giving us the opportunity to compete for much larger core digital engineering or AI -led engineering deals.

Similarly, on the Oracle front, Oracle has been a key strength area for us, and we continue to be recognized by Oracle as one of their top partners globally. Having said that, Oracle's business direction is also significantly moving towards AI -led transformation deals. And in that journey, Oracle sees us as amongst their top 20 partners globally leading their AI initiatives. In fact, we were awarded 3 key recognitions during the AI World that happened earlier in

the quarter as a leading performer in Oracle's AI transformation journey.

From a domain front, our focus on Health care and Life Sciences continues to be a key area. We've been investing both in terms of people as well as assets and accelerators to deliver a significant differentiated capability in these areas. Our learnings and experience out of working at NHS as well as various payer and provider organizations globally has now been consolidated into a singular strength, which is allowing us to compete in much larger businesses and deals globally.

Another key development as far as capability for this quarter has been our renewed strength in financial services sector. As you all are aware, we had won one large deal earlier in the year with

Bank of England. And now this quarter, we are very happy to announce that we've won one new large account in a circa \$20 million deal.

This backed by, for the first time, us, being recognized as a contender in the financial services sector by various analyst firms, gives us the confidence of developing financial services as the third sector after Health care and Public Sector for Mastek. We continue to focus on enhancing our data capabilities as well as our Salesforce capabilities aligned to these vertical sectors that you have looked at.

All of this capability and domain strengths have now also resulted in improvement in our 12 - month as well as our total order backlog. Our 12 -month order backlog has grown by 18.4%, whereas our total order backlog has grown by more than 30% year -over-year.

Coming down to the Q3 performance , from a revenue standpoint, Q3 experienced some expected and a few unexpected turbulences or headwinds that we saw, resulting in a 4.8% constant currency reduction in our revenue. We saw a higher furlough in U.K. as well as in some of our Public Sector customers globally.

Additionally, this is also a quarter where many of our transformation programs, especially Oracle programs went live during the quarter. However, the start of the new programs has been right shifted and will start in Q4. Many of those are scheduled to start in Q4. This has led to reduction in our top line performance.

Having said that, despite the reduction in the top line performance, our continuous and sustained focus on operational rigor as well as driving AI -led productivity improvement in our internal

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operations is really helping us hold our bottom line performance. In fact, we have improved our EBITDA margin by 60 basis points despite the onetime labour law changes, which Deepak will explain in the later part of the call.

We are hoping and looking forward to maintaining a steady bottom line performance. And as promised, we feel that we will continue to improve in our bottom line performance over the next coming period.

Looking ahead, we feel that the global demand that we see, especially across Healthcare and Life Sciences is really strong, in U.K. as well as across all geographies in U.S. and AMEA . And our capabilities, both from a domain as well as from a horizontal standpoint are now really well aligned to address the growing demand. And our growth in this vertical is going to be fundamental to our long -term sustained growth as we move forward.

From a people leadership standpoint also, we now have Deepak Kedia , joining us in this quarter. We also had 2 important leadership hirings in our Data as well as in our Salesforce capability. This marks almost the completion of all the leadership changes that we wanted to drive. And we now have a very cohesive and empowered leadership team r aring to go for long -term growth of the organization.

One last area while we continue to focus on business and drive sustained growth, our commitment to our Social Responsibility also continues to be an important area of focus, and we are very pleased to share that we have bee

n recognized amongst the top 10% companies

globally on our environment scores. And that makes us also proud in terms of not only are we delivering well to our business, but also continuing to deliver well for the society in general.

With that, I'll hand over the call to Deepak to share more details on our financial performance. Deepak, over to you.

Deepak Kedia: Thank you, Umang. A very warm welcome to everyone on the call, wishing you all a very happy new year. As Umang already covered the business aspect, I'll focus more on the financial and operational levers.

We reported an operating revenue of INR 905.7 crores which was up 4.2% Y -o-Y. On a sequential basis, it reflects a 3.7% decline in INR terms. This is, as highlighted by Umang, is majorly due to seasonal headwinds and some onetime events in Q3.

Coming on profitability, Q3 had two headwinds. One was seasonal around furloughs and holidays and second one was labour code changes. I'll cover labour code changes in a few minutes. In spite of all the above , we have delivered yet another strong quarter of growth in EBITDA, improving by 60 bps points to 16.1%. Out of 60 bps points, 43 bps point reflects our resiliency towards AI -led operational efficiency and 17 bps point is due to forex tailwinds . EBITDA includes an impact of INR 6.4 crores on account of labour code changes.

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As we are aware, there are some clarifications which are awaited from the labour department and hence, we expect an adjustment in Q4. There were some onetime benefits, which we got in

Q3, which helped us negate this impact. Those onetime benefits were around leave at on site. Our net profit improved to 11.7% with improvement of 149 basis points quarter -on-quarter. Across all geos, we have expanded our margin in Q3, further underlining the execution of our operational efficiency. Based on business fundamentals mentioned by Umang, we continue to add new customers to our portfolio. We have added 17 new customers in Q3. This is also reflecting in our backlog position wherein 12 -month order backlog for the quarter now stands at \$296 million, reflecting a growth of 5.7% quarter -on-quarter and 18.4% Y -o-Y. We continue to maintain a very strong balance sheet and healthy cash position. Our net cash is INR 346 crores versus INR 135 crores last quarter. We added operating cash of almost INR 210 crores in Q3.

Our DSO for the quarter stood at 84 days, which is slight increase from 80 days last quarter. This was primarily due to administrative delay in collections in U.K. on account of holiday season. We see this as a temporary thing, and DSO will start improving from next quarter as we continue to have robust collection, which is reflecting in our cash position. Based on all the cash collection and everything, we are declaring an interim dividend of INR 8 per share, which is at 160%.

Our closing headcount was 4,676 versus 4,745 last quarter. This is again after the consistent focus on improving our productivity and driving better outcomes for our customer s at the same time. Our utilization rate dropped to 76.7%, including trainees versus 81.8% in the previous quarter.

Again, this is a reflection of higher leaves which is both led by festivals, holidays and client furloughs during the quarter. With that, I thank everyone. I look forward to your continued trust and support in Mastek. I'll go back to Pratik to open the house for Q&A.

Moderator: We will now begin the question -and-answer session. Our first question comes from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.

Sucrit D Patil : I have two questions. My first question to Mr. Umang is, as Mastek continues to expand its AI first and digital engineering portfolio, what specific initiatives are being taken to deepen the client relationships in the U.S. and AMEA market? Over the next 12 to 18 month

s, how do you

see the company balancing near -term revenue volatility with long -term growth opportunities in AI and cloud transformation? That's my first question. I'll ask my second question after this.

Umang Nahata: Thank you, Sucrit. As we had mentioned earlier in my narrative, AI is definitely bringing the technology differentiation between the various IT services providers making them all very equal. All the assets, accelerators as well as capabilities are now starting to align a lot between players. What is going to be important is how we offer this back to our customers and creat e a win-win scenario with them.

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Our current approach is to move from time and material contracts to more outcome -based contracts. In fact, in this quarter also we have closed a few deals where we have moved our customers from time and material to an outcome -based contract and also offeri ng anywhere between a 15% to 30% savings on productivity over a 3 -year tenure.

These contracts, while might have a short -term impact on our top line performance, but are really important to deliver and build confidence in the customer from a trust as well as capability standpoint to recognize the kind of benefits that AI is providing to them.

I'm very sure that as we aggressively offer these benefits to our existing customers, it is creating the space required within the customers and the mind share for them to consider us in much larger businesses and awards. And as we get into those larger deals, it will create a much more bigger impact for us.

As you know, our digital presence in North America has been quite small, but this AI -led engineering is now starting to create a much bigger digital engineering pipe in the geography, especially as we go out as champion challengers to many new customers. S o it's a case of trying to balance your capability and quality strengths by addressing the commercial model to your clients and gaining larger volumes.

Sucrit D Patil: My second question is to Mr. Kedia. With operating margin improving to 16% despite the revenue showing some softness, how are you planning to balance cost discipline with investment in talent and delivery capacity? Could you share how Mastek is approaching capital allocation to support both shareholder returns and long -term growth in AI -driven services?

Umang Nahata: Sucrit, if you're okay, I'll work with Deepak on the answer. It's a very fair question, in terms of long term and how do we look at balancing and continuing our cost efficiency as well as trying to address the investment in AI as well as investing in deals where we have to offer productivity benefits to our customers.

Our current expectation is the AI investments will continue. However, as we move towards more and more fixed bid projects like an outcome -based contract, that allows us to share the gain and

maintain a healthy operational efficiency on our side because, while we are offering a part of the benefit to the clients, it also allows us to maintain a part of the savings to Mastek also. And that's been reflecting in our continued quarter-on-quarter bottom line performance. So there's a stringent bottom line improvement target, productivity improvement target across all programs as well as our G&A spend that we look forward to.

Having said that, we are also looking at a scenario where as we grow our top line because the volume performance is important, and I'm pretty sure this AI-led differentiations are going to drive much higher volume improvements. The overall impact on bottom line will be much healthier as we move forward.

So the vis-a-vis impact of investment versus return, I think the ROI is much highly tilted towards a positive return. So while you have to make these earlier initial investments, both in terms of

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capability as w

ell as commercial discounts, the long-term return on these seems very, very positive.

Moderator: Our next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: If you can explain in terms of the decline that we have seen in this quarter, what has been the contribution from the furloughs that we have seen now in terms of extended furloughs? And also you mentioned about the AI-led productivity benefit that you have to provide to clients. So if you can quantify what led to the decline in terms of the extended furloughs and the AI-led productivity benefits? And also, you said some of the contracts that were supposed to start. That will be the first question. And also, in terms of the benefits that you have been mentioning. So what percentage of the clients we are seeing this marking of the AI-led benefits. And is it also happening primarily in the large government accounts?

Deepak Kedia: Thank you, Amit, for the question. I'll take the first part of the question, and I'll hand over for the second part to Umang. In terms of decline in revenue, our furlough impact was almost \$2.7 million for the current quarter. And the rest was basically related to ramp downs or the closure of the project and some of the delays, which has happened or right shifting of the project which has happened because of a delay in ramp up. So that's the answer to your first question.

Umang Nahata: Amit, on the focus on business in terms of offering these commercial benefits to our clients, it is happening across a large number of our customer and existing engagements. And these also include some of our Public Sector engagements that we have in U.K. So the general efficiency asked from the clients is true across most of the engagements.

Usually, these asks come up at the time of renewal. So whenever we are renewing our contracts, these have come up for an ask. However, we are taking a very different approach to the business.

We are actually proactively going out and sharing some of these benefits to our clients and therefore, creating a mind space of expanding within the account.

If you look at our large installed base, especially the large account installed base, the top 30-odd customers that we have, our current wallet share in almost all of these accounts is a very small portion as compared to the overall digital spend that they have. We see this as an opportunity.

While they have always seen us as performing good work and good CSAT performance. But now with differentiated capability and our ability to demonstrate cost benefit to them and the proactiveness in our commercial acumen is creating an opportunity for us being evaluated for larger businesses in these accounts.

So we are taking that as an investment in these accounts to create credibility as well as trust for generating larger opportunities in the same. But this is not a few accounts here and there. It is happening across the board.

Amit Chandra: Okay. And in continuation to this, are we seeing any extended furloughs continuing in Q4? And also, if you can give some more colour in terms of what's happening in the Middle East geography because there we have seen some very sharp decline. And in the last call you

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mentioned that the restructuring there is almost over. So is it something new that has happened there? Or if you can give some more colour?

Umang Nahata: Yes. Thank you, Amit, for pointing that out. We don't see any significant furlough impact going further. There might be a few cases, but nothing meaningful there. As far as our Middle East business is concerned, you are right, we had pointed out there was a WAR revenue that we couldn't recognize in Q2, which we're hoping to recognize in Q3.

While we have got the letter of award and all the other documentation, but in Public Sector Middle East, sometimes signing the contracts has

taken a little longer than anticipated. The business is well secured and already executed. We are confident that we will get the order in, and we are hoping that it will come in January itself. And therefore, we'll be able to bring it back in our next quarterly performance.

Having said that, the second part of the business that I mentioned that a lot of projects went live. Some of those go-lives were in the Middle East geography, Middle East largely follows January to December calendar. And as you can understand, Oracle programs are many times linked to financial year closure. So we had seen some go-lives there.

However, the ramp-ups are still shifted towards right, and we are looking for a much stronger order book in Q4, which will then take us forward into continued growth. I would say we're a one quarter delay from where we were hoping the sustained growth would come, but it's just a one quarter shift of right. We are confident that this will start sustainably growing from this quarter onwards.

Amit Chandra: Okay. And the last question from my side. Obviously, we have seen some of the larger peers entering into the U.K. Government geography, and they have been announcing some new larger contracts. So just in general, are we seeing some increased competition out there in the U.K. Government because earlier we were having the advantage that we were present there. And the competition from the Indian peers was comparatively lower, but now we are seeing high aggression from the other peers also. So are you seeing that also impacting us and forcing us to give in more discounts?

Umang Nahata: As far as the U.K. Public Sector and Health care business is concerned, we believe it's a market that was largely with the Global SIs or some of the local players, there was hardly any large Indian SI contingent in that particular segment. And I think the openness for them to accepting larger Indian SIs to do large pieces of work, the couple of billion dollar deals that got announced, actually is a positive sign for them considering us as equal competitive partners in delivering larger and more significant pieces of execution.

As we have been saying, our current headroom to the revenue that we have around GBP 150-odd million that we deliver as compared to the GBP 4 billion plus overall addressable market that we have is very, very small. And while we have been trying to grow in terms of larger deals, I think this mindset change, I see as a positive from a perception of the ability of mid and large Indian IT services companies being contended for delivering larger deals. So I think it's a positive.

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While I also agree with you in some of our accounts, we would see them as competitive on those fronts. But I think that's the usual competitiveness. I don't think anything unusual there. I have very strong faith in the kind of client relationships as well as the capability that we have developed in U.K. Public Sector and Health care are very differentiated. And I see healthy momentum in terms of that market.

Moderator: Our next question is from the line of Debashish Mazumdar from Svan Investments.

Debashish Mazumdar: I have a 3-part question. First one is partly asked by Amit, I just want to get more sense on that. You have said that around 2.5% kind of degrowth has come because of the furloughs, right?

Deepak Kedia: No. I mentioned an amount of \$2.7 million. So again, to reiterate. Almost 50% of our impact is because of furloughs. Rest 50% is on account of two things, which is early completion of project towards the early part of the quarter and right shifting of certain projects.

Debashish Mazumdar: Okay. If you can add some geographic context into it. Much of these furloughs and ramp-downs are related to your U.K. and Europe related projects, how much is those for U.S.-related projects?

If you can give some co

lour on that?

Umang Nahata: Large portion of the furlough impact is in U.K., as you know, the largest business is in the U.K. but there has been some impact in our U.S. business also on furlough because we have a small Public Sector business in North America. Percentage-wise, a much larger percentage of that furlough impact has come from U.K. only. Almost 70% of the furlough impact has come from U.K.

Debashish Mazumdar: Okay. And, Umang, if I understand correctly, our U.K. Public Sector business normally, historically, hasn't seen much of furlough impact in the past. And especially, we are sitting in a quarter where most of our peers who have reported numbers have not mentioned or have not seen much of furlough impact. So is it like very client-specific that we are seeing here? Or anything specific that has happened in this quarter or something like that or it's the normal seasonality according to you?

Umang Nahata: Debashish, this is normal seasonality. I think we report this every Q3 consistently across last few years. So it's something that happens every year-end, the government and some of the Public Sector business is shut down for the year-end breaks. And so it's not unusual. It's very usual, and it was expected that we will get such kind of a furlough impact.

Debashish Mazumdar: And the ramp down or right shifting of the project is also linked to your top customer? Or it is

some new customer or some other customer that you are facing?

Umang Nahata: So I mean there are some important large programs that have gone live. So those are definitely there in our larger customer list. But if you look at our current nature of business, especially on our Oracle service line, it's a lot more project driven. So as the projects go live, the revenue starts ramping down. And we usually have a stronger backfill of new deals aligned so that we could continue to sustain the revenue growth.

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However, the newer programs that we have to start now has been delayed by a few weeks and months. So we are hoping to get this start again in Q4, and we should be able to cover that. It's not like any permanent thing, but this is the usual nature of business. Almost 60% of our Oracle business is project driven, which would ramp down once the project goes live and then as you win new projects, it ramps up again.

Debashish Mazumdar: Okay. So, I just wanted to get what is the kind of confidence level you have to get a sequential growth coming back in Q4 in the U.K. and Europe market?

Umang Nahata: In U.K. & Europe, we have really good demand that we see as far as our Health care business is concerned. We're also going through some important renewals in our existing Secured Government Services customers. We generally feel positive. Having said that, there is also continued pressure from the government to at least deliver a 15% or higher efficiency across all government projects. So that's one part of the business that we are still navigating which may have some short term or continued short-term impact.

Debashish Mazumdar: Okay. If I know correctly, last year, when the renewals happen in your large-sized Public Sector contract in U.K., you have passed on certain price benefits or productivity benefits to them already with this thought that until next renewal, we don't need to pass anything. So is there any change in structure there?

Umang Nahata: You are right, we had passed almost 5% to 10% benefit to our customers when we got them into renewal last year. Having said that, the government, as they reorganized their spend, there's a lot more spend happening on Health care and Defence and all other departments have been asked to bring down their spend that they have on all other departments, including some of the other larger customers that we work with. So, this is over and above the discounts that we had given

last year.

Debashish Mazumdar: Okay. Understood. And my last question is around the U.S. market. We have seen a significant fall in this quarter. And if I see before the last acquisition you did in U.S., you used to do a \$20 million to \$23 million quarterly run rate. And which moved up to around \$30 million post the acquisition, and we have actually come back to \$20 million, \$23 million today. So just trying to get some sense that what is the progress in the U.S. market.

If I remember correctly, last time when we discussed, you told us that U.S. market will take 3 to 4 quarters time at least to settle down. Considering that U.S. market has started coming back for a few of your peers, do you see U.S. market settling down? Or do you think it's 3-4 quarters away for us?

Umang Nahata: Like I said earlier, U.S. market required some core fundamental changes to our business. We've made most of those fundamental corrections already. First, in terms of capability, like I said, our core digital engineering capability, which we wanted to take to North America is now competitive and seeing good traction, which is allowing us to offer many of these AI-led engineering services deals or participate in them.

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Two, we wanted an overhaul of our North America team. We've got almost all the leadership team under Sourabh and the capability as well as sector lead is now in place. So we have a strong team, we have executed 100% of the team changes already. Third is, like I mentioned earlier, the direction of travel will be visible in two steps. We first start seeing improvement in our order book and backlog and which will then be supported by revenue growth.

Our order book numbers are now starting to change shape. Our North America order book, for example, has delivered a \$30 million-plus order book in this quarter, and we see sustained order book momentum in the coming quarters, and it will keep growing from there.

We believe as we have now got into the turnaround mode with the teams and the capabilities in place. It is also now starting to reflect in our order book and order backlog. I'm pretty sure the direction of travel is on its way. And like I said in the next few quarters, you will start seeing strong lead indicators edging towards that kind of growth.

Debashish Mazumdar: Okay. Understood. And one last question. If I see the order book because you have touched upon that. After I think 3 or 4 quarters, we have seen some good momentum building up there. So I

hope there is no change in the tenure of the deals that you were signing today and the order book that is getting visible to us will convert into 12 months we have seen in the past. Is there any change in the tenure of the deals that you were signing today as compared to what we used to do 3-4 years back or 3-4 quarters back?

Umang Nahata: Yes. Debashish, you're right. So if you look at our total order backlog has grown faster than the 12-month backlog. So that's definitely there. What happens is as we are trying to get into these AI-led initiatives, while we are offering the clients some discount and productivity efficiency, we're also trying to negotiate with them much longer contracts, so 3-year, 5-year kind of contracts instead of the 1-year renewals that we used to have earlier.

So there is a change in the tenure of these deals that we have. And that's the reason the TCV has been moving much faster as compared to the 12-month backlog. But as you can see, our 12-month backlog is now catching up, and I'm sure we'll have a healthier 12-month backlog also. But in general, your observation is right. The tenure of the order booking has definitely increased, and that's a very intentional plan. As we sign up for these productivity gains, we're also trying to sign up over a longer tenure so that we have enough time to ensure we deliver them profitably.

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oderator: Our next question comes from the line of Ravi Menon from Macquarie.

Ravi Menon: First question is on the subcontracting costs. So if I see the other expenses for the second quarter, we've seen a decline. So you have subcontracting come down this quarter?

Umang Nahata: Yes, Ravi. The subcontracting has come down in this quarter.

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Ravi Menon: When you're talking about the U.S. how you're starting to see pipeline build up, at least in the initial phases do you think subcontracting will be required? And we could see this cost move up again and maybe have some pressure on margins near term until we hit some critical mass?

Umang Nahata: What we are seeing is both kinds of deals. We are seeing deals which are regular and within the capability and capacity that we have between Oracle and Salesforce and those kinds of areas.

Having said that, we are also running for some larger deals in newer areas that we don't necessarily have capacity for the U.S. today. And part of that fulfilment will require some kind of subcontracting or partner arrangements that we have already worked out.

So yes, as we look at getting into execution, some of these deals initially may see higher subcontracting costs. Having said that, our endeavour on making sure that operational efficiency continues to be robust as well as we continue to drive AI-led productivity improvements is key to maintaining stable bottom line performance as we get into these AI-led and newer areas of business.

Ravi Menon: And once things settle down, I mean medium term, say, 2-3 years out, do you have some sort of aspirational margin target from a band that you want to operate in?

Umang Nahata: Overall, like I had mentioned earlier, we think around 16.5% – 17% EBITDA is a good position today. I'm sure things will change. It's rapidly changing from an AI productivity possibilities.

So what will happen over 3 years is hard to predict in terms of the degree of efficiency that it might bring.

But from counter-investing and offering, sharing some portion of that benefits back to our clients as well as some of these capability expansions that we need to do and using subcontractors and others that will be required to grow for the cost of sales. I think we feel comfortable in the 16.5% – 17% band.

Ravi Menon: And one last question. The AI-led productivity, we had heard one of your peers mentioned yesterday that they are starting to monetize their own IP that they've built for AI tools. Are you planning to do something like that? That could enhance margins?

Umang Nahata: We actually have a very contrasting view to that. We do not want to get into the IP and the product business as far as AI is concerned. The ability to create and build and demonstrate that we are leaving it to the larger hyperscalers, and we would rather focus on the partnership model.

I think our focus is executing services, and we will look at continued focus on service execution.

We are not at all focused on building IPs as far as platform IP is concerned.

Having said that, there will be a lot of IP that will be created as you get into AI for business, which will be differentiated and really required for selling and as well as delivering the kind of efficiency that the client wants. We are looking at these IPs as our differentiators in winning as well as demonstrating success to our clients. I mean IP monetization is not a focus area for us.

Moderator: Our next question is from the line of Sushovon from Anand Rathi.

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Sushovon: Just two sets of questions. One is I think there was a mention from Deepak about the fact that

there is some onetime benefit of 149 bps on account of on site leaves. If you could possibly explain further on that? That is one. And the second is , will this labour or the wage code impact

again impact in Q4? How much would that be? And lastly, what would be the steady state tax rate? I think these were the 2 - 3 questions which I had.

Deepak Kedia: On the first one, on onsite, we have this leave accumulation done by the employees. We saw people utilizing those leaves. And hence, there was a reversal of the leave provision which we made at on site. That onetime benefit helped us negate the labour code impact what we had in our books. And there were other few small one -timers, which I would not want to call out, which was very small from the materiality perspective.

Coming back to your second question, which is whether we are going to have impact of labour code changes in Q4. As we speak, what we have done so far is we have taken a catch -up impact or a retrospective impact in our books. So we have gone conservative in our assumptions. However, there are a lot of rules and regulations, which are still not v ery clear, and we are expecting lot of clarifications in the next 1 or 2 months. And I think that is the problem which every IT company is facing.

Once those clarification comes in, we will be able to estimate what the impact is going to be on our books, whether incremental expense hit or whether it's going to be a credit to our books. At this point in time, it is very difficult for me to make an ass essment lacking those clarifications, that what will be the impact in Q4 profitability.

On the third part of your question on the tax rate, our effective tax rate is normally around 25% – 26%. We saw a decline in our effective tax rate in the current quarter for certain tax refund, which we got, which was basically related to some past years. We believe going forward, we will be still in the range of 25%–26%.

Sushovon: And just on the on site leave accumulation provision reversal, impact is 150 bps. Is that fair?

Deepak Kedia: No, that's not 150 bps. So we had a labour code impact of INR 6.4 crores, which was almost 0.7% impact. The leave accumulation reversal is around same 0.5% –0.6%.

Sushovon: Okay. So 50 –60 bps, right? That is fair ?

Deepak Kedia: Yes, correct, 50 basis point s.

Sushovon: So near term, it would be fair to assume that - because if I take 15.5%, which was your last quarter and this quarter, it is 16.1%, assuming the labour code impact is 70 bps, then it becomes 16.8%. And if I take this reversal of the provision, it is 60 bps . So 16.2% EBITDA margin would be something that you would be comfortable with from a range perspective as an EBITDA margin. Is that fair?

Umang Nahata: Sushovon, we are looking at maintaining it between 16.5% to 17% like I said earlier. So that's the range that we're comfortable with. We think we will be easily able to hold our grounds there.

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Moderator: Our next question comes from the line of Jalaj from Svan.

Jalaj: I had one question with regards to the margins. I guess, sorry if I missed that. Was there some onetime item? Or could you give us a margin walk on a sequential basis? What led to this growth?

Deepak Kedia: We have improved our EBITDA margin by 60 basis points. Out of 60 basis points, 43 basis point is due to operational efficiency, which we have been driving for the last few quarters and 17 bps points was because of forex tailwinds. We had a onetime impact of labour code wage, which was around 0.7% impact and amounting to INR 6.4 crores. That got negated by onetime credit which we got because of leave accumulation reversal at on site.

Jalaj: Okay. So, they're matching basically the onetime labour code impact and your leave encashment or leave reversal they've matched each other?

Deepak Kedia: That's right, yes.

Jalaj: Okay. So just building on to it. You told that there will be further impact next quarter because of this labour code. So could you give us some idea as to what extent would it be? And secondly, I gu

ess on a n ongoing basis, this incremental change in definitions in both gratuity and leave encashments should lead to a higher people cost going forward. So what sort of impact are you expecting because of this change in labour code?

Deepak Kedia: Sure. On the first part that in Q4 am I expecting additional hit , there will be some true -up based on the clarification which we are going to receive from the labour department, whether that is going to give me an incremental hit or whether it is going to be a credit at this point in time, it is very difficult to envisage . So we'll have to just wait for those clarification to really reassess the impact we have taken.

Having said that, what we have done from our side is, we have gone a bit conservative on all our assumptions so that we don't see a significant or any incremental hit in our books in Q4. So we

have taken the retrospective impact. We have included all components of wage in the new wage definition, so that at least we are on the safer side of the things. So hopefully, there should not be a significant impact in Q4 in terms of incremental expense, but let's wait for the clarification to come.

On the second part of your question, which is on an ongoing basis, given that only 30% of our employees are at offshore. And most of our tenured employees are based in on site. We don't expect a significant impact on our books going forward. When we assess that impact, I think it was around \$150,000 to \$200,000 per quarter.

But again, when I'm saying that amount I'm taking that with a pinch of salt because lot of clarifications are pending. And based on that clarification, that amount can go slightly up or down. But at this point in time, we are only seeing an impact of \$150, 000 – \$200,000 in terms of U.S. dollars per quarter going forward.

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Jalaj: Got it. And my second part of question was for Umang. Could you throw some light specifically on the U.S. and U.K. geographies. For U.S., how far are we still from getting onto a stability both in terms of top line and a profitability there? So how far are we there?

Second part is on U.K., do you believe the Secured Government business, I know you alluded to it that there are some benefits need to be passed on. But is it going to be a recurring thing because it came in as a surprise which had been in the last year , also it was highlighted by any other participants. So what exactly are we seeing there? And how it should pan out going forward? Specifically on the secured side of business because that's a larger part .

Umang Nahata: Jalaj, as far as U.S. is concerned, like I mentioned earlier, we are a few or maybe at least couple of quarters away from starting to see the real ramp up. Like I said, we're taking care of some core fundamentals, both in terms of capability, leadership teams, our commercial offerings, GTM, etcetera.

All of that is now in place. We are starting to see improvement in our pipeline as well as our order book numbers. And as we see a couple of more quarters of healthy order book growth, I'm sure it will start reflecting on our revenue as well as the backlog number that we have to execute on. So that's as far as North America is concerned.

Like I said, fundamentals are in place now. Already execution is underway. We had a healthy order book growth this quarter. And if we continue to run that momentum for the next few quarters, it will be on a sustained growth trend from there.

As far as U.K. Europe is concerned, again, our capability in Health care as well as Public Sector is extremely differentiated. The kind of work that we do is called critical national infrastructure kind of programs that requires experience, reference as well as differentiated capability to execute.

So we feel very comfortable that the business that we have and that we are executing is secure and sustainable. We

are also seeing a good healthy demand in Health care sector, which is a potential for growing that business sustainably.

Having said that, there is margin pressures on some of our accounts as the government expects to shift their budget into Health care and reduce some of their spending in some of the other government departments which we are negotiating and navigating with them.

Jalaj: Got it. And on the U.S. part, do you believe reaching to a sizable amount or let's assume an inflection point there would take at least 3 - 4 quarters ? Or how far are we from that? Obviously macro should be a function of it , but our size is too small for macro to actually starting to bother us there. So how much more time do you feel we should see an inflection point or a J -curve there?

Umang Nahata: Jalaj, I don't have a firm time commitment here. But I think next year would be the year when you start seeing U.S. starting to improve sustainably in our business. I agree with you, the size

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of our business is not big enough to have a significant macro impact. However, what happens is sometimes the macro impacts one or two key customers of ours, and then it tra ils down to us. But what we are also trying to build is make sure that we have enough base and growth, both in our existing as well as net new customers so that these impact of one or two clients that have earlier troubled us does not become a factor derailing our growth.

Moderator: Our next question is from the line of Sushovon from Anand Rathi.

Sushovon: Just one more follow -up question. So just wanted to understand, at least from an outlook for this coming quarter Q4. What's your view there? Do you expect growth to come back strongly across all geographies? Or is it specifically the U.K. that is going to c ome back strongly? If you could

just provide some flavour on that?

Umang Nahata: So Sushovon, as you know, we don't give any prediction numbers on our future performance, especially the near quarter numbers. But in general, we feel comfortable that the direction of travel, both from top line as well as bottom line should improve from where we were in Q3.

Sushovon: And a question for Deepak. I just wanted to understand from a subcon cost perspective as a percentage of revenues, how has it moved from last quarter to this quarter? Because what we also understand is the Secured Government Services, I think that there may have been some ramp downs which would have possibly benefited the margins. If you could provide some flavour on that aspect.

Deepak Kedia: Thank you, Sushovon, for that question. You are right. We did see some benefits from the reduction of subcontractors. In fact, it dropped by almost 0.7%. The subcontractor cost has dropped by 0.7% quarter -on-quarter. Again, it is on the back of the projects, as you rightly mentioned.

Moderator: Our next question is from the line of Jalaj from Svan.

Jalaj: I had a follow-up question. Would it be a fair assumption that the FY '27 should be a better year in terms of growth than FY '26? Because at least on U.K., as you have communicated, things would settle down, or whatever the benefit should be passed on. And at least on 12-month order backlog, is that giving us enough confidence on that front? Are there any other things that need to fall in place much more after this or beyond this also?

Umang Nahata: No, Jalaj, you're right. I think like I mentioned earlier, this has been a year of fixing some of our core fundamentals, both from capability, domain, people, leadership point of view. I feel comfortable that we are more or less there in terms of whatever core fundamental changes that we had to deliver. As we go forward into FY '27, we are expecting FY '27 to be a stronger year as compared to FY '26. Having said that, it's also some of those other deals that we are looking at.

So the AI-led im

pact is also a lot about demonstrating benefit in your estate here and now and then using that benefit to further find larger volumes of business. So there might be a degree of

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impact on that count. But in general, we feel especially our U.S., AMEA business growing and U.K. continuing to be steady.

Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Umang Nahata: Thank you, Pratik. So thank you for asking all your questions. As I said, I think it's been a quarter of really focusing on fundamental improvements. We continue to focus on creating some differentiated core fundamentals across our capabilities and the verticals. Our view on key verticals like Health care and Life Sciences as well as Public Sector and Financial Services is getting strong. We believe there's good uptick in demand, especially in Health care and Life Sciences, which is a core fundamental focus area for us. And with a strong leadership team now in place, I believe that we are moving towards the right direction and should see some strong positive impact as we go forward. Thank you, everyone. Thanks for participating and asking all your questions.

Deepak Kedia: Thank you, everyone.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2026

Mastek Limited

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SEC/09/2026-27 April 24, 2026

Listing Department

BSE Limited

25th Floor, Phiroze Jeejeebhoy Towers

Dalal Street, Fort,

Mumbai-400 001

SCRIP CODE: 523704 Listing Department

The National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

SYMBOL: MASTEK

ISIN: INE759A01021

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the quarter and year ended March 31, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial performance for the quarter and year ended March 31, 2026, conducted on April 20, 2026, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at <https://www.mastek.com/investor-financial-information/>

Thanking you.

Yours faithfully,

For Mastek Limited

Reena Rajee

Company Secretary & Compliance Officer

Membership No.: A21440

Encl: A/A

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"Mastek Limited

Q4 FY '26 Earnings Conference Call "

April 20, 2026

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER –

MASTEK LIMITED

MR. DEEPAK KEDIA – CHIEF FINANCIAL OFFICER –

MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – EY INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Mastek Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y Investor Relations. Thank you, and over to you, Ms. Gupta.

Asha Gupta : Thank you, Renju. Good morning to all of you, and welcome to Q4 FY '26 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com.

To take us through the results today and to answer your questions, we have the top management of Mastek represented by Umang Nahata, the CEO of the company; and Deepak Kedia, Chief Financial Officer. Umang will start the call with a business update for the quarter, which will be then followed by Deepak, who will take us through the financials. And post that, we will open the floor for Q&A session.

As usual, I would like to remind you that anything mentioned in this call that reflects any outlook for the future or which can be construed as forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to, what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.

Umang Nahata: Thank you, Asha. Very good morning, everyone, and thanks for joining the quarterly update for Mastek Limited.

Our Q4 results has been a stable quarter. And despite the various macro and geopolitical headwinds, we've been able to deliver a 3.6% quarter-on-quarter revenue growth and continue to maintain a stable EBITDA performance at 16.1%. Our order backlog in INR terms has also grown by 7.2%, and the consecutive number in USD terms is 1.6%. So overall, a stable quarter despite the various headwinds. Having said that, the consistent order book performance as well as the demand positive movement that we are seeing gives us a very positive outlook as we go forward into FY '27.

As we step into sectorial performances, Healthcare and Life Sciences, which is one of our most important sectors, continues to see a very positive demand outlook, although the current performance of this quarter has seen a quarter-on-quarter dip, which is primarily a timing gap between current projects getting executed and new projects getting started. And we feel positive that the growth will come back in the sector soon. As far as the public sector is concerned, which is the backbone of Mastek's growth, it continues to be stable. We've renewed a few more contracts of ours for a good long-term visibility, and we continue to deliver really well. The star of the quarter was financial services, and we're starting to see some really good improvement in our financial services sector.

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Based on the order book that we closed earlier in the quarter with 2 large financial services institutions in North America as well as other financial services institutions in the U.K. and other financial services customers in North America and AMEA, our financial services sector is starting to deliver well as the revenue and resources ramp up. Retail and manufacturing continues to be a stable performance, although there is a timing dip of around 2% in that particular vertical. As far as our focus and execution on AI is concerned, as we have been mentioning, we have quite a distinguis

hed approach to AI, and we're starting to see some positive results based on the approach and strategy that we have been pursuing for the last few quarters.

Our net new AI-focused customer projects or programs that we've added in the quarter were more than 27 programs. And these includes both AI for tech and AI for business-related programs, including some significant AI road map and AI for business programs that we've added in this current quarter.

Our AI-focused execution as well as our operational excellence has also ensured that despite the severe pricing competitiveness in the market, we're able to maintain a stable profit margin, and we continue to maintain that.

Reflecting on the year that has gone by, FY '26 has been a year which has been various

fundamental resets for Mastek.

As far as our focus is concerned, we re-established our focus and investment in our U.K. & Europe business, backed by the phenomenal team as well as strong market presence that we have in the geography. Our U.K. & Europe business grew around 11% in pound terms and 21.8% in INR terms. Within the U.K. business, our health care business continues to be our dominant growth factor, which grew around 24% in dollar terms and 90-plus percent in INR terms for the fiscal year FY '26. The healthcare growth largely focused on NHS as a key customer, and we continue to deliver some of the most significant programs for the U.K. government and also delivering a lot of innovative expansion using data and AI capabilities.

As we go forward into North America, this was a year of resetting. We've now reset the complete team at North America. We've also reset our focus and priorities that we take into the geography. Healthcare and Life Sciences continues to be the key focus going forward, along with BFSI and Retail as we step into FY '27. We see a very positive turnaround around the corner in North America, as our order book and other lead indicators start to improve quarter-on-quarter, we've had a second quarter of positive order book growth in North America. And we have good visibility to a strong order book even continuing in the coming quarters, which should soon result in positive revenue growth as we step into FY '27.

On our AMEA business, which is our APAC and Middle East business, this was a year of stabilizing and resetting the client focus that we have in the region as far as our focus on verticals is concerned. Again, health care backed by Oracle Health continues to be our core focus dominant area. Our Middle East business, while is facing some short-term headwinds because of the significant geopolitical turbulence in the region, we maintain a stable performance forecast

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for the short-term period in the region. Having said that, we are closely watching the geopolitical developments. All our employees and customers are currently safe and secure.

On the AI front, like I said, our focus was on AI for technology last year. We've delivered significant efficiency gains across our internal operations as well as provided a lot of efficiency gains to our employees. On an overall basis, we delivered more than 12% increase in our revenue per resource in the year, also delivering lots of efficiency and gain backs to our clients and customers.

Our focus is now shifting significantly towards AI for business as we look at many new programs where we have started delivering some small but very influential AI-led use cases for our clients. As we step into the year, verticalizing the business based on AI is going to be a key mantra for FY '27.

With those updates, I'll now hand over to Deepak to share some of the other financial updates for the business.

Deepak Kedia : Thank you, Umang. Thank you, Asha. A very warm welcome to everyone on the call, and thank you for taking time to attend Mastek's earnings call. I'll start with the

quarter's numbers update

and then talk about the full year earnings, plus I'll also talk about some other updates, which has impacted our FY '25 numbers as well as FY '26 numbers.

In Q4, we reported revenue of \$103.5 million, sequentially up by 1.4% and an operating EBITDA of 16.1%. On a constant currency basis, revenue remained largely flat with a marginal sequential growth of 0.3%. We had salary increase impact of \$1.1 million, which is almost 1.1% impact on EBITDA. Despite this, we were able to hold our EBITDA at 16.1% due to forex tailwind of 0.8% and execution of cost efficiencies. The EBITDA performance again underscores the strength of our operating model, disciplined execution and continued focus on cost optimization.

In rupee terms, we reported revenue of INR938 crores, a sequential growth of 3.6% and a Y-o-Y growth of 3.6%. We reported PAT of INR106 crores, which is 11%. There is a decline of 0.7% sequentially in PAT due to true-up impact of Labor Code, and I'll cover that in a while. We closed the year with 12-month backlog of \$300.4 million, a sequential growth of 1.5% and a Y-o-Y growth of 13.5% in USD and 24.4% in INR terms.

For full year, we reported dollar revenue of \$421.2 million, up 3.1% Y-on-Y. We reported an EBITDA of 15.8% for the full year, which is same as previous year despite pricing pressures and macroeconomic situations in our key geographies. This again reflects the resiliency and strength of our AI-led operating model combined with disciplined execution. In rupee terms, we reported revenue of INR3,699 crores, a Y-o-Y growth of 7%. We reported PAT of INR404 crores, a Y-o-Y growth of 7.5%.

However, in terms of percentage of total income, it was 10.7%, which is flat on a Y-o-Y basis, primarily due to catch-up impact of INR30 crores due to Labor Code changes, which had almost 0.8% impact on full year PAT. We reported a basic EPS of INR130.45, which was up 7.1% compared to last year and diluted EPS of INR129.5, up 7.3% compared to last year.

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As regards Labor Code impact, as I mentioned in Q3 Earnings call, we expected an adjustment in Q4 based on clarification from the labour department. During the quarter, we recognized an exceptional and incremental impact of INR23.7 crores, which includes gratuity of INR16 crores and leave encashment of INR7.7 crores.

This impact is in addition to INR6.4 crores, which was reflected in Q3, which had gratuity of INR5.3 crores and leave encashment of INR1.1 crores. Following subsequent clarification from the Labor Ministry and an independent external review, we have now fully reflected the impact in this quarter's financials.

We have classified the true-up impact as an exceptional item below EBITDA, which resulted in Q3 reinstatement of EBITDA as well. The Q3 EBITDA has improved from 16.1% to 16.8%. As I mentioned in Q3 earnings call, the Labor Code impact got offset by onetime benefits in Q3 and hence we see the revised EBITDA to be higher in Q3, which are primarily onetime benefit related to leave reversals, which happens in U.K. and U.S. because of the Q3 quarter.

Moving on to the cash position of the company. During the year, we generated INR542 crores of operating cash, which is up 35% Y-o-Y. Our cash and cash equivalents as of the end of March '26 was INR938 crores, up 51% compared to March '25 ending. During Q4 of '26, we had a very strong collection quarter from our customers, wherein we collected \$125 million, which helped us reduce our DSO to 73.

This is the lowest DSO we have had in last 12 quarters. Reflecting continued confidence in the business, we are pleased to declare a final dividend of INR16 per share. This is on top of INR8 interim dividend, which we declared during Q3 results. This is basically 480% of our face value of the shares.

Moving on to some geo-specific performance. Both U.K. and AMEA grew sequentiall

y in Q4,

whereas U.S. was largely flat on account of right shifting of some of the projects. The U.K. continues to maintain healthy EBITDA of almost 20%.

Some business parameters now. New customers added during the quarter were 12. Total closing headcount was 4,730, an addition of 54 during the quarter. Utilization rate improved during Q4 at 80%, which was an improvement of 3.3% from Q3 and 1.7% from Q2.

Last update on some operational parameters. During the year, we merged two entities in India, which is Mastek Enterprise Solutions Private Limited and Mastek Limited. Mastek Enterprise Solutions Private Limited was a wholly owned subsidiary of Mastek Limited. This has been done to simplify the entity structure in India and to eliminate duplicate operational and administrative costs and overheads. Consequently, FY 25 balance sheet has been restated.

Now I will hand over the call to moderator to open up for Q&A. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Ankur Kumar from Alpha Capital. Please go ahead.

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Ankur Kumar: Hello, sir. Thank you for taking my question. Sir I wanted to understand in terms of revenue growth this year has been not that exciting as in only 3% Y-o-Y growth. But our order book has grown quite well this year, ending closing order book is quite good. So can we expect the first half of next year to be much better in terms of growth rate?

Umang Nahata : Ankur, this is Umang here. Yes, we've had a decent performance in terms of our order book as well as our 12-month order backlog has improved significantly over the last fiscal year. As we step forward into FY27, we believe we have a strong and positive momentum behind us. Having said that, as you also understand that we are dealing with a very unstable macro environment as well as a lot of AI-led pricing pressure.

The revenue ramp-up on the order backlog has already started and will start reflecting in our revenue soon. On the other hand, we will maintain a cautiously positive attitude on the book and ship that we have to deliver for the next year. So we believe it will be a growth year next year based on the fundamentals that have improved in this fiscal.

Ankur Kumar: But would you like to give a rough guidance in terms of how much growth do you expect? Do you expect double digit or in line with order book is it 20% growth, what kind of growth can we expect for next year?

Umang Nahata: So Ankur, usually, we don't give guidance on future numbers. Having said that, we believe it will be a better performance than the previous year.

Ankur Kumar: Got it, sir. And sir, on margin side, we have taken employee related cost hikes. So what kind of margin can we expect? Do we expect improvement going ahead or how should we look?

Umang Nahata : As we have stated earlier, Ankur, we believe maintaining margin percentage for the coming

period at 16% -16.1% is where we see the margin performances. This is based on two factors. While we consistently have improved our operational efficiency as well as we also see a lot of AI-led efficiency improvement.

On the other hand, the price competitiveness as well as the efficiency and budget reduction asks from the client continues. So we're trying to balance the two and also investing into new AI investments that the organization has to make to further enhance its strategic capabilities. Putting all the three together, we continue to be looking at a stable margin for FY 27.

Ankur Kumar: Got it, sir. And sir, on the AI side like there is a lot of chatter that this traditional business model where we hire employee and they get billing per hour rate. So that is under threat, what is our view on that front, sir?

Umang Nahata : Ankur, there's no doubt that the developments and evolution in AI is significantly evolving. The

he
Anthropic release has further significantly enhanced the capabilities of the tool in terms of productivity as well as our ability to do things faster and better. The way we are looking at the businesses, again, our belief is the T&M model will give way to more outcome-focused model. And FY 26, as I said, was more focused on efficiency and stabilizing our ability to deliver AI-led SDLC or testing or managed services, which we call AI for tech. As we step into FY 27, it's
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going to be much more around AI for business, which is we will use AI for delivering projects and programs that will deliver tangible, measurable benefits to our clients. And we also feel that while the technology is available, there will be enough services need to really get the technology adopted for delivering these tangible business outcomes. So the model will be moving from T&M to a more outcome-focused commercials.

Ankur Kumar: Sure, sir. Thank you and all the best.

Moderator: Thank you. Next question comes from the line of Sushovon from Anand Rathi.

Sushovon: So just two questions. Do we have an order book breakup by geography and how has that grown across U.S., U.K. and AMEA? That's one. And the second is effectively on the tax rate. What do we expect the steady state tax rate to be?

Umang Nahata : So the 12-month order backlog has definitely increased significantly in our U.K. business. While there is order book improvement in North America, however, the 12-month order backlog has not increased significantly, while we see positive momentum from where we are. As far as the tax rate is concerned, Deepak will explain that more.

Deepak Kedia : Yes. Sushovon, on the tax rate, the reason why you see a lower tax rate in Q4 is because we had completed a few of the past year assessments. And based on that, there was some provision reversal. And again, that came from the guidance from our tax consultants. That's why you see a lower tax rate. Going forward, our average effective tax rate would be 24.5% to 24.7%. We expect the same to continue in the future quarters as well.

Sushovon : Okay. And is there any one-off this time in the AMEA business because there was sort of a WAR revenue that was about to come, if I'm not wrong, in Q2, right? So, has that translated into revenues?

Umang Nahata: Yes. Sushovon. So the AMEA WAR revenue, we have been able to recognize it in this quarter, which has helped us to keep the business stable. The current situation is while the business continues and the projects are getting executed. However, the decision-making on the net new orders or discretionary spend as expected has slowed down. The general interest and execution is on, but new decision-making is currently right shifted.

Sushovon: Sorry, would it be possible to quantify that AMEA a bit?

Umang Nahata: So it was around \$0.5 million worth of WAR revenue that we were able to recognize that we had postponed in Q2, we were able to recognize that in this quarter.

Moderator: Next question comes from the line of Vinesh Vala from HDFC Securities.

Vinesh Vala: Two, three questions from my end. Firstly, on the margin front, our U.S. as well as the Middle East margins are down on a Y-o-Y basis as well as on a sequential basis. So can you throw some light on that?

Umang Nahata: So on North America, it's mostly the pressure of the revenue still stabilizing as well as the impact of the wage hike that we've given in the quarter. On the AMEA business, similar areas, while
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our cost numbers continue to be stable, but our revenue did not move significantly. And then since we did the wage hike, that was impacted during the quarter. So that's why the sequential performance is low for this quarter.

Vinesh Vala: Okay. So sir, the wage hike during this quarter has a full impact in

this quarter or there is some impact which would be there in Q1 as well?

Umang Nahata: No, it has the full impact.

Vinesh Vala: Okay. So second question was on healthcare vertical. Sir, as you highlighted, healthcare was impacted by the timing gap of projects. So it has been declining. So is it related to U.S. or U.K. public NHS?

Umang Nahata: It has happened in both the geographies. Our U.K. business, which saw significant growth in healthcare last year. Some of the projects we have now been delivering and have gone to the delivery stage. So they've gone live. And the newer programs are yet to be contracted and started, but we have very positive demand as well as outlook in that business.

On the North America business also, as you know, our North America business had a lot of project-based business in healthcare. So we've seen ramp down because these projects are going live. We are positive that it will recover as new projects start to ramp up.

Vinesh Vala: Okay. Sir, last thing from my side on the AI-led order book. Can you help us understand the ramp-up of that and profile as well as the margin in that AI-led deals, which we won?

Umang Nahata: So, the AI-led deals that we are currently seeing are in two categories. These are AI-led technology deals where we are using AI for delivering newer programs, which are like legacy modernization or AI-led testing or managed services kind of deals. And I call them AI-led because most of these deals have significant, between 70% to 80% usage of AI for delivering the execution of these deals. That's what we are calling as AI-led deals.

The second category of deals that we are seeing are more, like I said, the AI use case deployments. Now these are early stages. Quite a few of them are in the discovery kind of programs where we are working with our clients to identify their enterprise AI plan and also delivering a few small but very impactful use cases, which will set the stage for much larger adoption as we go forward. On the margin front, these are within the same range of our current gross margin percentages, nothing exceptional there.

Moderator: Next question comes from the line of Varun Kulkarni from InCred AMC.

Varun Kulkarni: So a couple of questions from my end. First one would be, would acquisitions be a strategy to enhance the AI vertical given that cash has now increased on our books? So that's one question I had. And then I'll subsequently ask the other questions.

Umang Nahata: So Varun, we are actively looking at the best use of the cash on our books as it continues to grow quarter-on-quarter. M&A clearly is an important part of that decision and discussion as we look forward to. Our M&A thesis as we look at it now is very tightly aligned to our vertical and our

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vision strategy, which is trying to move to AI-led vertical growth in these businesses. We believe the current focus from an M&A standpoint will be more on expanding Mastek's domain capabilities in some of our core focus domain areas.

We will also look at some strategic but smaller AI investments and partnerships with some of the significant AI players that are coming around. So AI is more around smaller investments, but larger partnerships with key players and the M&A would be more around vertical focus.

Varun Kulkarni: Second question would be on the order book front. What would be the average tenure or the period or rather the execution period for this order book? So if you could throw some light on that would be helpful.

Umang Nahata: So again, as far as the order book is concerned, Varun, there are 2 or 3 different kinds of orders that we deal with. A lot of the orders that we get in our U.K. business, especially our public sector as well as any of the public procurement-related frameworks that we deal with have a much longer tenure, anywhere between a 3

-year to 5-year kind of visibility on those orders as we ramp up and execute.

Then there are orders which are more project-driven, especially in our Salesforce and Oracle business, which are usually 1 year to 1.5 years kind of project execution. So those are the two different kind of orders that we see in our books now.

Varun Kulkarni: And lastly, what would be the share of the private sector revenue versus the government revenue in the U.K. business? And do we see any change in that going forward?

Umang Nahata: So the private sector business approximately is around 40% of the global business. The U.K. is around 30% private sector - just circa numbers, Varun, I don't have exact numbers right now. Having said that, both our healthcare as well as financial services are two sectors where we see continued growth. And in the short term, the private sector will grow faster. But overall, I think healthcare will pick up as we get into the full year view of FY27.

Moderator: Next question comes from the line of Nikhil Purohit from Fident Asset Management.

Nikhil Purohit: Just one question on the order book. So we have witnessed strong growth, of course, this quarter. Do we expect this order book to get executed in FY27 based on the historical pattern? And do we see accelerating revenue growth for FY27?

Umang Nahata: We've given you a 12-month order backlog number. So we definitely expect the 12-month order

backlog to be executed in the next 12 months of our business, which is a stronger foundation as compared to what we entered into FY26. So we definitely have a stronger foundation as we enter into FY27. Having said that, as I also mentioned earlier, we are also getting into a market which is much more volatile than before.

A lot of macro as well as AI-led changes are constantly shaping the business. So our endeavour is to make sure that we deliver a positive book and ship growth also, but we'll look at that with a degree of caution as we enter into a market which has a little more uncertainty than before. So

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put the two together, we believe that FY27 will be a positive growth year, should grow faster than FY26.

Nikhil Purohit : Got it. And I just noticed in the FY25 full year results, the receivables went down and may be restated to contract assets. Why did this happen?

Deepak Kedia : So, you mean the previous year?

Nikhil Purohit : Yes, the previous year.

Deepak Kedia : That was basically a restated balance sheet where we combined the two entities. It's not like the business or unbilled has gone down. It's just a combination of two things. Now the enterprise unit is basically our erstwhile Evosys business and MLTD is basically our traditional digital engineering business and it's a cost-plus entity. MLTD was traditionally a cost-plus entity. So fundamentally, from the business perspective, the numbers haven't come down. It is just a restated number or a combined number of two entities.

Nikhil Purohit : And lastly, our receivable days have come down to 73 days this quarter. What is the outlook for the medium term on that?

Deepak Kedia : It's difficult to kind of provide an outlook because it's a combination of various factors. It really depends upon how much revenue we booked during the quarter and how much we have executed out of the backlog as well and how much we have been able to bill to the customers. And billing also depends upon like 40% of our business is fixed price projects. So it depends upon in which quarter we are completing the milestone on those projects and then the billing happens. So of course, there will be some variation from where we are today, but our endeavour is to basically maintain the DSO at the level we have reached. Now in the short-term, you might see some plus/minus a few days. But in the long-term, I believe that we should be in a stable range of what we have kept

end of published in Q4.

Nikhil Purohit : Got it. Thank you so much.

Moderator: Thank you. Next question comes from the line of Pratham Kamreya from Quantum AMC. Please go ahead.

Pratham Kamreya : Hi, sir, one thing, there is a significant growth in order backlog. So what challenges do you foresee which could not translate into revenue growth for FY27?

Umang Nahata : Again, as we had mentioned earlier, while we see good positive momentum in our 12-month order backlog, which puts us into a much more stronger foundation as we step into FY27. We are also getting into a year which has two parts, right? It is execution of the backlog as well as the book and ship that gets executed within the year.

While we are super confident that we will execute the 12-month backlog that we have and which is a stronger foundation, the book and ship in the year, we are dealing with a variety of uncertainties as well as the changing phenomena on AI and AI-led deals that we are

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experiencing. So putting the two together, while we feel positive that FY27 will improve from FY26, we are taking it with a degree of caution.

Pratham Kamreya: Okay. Sure. So one thing like since the start of FY24, there is a dip in active clients. And you have mentioned in the past that you have been doing some tail accounts and planned rationalization. Where are we on that part? Secondly, how do you see the employee headcount and utilization levels going forward?

Umang Nahata : As far as the active client is concerned, it will be a constant process. We will be churning out smaller customers consistently. If you look at our current book of business, while our top 30, 40 customers deliver almost 65%, 70% of our revenue, there's a large tail that supports the remaining part of our business.

Our focus and strategy have been to try to focus on strategic customers and be able to deliver more value and business to them, which would mean that some of these smaller customers will churn out. There's also a sizable project business that we have where clients do churn out once the project gets executed and the transformation has been done.

So we believe the top 50 or 100 customers is where our focus is and those are stable and

continuing to grow in terms of their business. But there will be pluses and minuses that will happen in the remaining set of customers that we have. The second part of the question?

Prathm Kamreya: On headcount and utilization levels?

Umang Nahata : Yes, that's a great question. What we saw last year was a consistent reduction in headcount, especially in our fixed bid business with our ability to do more with fewer employees and which has helped us balance and sustain our profitability margins for the year. We continue to see that same phenomenon.

I think our rate of employee growth will be slower than the rate of revenue growth. This is our general anticipation. Having said that, a lot of business mix between on-site, offshore, some of the kind of programs may change that. But directionally, the headcount growth should be slower than the revenue growth, and therefore, the revenue per resource should move positively.

Prathm Kamreya: Okay. Sure. And you have mentioned that the sizable project business after a project is completed, a client churns out. So basically, is there any capability that we are lacking and that is why the client is not able to stay with us and thus churning out? Or is there something different?

Umang Nahata : So there are two scenarios. There are customers which are large customers where once the project is over, they add to our installed base and we get them into managed services or other capability areas, and that's where we've been expanding them. But there are also other set of customers which were mid- to small set of customers and where we executed and either they landed into very small managed services or

or into an area that was not our priority focus.

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So depending upon our focus in terms of vertical and the strategic importance of the customer is where we are expanding. There are areas that are not of strategic importance, we want to consistently churn them out.

Prathm Kamreya: Okay. Sure. Thank you.

Moderator: Thank you. Next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : Thanks for the opportunity. So my question is on the AI order book that we have given. So it has increased from, say, 3% to 9% of the order book in the last two quarters. But if I see the average size of the deal is still very small, around \$1 million. So how do you see the scalability in these AI deals? And also these kind of wins are coming from existing clients in the existing spend seen or this is like net new from the existing clients? So if you can give some colour on that?

Umang Nahata : Amit, like I said, the AI deals are currently building up. And in some cases, these are larger engagements in terms of where it is AI for tech-led transformations, and not very large, but moderately large. And then there are other customers where these are still small use case deployments, but the value and the impact of those use cases are very phenomenal.

So the way we are looking at it is as we move from AI for tech to AI for business, it will be about deploying some outcome-based significant use cases to our clients. In some cases, we are also doing discovery work, which is setting the step foundation for much longer enterprise AI business as we go forward. So while that's the current rate, I think it will consistently improve in the long-term as these use cases become more enterprise scale and enterprise-wide.

Amit Chandra : I was saying that the U.S. geography and the AMEA has been the underperformer for FY26. So how do you see these two geographies shaping up in terms of the revenue growth for the next year?

And also, there has been sharp impact on the margins as well. This is because of the strategies we have in terms of cutting the tail end and we are still investing in these two geographies. So for the next year, do you see that the U.K. geography continues to grow, and we can see some stabilization in the U.S. and the Middle East? Or is there going to be still some pressure on the U.S. and the Middle East geographies?

Umang Nahata: Amit, like we've been stating, this year was a very fundamental reset in our North America business, right, from our leadership to our teams as well as our focus in terms of target markets and GTMs and everything else. Most of that has been now stabilized and are in place. We're starting to see positive lead indicators.

The current quarter was the second quarter of positive order book growth. Sequentially, we saw Q3 also growing. We've seen Q4 also sequentially growing. And we have enough lead indicators to say it will continue to sequentially grow in the coming next few quarters.

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As we sequentially grow in our order book, the other important factor to know us, our North

America business was a lot more project -based. So, while our order book and ramp -up is growing, there's also some of the older projects that get executed and therefore, their ramps come down.

So, on one hand, we are trying to improve the order book. And on the other hand , we are systematically trying to change the colour of our business to have more long -term and stable revenue projects. We believe as we go forward with the lead indicators moving in the right direction, our North America business will start to show positive growth as we move forward. And we are quite positive that FY '27 will be a good growth year for North America. As far as our AMEA business is concerned, like we've said earlier, we have re

set our focus and

attention on that geography. Again, that reset has been well executed now. Health care and BFSI and manufacturing are 3 key verticals, especially health care.

A lot of focus has shifted from just doing back -office work to doing pure -play bedside and clinical and patient engagement activities is how we have changed that business. So a lot more larger and strategic engagements with our health care customers, especially on the back of Oracle Health is how it is developing.

The geopolitical uncertainties is definitely a factor. But if you eliminate those uncertainties out or if you make an assumption without the uncertainties, we are positive that AMEA is also turning around towards growth in FY '27.

Amit Chandra : Okay. And on the U.K. government business, obviously, we have been doing well there and winning deals from the newer departments. But from the existing ones or the older customers that we have, what kind of renewal discounts are we seeing and also in terms of the pricing pressures that we're seeing in terms of the existing contracts which are coming up for renewals ? And also in general, the increase in the competitive environment wherein many new players have entered the geography because it's a large spend pool ?

Umang Nahata: And this is not just for U.K., this is across the board, Amit. The renewals clearly are being extremely price competitive. A lot of that is very evidently available with the ability of AI to deliver things faster, better. And therefore, the ability to do the same business in less effort is very visible and hence, the price competitiveness of these renewals.

Like we had mentioned in our earlier quarters, we had renewed some of our contracts with anywhere around 10% to 15% discount. But depending on the nature of business and the nature of customers, it could go much higher than that as we go into these discussions.

Like I said, while it creates a cost pressure or revenue pressure in terms of executing the current business, but it is equally creating many more opportunities of winning net new strategic customers because they also see us as equally capable and confident partner to delivering those businesses.

So, it's a mix of the two. These price pressures will continue. Our endeavour is to now shift our business model from T&M to much more fixed bid outcome -based contracts. In fact, underneath

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the T&M commercial framework, we were delivering a lot of outcome -based programs for our clients. So, we're now trying to bring that into the commercial frameworks also.

Moderator: Next question comes from the line of Prolin Nandu from Edelweiss Public Alternatives.

Prolin Nandu : Yes. Hi, Umang a couple of questions from my end. One is on the M&A, right? Just wanted to understand in the evolving nature of how IT services is evolving, how has your philosophy on M&A changed. So what are some of the skill sets or some of the gaps that you see in your business that you want to fill through an inorganic growth opportunity? Can you just give us your view on M&A?

Umang Nahata : Hi, Prolin, I think it's a very good and strategic question to ask. See, the general view that we had earlier and which is some of the earlier M&As that we did was more based on capabilities and skills around Oracle, around Salesforce, around data and so on and so forth. Our view and our vision for our business is going to be much more domain and vertical specific .

And therefore, our ability to understand the business and deliver business outcomes is how services will be offered going forward. Mastek is also making an important shift towards verticalization as well as using AI for delivering these vertical solutions. In that context, our M&A thesis is now looking at assets that could give us core domain capabilities.

So while continuing technology, but looking at tec

hnology, which are more core to the business

rather than some of the periphery or digital activities that we had looked at earlier. So that's one part. Like I also mentioned earlier, while there is significant in -house M&A developments, a lot of positive M&A developments are also happening with start -ups all around. So we continue to also look at using that ecosystem both via partnership and some degree of investment if required.

Prolin Nandu : Okay. So what I take is that domain knowledge is important and that's the thing that you're

looking at. Umang, second question would be, I'm trying to triangulate a few things here, where first you mentioned that things are moving towards outcome-based solutions rather than time and wage thing, one is that.

Secondly, you are also saying that even in this evolving AI world, there will be a need for a lot of technologies, a lot of IT service. And thirdly, you mentioned that still most of the AI is more AI to drive tech rather than AI to drive business. So in such an environment, don't you think that as we move towards more outcome-based and we move towards AI in the business-based kind of deals, don't you think the need for service will ultimately come down? How do you see, can these three things happen simultaneously together or one has to fall off?

Umang Nahata : So the way I see this, Prolin, is this, while ability to deliver technology has definitely evolved significantly. But what has also evolved significantly is the potential of things that you could do, which you were not able to do earlier. And this is in many context. And this is not just in terms of writing code, but in terms of variety of analysis, variety of research that you could generate, the workflows that you could operate in.

The UI that you could have and so on and so forth. What it means is a lot of businesses, in fact, a large majority of businesses will have to relook at their business processes, their business

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workflows, the way they make decisions. There will be newer revenue opportunities that they will create and so on and so forth.

All of this means that underlying technology or business workflows will have to change completely to adapt to this new opportunity that AI has provided. As we look at delivering these or as clients look at adopting these new possibilities, while the technical capability of creating an agent or generating a code faster is very much available and that can be delivered.

The ability to deliver an outcome is not just about writing the agent. It is a lot more about whether the background data is in place, whether the workflows are correct, whether there is adoption of the technology that they've taken out and how they are really measuring the impact.

If you look at the AI adoption so far, while people have bought a lot of platform licenses, the ROI is still not visible to many of the non-IT clients. And that ROI realization will take significant surrounding services to get the clients to business outcome. So that's how we see this business. So services will continue. The kind of services will change from developing to much more helping the clients with relooking at their workflows, adoption of technology and delivering outcomes.

Prolin Nandu : Sure. Umang, can I push one more question because this is just related. So what you're talking about is a net positive, right, of AI because of workflow modernization or data modernization.

When and where do we see this playing out for Mastek? I'm talking about the order book, or maybe the revenue.

Umang Nahata : That is a great question.

Prolin Nandu : Sure.

Umang Nahata : No, when it's a great question, there's no clear directional number. But what I can tell you is good lead indicator data. So clients have started realizing that just buying platform is not good enough. They've started working, and we are seeing

quite a few orders, including a few in this quarter itself, where our job is to work with the client on readiness.

We're getting orders with the client to deliver business process change. We're getting orders with our clients to deliver an ROI adoption framework. Governance is becoming a critical part of the discussion that is happening. So, the lead indicators of surrounding services around AI for getting the true value out of AI, we're starting to see those happen. Having said that, many of them are still in smaller either discovery stages or smaller use cases, as I mentioned earlier.

When it becomes enterprise scale, and it will become enterprise scale because it is not just about 1 or 2 workflows. It has to change the entire landscape of business. That's where sizable revenue and business impact will happen, which will clearly overthrow whatever we have been doing so far and significantly increase that. But like I said, I can only tell you lead indicators, exact timing is unknown.

Prolin Nandu : Thank you so much, Umang, for answering the question all the way best.

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Umang Nahata : Thank you.

Moderator: Next question comes from the line of Sanjay an Individual Investor. Please go ahead. Sanjay, please go ahead.

Sanjay : Actually my question is answered. So thanks for that and wishing you all the best.

Umang Nahata : Thank you, Sanjay.

Moderator: Next question comes from the line of Sushov on from Anand Rathi. Please go ahead.

Sushov on: Just two questions. One is how much would be your project -driven business as a percentage of revenues overall and within the U.S., if that could be quantified? That's one. And the second bit is with whatever has happened with the Oracle layoffs and the fact that there are rumours Oracle may actually plan to sell its Oracle Health business, the Cerner business, do you think that may have any impact on your business from an Oracle implementation perspective? Because we're also seeing that degrowth on Y-o-Y basis. These are the 2 questions.

Umang Nahata : So Sushov on, the fixed bid business that we have currently is at a company level, circa 40%, some plus/minus. It is a little higher in North America. It's more than north of 50%, 55% is fixed bid business in North America in our current setup. So that's our two areas. And we actually believe that these percentages will grow even further, and that's the commercial model that that's how it will move forward .

Having said that, going back to the other Oracle part of the question that you have. See, the core tech area, which is writing codes or testing or managed services, etcetera, definitely has become far, far more advanced than it ever was. And therefore, if you look at any product development or areas that were highly dependent on pure -play technical engineering skills and especially these companies which are themselves on the edge of technology, they will be looking at a reduction in human effort in terms of those core services that they had.

On the other hand, their investment in their business. So if you look at their platform modernization, the degree of AI workflows that they started introducing, the investment that they have on their infrastructure and capital allocation for AI and getting their businesses completely transformed to AI is significant. It is far outrunning the kind of reduction that they would have in these employee -related cost savings.

So if you put the two together, the business is seeing a systematic shift from traditional SaaS deployments to more AI -enabled business transformation. And we will consistently see that. So SaaS will become to the cloud or SaaS transformation will eventually grow into AI -led transformations. And there could be some timing gap in terms of business there. But in general, the transformation business will continue to do well.

Sushov on: So would you

be able to capture value in this is what I'm just trying to understand. And I just had one more question.

Umang Nahata : Sorry, what do you mean by "capture value in this "? I didn't understand.

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Sushov on: Given the transition from the SaaS -based business to the AI -enabled bit, so if it is automated to a larger extent, what is it that you would be able to capture value within the Oracle implementation part of it?

Umang Nahata : So these are already starting to happen. Most of our Oracle transformation projects are now starting to become AI transformation projects because it started with back -office transformation, but people are using a lot of AI -enabled solutioning to relook at their workflows. So the traditional workflows are changing. They are relooking at their UIs. They're, in fact, also relooking at their existing workforce to say, okay, how will their workforce deployment change in terms of their back -office systems.

These projects are becoming the bedrock for further AI -led transformations in their front office or in their mid -office or even helping them open and operate new streams. So being a part of this back -office transformation puts us in a very unique position to be early in the client delivering AI adoption in some of their back office areas and therefore, the ability to propose and build this transformation in the front office and other parts of their business.

Sushov on: And just one last question is when do we expect ramp -ups of the 3 deals that you've announced in March, the ATLAS, FCA and Biometric ?

Umang Nahata : The FCA deal has already started ramping up. We've now had more than 60 on -site resources on the account, and we'll continue to see ramp -up in Q1 on that deal. So we think we'll be fully ramped up by the end of Q1 on FCA. As far as the other 2 deals are concerned, we are negotiating the new SOWs . These are existing renewals, but with an expanded scope. So as we speak, under the contract, we are discussing with the clients the new SOWs for which the ramp -ups will have to happen. So we expect those to happen sometime between Q1 and Q2.

Moderator: Ladies and gentlemen, as there are no further questions, we have reached the end of question - and-answer session. I would now like to hand the conference over to the management for closing comments.

Umang Nahata : Thank you for all the question and answers. Like I said earlier, FY'26 was important but very fundamental year to Mastek, where we've seen a lot of resets in terms of our approach, our teams, our order book and backlog that we are carrying now as well as the kind of services and focus that we will have.

FY'27 is going to be much more about focus, trying to drive the business towards some key

verticals and key accounts while continuing to deliver a stable EBITDA margin in the business. So that's what we're all looking forward to. We believe we have a strong, stable team now in place. And it should drive good positive momentum as we go forward. Thank you.

Deepak Kedia : Thank you.

Moderator: On behalf of Mastek Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.